

Nuvama Wealth (NUVAMA)

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Call: Nov 2023

Nuvama Wealth Management Limited (Formerly Edelweiss Securities Limited)

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NWML/SEC/2024/ 35

November 3 , 2023

The Manager,
Listing Department,
BSE Limited,
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Mumbai 400 001.
BSE Scrip Code: 543988 The Manager,
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, 5 Floor, Plot C/1, G Block, Bandra -
Kurla Complex, Bandra (E),
Mumbai 400 051.
NSE Symbol: NUVAMA

Dear Sir(s) / Madam(s),

Subject: - Transcript of earnings call

Further to our intimation dated October 23, 2023 , informing the exchanges regarding the details of the earnings call held on Monday , October 30, 2023 , at 12:00 p.m. (IST) to discuss the Company's performance for the quarter and half year ended September 30, 2023.

Pursuant to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the aforesaid earnings call held. The same is also made available on the website of the Company .

We wish to confirm that no unpublished price sensitive information was shared / discussed in the aforesaid earnings call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Nuvama Wealth Management Limited
(formerly known as Edelweiss Securities Limited)

Sneha Patwardhan
Company Secretary and Compliance officer

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"Nuvama Wealth Management Limited
Q2 FY '24 Earnings Conference Call "
October 30, 2023

MANAGEMENT : MR. ASHISH KEHAIR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – NUVAMA WEALTH
MANAGEMENT LIMITED
MR. MIHIR NANAVATI – CHIEF FINANCIAL OFFICER –
NUVAMA WEALTH MANAGEMENT LIMITED
MR. MANISH DHANUKA – HEAD, INVESTOR

RELATIONS – NUVAMA WEALTH MANAGEMENT
LIMITED
SGA INVESTOR RELATIONS ADVISOR – NUVAMA
WEALTH MANAGEMENT LIMITED

Nuvama Wealth Management Limited
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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Nuvama Wealth Management Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this call is being recorded. I now hand the conference over to Mr. Ashish Kehair, MD and CEO. Thank you and over to you, sir.

Ashish Kehair: Thank you. Thank you so much. Good afternoon and a very warm welcome to all of you for joining the Maiden Earnings Call of Nuvama .

We've already uploaded the presentation and the data book and on our website and the stock exchanges. I think we'll keep receiving feedback from you on the data book and keep enriching it over a period of time.

I know you'll have multiple questions. We'll try to answer them over the call and also over a period of time, improve the data book.

Joining me today in the call are my colleagues, Mihir. Mihir Nanavati is the CFO. Manish Dhanuka is the Head of Investor Relations and the SGA team. We thought it would be appropriate that since it's our first call, instead of jumping directly into the earnings and the performance of the quarter, we'll give you a brief introduction and overview of Nuvama , how it came into existence and what are the businesses we are into. Then perhaps Mihir can take us through the performance of the current period and then we'll move into the Q&A section. So, as you know that this business was actually a part of Edelweiss till about 2021 and that's when PAG came in as a majority shareholder. It was a controlled transaction and it was with the intention that we will demerge the company and list it over a period of time, which we've concluded over the last two years. The businesses which sit inside Nuvama , essentially largest is wealth management and I'll talk a bit about it.

If you look at wealth management as an industry in India and if you look at the overall client pyramid or client triangle, the bottom of the pyramid is the retail or the mass retail segment and our view is that that is best handled by banks or maybe brokers and fintech companies because the profit pools in those customers are not substantial enough for specialized wealth management firms to derive value. To derive value from those customers, you have to actually access the whole wallet which includes their banking products, credit cards, home loans etc.

And the needs of the customers are also relatively simple. I mean they're in the lowest tax bracket so maybe a bank deposit or a simple insurance product can solve their problems. But as the customers become more affluent as they move up into the second tier of the pyramid, which we typically call affluent and HNI, that's when things start becoming a bit more interesting because the customer moves into higher tax brackets, their needs are no longer met by just simple fixed deposits because they pay higher taxes, they want to invest in diversified products and have a

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diversified portfolio. But unfortunately, that becomes a structural challenge for banks because it competes with their liability franchise.

While they do offer what they offer but because of this conflict with the liability franchise, you will see that most of the banks typically more often than not have bent towards selling insurance and that's when players like us can step in. And this is the opportunity we saw 10 years back.

We did a lot of market research and market study in these customer segments across the country, Tier 1, Tier 2, Tier 3 towns and there was a common feedback which kept

coming back from

clients that they need unbiased advice from their wealth managers, they need to have a diversified portfolio so that over a period of time they can build financial independence.

And that was what triggered us to start this part of the segment more than 10 years back. I think we've had a reasonable head start here. We have about 900 RMs in this segment, extremely profitable, spread across 65 to 70 locations and we work both with our internal RMs and external

wealth managers.

About 25% of our business actually comes from external wealth managers. We have a full-fledged platform, complete product basket which includes investments, lending, exchange-traded products and even making of will and stuff like that to holistically cater to this segment. I don't think there are too many players which compete with us although we are seeing a lot of interest now coming into this segment, but we've developed a reasonable leadership here. Then moving up further into the top end of the segment which is typically called Ultra HNI which is about INR25 crores plus. Anything below INR25 crores is what we fit in the affluent and HNI segment. It can start from INR1 crores to INR2 crores, some may start from INR5 crores but broadly below INR25 crores because that cohort has a cluster of needs which can be met by these type of people.

Ultra HNI segment is slightly different, far more bespoke, complex needs. Investment I think just forms 25% -30% of their needs. They have businesses where they need advice the Ultra HNI segment actually has needs which are far more bespoke, I was saying. Investment needs are just one of them. They need wealth structuring, estate planning, they have businesses in multiple countries. So, I think a lot of things have to come together and that was the focus again here for us to build a platform which can comprehensively solve the needs of this segment.

And we fortunately also have an investment bank inside Nuvama so it can help in working with these promoters in solving their business needs. So combined these two, both Ultra HNI which is we brand as Nuvama Private and Affluent and HNI which we brand as Nuvama Wealth is the wealth management cluster. This contributes about 70% of the revenue and about 70% of the profits of Nuvama in general.

So, when we started in 2021 (Note: We erroneously stated 2001 instead of 2021 on call) when PAG came in, the revenues of this segment was about INR480 crores. In FY '23, we crossed INR1,000 crores so we've almost doubled the revenue and profit contribution moved from about Nuvama Wealth Management Limited

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20%-25% to about 70% in this segment. In the Ultra HNI segment, the limiting factor across the world, I would not say limiting factor, I would say the raw material is the RM.

And given the fact that these are people who deal with extremely sophisticated customers with sophisticated needs, you always have them in short supply. And the only way you can actually crack and create a moat in this segment is to build a platform where the RM is able to monetize and add value to the clients more than anywhere else. And that is the focus because the relationship managers and the clients, they are actually common across all platforms.

The differentiating factor is what does your platform give which allows the RM to deliver more services to your clients and make more money. And I think that is the focus which we have used to develop the platform and happy to say that we are one of the most comprehensive platforms in the country. We have about 115 RMs in this segment and as I said about 900 in the Affluent and HNI.

The second business which we have in Nuvama is asset management. This is the newest business. This we started after we became independent. It's about two years old now and it works extremely synergistically with the wealth management part because wealth management

ent actually

has the customer insights and defines what product needs customers have and there is a gap in the market which is what we create. Over the last two years, we've built about INR6,200 crores of AUM divided into two large buckets of strategies. One is private equity.

In private equity, we have a market leadership product which is called Crossover or Pre IPO.

And we recently launched a venture debt fund which is adjacent to that. Combined these two, I think the assets would be around INR4,800 crores -INR4,900 crores.

Then we also started a listed or the public equity segment in which the first product which we launched was a hedge fund long short, more equity oriented. That's now second largest in its category and we are soon going to launch a GIFT city version which has tax advantages both for institutional investors, overseas institutional investors and NRIs.

In addition to that, after the tax rate change for MF, insurance and MLDs, we started absolute return product which targets about 7% to 8% net of tax. We see that that is a clear gap now in the market because there is no other default fixed income product where ultra-HNI guys can park their money. I think combination of this exists. Future, the way we are thinking is to solve for yield and two, three products which are in the pipeline are real assets like commercial real estate and private credit. We are in the process of building and hiring teams and maybe in the next 6 to 12 months, we should hit the market with these products.

The third business which exists in Nuvama, which in fact is the oldest business of Edelweiss, which is capital markets, which has institutional equities, investment banking and custody and clearing business. Let me first talk about custody and clearing because again, I think that is

unique to us because only banks typically offer that service.

We are one of the few, actually one of the three non-banks which have the license to offer custody services. So, it's actually a very prized asset. We handle clients which are FPIs and

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domestic PMSs and AIFs. Large part of the business comes from FPIs. It's a very niche offering directed towards hedge funds and quant funds and high frequency trading companies. Some of the largest ones are our clients in that business.

And the business is extremely simple. You provide them custody and clearing services, not too volatile. It's like a hammer and tongs business and will grow at a consistent pace with the rise of the trading volumes in the country and the institutional participation which comes into the country.

Institutional equities, investment banking, I think that is the most understood business by our community. We have market leadership in institutional equities. We have about 5.4% market share. Number two in the domestic broker side and investment banking, we offer a full service which is ECM, DCM and M&A and private equity. Both of these now actually we are working very, very closely and maybe in next three, four quarters we'll also start publishing data on how we are building synergy with the wealth management side. Because both these businesses work extremely close with the promoter community and each of them are potential wealth management clients.

In fact, in FY 22-23, more than 30% of the relevant investment banking clients which we onboarded became wealth management clients. And similarly, now we are working actively with the institutional equities team. So, the objective actually is to create a one Nuvama kind of a structure where the customer can enter in any part of the circle.

They can enter into asset management; they can enter into wealth management and then we basically use the whole platform to add value and try to monetize the client. I mean, I could just give a simple example. We could invest from our pre-IPO fund into a company. When it goes

public, we could use our investment bank to offer the services to them. And when the promoter

actually gets the money, we can use our ultra HNI proposition to make the promoter our client and we can use our affluent and HNI proposition to make the employees our clients. So, this is the entire objective to build this full ecosystem and create one Nuvama.

I think that's where we are today. Revenues over the last three years at a platform level have moved from about INR1000 crores to INR1600 crores. I'm talking FY '23 numbers and profits have nearly doubled.

I think with that I will hand over to Mihir to give you a quick overview of the current period performance and then maybe we could move on to the questions that you have. Mihir, over to you.

Mihir Nanavati: Thank you Ashish and a warm welcome to all of you once again. As we move ahead in our journey as a listed entity, we look forward to deepening our engagement with you further. Now over to our operational and financial, most recent operational and financial performance.

FY '24 H1 has been a positive for us as we have reported growth on most of our operating matrices over corresponding previous quarter and half year periods. To begin with, on our client assets, our client assets as on quarter end, INR2,89,281 crores showed a year-on-year growth of

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26%. Of this, client assets of our wealth management business stood at INR2,17,278 crores, a Y-o-Y growth of 21%.

Asset management business AUM stood at INR6,175 crores compared to INR4,300 odd crores as on the September of FY '23, reporting a year-on-year growth of 43%. Our client assets in our clearing and custody service business stood at INR65,828 crores, a year-on-year growth of 47%. Now to our revenues, our total revenue for Q2 FY '24 stood at INR492 crores, grew by 29% year-on-year. Our revenues for half-year FY '24 were at INR909 crores and grew by 24% year-on-year.

Of this, our wealth business revenue was INR281 crores for the quarter and grew at 16% year-on-year over the previous quarter. For half-year FY '24, the wealth revenues were INR553 crores and grew by 17% year-on-year over September FY '23.

Our asset management business reported revenue of INR19 crores for Q2 FY '24 and INR32 crores for H1 FY '24. Excluding the carry component, the revenue was INR11 crores for quarter 2 FY '24 and grew by 17% year-on-year. Similarly, ex-carry revenue for our September FY '24

half-year was INR24 crores and that resulted in a year -on-year growth of 42% over the previous half-year. Our capital markets revenues were INR190 crores, which grew 86% year -on-year. And for H1 FY '24, the revenues were INR320 crores and grew by 51% YoY over H1 FY '23.

I'd just like to pause here and touch upon an impact that SEBI circular on distribution fees on AIFs on our wealth management business revenues. The SEBI circular of May '23 on AIF commission kept charging of upfront commission on AIFs to a maximum of one -third of total commission and the balance would be recovered over the life of the funds.

This change resulted in lower revenue booking in FY '24 Q2 over corresponding quarter of FY '23 on a like -to-like basis. Had this change not materialized, our growth in wealth management revenue for the current quarter would have been approximately 30% higher as against a reported growth of 16% over the same period.

We may, however, mention that this impact is transitional and would result in a higher trail income in the following periods. This is just to give a context to our wealth revenue growth, stating that look, our volumes are intact, our business is intact, the numbers are impacted by the change in the income booking pattern.

On the cost side, the total cost for Q2 FY '24 stood at INR302 crores and grew by 16% year -on-year. For half -year FY '24, the costs were INR594 crores and grew by

12% year -on-year. Of

these, the staff costs amounted to INR212 crores in quarter 2 of FY '24 and grew by 17% year -on-year. For the current half, the same costs were INR421 crores and grew by 14% year -on-year. Our operating expenses were INR90 crores in Q2 of FY '24 and grew by 14% year -on-year.

Whereas, for the half -year of FY '24, the current half, the costs were INR173 crores and grew by 8% year -on-year. Coming to our profitability, our operating PAT for Q2 FY '24 stood at INR145 crores and grew from INR93 crores in Q2 FY '23, reporting a growth of 57% on year -

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on-year basis. Our operating profit for H1 FY '24 stood at INR244 crores , showing a growth of 63% year -on-year.

Our return on equities for the half -year ended in Q3 FY '23, stood at 20.3%, up 5.47% over the same period of last year. Our cost to income ratio for the current half was 65% and was lowered by 7.0% over last year of September '23. Here, we would also like to mention the adjustments. You would all have seen the data book and we would like to explain a couple of points that reflect in our data book.

The adjustments that we made to our operating profits. As Ashish explained, Nuvama Group got carved out of Edelweiss Group over a 2 -year period from FY '21 to FY '23. And to attain current holding business and entity structure, a number of arrangements, including through de -merger schemes, were put in place.

This resulted in a number of exceptional items and non -recurring items getting reflected in the financial statements. And to make current results comparable with that of past periods, and also to set the reference point for comparing future performances, we made two key adjustments to the reported numbers. The first is the carve -in and carve -out of income and expenses.

There are two components again here. The part of investment banking business came to us through a de -merger scheme which got approved in May 2023. We were entitled to the profits from these businesses over a period of FY '22 till the date of merger.

Now, that lumpy profit element came in previous quarter, that means June of 2023, first quarter of current financial year. What we have done in order to make the numbers comparable, we have actually carved out from quarter one and re -appropriated those numbers into the previous years as they were applicable.

Similarly, FY '21 carve -outs represent income and expenses of businesses and entities which were transferred to EFSL Group as a part of restructuring, resulting in what we have, namely capital market business, wealth management business, and asset management business.

Second adjustment pertains to the adjustments of carving out or adjusting the non -recurring expenses. As we separated out from Edelweiss group, as an independent entity or group, we incurred significant amount of expenses towards transition, which includes platform transition, technology transition, brand transition, and so on and so forth. We also incurred significant expenses on de -merger and listing of our entities.

These expenses were incurred between FY '21 and the previous quarter of the current year. We have adjusted these expenses from the respective periods to reflect the operating profit.

Important to say that current quarter numbers do not have any carve -in carve -out adjustments or the extraordinary adjustments for any extraordinary or non -recurring expenses. So, from here on, we are on a steady state basis. All of these elements have been granularly quantified in our PPT as well as data book for clarity and analysis purposes.

That's all from my side and I request the moderator to take over and initiate question answer session.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first

question from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Hi. Good morning, sir. First, congratulations for the listing. Just a few questions from my side. First, you know, on your managed products in wealth division, both on private and Nuvama Wealth, if you can just give some split either on the AUM side or on the revenue side between the product mix that you have? And I think on your...

Moderator: Mr. Ghosh, we are unable to hear you. Should we move to the next question, sir?

Ashish Kehair: Yes.

Moderator: We'll check his connection. Thank you. We have a question from the line of Jagannadham Thunuguntla from Techpro Ventures. Please go ahead.

Jagannadham T.: Couple of queries. One is, in comparison to Q1 and Q2 performance, the expenses and the salaries, etcetera, appearing to be lower as a percentage of the revenue, which is to do with the Q1 has more bonus element and so on. I'm trying to understand so that there will be a seasonality element on the Q1.

Ashish Kehair: Actually, no. Now, if you look at last year, our bonus provisioning was not as smooth because we were still adapting. But this year onwards, our bonus and incentive provisioning is in line with the revenues. The reduction in the cost income actually has come because of the improved performance on the revenue side. I don't think there is a severe movement on the cost side in that sense.

Jagannadham T.: What I'm asking is, so employee costs more or less remain same between Q1 and Q2, and whereas revenue obviously more. So, it's more of, you can say, operating leverage playing out and efficiency is playing out. Is it to do with that?

Ashish Kehair: Yes, I think that is the correct assessment. It is operating leverage which is playing out. And also, in Q2, we've had a little bit of carry coming in, about INR8 crores of carry coming in. And the performance of the capital market segment is significantly superior than Q1, which was slightly moderate in the balance period of the year. But I don't think you will see significant movement in the employee cost or the opex from the levels which you're seeing. It will trend upwards mildly, but not significantly.

Jagannadham T.: Correct. So other point is, just to get the clarity on the asset side, is that client assets is INR2,17,000. And so, adding that INR65,000 crores of client assets, that's what you are saying, right? INR2,90,000.

Ashish Kehair: So basically, if you look at the client assets, the total is around INR2,85,000 crores , INR2,89,000 crores . Wealth management is divided into two buckets. One is Nuvama Private, second is Nuvama Wealth Management Limited

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Nuvama Wealth. Nuvama Private is around 150 -ish range. Nuvama Wealth is about INR65,000 crores . Asset management is INR6,200 crores . And custody and clearing is INR 65,000 crores . So, if you add everything together, it gets to the 280 range.

Jagannadham T.: Okay, just last point. So, comparing it with the FY '23 figure that you had in the historical trend. So, FY '23, you had shown a figure of INR2,31,000 crores .

Ashish Kehair: Absolutely.

Jagannadham T.: So, the INR2,31,000 crores has grown to INR2,89,000 crore .

Ashish Kehair: Yes, that's right.

Jagannadham T.: Okay. Thank you. Thanks for the opportunity.

Moderator: Thank you. We have a question from Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: So, I'll just repeat my questions. First, on your Wealth division, I just wanted to get some colour on the managed products, both on the Private side and on the Wealth side. And on the Private side, you have given the mix between recurring and non -recurring. If you could give us some colour on the similar piece for the Wealth division, for your MPIS piece specifically? That would be my first question.

Second would be on P&L reconciliation. While you state a core or adjusted revenue

number out

there of around INR909 crores for first half, I just wanted to get some sense of where does interest income and net gain on fair value change really sit within that? Because in your

segmental revenues, you have not explicitly carved out the other income or the volatile part of the investment link part of the revenues out there.

And third, on your cost trajectory, if you can give some colour on how do you see that shaping up from here onwards in terms of both business or franchisee or RM expansion and also productivity improvement across the RMs that is available out there. So, these are my three questions. I have two data -keeping questions that I can maybe ask at the end.

Ashish Kehair: So first, managed products and investment solutions or managed products in that sense, Dipanjan, is largely the same split as the industry. I mean, it will have mutual funds, PMS, AIF in case of private. And in case of Nuvama Wealth, we also add insurance, although that's a very small component.

In terms of Nuvama Wealth, recurring and non -recurring revenue at an overall level, although I've always maintained in the past that we don't track that business on that basis. We normally look at the yield on the overall assets, which is about 1%. But if you look at the derived total income of recurring and non -recurring, about 50 odd percent or 49%, 45% to 50% is still coming as recurring, even in Nuvama Wealth.

Your second question was on the net interest income.

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Dipanjan Ghosh: It was on the other income. So basically, in your BSE release, you tend to mention interest income, net gain on fair value change, etcetera, other income separately. But in your MIS reporting for the segments like Private Wealth, AMC, you seem to have club bed that within the businesses, or maybe you have kind of adjusted that in the P&L reconciliation. So just wanted to get that triangulation math.

Ashish Kehair: Yes. So net interest income is largely split between Nuvama Wealth and Nuvama Private because those are the two businesses which have net interest income because of the client loan books which sit there. And in Nuvama Private, the net interest income for half year would be around INR32 crores. And in Nuvama Wealth, it will be around INR82 crores.

On the other income side, Mihir, you want to take a shot?

Mihir Nanavati: So, on the other income, again, the accounting component of other income is purely relating to income tax refunds and stuff like that, or non -business income, but they've got apportioned in an appropriate manner to the extent they relate to the businesses.

Dipanjan Ghosh: Sorry. So just for me, just a follow -up, I mean, so would you, like, for the first half, your net gain on fair value changes, let's say INR142 crores. So does this entire INR909 crores capture this? I mean, does the INR142 crores sit within the INR909 crores?

Mihir Nanavati: Yes. So, when Ashish said NII, it covered every element. It would appropriately get captured either as a part of NII or a bond trade positions or security trade positions either into a wealth management business or in our capital market business, which has a debt capital market division, which takes trade positions for a short duration for the client facilitation.

Ashish Kehair: I'll just add, Dipanjan, there that typically gets classified in distribution income, what Mihir is trying to explain that in two, three categories where, let's say, fixed income secondary or in unlisted securities, it actually passes through the books. So, you first buy and then you sell down to clients and the spread income is what you make, which in MIS gets classified as distribution income in either Nuvama Private or Nuvama Wealth, but in your accounting, it comes as net gain on fair value changes and all that. A very small portion will sit in the capital markets where

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they do this when they do the debt syndication business.

Dipanjan Ghosh: Got it. Ashish, on the third part, on the cost part, if you can give some colour ?

Ashish Kehair: So, cost broadly open , if you look at the first two quarters, 84 and 90, 90 has some INR5 crores of one -time, which is related to listing, which will go off. So, we will start Q3 on a base of around INR85 crores, INR86 crores, and we don't see quarter -on-quarter movement of more than 2%, 3% there. In terms of fixed and variable cost on manpower, I think broadly addition will be in line with, as you have seen between Q1 and Q2, as we add RMs, but it will not be disproportionate. I mean, again, not more than 2%, 3% a quarter at max.

Dipanjan Ghosh: Got it. Just a few data keeping questions. First is, what does held -away assets really mean? And second would be, what is it?

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Ashish Kehair: Yes, I'll just answer that. So basically, what happens, Dipanjan, when you onboard clients in the Ultra HNI segment, it's not necessary that you will get their entire assets or what they want to park with you or through you, everything together. And there are times when they will say that,

look, I hold this outside. Why don't you give advice to me even on this or tell me what should I do? And they start sharing that data, which we start capturing in our system.

The objective is that over a period of time, if you are able to deliver value to those clients on those assets, they start moving from held-away to your own.

Dipanjan Ghosh: Got it. But theoretically, as on this state, they are not a part of Nuvama's managed assets?

Ashish Kehair: Absolutely. That's right.

Dipanjan Ghosh: Got it. Just a few more questions, one or two small questions. One is, again, what is the difference between fee-paying AUM and closing AUM in the asset management piece?

Ashish Kehair: So, Dipanjan, when you do a product which has -- when you do a private equity product or a venture debt product, there are, or let's say even a credit fund or a commercial real estate fund, which are essentially Category II AIFs, which are drawdown-based. The fee charging model can be of two types. One is you can charge on commitment.

And second is when you charge only on drawdown. Typically, products which are a fixed-income type delivery, the industry charges on drawdown and not on commitment. Otherwise, the client returns get compromised. So, the gap between, let's say, INR4,800 crores - INR4,900 crores, that full cluster, minus what you see as fee-paying is the undrawn amount, which will get drawn in the next, let's say, 12 months to 15 months.

Dipanjan Ghosh: Got it. Just one last question. On the net new money now, since you've given just one number, I would assume that it would also include a lot of volatility from the transaction of the broking piece, which kind of goes in and goes out. Because if I look at your event of net new money, I mean, for example, in Private, you have a significant amount of outflows, and Nuvama Wealth also. I mean, if I compare quarter-on-quarter or last year trends, I think it has dropped. So, ex-of the transaction, I mean, if you can just put some colour on the money or the core flow that is coming in from clients in the managed products, or in the AMC on some of the products, if you can just give some colour on that?

Ashish Kehair: Yes. So, if you look at Nuvama Private, the first half net new money on a total basis is about INR1,200 crores. But if you see the ARR and transactional assets, that's about INR4,700 crores.

Out of that, around 80% is ARR. And again, Nuvama Wealth, we don't track it in this manner.

It's largely managed products and investment solutions.

In the transactional assets or the brokerage asset, the movement is relatively small. It's more to do with the MTM there. But to be precise, the total movement in H1,

in the broking assets, is

about INR61 crores out of the INR3,700 crores of net new money in Nuvama Wealth.

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Dipanjan Ghosh: So, Ashish, can you just repeat the Private portion, if I understood correctly, out of your INR1,200 crores of money movement?

Ashish Kehair: INR1,200 crores, there is a positive of INR4,700 crores, which is the assets with us. And held away is reduced by the rest. So, the outflow is more from the held away assets and not from the assets which we have.

Dipanjan Ghosh: Got it. So, this INR4,700 crores is the net positive.

Ashish Kehair: Net positive, yes.

Dipanjan Ghosh: This will include money going into broking also, right?

Ashish Kehair: Yes, this will include, and broking would be about, broking is again an outflow of INR1,000 crores.

Dipanjan Ghosh: Okay. So, basically around INR5,700 crores of net new money in your MPIS, broadly?

Ashish Kehair: Yes, that's right.

Dipanjan Ghosh: Got it. And why do you specifically carve out the expenses which are mapped to revenues, as in on both services, which are mirrored basically on your reconciliation? I mean, do you give, what would be the sub-broker payout of some colour on that model on that part of the business?

Moderator: Mr. Ghosh, I request you to join back the queue, sir.

Dipanjan Ghosh: Sure. Thank you.

Moderator: Thank you. We have a next question from the line of Mohit from BOB Capital. Please go ahead.

Mohit: Yes, congratulations on listening and I've got two, three questions. First is that I wanted to understand your strategy, whether you'd be targeting HNI or UHNI, the typical yield that you earn in the HNI and the UHNI segment and some colour on the attrition, if you could give both on the client and the RM side?

Ashish Kehair: So, actually, if you look at the numbers in the data book, it will be reasonably clear. In the Private segment, our ARR yield is around 1%. And on the transactional revenue, we make about INR50 crores a quarter. And if you take, if in that INR50 crores, about INR25 crores comes from, let's say INR20 crores comes from broking and that comes from non-broking. So, non-broking yield on the full base would be around 20 basis points, 30 basis points and 1% on ARR assets. On Nuvama Wealth yield on overall assets is about 1%, 1.1%. So, that's on the yield side. What was

your second question?

Mohit: So, on the attrition, if you could throw some colour, basically, both on RM and the client side, what was the attrition that you experienced over the last two years?

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Ashish Kehair: So, in Nuvama Private, we've lost about three people, regret attrition and Nuvama Wealth, the attrition, regret attrition is about 1.5% to 2%. Customer attrition, very frankly, doesn't happen in our businesses. This is a question I've been asked many number of times and I've explained that customer attrition actually means customer closing accounts and going away. That's sub -1% across the board typically happens when people move out of the country, or they are closing the full relationship. It doesn't really typically happen there.

Mohit: All right. And basically, your strategy, that you would focus more on the UHNI or the HNI market. I mean, what would be your strategy going forward? Which piece you focus more within a Wealth?

Ashish Kehair: Our view is very clear. You really need to focus on both, because if you look at the stage at which we are in wealth management business in India, it's extremely nascent. It's not like a fully developed business that you have to become extremely sharp in targeting. I think pieces are expanding. As of today, both Ultra HNI and HNI and affluent have become extremely profitable as client segments. Most players have tapped Tier 1 and maybe Tier 2, Tier 3, Tier 4. There is signif

icant amount of wealth creation that has happened. In fact, to be very candid, whenever any of us visits Tier 2, Tier 3 towns, it's an opportunity sitting there where wealth and clients are actually growing at a pace far faster than the pace at which industry is adding RMs. So, I don't think we are at a stage right now where you need to diversify your focus. Both offer opportunities because at the back end, there is tremendous amount of synergies, right? Asset classes are similar. Product construct may change. There may be different, personalization's and specializations you will build at the margin, but you are significantly able to leverage the same infrastructure to target both the customer segments. There is no point in right now saying, I will focus here more or focus there less. As a firm, we will focus on wealth and asset management more. That's a stated strategy.

Mohit: Right. You know that this is helpful. So, the next question is on the revenue. I think from Q3 onwards, is it safe to assume that all your revenues would be in the trail mode and there will be no upfront recording there?

Ashish Kehair: So, there are product categories. Now in AIFs, there is a methodology now prescribed by SEBI, which is what we are following in mutual funds and PMS that was done a couple of years back. Let's say a product like fixed income and structures and unlisted, they will always remain on a transactional basis for every player in the industry because there is no method by which you can make them trail giving. When you sell a fixed income, you earn at that point in time and the rules have basically made it mandatory that you have to recognize the income at that point in time.

So those will remain as transactional. The proportion of transactional will keep coming down over a period of time, but they will always remain transactional.

Mohit: Perfect. My last question is on the employee expenses. So variable cost is around 30% to 33% of total employee expenses. Will it remain in that range going forward?

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Ashish Kehair: Yes, we don't really see too much changing there because incentives are linked to typically revenues. It could change only if we have a dramatic increase in revenues. Then yes, the variable cost component will change, but then profitability will also rise.

Mohit: Right. Perfect. Thanks, and wish you all the best.

Ashish Kehair: Thank you.

Moderator: Thank you. We have a next question from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Good morning. Sir, to start off, I had a few clarifications on the Nuvama Wealth business. So, if you could just give some colour on what do you mean by MPIS? Like which are the products you're including here?

Ashish Kehair: So typically, first category, Abhijeet, is managed products and managed products have four segments, alternative investment funds, mutual funds, portfolio management service, and insurance. And then beyond that, you have products which are ex-off exchange traded. So, your fixed income, MLDs, unlisted securities, all those also come in the investment solution. So,

combination of these two is we call managed products and investment solutions. So virtually you can say everything other than direct equity or currency or commodities is here.

Abhijeet Sakhare: Okay. Because when I look at the yields, the implied yields are almost 2%, which looks higher for at least the investment funds part of the business. So, I'm guessing the higher yields is driven by products like MLDs and some of the other ones that you mentioned?

Ashish Kehair: MLDs. So typically, the yield on gross sales here would be in the range of 2.5% to 3.5%. Only insurance is more, but insurance is a component for us. Even in this business, if I look at an estimate of full year basis, will not be more than 8%, 9% of the revenue

nues. But that also bumps

up the yield a bit. But yes, 2.5% to 3% is what you typically are able to make if you do fixed income or MLDs or unlisted security.

Abhijeet Sakhare: Understood. And then second one, the client asset composition, almost 60%, 65% is classified as others. So there again, if you could give some broad breakups would be helpful?

Ashish Kehair: Actually, we'll start sharing this over a period of time. So about 35% will be managed products and investment solutions, and that is growing at a very, very fast pace. This you're asking only Nuvama Wealth right now?

Abhijeet Sakhare: Yes. Nuvama Wealth, others, which was 63% in first half?

Ashish Kehair: So that would have, let's say some brokerage asset and some other unlisted securities and all that sitting there. But from a component perspective, that is now dropping, except if mark -to-market happens, that we can't help.

Abhijeet Sakhare: Understood. And then the second one on the wealth business, the impact of AIF change in the recognition of fees, if you could share the absolute amount of assets with upfront income and Nuvama Wealth Management Limited

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the associated fee amount that was booked, let's say last full year or I think the regulation changed only in the second quarter this year. Right so if you could at least give us last years what the number would be?

Ashish Kehair: First of May is when the regulation actually changed. Basically, it essentially changed from booking upfront and we were actually not on full upfront, Abhijeet, we were around 60% and that has now fallen. So, if I look at the revenues that would have, actually we've done a computation on what would have been the incremental revenues had we not changed. For let's say this half year, it would be around INR40 crores to INR50 crores more in the full wealth cluster if we had continued with the last year's booking methodology.

Abhijeet Sakhare: And any quantification of the amount of assets itself?

Ashish Kehair: Amount of assets, I think this year we would have sold around INR2000 crores INR2200 crores.

Abhijeet Sakhare: Okay. All right. And the last one is asset servicing business, how to look at the revenue driver? Is it the jump ? Is it driven by interest rates? Do we get client money where we earn float? Is that true?

Ashish Kehair: Yes, that's right. The combination of two things actually, assets under clearing. So, there are two ways in which you can look and I think we've also deliberated this internally and we will modify and update the data book to help you understand more. Essentially, there are two buckets in which assets are divided there.

One is assets under custody and second is assets under clearing. In that INR 65,000, the assets are broken in these two categories. Assets under custody, actually the revenue doesn't come here directly. It's taken as a profit pickup because it's an entity which is an associate entity. Assets under clearing is what you should see, and the revenue is reflective. So around between 1% to 1.5% because within assets under clearing, there is float assets and non -float assets.

On the overall, you earn some fees and some transaction charges and fund accounting charges which are all annually in nature. And on float, you earn the interest income. So, combination is between 1% to 1.5% is what we are for the full year basis.

Abhijeet Sakhare: Understood. Thanks a lot and thanks a lot for disclosures.

Ashish Kehair: Thank you.

Moderator: Thank you. We have our next question from the line of Manan Poladia from MKP Securities. Please go ahead.

Manan Poladia: Yes. I don't know if this is a repeat question. I've been listening to the call. I don't think it is, but I'll go ahead . So, my question is with respect to the Nuvama private revenues, we've seen an 8%, 9% jump this year, but this quarter, but we are not seeing the same in terms of

f profitability.

What I want to understand is, is it that our RMs , we have over hired currently and we are Nuvama Wealth Management Limited

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planning to get to that kind of revenue later where this cost is year -on-year going to be attractive to our bottom line or what is the case? I'd just like to understand?

Ashish Kehair: So, I think one, what you're saying is correct. We have added about 15 RMs and their productivity will flow through in the next 12 to 18 months. Second is that we were describing , that there is a change in accounting that has happened in how we recognize income from AIFs, specifically category two AIFs, which earlier we were recognizing about 60% upfront and balance in trail. That has now changed to about 30% which comes in year one and balance in trail.

So, there is an impact of about INR30 crores, INR35 crores, INR30 crores in Nuvama private specifically because of this thing. And so, if you add that back, you will see that even Nuvama private, theoretically the profit would have grown by 20%, 25%.

Manan Poladia: Correct. I understand that. That's perfect, sir. Thank you.

Ashish Kehair: There is one more thing. Third is that if you look at the way, as I mentioned earlier in my call, the way we had provisioned for variable cost last year, it was skewed in Q3, Q4. So H2 was fairly higher than H1, whereas if you look at the revenues, they were fairly consistent. It was not highly gradient, whereas this year we have smoothened that variable. So, you will see that positive also kicking in H2 for Nuvama private.

Manan Poladia: Right. Perfect. Thank you, sir. Thank you so much for the explanation. Sir, my other question is on your balance sheet side. What I understand is there's a lot of like bank balances which have like spiked up from March 31st to this quarter. Our cash balance, bank balance is up INR4,500 crores. And there is some liability and debt security. I just want to understand which part of the business is this relating to and whether this is steady state or there is going to be some change with respect to this?

Ashish Kehair: So, I'll just speak a bit about it and maybe Mihir can add. Our, net debt is about INR4,000 crores. The rest of it is cash which is related to client margin money and corresponding security. So, it sits in the balance sheet, but it's not our money. We have about INR600, INR700 crores of excess cash.

And we are right now deliberating on our dividend policy and what to do with that. Because if you understand in the context of Nuvama, we are just a two and a half year old independent entity. And in last two and a half years, this was the first time we went into the markets and started borrowing. And before that, we never had any independent borrowing. So, we conserved cash because in the last two, two and a half years, there were a lot of rules which also changed around margining for institutional clients and for individual clients.

So, we wanted to conserve cash, but I think now we are in a comfortable position and we will have a dividend policy and we will come back and disclose to the market soon. So, some amount of this cash will go down, but that excess cash which you see is actually not our cash. It's margin in the exchange and corresponding client money.

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Manan Poladia: Correct. So, if I were to look at Nuvama as a company alone and not have any client debt or cash or whichever, you're saying your net debt is about INR4,000 crores. So, if that would put your EV at today's market cap of about INR10,000 crores market cap plus INR4,000 crores net debt to INR14,000 crores EV? Is that the right way to look at it?

Mihir: This is Mihir here. That's a fair way of looking at it.

Manan Poladia: All right. All right. Thank you, Mihir. Thank you so much. I think that does cover my questions for now

. Thank you so much.

Ashish Kehair: Thank you.

Moderator: We have our next question from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Yes. Hi, sir. Good afternoon. So firstly, like in the Nuvama Wealth business, so like there are two models. One is the RM model and the second one is the external RM model. So, could you give us more colour in it like the accounting treatment and what is the like does the sub -broker payout in the external RMs add pressure? That would be my first question.

Ashish Kehair: So, accounting treatment is actually what Mihir was explaining earlier is that we net it off when we earn and whatever payoff we have to make, we net it off. But I think in the published accounts, it's shown as gross revenue at the top and then the payoff is shown below in the operating expense. But what we have produced for investor relations and all, we have netted it off. Our overall net revenue is split almost 75 -25. 75% are direct RMs and 25% are external wealth managers.

And these are not , because you use the word sub -broker, I wanted to clarify. Sub -broker will be a very small component in this. Typically, these are people who in their journey of wealth

management had been single product distributors. Some would have been MF distributors; some would have been insurance and some would have been sub-brokers. What we have done in the process over the last seven, eight years is converted them into a multi-product wealth manager and our treatment with them is exactly same like the way we deal with our own RMs.

So, the entire training platform, technology platform, compliance framework, product platform, everything is available to them. The only difference is that they don't get compensated or fixed compensation, they get variable part of the revenue because that is their business model. But other than that, their relationship interaction with the clients should be exactly similar to our relationship managers.

And this is a fairly well-established model in the international markets. Actually, if you go to markets like Singapore, Switzerland and all, in large wealth management outfits, like in the likes of UBS and all, more than 40%, 50% now, the terminology used in those markets is EAM, External Asset Manager. In India, we have started this as External Wealth Manager.

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Lalit Deo: So, is it fair to say like that then the clients on the wealth side will have some overlap, wealth we have -- will be managed by the RMs as well as the external managers or they are exclusive, the clients are also exclusive as per data we have?

Ashish Kehair: The clients will be exclusive. So, you can imagine like, if there are two relationship managers in the firm, they will have clients. Similarly, this is a third relationship manager who's not on our roles. So, overlap typically doesn't happen unless there is an existing client and the external wealth manager has a very strong relationship. Than this -- so that will be a bilateral mutual discussion on how will we share revenues. But otherwise, these are typically exclusive clients.

Lalit Deo: And just to clarify some point, whatever the payout which we are making to this external relationship manager, that gets netted off and whatever we report as net revenues, that is the net revenues which we earn. There is no payout further to this external RMs in their opex line item?

Ashish Kehair: That's right.

Lalit Deo: Sure, sir. And then secondly, on our Nuvama Private Business, so just to understand, so we have revenues coming from advisory pool as well apart from the managed products. So, within our assets, will there be a component of advisory assets as well or is it just the distribution assets which we do right now?

Ashish Kehair: No, it will be a combination of both distribution and advisory assets.

Lalit Deo: So, is

it, could you please quantify the same, sir?

Ashish Kehair: We will actually share, but it will be order of magnitude around INR10,000 crores.

Moderator: Thank you. We'll move on to the next question from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Yes, thank you very much, sir, for this opportunity. Sir, in one of the press release, I read that, we are looking to double the RMs in next five years, right? So, what ideally means for our AUM and in that respect, our revenue growth?

Ashish Kehair: Both should move at a faster pace than the addition of RMs because your current base productivity obviously will go up. And if you look at our last three years, three years to four year track record, we've nearly increased the RMs by maybe about 40%, 50%, but revenue has grown at a CAGR of around 45%. So, I'm not saying that, we will maintain the growth of the past, but yes, it will be higher than the rate of RM growth.

Deepak Poddar: Okay, so next five years, whatever our, if you have to double it in five years, so our CAGR, we are talking about a 15%, let's say in terms of RM. So ideally, our revenue and AUM should grow at a much faster rate than this 15%...

Ashish Kehair: Yes, ideally, yes, otherwise our profit growth will fall.

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Deepak Poddar: Correct. And given that our bottom line, our opex growth is lower than your revenue growth. So, your bottom line growth should be faster than your revenue growth, right?

Ashish Kehair: Yes.

Deepak Poddar: And then my second question is a little on the sequential basis. If you see last five quarters, six quarters, we have done phenomenally well. I mean, in terms of growth, we have been growing on a quarter and quarter basis also. So, are we looking to, have that trend going forward as well or some sense would be quite helpful, sir?

Ashish Kehair: So actually, we've not formalized the policy of quarterly guidance right now. So, I will refrain from commenting on that. But we will be in line with the industry growth is what we can say or

slightly better than that. And if there is a marginal or there is a significant improvement in the industry uptrend, we will follow that. But we are discussing internally on how do we want to guide for the future. This is our first call. And maybe over one quarters to two quarters, we will reach a conclusion. And then by end of the year, we will start guiding.

Deepak Poddar: Fair enough. That's very helpful, sir. I think, that's it from my side. And all the very best to you. Thank you.

Ashish Kehair: Thank you.

Moderator: Thank you. We have our next question from the line of Chintan Shah from JM Financial Family Office. Please go ahead.

Chintan Shah: Hi, thank you so much for the opportunity. Just a couple of questions. So, my first question is, if you can just broadly help us to understand, what is the competitive advantage for us versus peers in terms of a tech or product or an RM incentive structure or retention? And secondly, in our journey, if you could also highlight basically what are the things we are working on that we need to improve? That would be the first question.

And secondly, in terms of guidance, while you gave a broad idea in terms of revenue, in terms of profitability over a longer term, say three years to five years, if you could help us understand, say, maybe how the cost to income would move ahead, that could be helpful? Those were the two questions.

Ashish Kehair: So, on competitive advantage, whatever I can say, I will say because some of the things we may not want to disclose. I think one is the comprehensiveness of the product platform which we have created, where the ability of the relationship manager to comprehensively solve all the needs of the clients in the Wealth Management space. Very frankly, if you look at the entire market right now, t

here are a few players who has reached that position.

If you ask me between five years to ten years from now, everybody will reach because most of the peer set is working towards that. And the industry is right now, as I said, and I keep saying, it's nascent, so it will evolve. And so, we will have to continuously keep upping the game to maintain that edge.

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The second question you asked was, which are the areas we are working on. In Nuvama Private, we are working on creating an offshore full stack Wealth Management proposition because now we see that ultra HNI clients do have a need to access overseas markets, set up family offices there. And it's time now to work on it.

And similarly, for Nuvama Wealth, we are working on an NRI proposition and comprehensively moving to a portfolio solutions approach instead of a product approach there. And in both the segments, we will leverage technology and analytics to reduce our cost to serve. That will become a very, very strong proposition from our side internally to improve the efficiency metrics, which leads to your next question on cost income.

So, if you see the industry cost income in these categories, Wealth Management typically operates between 58% to 63% range. We are right now, borderline 65%. We were at 70, we improved by about 5% this year. Asset management, fully scaled, operates again at 50%- 55%. And capital markets operates at around 70%. I think, if you ask me in the next three years to five years, our target at a firm level would be about 60%, where Wealth should be best in the industry. Every year we hope to reduce by 100 basis points to 150 basis points. Asset management right now is an investment phase for us. So, we don't look at it from a cost income angle. Once we cross INR15,000 crores to INR20,000 crores of AUM is when the real operating leverage kicks in. And maybe in three years to five years, we should be 4x - 5x from here. So broadly, if you ask me, if we are at 65% - 66% this year, clearly between three years to five years, you should see us at 60% levels at a firm level.

Chintan Shah: Okay, got it. Thank you. Thanks for the detailed answers. That's it from my side.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today.

I now hand the conference over to Mr. Ashish Kehair for closing comments. Over to you, sir.

Ashish Kehair: Thank you. Thank you for taking time out for this call. It was, I think, an interesting session for me. We will take these questions as input and feedback. And some of you, we will, of course, meet over the next three months, four months. And as I said at the beginning of the call, we will continuously improve the quality and content of the disclosures which we are making. Just bear with us. And I think in one quarter to two quarters, hopefully we should be able to answer most of your questions through our data book itself.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Nuvama Wealth Management Limited (Formerly Edelweiss Securities Limited)

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Phiroze Jeejeebhoy Tower,
Dalal Street,
Mumbai 400 001.
BSE Scrip Code: 543988 The Manager,
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, 5 Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai 400 051.
NSE Symbol: NUVAMA

Dear Sir(s) / Madam(s),

Subject: - Transcript of earnings conference call

Pursuant to the Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation regarding the earnings conference call to discuss the Company's performance for the quarter and nine months ended December 31, 2023, please find enclosed herewith the transcript of the aforesaid earnings conference call held on Wednesday, February 14, 2024.

The same is also made available on the website of the Company www.nuvama.com.

We wish to confirm that no unpublished price sensitive information was shared / discussed in the aforesaid earnings conference call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Nuvama Wealth Management Limited
(formerly known as Edelweiss Securities Limited)

Sneha Patwardhan
Company Secretary and Compliance Officer

Encl: as above

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"Nuvama Wealth Management Limited
Q3 FY'24 Earnings Conference Call "
February 14, 2024

Disclaimer:

This document is subject to errors and may or may not contain words which have been included / omitted due to human error while transcribing the conference call. Any and all information should be verified with the company by the reader

MANAGEMENT : MR. ASHISH KEHAIR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – NUVAMA WEALTH
MANAGEMENT LIMITED
MR. MIHIR NANAVATI – CHIEF FINANCIAL OFFICER –
NUVAMA WEALTH MANAGEMENT LIMITED
MR. MANISH DHANUKA – HEAD, INVESTOR
RELATIONS – NUVAMA WEALTH MANAGEMENT
LIMITED
SGA , INVESTOR RELATIONS ADVISOR – NUVAMA
WEALTH MANAGEMENT LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Nuvama Wealth Management Limited Q3 FY24 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch -tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Ashish Kehair, MD and CEO from Nuv ama Wealth Management Limited. Thank you and over to you, sir.

Ashish Kehair: Thank you. Good morning. Welcome all. Thank you for joining us today for the third quarter call. We've already shared our results and presentation on the stock exchange and our website and we've also added a data book and a detailed presentation and disclosures. Hope you've got a chance to do it.

We'll be happy to address any questions that you have during the call. Today, joining me is Mihir, our group CFO, Manish, who heads our Investor Relations and we have the SGA team, our IR Advisor . Coming to the results, I think our fundamentals remain strong with both wealth and asset management businesses continue to benefit from the sectoral tailwinds and operating leverage.

We've also seen excellent performance from the capital markets business this year. In Q3, actually, all businesses have performed exceptionally well. Overall revenue growth of about 38% for YOY and 29% for nine -month YOY and a profit growth of excess of 65 %.

I think fundamentally our revenue streams continue to be diversified across client segments, product platforms, and delivery channels and this basically helps us deliver more services to the same client set and in that sense it's extremely synergistic and makes the business model slightly more predictable because of the holistic set of services we offer. Coming into the respective business segments, I think I'll start with wealth management.

Both Q3 and nine months have seen growth. Last call, and in fact some of you I've met during the year earlier also, had indicated that this year because of the change of revenue recognition and taxation of MLDs, we were actually a bit muted in our expectations on the wealth management side, but I think the team has done really well and we've overcome both the humps, both the revenue recognition of AIF and the taxation of MLD, and you can see the growth numbers showing that. Nuvama Private had more impact, so in Q1 and Q2 it was negative. Q3, on a nine -month basis, we've become flat and Q3 over Q3 we've grown. Q4 we'll improve further.

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I think the fundamental decision which we took a decade back of incubating both the businesses is really working well with us because you have to understand that any business model, any customer segment has its own set of nuances. The underlying drivers may be the same, but because of the customer preferences being different, customer behavior being different, your business model takes time to evolve, and you keep making mistakes till the time you perfect the model and then you scale up, and you can't really fast forward that. And we had the time to

perfect it, and I think we're in a place now where we just need to push the pedal and keep growing because the product choice, the technology choice, the talent choice, and the infrastructure choice that you make for each customer segment actually varies. So having both the models together works very, very well for us.

Jumping to Nuvama Wealth, which is the mid-market segment for us, we continue to see robust demand. I think the underlying drivers are very, very clear. Customer maturity and understanding of going beyond traditional products, increase in disposable wealth, geographic

attractiveness beyond Tier 1, Tier 2, and clearly an under-served segment.

So because of this, we feel that there is a reasonably long runway where one can keep investing, and that's what we have done. We've added more than 100 RMs this year in this segment. A bulk of it has come in Q3.

We've also invested significantly in technology, in building a platform both for our wealth managers and external wealth managers, which in this segment is, I think, industry first, which gives them not only to manage their book, their client portfolio, and access to advice, let's say, which is digitally powered so that you can uniformly service all the clients across the board. And our focus, as I mentioned last time also, continues to be on managed products and investment solutions. That is the area where we will continue to invest.

We have open architecture. We work with multiple product providers and different investment avenues. So overall, net new flows in this segment, 80% from the nine-month period has come in this managed product segment.

Coming to Nuvama Private, I think a segment which most of you are more familiar with. Again, demand drivers are completely intact. Economy is doing well. Businesses are doing well. Real estate is doing well. Capital markets are doing well.

So there are a lot of IPO events which you are seeing which is happening, which is creating wealth in the hand of promoters, business owners, CXOs. So I think the generators of wealth are well intact. The war for talent continues.

Happy to state that here also we have said that we will double our RM capacity in five years, which broadly means about 20% year on year. We've added about 15 RMs this year, and we should add another five. That would take us, that would, I mean, do our first 20% achievement for this year itself.

In terms of geography, we've moved into three new locations. We were earlier present in nine.

We are now there in 12. We've added Indore, Baroda, and Cochin. And we are looking at some Nuvama Wealth Management Limited

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more locations which we will shortly in either Q4 or Q1 of next year, we will add. We are also working on offshore as a market where we want to expand.

We've already initiated licensing and hiring in a couple of markets, predominantly Singapore and Dubai. But I want to, I mean, highlight one thing here, that when we look at these markets, you see a lot of wealth managers leaving established global platforms and forming their own outfits. Because there is a concept, like we have external wealth managers here.

There is a concept of external asset managers in these markets where you can work with the global banks and their entire product platform is available to you with a 50% revenue share. And I think we'll also use that as a model. But if we just do that, I mean, there is no differentiation which we will offer either to the relationship manager or to the client.

So the value proposition to keep, either bring the client to your platform or keep the relationship manager hooked to your platform will not be compelling. So we are looking at a three-way platform where one, we will service the offshore need of the Indian families. So which will give the RMs based out there a ready business coming from here.

Second, you will service the inbound India needs of offshore clients, NRIs and non-NRIs, both family offices in these markets. And third is where you will serve the offshore need of offshore clients. If as an outfit we are able to plug all these three together, our belief is that the value proposition both for the RMs and the clients become more compelling and your ability to attract and sustain talent becomes better.

And this is what we are right now building on. So I don't think we'll push the pedal very hard right now there till the time we are confident of the model because the cost

creep you'll

understand in offshore markets is very, very high. And if you don't have revenue visibility, it can impact your profitability in the short term.

On the domestic business, of course ARR continues to be our focus now. And we moved from about 53% ARR last year, nine months to about 58% now. So that is on the wealth management side.

Asset management, just to update you, we basically have two broad strategies. One is on the private market side, which has a pre-IPO fund and a crossover fund. And second is on the listed side.

On the private side, we focused more on deployment and we still continue to focus on deployment because we have about INR 4,900 crores of assets there and we still have to deploy about INR 2,500 crores to INR 3,000 crores. Once we finish deploying about 60 %, 70% of that, then only we will look at the new fund raise. So maybe in another five, six months from now, we already have the pipes built in.

We have domestic fund raise lined up. We also have an international offshore family office fund raise lined up, but we will not trigger it till the time we finish the deployment. On the listed equity side, our AU Ms have grown reasonably well.

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We were about INR 700 crores last year, December. We are INR 1,700 now. There's about 120%, 130% increase.

We now have products across the risk spectrum, which is a large cap replacement product, a debt replacement product, and a mid and small cap product. And I think all three are working well with both our internal and external distribution. You would have seen in the media that we recently launched a commercial real estate fund in a 50-50 JV with Cushman because we thought it's a heavily operations intensive asset management category and to have a partner which has experience in all parts of commercial real estate will basically benefit the profile of the fund.

We are right now looking at one more strategy and we've not firmed up whether we will -- when do we start that private credit because in our view there is too much crowding happening in the market. Every house, every AMC, every outfit is launching a credit fund and it could lead to a scenario where there's too much capital chasing too few deals and the risk mispricing can happen. So we will wait and watch in that sense.

On the distribution side, we've added meaningful distributors on the outside of Nuvama, on the domestic side. We have private banks, we have wealth management outfits, we have foreign banks. They've all started distributing our products in a meaningful way. We have not yet gone into the IFA channel because we don't think our product fitment is right for that channel. So we are avoiding that as a category right now.

Lastly, coming to capital markets, I think it has been a stellar performance this year. I will just break capital markets into the two categories. One is our custody and clearing services, which is more steady and sort of works on the more transaction side and not so much on the market volatility and volume side. But that business has grown significantly this year. And I will come to the reasons because two years we spent in cleaning up and we shut down the domestic broker business and therefore this was the first year of normalized operations.

And I think in addition to that, there is a lot of activity from international hedge funds, prop funds into the Indian markets because of the general growth in the derivatives volume. So the activity has increased and the yields are also elevated. So I think all three have helped and the business has grown reasonably well there. Institutional equities and investment banking. In institutional equities, volume growth of 20% and market share has grown from four and a half to five and a half.

And investment banking, I think you've seen the slurry of ECM activity happening in Q2, Q3.

We've parti

cipated wholeheartedly in that. I think combination of these three has led to a stellar performance in the capital market section. So I think that brings me to the end of the business strategic priorities and how we are looking at it. I will hand over to Mihir. He can take you through the numbers for the quarter and nine months and then perhaps we can jump into the Q&A section. Mihir, over to you.

Mihir Nanavati: Thank you, Ashish and good morning and a warm welcome to all the participants on this call.

I'll now summarize performance highlights for the quarter and nine months ended December 31, 2023. At the outset, as Ashish explained, we are happy to report that the growth momentum of Nuvama Wealth Management Limited

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quarter one and two has largely continued in quarter three in all the key operating parameters across all the three businesses, i.e., wealth, asset management and capital markets.

On to more specific data on performance indicator first, the client assets. Our client assets stood at INR 3,31,375 crores as at the end of Q3 FY24, which grew by 40% year-on-year. Of this, the aggregate client assets under wealth management business, covering both Nuvama Wealth and

Nuvama Private, stood at INR 2,41,837 crores and grew by 29% year -on-year.

In line with our focus, Nuvama Wealth's client assets under managed products and investment solution or MPIS , as we call it, grew by 35% year -on-year and stood at INR 21,318 crores. And in Nuvama Private, our ARR assets grew by 30% year -on-year to INR 30,604 crores. Net new money in Nuvama Wealth was at INR 4,362 crores for nine months of FY24 and grew by 7% year-on-year.

Net new money in Nuvama Private was INR 10,068 crores for nine months FY24 and grew by 14% year -on-year. AUM of asset management stood at INR 6,573 crores at the end of Q3 FY24 and grew by 27% year -on-year. Client assets under custody and clearing stood at INR 82,965 crores and grew by 88% year -on-year.

Next on the revenues, our total revenues for Q3 FY24 were at INR 558 crores and grew by 38% year-on-year. And for nine months, the revenue were at INR 1,467 crores which grew by 29% year-on-year. Of this, our wealth management revenue for Q3 FY24 increased by 18% year -on-year to INR 305 crores and to INR 858 crores for nine months FY24 reporting a year -on-year growth of 17%.

Within wealth management, Nuvama Wealth reported revenues of INR 169 crores for Q3 FY24 reporting a year -on-year growth of 17%. Revenues for nine months of FY24 were INR 486 crores and grew 21% year -on-year. Retentions remained stable at 1% per annum. Nuvama Private recorded revenue of INR 136 crores for Q3 FY24, year -on-year growth of 19%.

Revenues for nine months for FY24 were INR 372 crores and grew by 13% year -on-year basis. Of this, ARR revenues continued to grow and now constitute about 58% of the total revenues for nine months of FY24. As we mentioned on our last call, revenue growth in current periods over corresponding previous periods has to be viewed in the context of a lower income booking on AIF products due to regulatory changes in charging of AIF commissions in May '23 during the current period.

Now on to asset management revenues, our ex -carry revenues stood at INR 14 crores in Q3 and grew by 29% year -on-year. And for nine months, the revenues were INR 37 crores and grew by 37% on year -on-year basis. This was mainly on account of growth in the fee earning AUM during the respective periods. Capital market revenues stood at INR 237 crores in Q3 and grew by 79% year -on-year and INR 557 crores in nine months of FY24, which grew by 62% on year-on-year basis.

As Ashish mentioned, this year has been exceptional for capital markets business lines. On to cost, total cost for FYQ3, FY24 stood at INR 328 crores and grew by 21% year -on-year. And Nuvama Wealth Management Limited

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for INR 922 crores for nine months of FY24 and grew by 15% year -on-year basis. Of this, staff cost stood at INR 234 crores in Q3 of FY24 and grew by 27% year -on-year. And INR 655 crores for nine months of FY24 grew by 18% year -on-year basis.

Operating expenses stood at INR 94 crores in Q3, which grew by 8% on year -on-year basis. And INR 267 crores in nine months of FY24, which grew by 8% year -on-year basis. Our overall cost to income ratio for nine months of FY24 stood at 63%, down by about 760 bps year -on-year basis. On to profitability, our operating PAT for Q3 FY24 stood at INR 176 crores and grew by 66% year -on-year.

And for nine months of FY24, our operating PAT was INR 416 crores, which grew by 64% year-on-year basis. Our return on equity for nine months of FY24 stood at 22.7%, again st 16.7% for the same period of the last year. Thank you. And I will now request the moderator to initiate the question and answer session.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Amit Jeswani from Stallion Assets. Please go ahead.

Amit Jeswani : Congratulations, Ashish ji for a great set of numbers Ashish ji, my first question is a bit more long term and just wanted to understand. Assuming today we are at INR 177 crores of profits and Nifty, one year from today is broadly where it is today. Would there be any difference in our facts? That is number one.

Number two, is typically globally wealth management industry grows at three to five times the capital market industry. So would you say that since our penetration is low, that if assuming Nifty doubles in the next how many ever years, Nuvama's profit shou ld ideally be three times higher than or four times higher than what it is today. Is that a safe assumption to make?

Ashish Kehair: Too complex, Amit, for me to answer this. I can only say...

Amit Jeswani : But if you see it happened globally, the same trend is there.

Ashish Kehair: So let me give you how I see the overall business. So again, if you look at the entire space of financial services, wealth management, in my view, is one of the most nascent pieces because India is still evolving, right? I mean, we are talking of 3,500 fam ilies. Our competition has some

7,000, somebody has 9,000. These are really small numbers. And even if you look at the assets under, I would say, client assets, not under management or advice, client asset numbers are also not very high in terms of the size of the country and the potential which it commands.

So I think it's a very, very long runway ahead. Overall, obviously, you understand the equity markets far better than most of us. Equity markets should do well because if the underlying economy is doing well. And essentially, if the markets do well, Amit, if real estate does well, if these two things are doing well, who are the owners of these assets? The owners of these assets are finally individuals, right?

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Eventually, all these individuals who own these assets, in whichever part of the wealth spectrum they are, whether it is retail, mid-market, high net worth, ultra high net worth, their wealth is continuously going to increase. So one increase is obviously, let's say, you said from market increase, right? So if I'm holding Nifty, I will gain by that much just by holding Nifty.

In addition to that, I have a salary income or a business income from which savings is getting generated. So, if you combine the two, obviously, wealth management will grow at a far faster pace than the market itself. So theoretically, what you're saying is absolutely correct.

Amit Jeswani: Got it. And my second question is on allocation, on capital allocation. So we generate a lot of cash flows. And would you -- would it be right for me to, we are at 27% ROE, would it be

right

for me to say that our goal would be to reinvest in the margin funding and the ESOP loans that we give from the cash flows and reinvest our cash flows or we would move to a 30% dividend payout kind of structure? Because our competition has moved to a dividend payout structure.

So just trying to understand, Ashish ji, how you think about it.

Ashish Kehair: So we will move to a dividend payout structure. We don't intend to use the cash we generate to, you know, grow the book. The book which we run, Amit, is a facilitation book. It's not a target which we run that we need to grow the book which we run Amit is a facilitation book. It's not a target which we need to grow the NBFC by 20%, 30% every year. In wealth management, lending is just a facilitation part. It's on and off.

There are times when your book will grow in a quarter, then it may come down. But we will move to the dividend model and not reuse cash in this. There could be other growth avenues. There could be something else where we will use. But for that, I think ample amount of cash is getting generated that we can pay dividend and retain some. I mean, it will be a combination of both. But to answer your question, we will be more tilting towards the dividend side.

Amit Jeswani: Got it. And my third question, Ashish ji, is about the recent SAT order which happened. Of course, Edelweiss has said that they have already indemnified you and they've given out in a press release. So whatever happens in the Supreme Court, like I've gone through the details, looks like it's a very -- should be a very easy case for you guys to win. And with very high probability, you guys should win.

But just in case, like a very small 10% probability or a 2% probability that it doesn't go as per our things, then Edelweiss will pay the entire amount directly and we've got nothing to do with it, right?

Ashish Kehair: See, it's a matter which is sub judice right now. And anything I say can be used by the opposing councils in the court. So I can only comment limited amount. I can say that it's a, like you said, I mean, it's a low probability event. It's a four-year-old matter of a discontinued line of business. We completely complied with all the regulation, no money was retained by us.

It was given to the Clearing Corporation. And in the low probability event, even if it happens, I think we have a strong promoter, we have Edelweiss backing. I don't think it's going to impact Nuvama Wealth Management Limited

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any of our businesses or strategic growth opportunities. So one-off, if it happens, low probability, we'll handle it. I don't think it worries us at all.

Amit Jaiswani: Got it. Thank you. Thank you, Ashish. So nice speaking to you.

Ashish Kehair: Thank you, Amit.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Hello. Good morning, sir. Congratulations on a good set of numbers.

Ashish Kehair: Thank you, Prayesh.

Prayesh Jain: Sir, just firstly on the Nuvama Wealth piece. If we look at the net new money that gets -- that's been getting added, it's been from the peak of around INR 2,400 crores in 1Q, we came down to

INR 1,300 crores and now to INR 640 crores. What's really transpiring out there? And how should we see this? That is the first question. Second is, on the same bit on the retention that has been kind of coming off from 1.09% to 0.98% in Q3. How should we read this and how should we look at it going ahead?

Ashish Kehair: So net new money, basically, actually we disclose limited lines. So you're obviously right in saying what you're saying, because you're seeing the headline numbers. But the way we look at it, our focus obviously is on MPIS.

And when we look at the flows in MPIS, the 641 actually translates to 1,050, which was about 950, 960 in last quarter, and about 1,500 in

Q1. So it will keep going up and down. But from a trend perspective, I don't think there is anything to worry.

First quarter, we had some bumper sales happening in one of the products which was closing, but otherwise 1,000, 1,100 and 1,200 every quarter in MPIS. And maybe in one or two quarters, we will start disclosing that line. This number has become 641, because we had an ESOP repayment of about INR 400 crores in HDFC Bank case when the price went up.

So that went away. So ex of -- if you look at ex of loan assets and ex of broking assets, actually, Q-on-Q, it has gone up by about 10%. And on yields, it's a very simple thing. The mark -to-market on the broking part has been slightly higher, which is why your MPIS portfolio doesn't move that much by mark -to-market.

So on the overall portfolio, there is a 4 -5 basis point movement, which will get corrected in Q4, because Q4 typically is a higher insurance kind of a quarter. And insurance from a yield perspective is more bumpy. So it will come back to maybe 1.05, 1.1 by the end of Q4.

Prayesh Jain: Great. And just on this Nuvama Private, again, you know, from a new money flow perspective, could you throw some light there as well, the way you explain this? We have seen very strong in this quarter, which was closer to INR 5,200 -odd crores. So just throw some light there as to how is this shaping up?

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Ashish Kehair: So I keep saying this, Prayesh, that it's not right to track so granularly quarter -on-quarter. This quarter has been very good because across categories, I mean managed products, loan assets, your ARR assets, every category flows have come. Maybe next quarter, it could be slightly lower or ballpark in the same magnitude. But there is decent client activity now, which is happening across the board, which gets reflected. We only get worried when you consistently see outflows from a good yielding portfolio on a consistent basis, which is not visible in any part of our business right now.

Prayesh Jain: Just to look at these two businesses combined, and possibly you can share this separately as well, as to what is the share of mutual funds? And in fact, we've been telling earlier that we want to increase the share of mutual funds and we're investing in that piece of business. So where are we and how do we see this going ahead?

Ashish Kehair: I think right now, it's early stages. And I don't think it will be just mutual funds. It's basically entire category of assets in which you earn trail. So it could be a PMS, it could be a CAT 3 AIF, it could be a mutual fund, depending on the customer preference, customer need and customer choice. Nuvama Wealth may have a higher proportion of mutual funds and Nuvama Private may have a higher proportion of PMS and AIF.

We've started investing and focusing on that. I think maybe in two, three quarters, you'll start seeing and maybe I can disclose separately the numbers, which we'll start seeing. Right now, I don't think it's become meaningful. We have started seeing the green shoots. What we used to do in a year, we started doing in a month.

Prayesh Jain: Sir, my last question is on the profitability. We've seen a significant improvement in profitability for the entire company as a whole, but a large part of it seems to be coming in from Nuvama Wealth and from the capital markets business -- and largely from capital markets business more so, which is kind of cyclical.

Would you say that this profitability in the capital markets business is not sustainable? And in case of cyclical downturns, what should be a normalized profitability in the capital markets business from a mid -cycle perspective? We are right now in a boom phase. So in a mid -cycle perspective, how should we look at the profitability in this segment?

Ashish Kehair: So if you look at our capital, so overall, if you look

at the cost income and if you look at the

three -year trajectory, right. We would have moved from -- overall business has moved from, let's say, in FY'21, we were 73%. Then we came to 70%. Then we came to 69%.

This year, hopefully, we will end up anywhere between 63%, 61%, 62% ballpark, that range. From 73% to 69%, if you see the entire benefit came from the operating leverage of wealth

management because capital markets actually deteriorated. It went from 59% to 73% and wealth came from 88% to 67%.

This year has been good. But I also pointed out that, you know, in our custody clearing businesses, last two years we were changing our business model. We shut down the line of Nuvama Wealth Management Limited

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business of domestic brokers group. And that basically had a two flat year kind of a scenario where costs went up.

This is a full year normalized. So we saw a full year performance. And custody clearing is actually more than 60%, 65% of our capital markets profitability. So the more volatile part is your institutional equity investment banking.

Having said that, if you look at -- so this is, let's say, a super cycle for them. If you look at a mid-cycle and if you say that in a mid-cycle, their cost income will deteriorate by, let's say, I'm asserting a number by say 700 basis points, 800 basis points. That will have an overall impact on our cost income by 100, 150 basis points, max 200 basis points.

That is the sensitivity. A 10% deterioration there will have maybe a 2% deterioration on the overall business, assuming that wealth management doesn't improve from here, which is not the case because wealth management every year is improving by 200, 250 basis points like I mentioned.

And asset management, if you see, Prayesh, right now is more than 100% percent. Once we cross INR 15,000 crores, it starts adding to your profitability and starts bringing. So even if that brings that 100 basis points down, on an overall basis, I think we have a sufficient capability to absorb this capital market cyclicalities.

Prayesh Jain: Thank you so much, sir, and wish you all the best.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Hi, sir. Good morning. Congratulations on a good set of numbers. Just a few questions from my side. First on the number of family increases that we have seen in Nuvama Private. And you mentioned that there have been some monetization events.

Just wanted to get some sense of what will be your, let's say, client penetration in the new monetization events that you're seeing or the wallet share that you're getting in the new flow from an industry perspective compared to your peers.

Second, you mentioned that there has been some variable cost realignment in Nuvama Private RM. If you can give some color on that and mention that the entire cost has been absorbed or there can be some spillover impact on that.

The third question is on the IB pipeline. I mean, you would have probably some visibility on the next six to nine months and maybe give some color if the current trends are sustainable, assuming the market hold up at current levels.

Lastly, two or three data-keeping questions, which you gave in the last quarter also. Your corporate treasury AUM, which was around, I think, INR10,000 crores last quarter. And the recurring flows into Nuvama Private, which I think were around INR 5,800 crores for first half, if you can just give those two numbers.

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Ashish Kehair: So I'll first answer the variable cost question. So variable cost in Nuvama Private, as I mentioned in the last call, that last year it was skewed towards Q4. And therefore, if you look at the nine-month cost income in Nuvama Private of last year versus this year, this year looks higher, which is why

I think Prayesh was also saying that the cost income there is higher.

But this year, the variable cost we have taken more uniformly. It will not be as skewed in Q4 like last year. So full year basis, we should end up at around 64% -65%, which is same as last year. After absorbing the entire impact of the AIF accounting, and just to tell you the impact of AIF accounting on the entire wealth management cluster is about INR 50 crores for nine months, which is about 7% from a revenue perspective and 20% from a PBT perspective.

So if you were to compare with the old regime, this 27% PBT growth would actually have been 47% if this AIF impact was not there. But that now is absorbed and we are getting trail. So I don't think there will be a spillover of variable cost in Nuvama Private. I think that is fairly well absorbed. In terms of treasury assets, broadly at the same INR10,000 crores -INR11,000 crores level, I don't think that's a very big focus area for us to continue to increase that.

Our flows, new money flows in Nuvama Private is about 5,300. Out of that, in this quarter, the ARR flows will be about 1,500 and rest will be non-ARR. And in the non-ARR, broking is about

2,000 and balance is fixed income, MLD, unlisted and all that. And first question, I don't think we track right now from the percentage of flotation and all that. And I don't think that's a scientifically trackable number right now. What we have started tracking rather is that what we take in terms of our own ECM mandates or M&A, PE mandates, how much of those clients we are converting. We have started hitting that to about 30% -35%. So anything which our IB wins, how much of that we are converting into assets, the way we look at it, that IB brings that upfront fees and the wealth management will bring the annuity by getting the assets in from those clients. That's how that combination will work.

And your fourth question on the IB pipeline. So if you look at our IB business, Dipanjan, it's broken up into two parts. One is fixed income and second is on the equity side. Equity, obviously, as ECM and M&A, PE. And broadly, it's about -- in some years, fixed income is 60%. In some years, equity side is 60% -65%. This year, equity will be heavier. What we have done in the last nine months in IB, I think we should be able to deliver a similar number in the next at least six months. So that visibility is there.

Dipanjan Ghosh: Got it, sir. If I can just squeeze in one or two more questions. One is on the yield part in the Nuvama Private, ex of loans, recurring ex of loans. Based on whatever numbers you gave, it seems that has kind of jumped a bit, quarter-on-quarter. Is it because of more MLDs that you did in the quarter or if you can give some color on that?

Ashish Kehair: MLD doesn't come in ARR, Dipanjan. This is because now you have to start accruing trail, right, in your AIF. And last year, trail has also started coming in, in products which we sold earlier.

So combination of these two and plus whatever little first year fees come. So all three put Nuvama Wealth Management Limited
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together. And I think this yield will sustain at least for a quarter and then maybe it will normalize by 5-10 basis points.

Dipanjan Ghosh: Got it. And just from a strategic perspective, historically in your Ultra HNI segment, you know, let's say, if a client puts in INR 100 bucks in any particular year as fresh flows from a new client. ex of mark-to-market, how do you see that wallet size increasing over the next two, three, five years, how do you see that kind of increasing, which will give us some understanding of the organic growth that you can get from the existing client base, even if market, let's say, kind of corrects a bit from here?

Ashish Kehair: I think same set clients on an aggregate basis, one can see about 15% growth. So some clients will be hi

gher, some will be lower. But on an aggregate basis, about broadly 15%. But we will do a check on these numbers and maybe we can discuss it one more time.

Dipanjan Ghosh: Thank you and all the best.

Ashish Kehair: Thank you, Dipanjan.

Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investment. Please go ahead.

Vivek Gautam: Sir, congratulations on a very good set of numbers. Sir, I think...

Moderator: Sorry to interrupt. Mr. Gautam, may I request you to use your handset, sir? Your audio is not very good.

Vivek Gautam: Is it okay now? Better now?

Moderator: Yes, sir. Please go ahead.

Vivek Gautam: Yes. Sir, congratulations on an excellent set of numbers. Just wanted to know about basically the opportunity size and expected growth for our sector and our company in India as well as abroad.

And any comment on that being a cyclical sector and the steps being taken by us to make it non-cyclical? And one more question is about the NRI opportunity size and a lot of difficulties NRIs are facing in investing in India. So, any plans you have taken for that, sir?

Ashish Kehair: So, first question, I think for overall wealth and asset management, we see a significant runway ahead and not only us, I think our peers and competition and everybody in the market believes that if the India story continues the way it is, obviously, as I said, capital markets will do well.

If capital markets do well, the wealth in the hands of people will increase. And we are basically beneficiaries of that in whatever category of products we offer to the clients.

So, if you assume that Indian GDP, nominal GDP will grow by 10% -11% and therefore, markets will grow by another 3% -4% higher than that. And in addition to that, savings of people will get added into this pool. So, you can clearly see the overall wealth which will get managed across

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asset classes, across products, including deposits, insurance, mutual funds, direct equities, bonds, everything put together, should ideally grow order of magnitude 20% -25% every year.

There will be years where the growth will be more than 40 -50, there will be years where the growth will be 10%. But if you take a 10 -year perspective, 20% -25% is easy. Then, second aspect which is very important is that in India, organized wealth management is extremely under - penetrated.

It's less than 15%. If you take the total financial wealth in India today, it's about maybe INR 3- INR 4 hundred lakh crores. And out of that, all capital markets wealth, let's say insurance, mutual fund, equities, everything put together is say INR 150-INR 200 lakh crores.

Out of that, all of us put together in terms of wealth management do not manage more than INR 15-INR 20 lakh crores. So, that penetration is about say 10% -15%. In a country like China, it's about 30% -40%.

In developed countries, which includes maybe Singapore, Hong Kong, US, Europe, it's more than 80% -90%. And India, where we are today, which is at let's say 14% -15%, 10 years back was about 5%. So, if you combine the increase of wealth, which to my mind in 10 years should become at least 2x to 3x given our growth rate, and you take the penetration of 15% to even 30%, I think the size of industry will grow by 4x.

This is the simple mathematics and everybody will benefit out of it. In terms of cyclicity, this is a slightly unique segment. It's not fully cyclical and it's not fully like a FMCG.

So, it's somewhere in between. There is an implication of market, but the underlying keeps growing. The underlying wealth of the clients keeps growing.

It's only allocation between different asset classes which changes. So, if you take a 5 -year view, I think the industry is reasonably good to invest in. You have growth, you have under - penetration, and you have low number of players where you can

actually invest and participate in this.

Vivek Gautam: And the next question was about the NRI opportunity size. I believe a lot of NRIs are very much in the wealthier class and interested in investing in India, but they're finding a lot of difficulty in doing so through some regulatory process compliance. How do you tackle that?

And if you can also highlight our differentiators and USP for us versus competition versus the recently listed companies? Thank you.

Ashish Kehair: So, NRI as an opportunity, we have started looking into it now. We were focusing on domestic, so we are creating the pipes through which they can come in. If you look at overall NRI investment in India, I think broadly 10% of mutual fund AUM today is coming from NRIs.

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And I would say about 5% -6% of bank deposits would be coming from them. There is friction because they can't invest as seamlessly as the domestic investors can. So, we are building those pipes now.

We are also building specific dedicated relationship teams to cover them. And I think we should start seeing impact of that in about a year or so because we want to reduce this friction. There is immense amount of interest in India right now. They want simple products. They want easy access. And I think it's not a big challenge to execute, so that we will do.

In terms of differentiation as a business model, from a client segment perspective, we are fundamentally clear that we will offer a product platform which is extremely comprehensive and diverse. And it's targeted towards client wallet rather than what we want our revenue streams to look. So, biggest problem in India, I think, is people have significant amount of allocation in inefficient bank fixed deposits, at least in the mid -market segment.

And that is where we started our focus on. We created a plethora of products for them to have higher yields, higher returns on a tax -adjusted basis while keeping the risk profile same. And I think that led to our huge surge in business there.

Now we are expanding into different parts of the world. In Nuvama Private, I think the basic difference between us and some of the others is the product platform which we offer. The comprehensive access in addition to investments, estate planning, tax planning, investment banking, their business side advice, all of this under one umbrella is, I think, our value proposition to our clients which is differentiated from most of the players in the market.

Like, you look at some of the players that don't even have a lending NBFC. If a client needs a loan, they will have to go to some other player. If they want to buy something off of a stock exchange, they will not be able to buy.

They will have to empanel with some other broker. We have tried to build everything within the same umbrella to offer full service to the client.

Vivek Gautam: Thank you, sir. And any anti -thesis point you would like to highlight along with the positivities?

Ashish Kehair: Sorry, any?

Vivek Gautam: Anti-thesis. Concerns, concerns, which can...

Ashish Kehair: Okay, okay. So, concerns in the sense, I mean, it's a business of trust. And if, let's, where, you know, on ground, thousand people are talking to clients and selling investment products and all.

So, we have to ensure high level of guardrails and governance that we do not breach our client trust in any manner. I think any wealth manager, that is one of the biggest risks that exists. People ask me, is there a regulatory risk?

Can the regulations change? My fundamental view is that this industry has been in existence globally for hundreds of years. And this need is not going to go away.

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People will generate surplus every year. People will need advice to manage that surplus in an intelligent manner every

year. So, I don't think there can be a regulation which will come and take this away.

Then somebody can say that, you know, can technology replace this? At a retail level, when you have to invest small sums of money and monoline, yes, technology can play a role. But when the quantum increases, when the amounts become large, it's not very easy for somebody to place money in a, you know, a fund on a technology enabled device, which is, say, INR 5 crores, INR 10 crores, INR 50 crores.

They need to understand whether this is the right step, whether this is the right product, whether this is the right time I should invest in. So, I don't think these are really the risks. The risks are execution. We may not be able to execute the opportunity or mis-selling of a product or breach of customer trust. I think broadly, if we can take care of this, business is in a fairly good shape.

Vivek Gautam: Can you also highlight about PAG? Our parent are, and basically, most of the investors take it as an Edelweiss only. PAG, I believe, awareness level is slightly low.

Ashish Kehair: Yeah, I can definitely talk about it. So, just to give you a bit of history, we are now demerged from Edelweiss. In 2021, PAG, which is a private equity and an alternative investment, Asia - focused alternative investment group, they invested about 56%. They became the promoter. It was a controlling stake. March of 21, they invested.

And then the process of demerger started. In demerger, we got separated from Edelweiss. That got concluded in the beginning of this year, around April, when NCLT completed the whole process.

Post demerger, Edelweiss stopped being the promoter, and PAG became the promoter of the company. Edelweiss still has a holding of about 13%, 14%, which they hold as a treasury stock. And after demerger, the shareholding, which Edelweiss had in our company, got distributed to their shareholders.

So, retail shareholders and institutional shareholders of Edelweiss became our shareholders.

PAG is an Asia -focused private equity platform, or rather an alternative investment platform.

They basically have three lines of businesses, private equity, credit, and real estate.

And they also run an asset management platform called Polymer, in which other asset managers are onboarded and they serve institutional clients. It's one of the largest Asia -focused firms. They have investments in Australia, Japan, India, China, broadly these four markets.

They came into India in 2019. In private equity, they've been in real estate for some time. And they now have about a billion dollars already invested in India, and they're looking to increase exposure.

Vivek Gautam: Thank you, sir. I believe that is one of our strengths. PAG, Parentage, and the LLCs we call them.

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Ashish Kehair: Yes.

Vivek Gautam: Thank you, sir. Keep up the good work. Thank you.

Moderator: Thank you. Our next question is from the line of the Dhyey, from Niveshaay Investment Advisors. Please go ahead.

Dhyey: I had this question on the operational side of the business. So, for example, when a new client comes and he requires multiple services or multiple products, then how is the client segregated between the two major segments?

Ashish Kehair: So, the target client segment itself is separate. And the relationship teams which go and acquire the clients, they basically go and acquire from their target segment only. So, for example, in Nuvama Wealth, the target client segment in top eight cities would be, let's say, employees of

Category A companies.

Nuvama Private RM will not go and target that client at all. For Nuvama Private, the target client will be a promoter of a company or a CXO or a CEO of a company who will at least have INR 50 crores, INR 100 crores to invest. So, completely the target clients are different and they get acquired

differently.

Yes, it can happen that in either of the businesses there could be some overlaps. That we basically manage internally and we move the clients from one place to the other.

Dhyey: Okay, understood, sir. I had this question. So, in the third -party products and the in -house products provided under both the segments, there is wealth and asset management. So, how does the asset management segment. So, does the asset management segment run the in -house schemes only or it runs multiple products at the same time?

Ashish Kehair: Asset management basically, as I said, manufactures schemes which get distributed both through Nuvama and through third -party distributors. So, in that sense, they will offer products to Nuvama and to third -party distributors, to other wealth managers. And Nu vama Wealth and Nuvama Private will sell our own asset management products and third -party products. So, it's like a crisscross.

Dhyey: Correct, sir. And, sir, I believe that most of our borrowings come from the market -linked debentures. Am I right on that?

Ashish Kehair: About 55% -60% now. It used to be more than 70% -75%. And I think with the progress of time, it will keep coming down.

Dhyey: Correct. And what would be the approximate ballpark number for the borrowing cost, the rate?

Ashish Kehair: The rate right now would be anywhere between 9.25% to 9.75% depending on the tenor of the borrowing.

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Dhyey: Okay. Okay. Correct, sir. Also, sir, this is a little long -term question. What would we be focusing on in terms of broking, IB, IE or the wealth management side of the business, which area would we be focused more on in the longer -term?

Ashish Kehair: So, wealth and asset management clearly, we have said, is the focus area. Because from a domestic market perspective, those are the sectors which are right now sunrise sectors. Wealth even more than asset management, where it's nascent, we have had a reasonably good head start and we see a long runway of growth.

If you look at IB and IE, from a business perspective, they are more mature, they are extremely profitable, and we will take those businesses and work their synergy with wealth and asset management. So, it will work like a complete synergy in a virtuous model, but in terms of focus where our investments will go, it will be essentially wealth and asset management because that's where the country is right now offering growth opportunities.

Dhyey: Correct, sir. Understood. I had this last question. So, we are planning to add around 15% Cagr to our relationship managers.

So, how do we expect to increase our revenues? Would it be more linked towards the market performance as you explained, or we can expect some good performance from relationship managers as well?

Ashish Kehair: I don't think market performance has significant impact on our revenues. Market sentiment has, like something like a COVID happens, all businesses get impacted. But if markets do not go anywhere for one year, our revenues I don't think will get impacted that much because very little is linked directly to market movement. So, it's a combination of organic growth of client assets, the products we offer, and the RMs who come in.

So, even the current RMs, their productivity keeps going up year on year because you understand, let's take you as a client, right? Today, you have, let's say, INR 100 of surplus money, and you are managed by one RM. In five years from now, that 100 itself will become 200, 300.

In addition to that, you would have earned money from your business or your salary, and you would have added to that. So, that 200, 300 can go to 400. So, by definition, on a single client basis, only 3x -4x asset increases.

In addition to that, the RM acquires a new client. So, if you aggregate all this, you can see where the growth comes from.

Dhy

ey : Correct. So, sir, any ballpark number you could provide?

Moderator: May we request you to rejoin the question queue, please?

Dhyey : Yeah, sure. Thanks a lot, sir. That was really very helpful.

Moderator: Thank you. The next question is from the line of Mohit from BOB Capital. Please go ahead.

Mohit: Yeah, hi. Thanks for the opportunity and congratulations on the excellent set of numbers. There were two questions.

First, if I look at say, Nuvama Private and Nuvama Wealth, I just wanted to do an analysis of the net new money received from the new versus existing clients. So, if you can give a color, you know, whether that has changed over the last 2-3 years or perhaps that ratio has remained the same. So, that would be helpful.

And secondly, in terms of the capital markets, like you said that you had an exceptional quarter. I just wanted to understand the INR 90 crores that we earned this quarter, is that kind of sustainable on an annual basis? So, that INR 400 crores is something that you envision or do you think there could be some kind of moderation over there?

Yeah, that's it. Thank you.

Ashish Kehair: So, first question, if you see the net new money between new customers and existing customers, as the business, so right now, if you ask me, the numbers can be anywhere between 75-25 or 60-40. And it keeps changing. But on a business, which is continuously growing, right?

Your base of clients will keep on increasing and the newer clients which will get added will be a small fraction of the base. So, in a business which becomes, you know, 20-30 years old, it will become 80-20 towards existing clients versus new clients. In a new business, it's reverse.

The new clients which come in bring in more net new money. But that doesn't change the characteristic of the business. So, I don't think that data point should be focused on too much. In terms of capital markets performance, as I said, we can divide it into asset services, IB and IE. About 60%-70% of this business comes from our custody clearing business. And about 30%-35% from a profitability perspective comes from IE-IB. Asset services is more stable compared to IE-IB. So, even if there is volatility, maybe this 92 can go to say 85-80 kind of a range. But I don't think we will see a further fall at least in the coming two quarters.

Mohit: Right. This is helpful. Thank you so much. I wish you all the best.

Moderator: Thank you. The next question is from the line of Bhuvnesh Garg from Magma Ventures. Please go ahead.

Bhuvnesh Garg: Hello, sir. Good morning. Congratulations on a good set of numbers and thank you for the opportunity.

Just a couple of questions. Firstly, on our RM cost. So, if you can share how much of our percentage revenue goes to RM on an overall basis and currently and where do you see it stabilizing over the next 3-4 years?

And how the revenue sharing with RM in India varies from revenue sharing with RM globally?

Yeah, this is my first question.

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Ashish Kehair: So, broadly 20%-25% of the total would go to RM in India. And that is the order of magnitude which we have in a business which is profitable and in a business which is scaled in a non-bank category. Where you don't have too much of interest income.

20%-25% typically goes. When you go into banks, that number falls to maybe 5%-10% because the component of interest income is significantly higher. And when you look at the business models globally versus India, so globally there are two kinds of business models.

One is the broking oriented or the broking led. And American versus European, that also is different. American would be more like a 40% payout because it's more broking led.

And when you go to European private banks, it's more blended. It has

interest income and they

run huge portfolio leverage book. So, there again it falls to 10%-15% because wherever capital is used to generate income, the sharing ratio keeps coming down.

And wherever it is pure fee income and commission income, the sharing ratio goes up.

Bhuvnesh Garg: Sure. Understood. And for our business, we are currently saying 20%-25%. And would it remain stable or how do you see it moving?

Ashish Kehair: I think it will gradually trend down. But I don't think in India for let's say next 3-5 years, you will see it going below maybe 17%-18%. It's difficult.

Bhuvnesh Garg: Understood, sir. And second thing is on attrition trends and vintage of RM. If you can share some data points that what's the current attrition rate in RMs and what is the vintage of our RMs both in Nuvama Private and Nuvama Wealth.

Ashish Kehair: So, attrition Q3, Nuvama Private regret attrition is 0. Non-regret is about 2 RMs. And in Nuvama Wealth, our attrition percentage is broadly about 1% in the regret category. In vintage of RMs,

what exactly would you want to know?

Bhuvnesh Garg: How much percentage of RM is more than 5 years old within Nuvama?

Ashish Kehair: I may not have that number readily. Let me just look up. So, about 3 years plus is 65%. And less than 1 year as I said is about 20% because we are adding 20% capacity year -on-year. So, balance is between 1 -3 years.

Bhuvnesh Garg: Got it. Understood, and finally, in terms of our arrangement with external wealth managers, how much of our revenue percentage goes, I mean, is shared with external wealth managers?

Ashish Kehair: So, it depends on the category. So, when you get into an arrangement, it's a product -wise, volume -wise slab. Broadly, you can say anywhere between 50% -55% maximum that would go.

And that is the global trend also.

Bhuvnesh Garg: Understood. So, in that scenario, comparing RM versus external wealth manager, so here in case of RMs, only around 25% goes to RM, whereas as an external wealth manager, around 50% goes to them. So, how do you see that this differentiation bridging?

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Ashish Kehair: See, there are two things. In external wealth managers, you don't have any opex, right? They have to create their own offices, they have to have their own...

So, if you look at that entire part, that is managed by them. Second is, there are good years and then there are bad years, right? In a bad, let's say, hypothetically, in a COVID year, your payout to your RMs can increase to 35% -40% because the revenue itself will dip.

And in case of external wealth managers, it's all variable. So, it's a business model choice. It's not that one is good or one is bad.

You have a low opex and an infinite scalability when you do external wealth manager, but your quality controls, your compliance checks, those have to be kept in measure. If you grow everything organically, you have higher fixed costs, in case your revenue does not do well, your P&L gets impacted more. So, if you run a blend of both, it's far better.

Bhuvnesh Garg: Understood. Fine, sir. That's it from my side and I wish you all the best.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question for today's question and answer session. I would now like to hand the conference over to Mr. Ashish Kehair for closing comments.

Ashish Kehair: Thank you. Thank you, moderator. Thank you all of you for being here. I hope I was able to answer all the questions. We shall see you again in the next quarter.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

Nuvama Wealth Management Limited (Formerly Edelweiss Securities Limited)

Corporate Identity Number: L67110MH1993PLC344634

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NWML/SEC/202 5/20

May 17, 2024

The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street,
Mumbai 400 001.
BSE Scrip Code: 543988 The Manager,
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, 5 Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai 400 051.
NSE Symbol: NUVAMA

Dear Sir(s) / Madam(s),

Subject: - Transcript of earnings conference call

Pursuant to the Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation dated May 3, 2024, regarding the earnings conference call to discuss the Company's performance for the quarter and year ended March 31, 2024, please find enclosed herewith the transcript of the aforesaid earnings conference call held on Monday, May 13, 2024.

The same is also made available on the website of the Company www.nuvama.com .

We wish to confirm that no unpublished price sensitive information was shared / discussed in the aforesaid earnings conference call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Nuvama Wealth Management Limited
(formerly known as Edelweiss Securities Limited)

Sneha Patwardhan
Company Secretary and Compliance Officer

Encl: as above

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"Nuvama Wealth Management Limited
Q4 FY '24 Earnings Conference Call"
May 13, 2024

Disclaimer:

This document is subject to errors and may or may not contain words which have been included / omitted due to human error while transcribing the conference call. Any and all information should be verified with the company by the reader

MANAGEMENT : MR. ASHISH KEHAIR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – NUVAMA WEALTH
MANAGEMENT LIMITED
MR. MIHIR NANAVATI – GROUP CHIEF FINANCIAL
OFFICER – NUVAMA WEALTH MANAGEMENT LIMITED

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MR. MANISH DHANUKA – HEAD, INVESTOR
RELATIONS – NUVAMA WEALTH MANAGEMENT
LIMITED
SGA, INVESTOR RELATIONS ADVISOR – NUVAMA
WEALTH MANAGEMENT LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Nuvama Wealth Management Limited's Q4 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Kehair, MD and CEO, Nuvama Wealth Management. Thank you and over to you, sir.

Ashish Kehair: Thank you, Michelle. Good morning. A very warm welcome to each one of you. It's always a pleasure to connect with you all. Thank you for joining us today for our call for the fourth quarter and the full fiscal year 24. Joining me today in the call are Mihir, our Group CFO, Manish, Head of Investor Relations, and we also have SGA, our Investor Relations Advisor.

Before we proceed into discussing the business and updates, I just wanted to share an important announcement with all of you. Mihir, who's our Group CFO, will be leaving us and wants to transition into a more advisory and mentoring role, helping many other companies with his decades of experience. I want to thank him on behalf of the entire Nuvama family for the contributions he's made through this important period of transition for us.

He came about six, seven months before we started our demerger process, hand held us through the entire process of demerger listing, and has built a very strong foundation of the finance and investor relation function for us to build it from here. On behalf of the directors, on behalf of the entire Nuvama family, I want to wish Mihir all the best as he begins his new chapter of his life.

His resignation will be with effect from 14th of May, which is tomorrow.

I would also simultaneously like to welcome Bharat Kalsi, who's joined us and will take over from Mihir. Bharat is an MBA Finance, Chartered Financial Analyst, and a CPA with more than two decades of experience across multiple domains like finance, strategy, planning, investor relations and treasury. We look forward to leveraging his experience with some of the scaled and reputed financial services companies in India.

He has worked with Max Group, Tata AIA Life, and in his previous role he worked as the CFO and Head of Product and Secretarial Function at Bajaj Allianz Life Insurance. Bharat's appointment as Group CFO and Head of Strategy for the company comes into effect from 15th of May, 2024.

Coming now to results, we've actually shared our results presentation data book like always.

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Hope you guys got a chance to look through it over the weekend. We've added some more slides to give more color around our businesses. I'll briefly summarize on the business outlook and share the progress we've made, some in quarter four and some full year, and then hand over to Mihir, he will take you through the numbers and then we can jump into the Q&A.

Overall, I think the strong business momentum continues. Our integrated and diversified business model, which we consciously choose to deploy, serves us well. It basically helps us deliver the comprehensive set of solutions to clients and also deliver superior results to our

shareholders. Our growth trajectory actually continues across both the wealth management segments, the UHNI and mid-market. Our revenues there grew by about 17% Y-o-Y, this I'm talking full year, and profits were about 24%. This was after absorbing the material impact of AIF revenue shifting to trail due to t

he changes in regulations and scaling up capacity significantly in both the segments.

I mean, both segments, I think growth cost as per our calculations is more than 100, 150 basis points. Despite that, I think businesses have delivered this growth, which makes us extremely satisfied. We also benefited from the significant activity which happened both in primary and in secondary markets, which gave a fillip to the capital markets business.

And overall revenues for Nuvama grew by about 31%. And with the operating leverage kicking in, the profits came to about 62% full year.

This was a very important year for us. Some other milestones which happened, we changed our brand identity in April. We demerged from Edelweiss in May. And in September, we got listed.

All three big milestones, I think happens once in the lifetime of any company.

I'll now quickly get into each of the businesses. Wealth management, both Q4 and full year saw growth.

You may see that the PBT number in Q4 is flat, Q-o-Q. That is because of the variable cost catch up. If we normalize that, both segments have seen growth of around 7 to 15% Q-o-Q. The assets have now grown to about 2.5 lakh crores and grew by 36% year on year. The traction, as I said, is there in both the segments, which in our view basically mirrors the entire wealth management story of India.

Coming to Nuvama Wealth, I think the demand there continues to grow. In our view, the mid-market continues to present an interesting opportunity because it's growing leaps and bounds, not only in tier one, but across the entire country. And I think it is the most underserved segment by the incumbents. So it's a combination of both. I think it can absorb number of more players and still continue to grow. We've added about 200 RMs in Q3 and Q4.

And now our strength is about 1,100. We will continue to expand capacity next year, and I'll talk about it later. As we scale, because we are getting people now from banks, we've actually invested intensively in our learning and development programs.

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Because most of the people who come in now come from a background where they're trained well on selling traditional products, which is, you can say, deposits, mutual funds, loans, insurance. We want to make them far more skilled in doing multi-products because client portfolio requires many, much more than all this. So they continue to do what they do, and they need to get trained on a larger product basket.

And because we are adding in large numbers and we don't want the productivity to go down, and hence investment in L&D is extremely essential. In addition to that, we've also leveraged significantly on technology. I mentioned in the last quarter that we launched something called as a One Platform, which can be useful to clients, our relationship people, and external wealth managers.

We are now going to launch portfolio tool because of our whole philosophy of moving the entire relationship team from selling products to offering portfolio solutions to clients. So, we've built a very, I think it would be an industry first, leveraging AI, portfolio analyzer and recommendation tool, which will be available to RMs across their mobile apps and their desktops and everything. We had acquired a tech company called Pick right about a year back, we leveraged that entire platform to build the solution.

This will be rolled out in a beta version now. This will achieve three things. One, the ability of the relationship person to holistically engage with the client. Uniformity of advice, which is a big challenge for the entire industry. And also, parallelly, it'll help increase productivity of people.

On the product side, like we've been saying, MPIS or Managed Products and Investment Solution (MPIS) continues to remain a focus area. In Q4, our MPIS net flows was actually more t

han our total net new money in this segment, by about 10%. And full year MPIS constitutes 86% of our net new money. It grew by 12% year on year, and it was 30% of the opening assets of MPIS. So about a third of our opening assets, we've been able to add this year.

Moving on to the ultra-high net worth segment, or Nuvama Private. I think the general buoyancy continues. Capital markets doing well, companies doing well, real estate doing well. I think all these become ingredients for ultra-high net worth to continue to grow their wealth. And like, I mentioned, Nuvama Wealth, mid-market play, there is no ambiguity that it is across India, now

we can see even in the ultra -high net worth, the concentration is going beyond top tier cities. We've been able to expand into six cities beyond Tier 1 . And I don't think there's a demand problem. It is the ability of service providers to reach there, to find the right talent , the market is out there to be tapped. Capacity, I spoke, we've added about 20% here, and we'll continue to add. The key challenge here obviously remains that how you keep attracting the relationship people.

And what we realized long back, and we continue to invest in improving our product platform, because the stronger the platform is, your ability to attract clients and relationship people continue. That is the key differentiator that we will continue to invest in. In terms of clients, we've added about 170 new family offices in this quarter.

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And on the product side here, our focus remains ARR revenues. It's not that , we don't like transactional revenues. I think it is a key component and not only in India globally because it serves certain components of client portfolio and the income accounting is unfortunately the way it is, so you can't convert it into ARR.

So you have to look at the client wallet and then make your product proposition. On the ARR side, net flows were much faster than overall net flows for fiscal 24. Our overall net flows were about 9% and ARR net flows was about 21%.

Q4, you will see a dip in the NNM, but actually the ARR net flows is about INR 2400 crores .

So what we lost was some transactional assets, but out of that major component was of a client who became a custody client. So what we lost from here went into our custody clearing business.

If you look at the full year net new money, it's order of magnitude INR 11,300 crores.

About 60% of that comes from ARR assets which is 26% of the opening ARR AUM. So about a fourth of the opening AUM we've been able to add this year. We mentioned about building offshore. I'm happy to update that we've been able to get our license in principle approval in DIFC.

So Dubai or DIFC will be our first go -to market, not Singapore right now because I think the economics and the market potential there and our product platform suitability all of them come together. It's faster to breakeven, it's easier to attract talent. And so all in all, I think it's more synergistic with our Indian setup and we're also looking at offshore not only as a geography for the purpose of tapping clients.

As I keep saying it's also a skill or a very big addition in the platform to serve the domestic clients because very soon if you don't have offshore as a proposition at least in the ultra-high network segment it will become a handicap for service providers. So I think it's a necessity which we are building and investing.

Moving on to asset management, our AUM has now reached about INR 7,000 crores. Over the last three, four months we continue to stay put on our priorities. Deployment in private markets has been a key priority and we focused on that. We did not initiate a fund raise in the last full year. We will now start a fundraise in crossover which is our private equity strategy both in offshore and in onshore.

We are working with

an agent in the offshore market which works with the family offices in Middle East. So you will see some activity going in the next two, three quarters. Public markets our AUMs now stand at about INR 2,100 crores . It grew by 155% over the last one year. In the last quarter also about net new money of INR 500 crores in asset management out of which 70% came into public markets.

And commercial real estate is now launched. We will scale it in the next three to four quarters and take it to the desired level which we initially felt.

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Asset services and core capital markets which is institutional and equities and investment bank continues to see exceptional performance.

Q4 stabilized though I would say, but on a full year basis I think we saw massive expansion. I think the fee pool in investment banking and institutional equities in our view expanded by about 40% to 50% this year. And we also saw a jump of our market share especially in institutional equities by about 20%.

Asset services I mentioned previously that we have two client segments of our choice. One FPIs in which we deal with systematic quant funds and HFTs and in domestic we work with PMSs and AIFs. In both these chosen client segments our market share last year was about 20%.

That's it from my side in terms of an update of what happened briefly in the last quarter and full year.

I would now request Mihir to give you an overview of the specific numbers across each business and then we can go into the question and answer section. Thank you.

Mihir Nanavati: Thank you, Ashish, and a warm welcome to all the participants on this call. At the outset, I want to thank Ashish, Nuvama, my senior leadership team at Nuvama, and my team and colleagues at Nuvama for this opportunity. And Ashish especially to you for your words of appreciation on this call.

I also want to thank you all for the insightful interactions that we have had on these calls and also on one -on-one meets that we have had over time. I wish you all the very best.

With this, I come to the specifics of our performance for quarter 4 and FY24. The FY24 was a buoyant year for Nuvama. We saw a well -rounded performance and healthy growth in operating and financial parameters across all the three businesses.

Coming to our businesses and AUM first. Our aggregate client assets stood at INR 3,45,957 crores at end of FY24 which then grew by 50% year -on-year. Of this, client assets under wealth management business constituting Nuvama Wealth and Nuvama Private stood at INR 2,47,835 crores and grew by 36% year -on-year. Nuvama Wealth client assets stood at INR 77,930 crores at end of FY24 and grew by 48% year -on-year.

MPIS assets stood at INR 23,018 crores as at the end of FY24 and grew by 39% year -on-year. In Nuvama Private our client assets stood at INR 1,69,904 crores at FY24 end and grew by 31% year-on-year. Our ARR assets within this Nuvama Private grew at 31% year -on-year to INR 33,421 crores as at FY24 end. AUM of our asset management business stood at INR 6,967 crores at the end of FY24 and grew by 25% year -on-year.

We witnessed strong flows in public market strategies in FY24. Our closing AUM stood at INR 2,070 crores in this category at the end of FY24 and this grew by 155% year -on-year basis.

Client assets under custody and clearing asset stood at INR 91,156 crores at FY24 end and Nuvama Wealth Management Limited

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reported a growth of 109% year -on-year. On our revenues, aggregate revenues for Q4 -FY24 were INR 596 crores and grew by 35% year -on-year.

Our full -year aggregate revenues for FY24 grew by 31% year -on-year to INR 2,063 crores. Of this, total revenues from wealth management business grew by 16% year -on-year to INR 330 crores in Q4 -FY24 and by 17% to INR 1,188 crores during FY24. Within wealth

management,

Nuvama Wealth clocked revenues of INR 183 crores for Q4 -FY24, a Y -o-Y growth of 6%.

Revenues for FY24 were INR 669 crores and grew by 16% year -on-year driven by our focus on MPIS overall retentions were approximately 1% per annum in line with the previous quarters.

Nuvama Private recorded revenue of INR 147 crores for Q4 FY24 a Y -o-Y growth of 32%.

Revenues for FY24 were INR 519 crores grew by 18% year -on-year. Of this, ARR revenues for FY24 were INR 297 crores and grew by 23% Y -o-Y. This constituted 57% of total revenue in FY24.

Our asset management revenues, ex carry stood at INR 12 crores in Q4 and grew by 27% year -on-year and INR 49 crores in FY24 which grew by 34% year -on-year.

Our capital markets revenues stood at INR 248 crores in Q4 and grew by 71%. Our revenues for FY24 in capital market segment were INR 805 crores and grew by 64% year -on-year. This reflected the strength of our franchise amidst strong capital market activities.

Now on to costs. Our total costs for Q4 -FY24 stood at INR 358 crores and grew by 25% year -on-year. For FY24, our aggregate costs were INR 1,279 crores and grew by 18% year -on-year. Of this, staff costs stood at INR 252 crores in Q4 and grew by 23% year-on-year. And staff costs for FY24 INR 906 crores for the full year of FY24, a growth of 19% year -on-year. Our operating expenses stood at INR 106 crores in Q4 and grew by 31% year -on-year and INR 373 crores in FY24, which grew by 14% year -on-year. Our overall cost -to-income ratios stood at 62% for FY24 down approximately 700 bps year -on-year basis.

Onto profitability , our operating PAT for Q4 stood at INR 181 crores and grew by 57% year -on-year. Our operating PAT for FY24 was INR 597 crores, which grew by 62% over FY23. Our ROE for FY24 stood at 23.6% up by 5.8% over FY23. With this, I now hand over to the moderator for Q&A session.

Moderator: Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Pra yesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Hi, good morning, everyone. Firstly, congratulations decent set of numbers. Firstly, if you look at your cost -to-income ratio particularly if I look at it in Nuvama Wealth it has kind of while for the full year it's down to 65%, but if I look at the last couple of quarters, it's been higher at 66% and 68%.

How should we think about this from FY25 perspective and what is your - in terms of RM count addition what are your plans for Nuvama Wealth in particular with respect to RM addition what Nuvama Wealth Management Limited
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you would have done for FY24 as well as what are the plans for FY25? That would be my first question.

Ashish Kehair: Good morning, Prayesh. So if you look at the cost -income for Nuvama Wealth for Q3, Q4, and if you look at our hiring most of our hiring is actually back -ended this year. In fact, till September the number of RMs were either flat or net negative.

Most of our hiring has happened in Q3 and so the full impact of the cost comes in Q4. That is number one. And when I was giving my opening remarks , I made a mention of the variable cost. We've still not perfected our variable cost estimation and Q4 was still again a catch -up. If you see our Q4 revenue is almost about 27% for the year, but our variable cost was 32%. So if I take that impact out then a ctually the cost -to-income for Q4 falls back to 65%.

And maybe Q1, Q2 will inch up slightly higher. Now next year - see for this business what will now happen is that what you've hired now will start producing may be three months, four months from now. So their cost actually came now, but their revenues will start coming later. In this business now the whole gain of cost income is based on how much you will hire in a year and whether it'll be front -ended or back -ended.

Now this year, it

was back -ended in about 220 RMs. Next year, if we stick to the same the cost income should actually fall by 100 basis points. However, if we choose to hire more and if we front -end the hiring the cost income may actually remain here or ma y slightly go up, but then year after and the year after we plan to hire lesser.

So I will be more comfortable in giving you a 3 -year trajectory. From a 3 -year perspective, we want to add about 800 people 3 -year perspective. Now the spreading could either be equal or slightly more in FY25 depending on how the markets are, but at the e nd of 3 years our target is 60% and that is on track.

Prayesh Jain: Second is on the new money whether we talk about from an overall perspective how do you see new money flowing into the next year? For Nuvama Wealth, it is from INR 5,400 odd crores, we've gone to INR 5,800 odd crores. And even in terms of Nuvama Private, we've seen a moderate kind of a growth from INR 10,000 odd crores in ARR and transaction assets to 11,000 odd crores. How do you see net new money and what are the kind of drivers we should look at from FY '24? One is obviously the RM count ad dition that adds to it, but from a two to three - year perspective, how do you see the net new money kind of flowing?

Ashish Kehair: So, Prayesh , broadly, if I look at historically, and I have seen this year -over-year, and if you do this computation, typically your net new money which comes in is about anywhere between 10% to 12% of your opening assets, given the combination of assets, and then yo u add the compounding which happens on the assets, which is why I keep saying that 18% to 20% AUM growth is what you can aspire.

Some years will be more, some years will be lesser, like last year was lesser because of the mark -to-market was lesser, this year the mark -to-market is higher, so the growth is higher. Having said that, in both these, if you look at the growth in, let's sa y, net new money, the way we are Nuvama Wealth Management Limited
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targeting MPIS as a focus area, that has grown by more than, I think, more than 30% of the opening AUA, and in Nuvama Private, ARR has grown by more than 26% of the opening AUA of that asset class. So, blended basis, 10% to 12%, but focus areas should be 20%, 25% plus.

Prayesh Jain: Got that. I have just two more questions. One is retention on average ARR earning assets has been down in Nuvama Private is this because of product mix or anything particular that we have to look at?

Ashish Kehair: No, this is basically product mix. In Q4, our focus was more on building PMS -type assets. See, the products basically are essentially PMS, AIF, CAT 3, CAT 2, there is a minor difference. M F, these are largely the products which will generate ARR , except CAT 2 AIF, everything else is actually equal because everything you just annualize the revenue and you earn. CAT 2 is the only one where about 25% to 30% of your lifetime commission comes in the quarter of sale. So, in any quarter where the pr oduct mix will change slightly up or down, you may see a five, six basis points up and down happening.

Prayesh Jain: Okay, and my last question is on Nuvama asset where you have an MTM negative in this quarter.

Ashish Kehair: Yes.

Prayesh Jain: What is that pertaining to? And also, in terms of costs, it's jumped sequentially, substantially, just because of variable pay or is that anything?

Ashish Kehair: Yes, I'll answer the cost question first. There was a one-off cost of INR 10 crores which was on our JV setup and all. So, if you remove that, actually the quarter cost is about INR 16 crores.

And if you normalize the variable, then it should be 18 crores and quarter three should be about 17 crores. So, INR 17 to 18 crores is the run rate, it'll remain at that level. The increase of salary, basically the regular increase of salary and manpower addition, whatever happens

next year, that

will be the jump. Otherwise, there is no BAU cost jump that has happened. The M TM impact is in our crossover funds, there were a couple of assets which were digital assets where we have done a revaluation and marked them down.

Prayesh Jain: Got that. Thank you so much and all the best.

Ashish Kehair: Thank you.

Moderator: Thank you. The next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Hi, good morning, everyone. First one is a data question. For both wealth and private division, could you give us a split of asset mix across equity, listed, unlisted, and fixed income?

Ashish Kehair: I think direct equity will be around 40% and fixed income, maybe another 15 - 20% and balance will be managed products. Almost both similar.

Abhijeet Sakhare: The mix is similar across both divisions?

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Ashish Kehair: Almost similar. Not too much difference. Yes, I think this is what I remember offhand.

Abhijeet Sakhare: And second is, if you could just mention two, three action points to improve productivity and operating leverage over the next one or two years?

Ashish Kehair: So operating leverage clearly, like in the past four, five years, what is happening now is that the major cost addition is happening only in the sales capacity. Because your platform, your infrastructure, technology, everything is almost there. The delta cost will be negligible. And when you add sales capacity, typically the productivity keeps increasing year-on-year for the new sales capacity and you reach your desired level of productivity. Nuvama Wealth is slightly faster. Nuvama Private, maybe slightly longer, but you take about two to three years. If they reach 4x, then every 1x of cost addition, you add about 3x of additional revenue or profitability without a commensurate increase in cost. And that is the key driver.

Productivity improvement, multiple things are happening. And I think technology is playing a huge role. In Nuvama Wealth, we are basically rolling out a lot of enabling, support enabling technology solutions for RM, which will help them increase their throughput. Traditionally, what used to happen, I mean, people will go and sell a single product. Now you've given them a portfolio analyzer tool, which can then help them address the entire assets of the client. Even if they are not with you, they will be able to recommend stuff. So throughput of the RM per interaction keeps going up.

And I think technology is the main solution which you have to embed. And some amount of product mix. These two will basically lead. And the fact that your other costs are not going to increase substantially because your broadly infrastructural platform is set, that will lead to your operating leverage.

Abhijeet Sakhare: I got it. Thanks a lot.

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Yes, hi, sir. Good morning. So I have two questions. So firstly, we have seen some compression in the net interest margins during the quarter. Like it fell down to about 470 basis point. So I just wanted your outlook on the same for the next one year?

Ashish Kehair: So typically, what happens, quarter may not be a right reflection. There are three things which happen in a business which does loan against shares or loan against ESOP funding and all.

Typically loan against ESOP funding. You earn interest from the client. You earn processing fees. And depending on the book, you have to provision for expected credit loss or ECL.

Now, the behavior of ECL and processing fees is actually opposite each other. What happens is that when you book a loan, you amortize the processing fees over the period of the loan. And because these are not standard loans, like home loan, car loan, personal

loan, these are very

market link, so people can repay much faster.

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Let's say you charge the processing fees of 0.5% for six months, and somebody repays after two months, that entire processing fees gets upfronted. So your NIM will suddenly start looking higher. And once that loan gets repaid, you reverse the expected credit loss provision which you had made. So it could happen that average book in a quarter is high, but end of period, somebody repays, your NIM looks higher. So if you look at quarter-to-quarter, it'll be difficult to predict, but on a full year basis, 5 to 5.2 % is where we land up.

Lalit Deo: Sure. And so, lastly on the, we have a decent healthy cash flow as a fair market, also going ahead, what are the plans for effective utilization of this cash?

Ashish Kehair: I couldn't get your question. Can you repeat?

Lalit Deo: So like last quarter, we highlighted that we would be thinking on giving a dividend, announcing a dividend?

Ashish Kehair: Okay. So we are very close to formalizing our dividend policy. I think maybe another month, month and a half, and then by next quarter, we will be completely able to disclose. I keep saying that our bent is towards paying dividend, and we will soon close that, and we shall proceed with it. And I think in the next call, we'll be able to articulate our dividend policy.

Lalit Deo: Sure, Yes, thanks.

Moderator: Thank you. The next question is from the line of Jayant Kharote from Jefferies. Please go ahead.

Jayant Kharote: Thank you for the opportunity and congratulating the great set of numbers. Sir, on the Nuvama Wealth piece, the retention on client assets is slightly down to 94 bps this quarter, it seems. It's been moving down from 100 - 104 bps?

Ashish Kehair: So that is only because of the MTM of the brokerage assets. Actually, the yield on our MPIS assets is either steady or it's higher in Q4, because in Q4, insurance numbers go up. But the MTM of brokerage assets, if that expands because of the market phenomenon, your denominator expands. That is the only reason.

Jayant Kharote: Great. Sir, if you could also give out your MPIS assets outstanding in the two quarters that you mentioned, it was 35% of your AUM. If you could give us that number, it helps us to track this?

Ashish Kehair: I think MPIS assets would be around 30%. Yes.

Jayant Kharote: It would have come down over last two quarters?

Ashish Kehair: It ranges between 30 to 35 %. The problem is that the brokerage assets typically have higher MTM, because they are directly linked to market. So the way you have to look at the business is you don't control MTM, right? MTM is given by the market. What you control is the net new flows. Now, net new flows of about INR 5,700 crores came into this business in full year. Out of that, 86% came in MPIS.

Jayant Kharote: Yes.

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Ashish Kehair: And which constitutes 30% of the opening balance. So that will give you a sense of how we are driving. Now, let's say tomorrow if God willing market doubles, I mean, the percentage of assets will come down, but that's because of MTM.

Jayant Kharote: Okay. So INR 5,000 crores was 30% of your flows?

Ashish Kehair: INR 5,700 crores was the total net new market. Out of it, 86%.

Jayant Kharote: 5000 crores was...

Ashish Kehair: Yes, 5,000 crores was MPIS. That's right.

Jayant Kharote: Yes. So how should this trend, sir, now that you're adding new sales force, how should this trend over the next two to three years? And then how has this trended over the past? How has this scaled up? Because we've gone from 600 to 1,000. I know it's very recent addition. But if you could give some colour, how has this scaled up and how does this number move from the next two to three years?

Ashish Kehair: So I think anywhere between

25% to 30% growth on this is what we will target. This has actually over the past, if I see number of years, it has grown substantially. I mean, 7,000 crores has gone to order of magnitude 25,000- 30,000 crores. And every year, it has grown at that kind of a pace. So I think that will only continue to grow with more number of RMs coming in and more from, let's say, the banking fraternity where their understanding of these type of products is more. I think 25% to 30% is the bare minimum we will look.

Jayant Kharote: Great. And the yield should be stable on this one?

Ashish Kehair: Ideally, yes. We are increasing the proportion of business of mutual funds and PMSs in this business. In fact, in this year, September onwards, we've increased the focus because now our RM mix is also changing. About 30%, 40% of the RMs have now come from banks and they're extremely comfortable. And those assets, typically, I'm talking MF equity and PMS, typically yield more than 1%. So I don't foresee the yields coming down in this space.

Jayant Kharote: Just one last question, more from a long-term perspective, given that in the next few years, numbers will be very much influenced by the RM addition, so it may not give us a clear picture. But on a steady state basis, how does this, I mean what AUM, do you see the RM profitability moving below, let's say, cost-to-income of 50%, 55%? And how many years, or what is the period of break-even? If you could just give us some indication from a steady-state perspective, not from next two years, when we get one of these.

Ashish Kehair: If we stop hiring RMs, let's say, today, in the next two years, we should hit 60%. With the addition of RMs, we are saying maybe three years, we are targeting 60%. And at any point in time, if you stop hiring RM, over the next two years, three years, you can reduce 150 - 200 basis points and reach 50 %-55%.

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I don't think it'll go below 50 %-55% ever, because there'll be a churn of RMs also, new RMs will keep coming in and going out. But 50 %-55% is a very steady-state basis. But in India, for the next five, 10 years, I don't think you'll reach a situation where maybe, yes, there will be a year of catastrophe when you will say, no hiring, nothing. But the space offers too much growth right now that you will say that you'll stop hiring people and all. And we are still very small, Jayant, in terms of size and scale, very small.

Jayant Kharote: Absolutely. So that's very helpful, and congratulations again.

Ashish Kehair: Thank you.

Moderator: Thank you. The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: Thanks for the opportunity. So first question is on asset services. This segment has shown very strong growth in this year. So how do you see this segment panning out, and what is the revenue model in this segment?

Ashish Kehair: So this is classic custody and clearing business. Basically, we serve two client segments. One is FPI. FPI is also, we don't typically go after long only because I think there the revenue model is more related to FX and lending and multi-country custody clearing, which is offered by the global banks. We are typically targeting systematic quant funds and hedge funds where the technology solutions and agility required is far higher.

So in that segment, our market share is reasonably large. But given the derivative volumes in India right now, I think immense amount of interest is increasing from these kind of funds which operate in other markets. We are seeing activity from funds in Australia, funds in Israel, UK, US, Hong Kong, Singapore obviously was there, but other markets are also opening up.

So it'll be a function of the number of clients coming in. Last year, we had about 20% market share of all the new clients that came in. And on the domestic side, which to m

y mind is more

structural and more long-term because these are all PMSs and AIFs which is tapping into the Indian financial savings. I think that growth is happening as you can see in front of us.

Total assets, both PMS and AIF put together now, I think it's now about some INR 16 lakh crores which was the size of the mutual fund industry in 2017. And they are growing by 20% -30% every year with new players coming in. So I think we'll just keep focusing on these two segments.

And the earning model is divided into two, three elements. There is fund accounting, there is custody charges, clearing charges, and there is some float income which you make on the cash balances that remain. Either as way of margin or as by way of bank balances which these PMSs and AIFs leave in terms of the cash holding in the portfolios.

Nidhesh: Second is on Nuvama Private. How do you see retention yield on ARR assets going forward?

At 100 basis point, it is quite higher than the other listed peers. So over medium to longer term, how do you see this yield panning out? And if I also compare this number versus, let's say global peers, this number is on the higher side.

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Ashish Kehair: So I would say between 90 bps to 100 bps is what visibility right now we have. And maybe with the expansion of assets and all that, if it comes down later, we are not seeing that visibility right now. Maybe 85 bps to 100 bps is the range depending on the product mix because practically most of the products which go into that typically have that kind of a yield except because fixed income mutual funds is not something which clients in that segment buy through you. They typically go for direct plans. Whatever fixed income they do, they will do in transactional assets through direct bonds or NCDs or credit products or structured credit products which all sit in the transactional asset class. So it's typically either alternative funds or it'll be equity related funds where the yields will not be lower than maybe 70 - 80 basis points at the lower end and on the

higher side, maybe 1.2% -1.3%. Yes, if long, I mean absolute return products which mimic fixed income, that is the only category which at a product level will yield slightly lower, but that also is not below 50 - 60 basis points. So it depends on the product mix, but between 85 - 90 bps to maybe 1 %- 1.05% is the range over a period of time is what is visible right now.

Nidhesh : Sure, thank you. That's it for my side.

Moderator: Thank you. The next question is from the line of Karan Sanwal from Niveshaay . Please go ahead.

Karan Sanwal: Thank you for the opportunity .

Moderator: Your voice is muffled. May I request you to kindly use your handset, please?

Karan Sanwal: Yes, is it better now?

Moderator: Yes, sir, please continue. Thank you.

Karan Sanwal: Yes, congratulations for the good set of numbers. Just wanted to understand the impairment of asset that we have recorded in this quarter. If you could talk about it was towards some ongoing dispute involving the Wealth and Investment Limited or subsidiary. If you could talk about it in greater detail.

Ashish Kehair: Sorry, I didn't understand.

Karan Sanwal: So there was an impairment of asset that we have recorded in the books?

Ashish Kehair: That was a case which was going on. We had been providing for it. It's actually a custody client, which was doing brokerage through NWIL. So that impairment will get cross -charged to the asset services business.

Karan Sanwal: Okay. And also, when we see the financial results and when we see the presentation, there's a bridge to financial statement in the form of annexure one. So I wanted to understand what would be a better number to look at on a study set that is going forward. How long do we expect that bridge to financial statement to offer in our books?

Ashish Kehair: So that

bridge will always be there because of certain accounting treatments . For example, when we earn, let's say, brokerage, now you have to, in financial statements, it gets reported as gross, and then all the statutory charges and payouts, they come in the opex, which actually is incorrect.

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Ideally, the income should be net income. So that adjustment is one adjustment. And similarly, let's say when we do a fixed income product, typically in fixed income, how it happens, it passes through your books. You buy and then you downsell.

So what gets recorded in financial statements is fair value changes and all that stuff, but it's actually distribution income. So unfortunately, the way the accounting standards are, this will continue, in my view, permanently.

Karan Sanwal: So would the adjusted numbers be a better number to look at?

Ashish Kehair: Yes. Because otherwise, you will not be able to comprehend the numbers. If you look at the financial statements, given the way accounting standards are, you will not be able to correlate it back to the actual business line numbers.

Karan Sanwal: Okay, understood. And one last question. So this, you have talked about the opex, cost, but on a consolidated basis, I just wanted to understand, how are the opex costs expected to behave with respect to earnings? Are these margins that we're doing for the last two quarters sustainable on a full year basis, or do we expect, if you could give us a range of margins that we would do on a full year basis?

Ashish Kehair: I think what we have seen for last two quarters will only get impacted if there is a severe downturn in, let's say, the capital market business, where if, let's say, primary and secondary activity goes down. On our analysis on, let's say , variability, even if capital markets business, so for Nuvama Wealth, Nuvama Private, I don't think the margins are going to compress if the market environment remains normal. I'm not saying euphoric and, let's say, catastrophic. If it remains normal, our margins would remain the way they are, and operating leverage will continue to keep adding to the margins.

Asset management is still in an investment phase. Next year, maybe our cost income will be in a similar range or slightly higher. Year after that onwards, you will see a consistent improvement. Capital markets is the only one where you've seen significant margin expansion. Even if there is a 10% fall of revenue, the way our cost structure is in that business, about INR 300 crores to INR 310 crores is fixed cost.

The revenues were about INR 805 crores, and balance is variable cost, and variable cost is between 10% to 15% of revenue. So if you have a 10% fall, our cost income there goes up from full year basis 53% to maybe 56 - 57%, and that is 100 basis points impact on our overall business. So broadly, unless there is extremely something drastic which happens, I don't think you will see a margin compression from where we are.

Karan Sanwal: Okay, that was very helpful. Thank you so much. All the very best.

Moderator: Thank you. We'll take the next question from the line of Yash from Stallion Asset Managers.

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Yash: Okay, thank you for that. Thanks for the opportunity. So I just wanted to understand that we have taken an impairment of INR 24 crores on a console basis this quarter, and I think that has impacted the profitability on Y-on-Y basis. So going forward for next year, do you have any sort of idea on how this number would behave?

Ashish Kehair: No, there is no such impairment next year.

Yash: Okay, okay, so there's no impairment on that. Okay, thank you for that. And just one more thing. Just a previous participant had asked on the capital markets. I just wanted to understand the margin commentary that you had

made. So you're saying that going forward, or just elaborate, please, again, on your comment. I wasn't able to get it.

Ashish Kehair: So if you see capital markets right now, our cost income ratio is broadly 53% for the full year. Right. Now, if let's say we are able to grow, I'm saying modestly by let's say 10%, there will be an improvement in the cost income, which you're seeing. If we are flat, it'll remain the same. If our revenues fall by 10% from where we are, instead of let's say INR 800 crores, we end up INR 720 crores. The cost income there will go up from 53% to about 56% - 57%. And that will have an overall impact on the full business by 100 basis points. That's what I meant.

Yash: Okay, understood. That's it, that was my question. Thank you.

Moderator: Thank you. The next question is from the line of Rahul Agrawal from Himalaya Investment Advisors. Please go ahead.

Rahul Agrawal: Thanks for the opportunity, sir. My question was also on the capital market business there. How different is the margin profile for the asset services business that we have and for the capital markets, which is the institutional equities and IB business?

Ashish Kehair: So I think the asset services business has the highest margin because that is a business that requires some amount of capital, licensing, technology, everything. The lowest would be investment banking because it requires zero capital. Everything is done by people. So whatever you earn is 100% ROE and institutional equities will be somewhere in between.

Rahul Agrawal: Understand. Can you put an absolute range to where would it be on a ballpark basis?

Ashish Kehair: Each of them?

Rahul Agrawal: Yes, for asset services specifically?

Ashish Kehair: Maybe the cost to income would be around in a good year, 35%, in a bad year, 50%.

Rahul Agrawal: Got it. And there you said that your focus on FPI clients which are more into algo trading, hedge funds, and so on. Can you talk a bit about what sort of yields do you, what sort of revenues come from the FPI segment there versus the domestic segment? And what is the yield?

Ashish Kehair: The yield is more or less similar because the earning is same. The underlying earning is same and we don't earn on activity. There is no, earning on activity happens in broking. In custody

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and clearing business, you don't earn on activity. It's a services business. So you basically earn float, fund accounting charges, clearing charges, custody charges, which are broadly similar. So the yields will be similar, the sizes will be different, but domestic is growing at a faster pace.

Rahul Agrawal: Understand. And FPI would be north of 50% for that business currently in terms of revenue contribution?

Ashish Kehair: Yes.

Rahul Agrawal: Got it. And you also mentioned that in a good year, the cost of income can be 35%, in a bad year it can be 50%. I would imagine asset services should be very, stable in terms of margins. Can you talk a bit about why would it move so much?

Ashish Kehair: Maybe you're right. I'm talking from a historical context perspective as to how our profit margins have expanded over the last three - four years. But that is not reflective of the business in general, because we shut down two - three lines of businesses over the last two, three years, which were not very accretive and high risk.

So in those years, our cost income was slightly higher because you still had the cost and you shut down the revenue. And as and when you reduce those costs, it fell down to 35% - 36%. So broadly, I think that should be the range. It should not be, in a normalized year of business, it should be within a 10% - 15% range, and not more than that.

Rahul Agrawal: I understand. So more like a 35% - 40% cost to income. So net is a 60% PBT business in a way for the asset services.

Ashish Kehair: Yes.

Rahul

Agrawal: Got it. And one last question on that, what is the revenue contribution of FPI? You were saying something that I could not understand.

Ashish Kehair: So right now, about 60% comes from FPI and about 40% would come from domestic.

Rahul Agrawal: Got it. Okay, thank you so much, sir.

Moderator: Thank you. The next question is from the line of Gurpreet Narang, an individual investor. Please go ahead.

Gurpreet Narang: Thank you. Hi, good morning, everyone. Congratulations on a decent set of numbers. My question pertains to your asset management business, sir, which I feel has a lot of untapped potential. Can you throw more light on it? How do you plan to scale it up? Thank you.

Ashish Kehair: So basically, there are right now three strategies or three broad buckets in which we operate. One is private markets, where we have a crossover fund and a venture debt fund. We plan to keep expanding on the crossover fund as a strategy because we have track record, we have size and scale.

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And going forward, we will also maybe add late stage fund. So that is one element where we keep expanding the size of the funds in that strategy. And we are expanding distribution right now. In the initial years, we started only with our internal wealth management distribution. We have now added about six other wealth management outfits and banks. And we have gone out and added a placement agent in Middle East.

So that's how we will expand distribution there. On the public market side, we now have three - four funds. One is a long shot, which is over cycles. It's supposed to beat large cap, standard large cap funds. We have absolute return fund, which is a fixed income replacement. We have a mid- small cap.

We will soon be launching a flexi cap, which will be the all weather equity product. And so in public markets, the idea is to just keep expanding across these strategies, both internal and external distribution. And then we have a real estate fund, which is commercial real estate.

There are other areas, which we are still thinking about, like private credit, which is now growing very fast. Most of the people have a fund around that, but we are still not clear whether we want to launch and when we want to launch, because there is so much amount of overcrowding there. Is the question of is only when and not whether we will do.

But right now we are waiting for this. I think across these three - four, clearly, next year, we should be able to add INR 3,000 crores to INR 4,000 crores of assets, which will take us to INR 10,000 crores. And once we cross INR 20,000 crores, is when the full-fledged operating leverage starts kicking in. Because most of your investment teams, operations team, distribution team, everything will be in place. And as you expand the asset size, it keeps adding to your margin.

So that's how we are looking at the overall asset management.

Gurpreet Narang: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Ashish Kehair: Thank you. Michelle. Thank you everybody for joining us today. Hope to see you again in the next quarter. Thank you.

Moderator: Thank you, members of the management. On behalf of Nuvama Wealth Management, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Thank you.

Call: Aug 2024

Nuvama Wealth Management Limited (Formerly Edelweiss Securities Limited)

Corporate Identity Number: L67110MH1993PLC344634

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NWML/SEC/202 5/56

August 2 , 2024

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BSE Scrip Code: 543988 The Manager,
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, 5 Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai 400 051.
NSE Symbol: NUVAMA

Dear Sir(s) / Madam(s),

Subject: - Transcript of earnings conference call

Pursuant to the Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation dated July 19, 2024, regarding the earnings conference call to discuss the Company's performance for the quarter ended June 30, 2024, please find enclosed herewith the transcript of the aforesaid earnings conference call held on Monday , July 29, 2024.

The same is also made available on the website of the Company www.nuvama.com

We wish to confirm that no unpublished price sensitive information was shared / discussed in the aforesaid earnings conference call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Nuvama Wealth Management Limited
(formerly known as Edelweiss Securities Limited)

Sneha Patwardhan
Company Secretary and Compliance Officer

Encl: as above

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"Nuvama Wealth Management Limited
Q1 FY '25 Earnings Conference Call "
July 29, 2024

Disclaimer:

This document is subject to errors and may or may not contain words which have been included / omitted due to human error while transcribing the conference call. Any and all information should be verified with the company by the reader .

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MANAGEMENT : MR. ASHISH KEHAIR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – NUVAMA WEALTH
MANAGEMENT LIMITED
MR. BHARAT KALSI – CHIEF FINANCIAL OFFICER –
NUVAMA WEALTH MANAGEMENT LIMITED
MR. MANISH DHANUKA – HEAD INVESTOR RELATIONS
– NUVAMA WEALTH MANAGEMENT LIMITED
SGA – INVESTOR RELATIONS ADVISORS – NUVAMA
WEALTH MANAGEMENT LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Nuvama Wealth Management Limited Q1 FY25 Earnings Conference Call hosted by Nuvama Wealth Management. As a reminder, all participants live will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. I now hand the conference over to Mr. Ashish Kehair, MD and CEO from Nuvama Wealth Management. Thank you and over to you, sir.

Ashish Kehair: Thank you, Deepika. Good morning, everyone. I welcome you all and thank you for joining us today to discuss the financial results for the first quarter of fiscal year 25. I have alongside with me Bharat, our Group CFO. This is his first call. Manish, our Head of Investor Relations and the SGA team our Investor Relations Advisors.

I'll start with my opening remarks and then we'll hand over to Bharat to detail our financial performance and then we can jump over to the Q&A session . For easy reference, this time we've emailed all our results to most of you, the presentation and the data book also. These documents are also available in the disclosures with the stock exchanges and our website under the Investor Relations tab.

Hope you got a chance to look through it over the weekend. We've added some more slides to give some more color around the business. I'll start with a bit of macro. I think two big events are now behind us, both elections and budget . So the focus will be on the economic growth, global macro and the geopolitical situation. I think U.S. election being the most important. But

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we are confident that in any situation, India will remain relatively better positioned. Economic and business performance will continue to be better , driving the growth of wealth. So from a macro perspective, we don't see any worries about India as such.

Jumping to our results now, I'll briefly summarize the business -wise outlook and share the progress we are making against strategic priorities in each of the businesses. Overall, I think we had a good quarter. All the businesses performed well.

Most of the input metrics which essentially we focus on are trending in the right direction. We continue to grow our sales capacity, our client relationships, client assets and our market share. We reported a revenue of about INR 668 crores for the quarter, an increase of about 60% over last year, same time, and an operating PAT of INR 221 crores, which is an increase of about 133% over the same period.

I'm also pleased to announce, as you guys keep asking all the time, our first dividend of INR 290 crores. This is approximately around 50% of last year's profit. Now coming to wealth management, I think Q1 continues to see strong flows around our focus areas.

Our differentiated platform is working really well. The industry continues to evolve. I think multiple forces are at play, growing wealth, emergence of new geographies, specifically beyond Tier 1, which I keep saying, with both HNI and Ultra HNI, changing customer preferences, and the increase in product suite and complexity with more regulatory focus and leading to

technology disruptions.

In our assessment, these forces will drive consolidation and continue to do the movement from unorganized to organized. And over a period of time, I think business models will have to transform and become more platform-led with universal wallet approach of the customers rather than being monoline and offering few products, because that kind of a model is extremely exposed to regulatory risks. As we all know, any kind of regulation change can happen in any single product line, which can disrupt your whole model.

Therefore, we've chosen to build a multi-product, multi-channel, multi-customer segment model, which is working well for us. And over a period of time, the scale, the presence, and the franchise we've built, I think will help to grow this business consistently. Coming to our wealth cluster, the first business, Nuvama Wealth, I'll speak about the focus areas here.

We continue to add capacity and grow the relationship management pool. Last 12 months, we've added about 350 RMs, and in Q1, more than 60 RMs. I also want to say that, as I mentioned last time, that as we scale in this order and magnitude, it is of utmost importance that processes are institutionalized, and not only the advisory process, about which I'll talk about later on the technology stuff which we are doing, but also the entire talent management, learning and development and the sales cycle management. I think all of this has to work seamlessly to be able to get this kind of a workforce inside and make them productive in a reasonable period of time. On asset flows, managed products and investment solutions, which is MPIS, continues to remain our focus area.

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In Q1, we've garnered about INR 1,400 crores in net new money in MPIS. We've added this disclosure in the data book, additional disclosure. INR 1,400 crores is about 11% higher than the full FY24 quarterly average.

And over the last 12 months, we've added about INR 4,700 crores, which is a 25% Y-o-Y growth on the starting base. And within NNM, I'm happy to state that NNM for managed products, the proportion of that is growing faster. That has grown about 40% year on year and now constitutes more than 70% of the entire NNM that is happening for the last

two quarters.

We expect this trend to continue, but there is an implication of this because most of the managed products now are annuity based. So we are building that book and the trail build out, as you understand, takes time. So in about two to three quarters or maybe three to four quarters, you will see that meaningful growth in the managed products income that will come by the accumulation of trail that is happening because of the addition of the book.

On revenues in Nuvama Wealth, while the overall revenues have gone up, if you look at quarter on quarter, MPIS is down marginally about 2%. And I'd like to state that is largely because of the AIF revenue recognition impact. If we normalize that, the revenue growth in MPIS itself is about 20%.

And quarter on quarter, actually, we don't see here because quarter four, sorry, Y-o-Y was minus 2%, quarter on quarter is about 13%. And that's largely because of insurance because insurance is heavy on Q4. We all know it happens every year, it'll happen this year also. And therefore it gets normalized. And which also actually has a leading impact on yield. So you cannot really compare the yields in Q4 and Q1 because insurance does a bump up.

And in this year, Q1, we had a significantly higher mark to market in brokerage assets. If you look at the entire mark to market number of last year versus this year, in Q1, the mark to market is about 50% of the absolute value of last year's full number of mark to market. If we normalize that, then Q1 yields actually inch up and are almost equal or higher to the Q4 yields.

And cost income, Q1 is about 66%, Q4 was 68%. So there is a 200 basis points improvement there vis-a-vis last year, Q1, it was 64%, but not comparable because we added about 350 RMs after that. And if you take the impact of that growth cost and the revenues produced by those RMs, it's actually 63%. So there's a 300 basis points reduction. I think we'll talk about this more during the Q&A session.

As I said, on the technology side, we are investing heavily in this business, specifically around two areas. In my last call, if you would recollect, I had mentioned that we've launched a portfolio advisory tool, which we internally code name as MARS, multi-asset advisory tool, which is now in production, rolled out to the entire Salesforce, and is getting extremely good feedback because it's helping the field to engage better with the client, deliver more, I think, consistently, and achieve a personalization at scale.

And second, I had mentioned that we are launching an internal platform, which is like a sales cycle, cum CRM, cum book management and activity management tool, which is called One

Platform . Now it's available even on a mobile app to the entire Salesforce, and I think it will help them deliver their job better.

Moving on to our Ultra H NI segment, Nuvama Private. I think the segment continues to see robust demand across not only tier one, across tier two, tier three, economic activity, corporate profitability, everything has a positive impact. And recently we saw the data that more than 50% of recognized startups in India are coming from tier two and tier three. This will lead to an unprecedented disposition of wealth in the hands of customers there.

And the need for organized wealth management is only going to go up. I hope and wish that service providers like us are able to match up on the supply side. We continue to invest in capacity here also, about 15 % to 18% have been added in the last 12 months.

First quarter is normally slow in addition of capacity in this business, because typically the appraisal cycle ends around April, May, June, and people are reluctant to move because their whole year bonuses and all happen. So Q2 onwards activity will pick up and we have a decent pipeline Q2 onwards. But I want to s

tate one point here, actually something which is a little disturbing in this segment is there is some kind of a FOMO happening.

A lot of organizations are jumping into this business. Many traditional players are changing their nomenclature and moving into this business. And a sincere piece of advice to the world of relationship people that please do not make a movement to the highest bidder because when cycle adjusts, things do not go well and massive layoffs happen.

And we've seen that play again and again in any sector that goes overboard. And therefore you should look at players who are serious, who have vintage, who have deep pockets, who have sustained cycles, and who have a platform that can deliver value to the customer.

Overall, we've added about 200 families, taking the count of families to about 3,900. So customer acquisition remains robust. And the synergy with investment bank is working really well. About 40% of the relevant deal clients and 80% from a value perspective, the total value of deals which investment bank has done is now started working with Nuvama Private, and which is a reasonably good number. We'll continue to improve upon that.

Coming on to flows ARR flows remain as a focus area for us. Q1 was the highest ever in terms of flows in ARR about INR 4,700 crores and out of that, happy to state that more than 93% is managed products which is a trend now we are seeing over the last two quarters.

And if you see in the last 12 months the total flows here were about INR 11,200. In comparison , I think the transactional asset, we are largely seeing MTM and I'll talk about it a bit more, but again as I said in Nuvama wealth the implication of building the ARR flows especially in the area of managed products is that you'll see the trail build out happening gradually, but meaningfully.

So, there will be some quarters where I mean we may get a little impatient, but I don't think we will digress from our strategy. There is a bit of depression in the transactional income in Q1

which is why the Q1 versus Q4 revenue looks slower, but Q2 onwards the transactional income will come back because there are opportunities in sell downs and unlisted shares and other products which are coming back in Q2 onwards.

On the offshore build out, last time I'd mentioned that we are working in DIFC licensing and all, happy to state that all our approvals have come, our leadership is in place and about two to three relationship managers will be joining in the next 20 to 30 days and will be open for business.

Coming to asset management , our AUM is now around INR 7,700 crores. We've added about INR 700 crores last quarter between new money and MTM and overall I think the target or the aspiration this year is to add about INR 3,500 to INR 4,000 crores across the multiple strategies which we have and because we've added new products like commercial real estate, we've added one more fund in our private equity space, which is Crossover 4, both for domestic and international investors. And we've added an absolute return fund which I'll talk about more.

So, I think we now have the product pallet fully available and the sales engine is also firing. In the private markets the approach has been right now for the last 12 months on deployment. Now deployment momentum has picked up, so we will continue that and add to the new strategy which we have rolled out. Public markets , we have our two flagship products, Edge, which is a long shot fund.

Now that's the largest in this category and in the top two performance figures always. So, we have a reasonable amount of demand now coming in from external distributors. And Nuvama absolute return fund is a fund which basically is a fixed income alternative. It targets pre-tax, pre-fees, a return of about 15% with no negative quarter. So, essentially after t

he debt mutual

funds have gone to marginal slab-based taxation, I think there's a huge gap in that space and this product fills that space. So, we are extremely bullish on both these products.

In the first quarter we saw sales of about INR 500 crores in this category and over the last 12 months we've moved from INR 1,000 crores to INR 3,000 crores almost in terms of AUM here.

Commercial real estate, our newest product is now picking up. I think in the next two quarters we'll be able to do our first close and also start the deployment. Capital markets, the uptrend actually continues. Extremely robust performance in Q1. Asset services we are seeing growth across client segments both in the international clients and the domestic clients.

Domestic clients typically comprise of PMSs and AIF where we do their fund accounting, client onboarding and custody services. So it's somewhat like what RTAs do in a similar setup which we offer to the domestic PMSs and AIFs. We've added about 30 new acco units. We have a lead market share in the domestic market in that space. And on the international side, we've added about five new accounts, bulge bracket on the clearing side and both put together the assets have grown about 3x in the last 12 months. So we've added about INR 37,000 crores of assets in these two spaces.

And both institutional equities and investment banking, which is our core capital markets are doing well. Institutional equity there has been a volume pickup in Q1 on the cash side whereas the derivative side the volumes in the markets have been a bit muted compared to Q4, but we've

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seen a reasonable increase in our market share both in cash and in derivative segment which has led to the increase in revenues.

And investment bank, I think the deal activity continues in terms of QIPs, blocks, IPOs and we've also been able to do a marquee transaction one of the largest in the ophthalmic devices space where we sold a company called Appasamy to Warburg Pincus one of the largest deals in that space. So those all happened in Q1 for us.

There were a few regulatory changes I think which happened and one of them is around the rebates which market intermediaries will now not be able to earn. I think from 1st of October onwards. For us, I would like to state that the impact is negligible, I mean less than 0.2%, 0.3% of our revenues. So there will be negligible impact.

And the other question that keeps coming to us is will the asset services revenues get impacted if there's a decline in yield? In FY25, we don't see any impact at all. The way we have structured and hedged our book and the deposit structure is in a manner that at least for the next 18 months we don't see an impact in the fall of yield.

And at the pace at which assets are getting added, I think even in future if there is a yield reduction it will be more than compensated for with the addition of assets. I think with that my opening remarks I'd like to sum up that overall a good quarter, hope to see the trend continue in the coming quarters. And we'll hand it over to Bharat to take you through the quarter performance and analysis.

Bharat Kalsi: Thank you, Ashish and good morning and warm welcome to all the participants. Ashish, first of all I think you covered most of the points. So I'll try and brief and maybe a few things which have not been covered I'll try and cover that. So again, good morning to all. So, as Ashish covered a lot of things in terms of the macroeconomic also the sector or the economy has been very positive in terms of the real GDP growth or there has not been a much of any regulatory larger financial system issues or there has been improving profitability by the corporate. So, I think all those are in the right direction for the industry which we operate in. Having said that, like any other industry which i

s involving people money whether it is banks, NBFCs, wealth management companies, mutual funds and all they are always under the extra vigilant in terms of the regulatory environment and that is true for us also. So, what we have seen there have been two key changes which has actually happened.

One is on the AIF revenue recognition which happened last year say sometime May 23. But that has a base effect on this for us and more specifically for our private business where we have been a large player on the AIF side. The second is as Ashish touched upon the insurance sector is also undergoing a change wherein there has been a change in the surrender values which will get effective from 1st of October 2024 which in a way means again there will be an impact in

terms of upfront commission versus a trail commission.

What I am trying to say here is that both these impacts have a base effect for FY 24 and 25. So, maybe the quarter-on-quarter performance is not exactly comparable. So if you look at quarter

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1 last year versus quarter 1 of this year even if I will cover the numbers at the Nuvama Private level also, there has been an impact on the AIF income which will reflect in the overall wealth income growth.

If you look at the other things which Ashish covered or maybe the budget part, the budget has been very I think the focus has been more on the simplification on the whole of the capital gain structure whether it was making the slabs flat versus 10% versus 12.5% or even the holding periods changing from multiple different periods to flat 12 and 24 month. All this has been implemented now effective this month.

The other thing which we are happy to announce is that we have declared a dividend which is INR 81.50 per share which is roughly INR 290 crore s or in other words which is roughly 50% of our last year operating PAT. So, that is where we have declared our first dividend after the listing part and our endeavor will be to declare a dividend to the range of 40% to 60% of our annual consolidated profits. So that's where we are heading.

Obviously, the focus will be on the capital management in terms of where we are deploying our capital. So, the capital deployment will continue in terms of addition of capabilities, building our tech platform which will lead to better say customer experience as well as the engagement with our own relationship manager which in turn comes back as more like a retention for our relationship managers. So, I think all this is where we will continue to deploy our capital.

Having said that, Ashish covered most of the numbers, but I'll go on business by business and at total levels. So if you look at our overall asset base that has moved around 50%. I'm comparing all the numbers on a Y-o-Y basis. There has been a 50% growth in the client assets to around INR 3,89,000 crore s.

Within that, if you look at Nuvama Wealth our mid-market segment, that is up by 45% and touching around at INR 88,000 crore s. This has been a good quarter for us in terms of our new money which within the MPI S space has been very strong at around INR 1,400 crore s. Of the total NNM contribution, 75% has been in the MPI S segment. So, that has been very reassuring. If you look at Nuvama Private our asset base is now at INR 1,86,000 a growth of around 31% year-on-year. Again, if you look at the total asset base has grown by 31%, but our ARR assets have grown much faster at 48% with the AUM of ARR at around INR 39,000 crore s at the end of the quarter 1. Asset management, again it is in a strong growth of 30% Y-o-Y. We covered a lot of things in terms of the new offerings and the new product which we have launched over the last three to six months.

And similarly if you look at the capital market side the custody and the clearing businesses saw a very strong growth of 115%. Aga

in we discussed in the previous section with Ashish in terms

of where the money is coming from, whether it was on the international clients or on the domestic side. If you see the overall revenue part the revenue has grown by a healthy 60% at INR 668 crore s. All the businesses have done well.

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Within that, if you look at Nuvama Wealth that has gone up by 23% year-on-year. And Nuvama Private has grown 11%, but that's mainly as I mentioned, because of the AIF impact. Our internal estimate is around INR 20 crore s worth of AIF revenue impact in the quarter 1 last year on a like-to-like basis. If you neutralize that the growth could have been in the range of 30% to 33%. So, I think it is again on a base effect basis is where it is reflecting at an 11%. Otherwise, this has been a strong growth for Nuvama Private also.

The AR revenue continues to grow at a much stronger pace and now is contributing 63% of the total wealth revenue which is where our stated approach is that our focus will be more on the ARR side of the business. In terms of asset management excluding the carry the revenue has grown by 23% and within that if you look, 44% of our AUM is now fee-paying.

There is a growth of 44% in the fee-paying AUM which is much faster than the overall growth of the asset management revenue. And capital market, it's a very strong growth of 153%, taking it to INR 331 crore s. We continue to benefit from the synergies as Ashish also mentioned about

a deal which has been within the system which leads to first an IB deal then it comes back to wealth management business as opportunity. That all is playing well for us and we hope to see more such things.

On the cost side, the cost has actually gone up by 28%, but if you look at what we have done is that there has been an addition of around 350 odd people over the 12-month period. That is only on the RM side, but if you look at the total employees the increase in the number of employees around 500 over the last 12 months that is one is playing in, the annual increment is playing in. And secondly the variable cost which is linked to our business.

So when we are growing at a 60% the variable expenses which is linked to the incentives are also being provisioned accordingly. That is what is leading to a 28% growth. If you look at the data book the Nuvama wealth cost-to-income ratio has marginally gone up from 64% to 66%, but that as I mentioned it is because of the 350 plus RMs which we have added. And the throughput of such people it typically takes 12 to say 24 months to reach to the desired level and hence it is impacting it.

But if you exclude the growth capital or the growth investment which we have made the C/I ratio has actually come down from 64% to maybe 63%, 62% kind of a number. So that is all is playing in. Similarly, on the Nuvama private side there is a marginal increase in the cost-to-income from 68% to 69%. Again, if we remove the AIF impact and the growth capital impact it could have been easily 65%, 64% number. So that is where we are heading.

Lastly, I think my general submission here is that on a quarter-on-quarter basis, a INR 2 crores, INR 4 crores or a INR 5 crores cost impact or maybe a timing of a INR 10 crores, INR 15 crores impact on the revenue side can actually move the cost-to-income ratio by 1% here and there. So it always becomes a little tricky to manage it at the last decimal. So, maybe on a steady-state basis is where we are heading that the cost-to-income ratio if we exclude the growth cost it should touch around 60%, 61% over the next maybe 24 months to 36 months is where we are heading.

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Lastly, as we mentioned, the profitability has been very strong at INR 221 crores, which is a 133% growth and even on a sequential

basis it's a growth of 22%. That's all from my side and happy to take any questions after the moderator takes over.

Moderator: Thank you. Thank you very much. We will now begin the question and answer session. The first question is from the line of Jayant Kharote from Jefferies. Please go ahead.

Jayant Kharote: Hi. Congratulations sir on the good set of numbers. First question is likely what Ashish pointed out in the beginning of the call. We are seeing a high level of churn so to say not just at RM, but even at senior management level in this wide space. First of all where have we been in this? Have we made any acquisitions or let's say acquire this quarter and then the follow-up to that is if we do see RMs moving across typically what part of the AUM are you able to retain and then what are the modes that you are building to be able to retain the AUM?

Ashish Kehair: Thank you, Jayant. So acquire actually are working on. Acquire may not be one of the best approaches because when you do that kind of a hiring 30%, 40% of the team which you get may not be what you want. So, our approach is two-fold always that you look for individual RMs and if there are teams in which a higher proportion of people are of the type which you want then you go ahead.

We have not lost too many people, but like any industry which is growing I mean this is a pain which you will have to live with, specifically in a people-oriented industry. If either the industry is not growing then it's a different kind of a pain and if you are seeing a reasonable amount of growth and optimism about future this is one of the factors which you will have to live with and you have to manage time and again.

At least at the leadership level, we have not seen any churn, but many new players I think are coming into the space across the spectrum. I think in retail, in affluent, in HNI, Ultra HNI and many players are also changing their strategy to move into this space. So, I actually see it will lead to an overall talent expansion because whichever way you slice or dice it, I don't think if people keep recruiting from one another there is going to be a winning approach because ultimately the talent pool is limited.

So, people will have to dip into talent pools which are sitting inside banks, build infrastructure around training and other stuff in order to add to the talent pool for the industry to grow meaningfully. In terms of asset movement, I have always maintained this that it's not really easy for clients to close accounts and shift everything and specifically in cases where if somebody is making a movement a multiple number of times in their careers it's practically impossible for clients to shift everything.

Yes, incremental business will get split between the two firms, but I think more than 60%, 70% of the AUM is retained with the existing firm, but typically in ultra-high net worth because the number of relationship points, the number of hooks which you have with the clients, the number of touch points which you have with the clients goes significantly beyond just one touch point. So, business typically gets split. It's not that 100% movement happens of assets neither do we get it, nor we lose.

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Jayant Kharote: And just to add to this do you expect the cost -to-income in this segment to be slightly elevated until this competitive intensity part recedes let us say for the next 6 months to 12 months ?

Ashish Kehair: In my view, no. Actually, the more impact of cost -to-income is happening today because of the change over which is happening from let's say the revenue recognition of AIF because for us, for example, we were in the process of booking 60% in year 1 which in CAT 2 has let's say fallen to maybe 30% or 25%.

Many players in the market were booking 100% and that changeover is to my mind 12 months

to maybe 24 months to 36 month process where it remains elevated, but even this year in our view by the time we end the year we should come back to 65% or below because if you see even in Q1 , the impact to cost -to-income has happened not because of your regular revenues or ARR revenues, but because of transactional revenues and transactional opportunities actually keep coming differently from quarter -to-quarter and we are now seeing opportunities which are emerging in Q2 you will see it should come back.

And the cost movement , in a way people are overpaying, but ultimately the relationship manager cost as a proportion to overall cost of the business is maybe 50%, 55%. So , if you have an established infrastructure, if you are a player which is of scale and your other costs are under control and if you are not mindlessly adding RMs at any cost then the cost -to-income should be under control.

Jayant Kharote: That's very helpful. One last question if I could squeeze in is on the yield. We have seen and I'm not referring to the Y -o-Y numbers at all, if I look at this quarter in isolation, I see the yields are down to 90 bps on the ARR earning assets in the private piece and if I strip off the interest earning piece it probably is around 55 odd bps. This has been slightly lower than what we've been doing in the past two quarters. Can we assume this to be the new normal?

Ashish Kehair: No, I meant to cover this in my opening remarks. I missed it. In this quarter , we've actually had a big win in our ARR assets. If you see our net new money in ARR is about INR 4700 crores. Out of that about INR 2000 crores have come early. It came in the month of April, May, but the deployment has not happened. It's come from two large families.

Right now that money is sitting in liquid fund and arbitrage fund. It's come in our infinity portfolio which is our in -house non -discretionary and discretionary multi -asset portfolio. Once the deployment happens and we start earning the contracted rate the yields will come up. The impact of that single inflow is about five basis points.

Jayant Kharote: That's very helpful. Thank you and congrats once again .

Ashish Kehair: Thank you, Jayant.

Moderator: Thank you very much. The next question is from the line of Prayesh Jain, Motilal Oswal. Please go ahead.

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Prayesh Jain: Yes. Hi, good morning, everyone. Congrats on a great set of numbers. I wanted some more understanding on the capital market business. If you could link up your cost -to-income between the two segments which is your asset services and IE and IB. Also extending that point if the regulations or what the media has been talking about with respect to F&O activities, is that there will be a meaningful impact on the volumes in the asset services business?

Ashish Kehair: So, overall cost -to-income Prayesh if you see in capital market is about 42%. Asset services in that sense is a more I would say is a lighter cost -to-income business. So that would hover around maybe 30 %-odd, 30%, 33% and the other part automatically goes to about maybe 50 %-55%.

On the F&O side actually we are also waiting like everybody to see what's going to happen.

There are a number of changes which are being proposed which will lead to - which is basically targeted to reduce the retail participation in the F&O market which I think will have a larger impact on maybe people who have broking business around retail.

What that has as a second order impact on the institutional side will have to be seen, depending on what is the order of magnitude fall. If I'm saying if there is a, let's say, magnitude of 20 %-25%, then maybe there could be a 5%, 8% impact on the float of asset services business of the institutional clients. We do not have a large F&O float of retail clients.

As you know, our overall broking

product within wealth management is relatively small. And within that, derivatives is even smaller. We've never participated in that part of the business. So that we are isolated. But if there is any second order impact on the institutional volumes on the derivative side, that will have to wait and see. Very difficult to say right now.

Prayesh Jain: Is it fair to say, Ashish, that the capital market s -- the asset services business is more closer to being an annuity?

Ashish Kehair: So, if you look at degrees of separation, like if I were to see, and I keep saying this, the closest to, let's say, the volume volatility of capital markets is I think broking. And the most distant is wealth management. And somewhere in between is, let's say, asset services, because it ultimately serves two communities. One is international clients, which basically trade in the domestic markets. And second is the domestic PMSs and AI Fs. Domestic PMSs and AI Fs, I think are fairly, fairly, fairly insulated, because there, our income is completely not linked to volume ups and downs.

It's typically a service-oriented business. International, yes, if, let's say, there is a massive volume reduction and if they bring their volumes down, there could be some impact. But if you ask me, it's more or less the current nature of income which we have is more than 60 %-65% is annuity. So, ideally, I don't think it should be valued in a similar manner as, let's say, core capital markets, because core capital markets is a different nature versus asset services, if that's what your question is.

Prayesh Jain: That's really helpful. Just on the asset management side, the yields have dropped sequentially. Why would that happen?

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Ashish Kehair: See, there are two, three things, Prayesh, in that. One, there is a product-level yield, right? The product-level yield is more or less consistent, if you look at private markets and if you look at public markets. Now, in the last 12 months, what has happened is that, which I've been saying that we've not added assets in our private markets, because our focus was on deployment. And that's how private markets work, right? You first raise a fund, you deploy at least 70 %, 75%, 80% and then you raise the next fund. Whereas public markets are continuous vehicle, there is no end date, unless you're doing a close-ended fund, which we don't have.

And in the last 12 months, the proportion of public markets have gone up. So, it's just the multiplication. Now, if, let's say, we add another INR 2,000 crores of private assets, again, the yields will inch up. But I've always maintained that in the long run, let's say you look at INR 20,000 crore s AUM when we reach in the next two years, three years, on a blended basis, the gross yield should be anywhere between 70 to 80 basis points is where we should land and settle, given how we see the composition of assets will move.

Prayesh Jain: Perfect. Last question, what is our RM count plan for both wealth and private segment for this year, and possibly if you can go from that to the next two to three years?

Ashish Kehair: So, we've said that we want to -- like two years out, we had said 20% every year. So we were able to achieve that last year. We added about 15 % to 18% in private, and I think more than 25%. This year also, the idea is same. So, you can anchor the figure at 20 %. In some cases, we may be 15 %. In some, we may be 25 %. That's the range we want to operate at. That's the target now. Depending on how the markets and the environment is, we may calibrate it, dial up or dial down. But that's the way we are looking at it right now.

Prayesh Jain: Thank you so much and all the best.

Moderator: The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Yes, hi, sir. Congratulations on a good

set of numbers. Sir, I have two questions actually. So, firstly, on the assets of MPIS in Nuvama Wealth and ARR assets, could you give us more details about the nature of the assets, how much is debt and equity? Because the reason I am asking this question is because if you look at the flow side, then if you calculate the MTM gains on these two books that is hardly in the range of about 2% to 3% on a sequential basis.

Ashish Kehair: Correct. You're right. So I got your question. So, if you look at right now, the proportion would be more towards yield-oriented assets. But if you look at it 12 months from now, the way the net flows are happening now, we will have more equity. So higher proportion of equity managed products are now coming in the net flows of both MPIS and ARR. Current AUM may not be,

let's say, reflective of where we will be 12 months from now.

Lalit Deo: But as of now, how much would it be? Can you give us a sense and how it has improved over the last two years?

Ashish Kehair: Not last few years, maybe last 12 months is the right approach. Before that, our focus was reasonably high towards fixed income and yield-oriented assets. Even within managed products,

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we had a lot of non-correlated stuff like credit funds, infrastructure funds, business asset funds, which were less MTM products, because our approach was to attack the fixed income portfolios of clients because everybody was doing equity. Now, it's become more balanced and incremental flows are now coming towards equity assets. So, currently, maybe 10%, 15% would be equity assets, but 12 months from now, maybe that number could become 30%, 35%.

Lalit Deo: And sir, the second question was on the cost side in the capital markets business. So as you have alluded that in that asset services, it is roughly in the range of 30% to 33%, whereas in the IE & IB, it is in the range of 50% to 55%. So will this be -- going ahead as I understand that in the second half of the financial year, then it should increase because of the variable payouts and all those things.

Ashish Kehair: What we have done, Lalit, is that we have, in the first quarter itself, upfronted the variable payout. Given the fact that capital markets had a very strong quarter, if you look at the total cost and if you see between Q4 and Q1 FY '25, there is almost INR 24 crore's cost jump, which is largely towards two elements. One would be the hikes because there is no manpower addition which is happening here. So, one would be the hikes would be, let's say, order of magnitude 6%, 7%, but rest would all be attributable to variable cost.

Lalit Deo: So, the segment between 30% to 35% and 50% to 55% will remain over the next 12 months?

Ashish Kehair: Our approach of variable, we try to, I mean, we are not always correct, is to basically keep accruing the variable cost in line with the revenues in any quarter. We have not been perfectly, as I said, right at it. But to the extent possible, we try to align it so that there is no quarterly catch-up that happens. Although, I must admit, in the last two years, in our wealth management business, we had to do a catch-up in quarter 4, but not in the capital markets business.

Moderator: The next question is from the line of Bhavin Pandey from Athena Investments.

Bhavin Pandey: Hi. Congratulations on a wonderful set of numbers. I just had one question regarding capital markets business. So, we could see some increase in market share. So could you just shed some light on the dynamics of the capital market space and how one sort of plans to lose or gain market share?

Ashish Kehair: So, there are three lines of businesses which we report within our capital markets segment. One is institutional equities, second is investment banking, and third is asset services. So I'll start with the asset services business first.

That basically serves two sets of clients. One is international investors, which is FPI, in which typically we serve systematic quant funds and hedge funds. And on the domestic side, long-only PMS and AIFs.

So, essentially, the function of market share is out of the new clients which come into the fold in both the categories, how many new accounts are you able to get as far as your competition is concerned. In institutional equities, similar, we serve FPIs, domestic MFs, and insurance companies. And that is typically voting led.

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So, as your voting on the research side goes up, your market share will typically go up. And investment bank, we are in ECM, M&A, PE and debt capital markets. So, across that, depending on the league tables and how much we are able to win is how our market share moves.

So, I think overall, more than market share on the capital market side, what we keep worrying about is how the activity will move up or down, but at least post-elections and post-budget, for the next 12 months, it doesn't seem unless there is an external shock which comes and hits, we don't foresee a tapering.

Yes, quarter on quarter, the numbers could move up and down, but overall activity in the market should be at a similar level, except what Prayesh was mentioning in his question earlier, as to if something draconian happens on the F&O side, and that has a second order impact on the overall market and performance, then I think the entire sector, whether it is us, asset management, broking, everybody will get impacted.

Bhavin Pandey: And Mr. Kehair, just expanding on the anticipated rate cut, do we think if there's a rate cut, maybe let's say in a couple of quarters, private and the startup space could revive, so that could lead to more growth, or do you think the sort of action in investment banking activity that happened in this quarter is sort of a manifestation of the anticipation of a rate cut, if we could put it in a better way?

Ashish Kehair: So, rate cut for us actually is reasonably neutral. It doesn't impact us too much because some businesses benefit, some businesses lose. Overall market, how it will react, now rate cuts typically happen when economy is not doing well, but markets have become counter to that.

So, if you see when talks of rate cut happens in US, broader market starts doing well, because your asset valuations, your discounting rates, everything starts coming down. So, your current valuation starts looking cheaper than what it could be in future. So, it's extremely counterintuitive. If rate cuts happen, I think it'll lead to a positive into the market.

Bhavin Pandey: That's great, really helpful and congrats again and good luck.

Moderator: Thank you very much. The next question is from the line of Sanidhya, Unicorn Assets. Please go ahead.

Sanidhya: Hi, good morning. Congratulations on the great set of numbers. My first question is, I just wanted to understand on the yield and net new money in the MPIS and other segments. So, how should we see that like year on year, quarter on quarter, gradual basis, because there is some like the yield on assets versus the, I mean, the revenue versus the assets. There is a difference in proportion of the growth, particularly in the wealth and the private segment? So, if you can just elaborate on that.

Ashish Kehair: So, the retention on average assets in Nuvama Wealth ranges between, you know, 90 basis points to 1% depending on the quarter and the kind of MTM the assets have seen. And Q4 will normally be higher because insurance comes in. Typically, the way you have to look at Nuvama Wealth is MPIS growth is around 30% -35% of the initial base.

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And that is how we have seen it over the last two years. And if you basically look at the fact that this

at contributes anywhere between 40% to 50% of the revenues, so that will provide you anywhere between 12% to 15% of revenue growth. And your other assets, which is your broking and loan assets, typically could grow anywhere between 10% to 15% in a year.

And that has a 50% contribution. So, that will give you another 7 -7.5%. So, 20% to 23% revenue growth is what you should be able to see. And if you are able to keep costs below 20%, then the profit growth will be higher. That's how it works in Nuvama Wealth. And in Nuvama Private, typically, the ARR growth, we've seen exceptional growth over the last two years.

But I'm saying even if you take, again, 30% growth there and 10% -15% in transactional assets, that should also yield to about 20% growth in the overall revenue. That's how we look at it in terms of breakup and composition.

Sanidhya: And what is this others in the client asset composition?

Ashish Kehair: In which segment?

Sanidhya: In the Nuvama Wealth.

Ashish Kehair: That could be maybe unlisted shares, that could be client margin at exchanges. So, multiple items could be sitting there.

Sanidhya: Okay. So, okay, fine. So, it's like the majority portion, like almost the 60% of that?

Ashish Kehair: Yes.

Sanidhya: Okay. Secondly, on the AMC front, so, I think we're not stating the actual loss in the presentation or anywhere else. So, it would be great if it could be presented in the presentation itself because it doesn't make sense to not write it just because we are in loss.

Ashish Kehair: I didn't understand the question.

Sanidhya: In the AMC section.

Ashish Kehair: We show the operating loss in the data book.

Sanidhya: Okay. Maybe I missed it.

Ashish Kehair: There is an Excel data book. So, in our disclosures, which we give, there is obviously the quarterly presentation. But if you want more details, we also upload an Excel data book and that's there on our website also. And in the Excel data book, we have detailed numbers in terms of revenue, cost, and other metrics and parameters across all of these businesses, given detail in Excel. So, you'll be able to see it.

Sanidhya: Sure. Sure. I will surely go through that. I was just saying, if it could be presented in the presentation itself, that would be great?

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Ashish Kehair: Sure. Sure. We will add that. No problem.

Sanidhya: Thank you. Thank you so much. And lastly, lastly, we had some news, maybe rumors, that an Indian promoter is trying to exit from Nuvama. Any confirmations on that?

Ashish Kehair: Not that we know of, because they hold about 56%.

Sanidhya: No, the Indian promoter.

Ashish Kehair: No, that's not a rumor. I mean, there is no Indian promoter now. Edelweiss is now a passive shareholder. They hold 14%. As part of the de-merger, they had 14%. And they are not a promoter anymore. They may look to monetize a part of it, maybe half or one third of it. And they're under lock -in till 12 months from listing. So, last week of September, their lock -in will go. Post that, they may want to sell, because they want to monetize some and take the cash within the company, Edelweiss Group.

Sanidhya: Great. Thank you so much. And on the dividend front, the policy continues. Like we have, last quarter, I think, or before that, we were discussing that we are yet to set up a proper framework for this?

Ashish Kehair: So, like Bharat pointed out, the endeavor will be to do 40% to 60% of annual profits.

Sanidhya: Okay. And since now buyback is also would be taxable and other things. So, are we looking for any other bonuses or any corporate actions, anything like that?

Ashish Kehair: Right now, not under discussion, because bonus, unfortunately, if we do now, the taxation structure for people will get impacted. So, we are not thinking of bonus or anything. Maybe at some point in time, if the board decides and

discusses to do a split, they may do. But right now, nothing under discussion. Dividend is something which has been discussed in detail. And that's why we started it.

Sanidhya: Great. Thank you so much. All the best.

Moderator: Thank you very much. The next question is from the line of Rahul Agarwal from Himalaya Investment Advisors. Please go ahead.

Rahul Agarwal: Congratulations on a very good set of numbers and thanks for the opportunity. My question, sir, is more on the asset services business. You report clearing assets and the custody assets there separately, and you calculate the yield on clearing assets. So, can you just explain this a bit? What are these two different models of revenue and what will be the kind of yield that you expect on each of these two segments? And what portion of this revenue comes from domestic clients versus international clients?

Ashish Kehair: So, custody and clearing are two different activities. Custody is what, let's say, any institutional investor can give their assets to a custodian for safekeeping and different kinds of services are provided where you do custody fund accounting. Clearing is when a client trades in derivatives and their trades have to be cleared.

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Then you use a professional clearing member and you have to post your margin to the exchange through the professional clearing member and the clearing member earns on that margin and also on the services that are provided. So, these are two different lines of businesses. Assets under custody actually sit in a company which is different and assets under clearing sit in a company which is different.

In combination, this is asset services business. The company in which assets under custody sit, we hold 49%, so we do a profit pickup. We don't show the revenue here. That revenue is lower. These are typically services related revenue. It will be maybe order of magnitude INR 30 crores, INR 40 crores, INR 50 crores a year.

So, you can do the calculation in terms of BPS on assets on custody. In clearing, it's about 1.4% on assets under clearing and that's what we show here.

Rahul Agarwal: I mean, all of the reported revenue comes from the assets.

Ashish Kehair: Reported revenue here, what you're seeing is all coming for clearing. Assets under custody and the profit from will be shown as a profit pickup in the main P&L. We can't show the revenue of that because it's an associate, not a subsidiary.

Rahul Agarwal: Understood. And that is about INR 30 crores to INR 50 crores per year?

Ashish Kehair: It keeps ranging. Yes, maybe maximum INR 60 crores, INR 70 crores every year and keeps rising with the increase in assets under custody.

Rahul Agarwal: And that's the revenue number INR 60 crores, INR 70 crores?

Ashish Kehair: Yes, that's the revenue. Correct.

Rahul Agarwal: And on the assets under clearing, since it's largely linked to what you mentioned, what portion of it do you consider as annuity versus exposed to capital market volatility? And what are the underlying growth drivers for that business? Or is it very hard to forecast and it's just linked to the capital markets?

Ashish Kehair: So, in a way, it's linked to capital markets, but it's not difficult to forecast. If you ask me to say on a 3 years to 4 years basis, because institutional interest in India is on the uptrend. So, we are seeing newer clients from newer countries coming in, register and start participating. So, there is an increase in activity. So, if you look at the last 10 years or last 5 years, the number of institutions that have come in, so, our revenues will not move up or down with the daily volume which they do and all that stuff. It's more to how much exposure they want to take to India through derivatives. So, that on a secular basis, if you are asking me, we are seeing a positive trend. The impact

on that business can happen if, let's say, over a 12-month period, there is a completely reduced activity in the Indian derivatives market or there is a sharp fall in yields, in interest rate.

That also, the impact starts hitting you after 12 months to 18 months because the way you've structured the collateral, there is zero impact for the first 18 months. So, I think those are the

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things that can impact that business. If you ask me from a split perspective between annuity, non-annuity, I think 50%, 60% you can categorize as a base level annuity that should continue to stay.

Rahul Agarwal: One last question. In the wealth business, you report a brokerage revenue as well. Is this linked to products like, say, marketing debentures or any other placement of products or is this linked to the brokerage revenue a typical broker would see from the equity cash or derivative segment?

Ashish Kehair: The second category.

Rahul Agarwal: Okay. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Sanket Godha from Aventus Spark. Please go ahead.

Sanket Godha: Yes. Thank you for the opportunity. In the Wealth business, what I see is that your AUM in net interest income has declined either year on year or sequentially. But if I look at the revenue, there has been meaningfully a strong growth either on year-on-year or sequentially. So, I just wanted to understand that this net interest income growth is largely driven by our rate interest rate increase on the margin trade funding or loan against shares?

So, what led to that growth is one first question I have. And in Wealth, maybe if you can broadly indicate out of the total revenue of INR 76 crores what you made in MPIS, how much could be potentially annuity in nature, which is recurring going ahead also for the subsequent quarters? That's the first question which I have on Wealth? The next question I have on the flows, which I'll ask after you answer this?

Ashish Kehair: So, on the interest income, Sanket, simply put, there are three, four factors which affect the overall interest income. One, of course, is the size of the book. Now, what has happened in this quarter is that the average book was higher, but the closing book was lower. So, because, our book is not like a long term loan, right? It's either ease of funding or loan against share where people come in, go out.

And typically within ESOP also, we promote early selling because it's in the interest of the clients. We don't want them to hold their ESOPs on a levered basis on the hope of price increase because that's not in the interest of the client. And there are three factors which affect our income. Actually, four.

One is the composition of the book. So, composition keeps changing. It's between LAS, ESOP and let's say margin finance. And if margin finance goes up, our income will go up. Second, if your average book is higher, obviously, you will earn higher because the average book was higher. And if your closing book is lower, that also becomes a positive impact because your expected credit loss gets reversed.

And your processing fees gets upfronted because normally when you book a loan, the processing fees is accrued. Let's say the contracted loan period was 6 months and processing fees was a 50

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basis points. You will accrue it over 6 months. But after 45 days, if the client sells his share and

repays the loan, the residual processing fees comes in. So, these three, four things actually keeps the NII keep going up, down, up, down, up, down in that sense.

Sanket Godha: But is it fair to assume that because markets did very well in the current quarter, margin funding played a role?

Ashish Kehair: Not really. For us, that's not a big component. I think the larger impac

t will come from. So, if

markets do well, the positive to us is that people exercise their E SOPs more and sell them faster.

So, that gives you processing fees, brokerage, and NII all three together. And that also has a positive impact.

Sanket Godha: Okay. And if you can maybe indicatively tell me the MPIS is closer to annuity. How much is annuity and how much is transactional in nature?

Ashish Kehair: That I think I'll have to come back because offhand, I don't want to hazard a guess right now. But let me just look up if we have the numbers. Give me 30 seconds.

Sanket Godha: Yes, sure. And if you can even give indicatively how it has trended compared to say last 4 quarters and in the current quarter. Just to show ...

Ashish Kehair: Trend wise, I'll tell you. Trend wise, it's on the upside because if now you look at the sales which we are doing, okay, in MPIS more than 70% is now managed products. Which means what?

Which means AIF, which means MF, which means PMS and insurance. Insurance is very small in terms of sales. So, and all those three categories and within AIF also as a stated strategy now for us, category three is far more important than category two.

Because category two just gives you some little bit of upfront and then the trail is over the life of the period and most of the funds of category two are 7 years, 8 years, 10 year products. Real Estate fund, private equity fund. So, the trail becomes meaningless. In terms of sales, I can tell you our mutual fund, PMS, these sales numbers now on a quarterly basis, we do what we were doing in one full year.

So, at least in the coming year, the way we see, if we book, let's say X of annuity in Q1, it should, in my view, if we continue this trend should become 3X by Q4. Currently, if I look at the overall, I think MPIS number, I think more than 50%, 55%, 60% will be annuity, but we will have to confirm to you. This is just a rough cut calculation.

Sanket Godha: Yes. And the second question was that, if I look at overall flows, the private have done very well. It's almost, it's like INR 4,000 crore s number, even if I look at active private. Just wanted to understand this trajectory, how do you see, given this is meaningfully better compared to quarterly run rate of previous year, how do you see this to play out? You yourself said that you won one couple of two big families, which supported th at number. But do you think that such kind of deals will happen or this number should be toned down a bit for subsequent quarters?

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Ashish Kehair: The total last year s, if you see, the net flows was about INR 11,000 crores over the full year in private. I think if we extrapolate INR 4,700 crores, it'll go to some INR 18,000 crores. I don't think that should be the right approach. What you're saying is right. We should tone it down. Maybe order of magnitude anywhere between INR 13,000 crores to INR 15,000 crores. Essentially, 30% to 35%. Last year, we were able to do 40% of the opening book. This year, our opening book is around INR 38,000 crores and INR 38,000 crores or maybe INR 34,000 crores. So, a 40% of that. So, anywhere between INR 13,000 crores to INR 15,000 crores is what we will aspire to achieve in the full year.

Sanket Godha: And lastly, just based on private, again, on UHNI space, I'm just wondering whether incremental client addition, which is happening, is it happening on advisory or still trail-based is the thing. I just wanted to understand if it is advisory, do you think...

Ashish Kehair: The INR 4,700 which came, out of that, at least 65% is between non-discretionary and discretionary PMS. Now, you call that advisory, we call that trail-based. It's all the same. Now, in ARR, actually, in private, at least more than 90%, 95% is managed products, in which we include advisory, discretionary, non-discretionary,

everything.

Sanket Godha: My major concern was that given incremental flows, if they come, the way I tell is advisory ...

Ashish Kehair: That pure advisory with some 5, 10 basis points, not of that variety, if that is what your question.

Sanket Godha: Okay. So, the yields around 90, 95 bps, what you indicated, will remain in the private business. That is the point I want?

Ashish Kehair: Yes. That's what we feel.

Sanket Godha: Okay, perfect. That's it for me. Thank you very much.

Ashish Kehair: Thank you, Sanket.

Moderator: Thank you. The next question is from the line of Yash from Stallion Asset. Please go ahead.

Yash: Hi, sir. Thank you for the opportunity and congratulations for a great set of quarter. I wanted to understand that your asset services business is about 40% of your total capital markets revenue and just sort of an internal benchmark if you have that over the next 3 years, 4 years, 5 years, you think this part of the business can sort of go more stably and contribute to maybe 60 %, 70% of the overall capital markets revenue. How do you think, how large can this business be?

Ashish Kehair: So, it is 40% of the business today. I think, yes, over a period of time, it can grow larger in terms of proportion. But even today, in terms of profitability, its contribution will be more than 55 %, 60% of the capital markets.

Yash: Right. So, do you have sort of an internal benchmark that, maybe by the next 3 years, we should have it like 60 %, 70% in terms of the revenue contribution or anything like that?

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Ashish Kehair: So, automatically, see, typically, unless both institutional equities and investment bank continue to grow the way they have grown over the last year, which we will hope, but otherwise, I think from a secular growth perspective, asset services, the probabi lity is higher and directionally, yes, it could become 60% of the revenues in the next 3 years to 4 years.

Yash: Okay, got it. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, due to time constraint, that was the last question. I now hand over the conference to Mr. Ashish K ehair for closing comments.

Ashish Kehair: Thank you, Deepika. Thank you, everybody. It was, again, a pleasure having you all here. I hope to see you again in the next quarter. Thank you.

Moderator: On behalf of Nuvama Wealth Management , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

Nuvama Wealth Management Limited

Corporate Identity Number: L67110MH1993PLC344634

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November 4, 2024

The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street,
Mumbai - 400 001.
BSE Scrip Code: 543988 The Manager,
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051.
NSE Symbol: NUVAMA

Dear Sir(s) / Madam(s),

Subject: - Transcript of earnings conference call

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation dated October 21, 2024, regarding the earnings conference call to discuss the Company's performance for the quarter and half year ended September 30, 2024, please find enclosed herewith the transcript of the aforesaid earnings conference call held on Monday, October 28, 2024.

The same is also made available on the website of the Company www.nuvama.com .
We wish to confirm that no unpublished price sensitive information was shared / discussed in the aforesaid earnings conference call.
Kindly take the same on record.

Thanking you,

Yours faithfully,

For Nuvama Wealth Management Limited

Sneha Patwardhan
Company Secretary and Compliance Officer

Encl: as above

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"Nuvama Wealth Management Limited
Q2 FY '25 Earnings Conference Call"
October 28, 2024

Disclaimer:

This document is subject to errors and may or may not contain words which have been included / omitted due to human error while transcribing the conference call. Any and all information should be verified with the company by the reader.

MANAGEMENT : MR. ASHISH KEHAIR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – NUVAMA WEALTH
MANAGEMENT LIMITED
MR. BHARAT KALSI – GROUP CHIEF FINANCIAL
OFFICER – NUVAMA WEALTH MANAGEMENT LIMITED
SGA, INVESTOR RELATIONS ADVISOR

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Moderator: Ladies and gentlemen, good day and welcome to Q2 FY25 Earnings Conference Call of Nuvama Wealth Management Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

Please note that this conference call is being recorded. I now hand the conference over to Mr. Ashish Kehair, MD and CEO, Nuvama Wealth Management Limited. Thank you and over to you, sir.

Ashish Kehair: Thank you. Good afternoon, everyone. I welcome you all to our Q2 FY25 Earnings Call. I have alongside me Bharat, our Group CFO, and SGA team, our Investor Relations Advisors. I'll start with a brief, high-level overview of the business, how it went for the second quarter, and then Bharat will take you through greater detail, and then maybe we can jump into the Q&A section. Before we start, I'd just like to take a moment to thank all of you, our shareholders, all the analysts who've covered us, all who are still looking to cover us as we complete our one year of listing.

This is a special moment for all of us at Nuvama as we've achieved many new milestones in this quarter, which, as I said, Bharat will take us through when he's taking us through the detailed coverage. Coming to the results, we witnessed a very healthy quarter again. The revenue almost jumped by about 55% and profits doubled to INR 479 crores for H1FY25.

Before we jump into the specifics of our business, I just wanted to briefly touch upon the sectoral tailwinds and what our sector is actually benefiting from. As we all know, in the last decade, the growth in the investment asset class has been phenomenal, whether it is mutual funds, PMS, AIF, equities or fixed income. Across the board, we have seen a significant amount of flows and growth in the overall AUM that this whole investment asset class has been able to achieve. Even today, the annual household savings that actually flows into this is just about 10% of the total financial household savings.

As we see the rise in the GDP and growth in the wealth pool, financialization playing out, deepening of markets into more tier 2, tier 3, tier 4, consolidation of sector from unorganized to organized. I think the opportunity for this to grow by 6x to 8x still remains over the next decade. I've always maintained that the best for this industry is still ahead of us. The annual flows in the next 8 to 10 years will nearly equal to the stock of the financial assets which exist today and that's a pretty big number. That will benefit almost all asset managers, wealth managers, brokers, merchant bankers, service providers like RTAs, custodians, clearing agents. Across the board, I think the sector will benefit.

Coming to Nuvama specifically, in this quarter and H1, we continue to grow horizontally and vertically. Horizontally, I mean we've deepened our presence both in the tier 2 cities in India for Nuvama Private and Nuvama Wealth, adding a couple of cities. We've also gone offshore as we
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had mentioned last time that we had received our licenses in DIFC. Happy to state that business has commenced. We have RMs on ground there, office up and running in transactions have started. Maybe in a couple of quarters, we'll separately start reporting the revenues on how that is shaping up for us.

We've also added Gift City for both our Wealth and Asset Management businesses, more specifically for our Asset Management business. We now have an inbound vehicle there; I'll talk

about it a bit more. Our client assets have grown faster, more relationships have been added than H1 last year.

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And as far as our focus areas go on the private side, our ARR assets and in Nuvama Wealth, the MPIS assets, these are the two areas where we focus more. They have grown more than 35% Y-o-Y and on the net new money, private ARR, out of the total NNM in H1, about 86% is ARR. And in Wealth, out of the total MPIS NNM, about 65% to 70% is managed products, which is a clear jump from over 45% last year. We continue to add capacity in both these segments. We've added about 36% over the last one year, 350 relationship managers, about 330-335 in Wealth and about 13 to 15 in Private. Vertically also, we continue to sharpen the value proposition of our business.

A heavy investment in technology, on an ongoing basis. In Wealth Management, Nuvama Wealth, we have gone live with our one platform, which is a single platform that will now be accessed by clients, advisors or employees, and external Wealth Managers, all together. We've strengthened the full tech ecosystem, starting from onboarding to transaction reporting and transaction execution.

We've added family level reporting in Nuvama Wealth, which I think is an industry first for that segment. It doesn't typically exist. Most of the reporting in the mid-market segment right now in the industry is at an account level and not at a family level. We've added that. We are doing a lot of experimentation with AI in Nuvama Private, across prospecting, client portfolio analysis and advisory. So I think all this will have a significant impact on productivity going forward. I just wanted to talk about the yield in both the segments. In Nuvama Wealth, the yield has moved from 92 bps to 85 bps, purely because of the MTM in the equity assets. The equity assets MTM is about 17%, whereas the equity revenue growth is about 2%. And if you mathematically adjust that, the yield in Q2 will be exactly equal to the yield in Q1. And if you look at both the quarters without equity MTM, they sit at 95 basis points.

Similarly, in Nuvama Private, 91 bps moves to 84 bps and that is also only because the lending mix has come down a bit. And lending, as you understand, is a 5%-6% sort of yield business. That has an impact of five basis points. And one advisory inflow of INR 100 to 150 crores has an impact of one basis point. So that takes it again from 84 to 90, which is almost equal to where we were in Q1. In both the businesses, I would say the steady state, like in Nuvama Wealth, will be between 85 bps to 95 bps, going up to max 1%. And Private would again be between 80 bps to 83 bps to about 95 bps, on a steady state basis.

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In quarters in which we see equity MTM being lower, Nuvama Wealth yield will go up.

Similarly, in Nuvama Private, the lending mix will change. I think that will have an impact on the yield movement. Otherwise, at a product level, the yield in both the businesses is fairly steady.

Coming to Asset Management, I think a very, very good quarter for us. We crossed about INR 10,000 crores of AUM, a very important milestone. In public markets, we actually moved our AUM by 3.5x in the last 12 months, from about INR 1,250 crores to now about INR 4,500 crores and we now have products across the spectrum, which is our Delta One or what we call market-facing products, which is a Flexi Cap, mid and a small cap fund.

Large cap replacement product, which is 60% Delta, which is EDGE, largest in its category and best performing. And one absolute return product, which is a fixed income replacement. So across the three, we now have about INR 4,500 crores of AUM. Commercial real estate, we crossed INR 1,000 crores. We have a pipeline which will take it to about INR 2,000 -INR 2,500 crores. Now we are focusing on deployment.

And in private markets, we continue to focus on deployments and exits. We will think of raising a new fund in maybe

over the next two quarters. We continue to evaluate credit, both real estate and performing corporate credit to add to our bouquet of offerings. And we'll see how that plays out. Capital markets, asset services, our assets doubled over the last year with almost 70% coming from net new money and we further improved our market share in the domestic institution business with more than 21% of the new domestic PMS and AIFs that get registered became our clients.

And on the international side, we continue to add marquee global clients to our list. On the Institutional Equity side, we now have crossed a market share of 6.3% and on investment banking, our deal activity for Q2 was actually double of last year, at the same time. Towards the end, I just wanted to touch upon the regulatory changes, which have been announced by SEBI that has been playing on the minds of everybody.

There are three broad buckets. One is around ASBA. Second is true to label. I think in these two, there is an extremely negligible impact on our business because our business model didn't rely on revenues from these two streams, both on the wealth side and on the Institutional side. The third change, which I think is larger for the overall market, is on the tightening of F&O. We'll have to see how the market adjusts to it.

We have been speaking to a number of participants. We've also seen a lot of reports coming out, especially on exchanges where people have tried to anticipate the volume reduction basis, the number of reduction of expiries and all. I think the answer is not so simple. People will adjust to the new regime and over the next two to three quarters, we'll come to know.

Purely mathematically, when we look at the numbers, the impact on us is not much because we spoke to the institutional clients who actually play in this area in India. They say even after the reduction, the profit pool from derivatives in India is going to be 5x of the next biggest market in Asia. So we are not going to take that capital away.

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Having said that, we'll have to see how retail behavior evolves. Retail volume going down has, again, no impact on us because we don't operate in that space at all. So all-in-all, I don't think it's a significant impact that will happen on us like it, let's say, may happen to some discount brokers who operate in that segment. I think that is all from my side right now.

I'll now request Bharat to take you through the performance of all our businesses and then we may answer the questions that you have. Bharat, over to you.

Bharat Kalsi: Yes. Thank you, Ashish. And good afternoon, everyone. Ashish anyways covered the headline numbers. But if we look at the overall quarter, both on a Y-o-Y basis or on a sequential basis, the quarter has been good, whether it's in terms of the top line growth, bottom line growth, adding distribution capacity, adding market share both in the IE side as well as on the Asset Services side, investing on the tech side, both in the frontend as well as on the backend, opening new locations. So, I think overall, the idea of actually expanding and deepening the businesses is going well. And the performance of the quarter reflects that.

Before I go to the overall financial performance, I would like to share a few major milestones.

Our total client assets have crossed INR 4 lakh crore s at the end of September. Within that, if you look at Nuvama Private has crossed INR 2 lakh crore s, Nuvama Wealth has crossed INR 1 lakh crore s as well as our Asset Services and custody businesses, custody and clearing businesses has crossed INR 1.25 lakh crore s and Asset Management has crossed INR 10,000 crore s. So this makes a lot of milestones being crossed at the end of the quarter.

In terms of the overall performance, the assets have grown by 53% at INR 4.4 lakh crore s. The

revenue grew by around 50% to INR 740 crore s for Q2. And all the businesses have contributed to the growth, so it's not just that the Capital Markets has contributed, even the Wealth business has grown by 22% on a Y-o-Y basis for the quarter.

Overall, the cost stood at around INR 390 crore s, which has grown by around 30%. But if you look at the breakup of that, what we provide in the data book, the cost growth is actually coming from the employee side, as we added around 350 odd FTEs in terms of our Wealth business. Plus, we have added more capacity on the Asset Management side, both on the investment as well as on the distribution side. As the business grows, obviously, the variable cost also increases in line of that. That's one reason for the employee cost growth, which has grown little higher than the overall cost growth.

But if you look at the overall cost-to-income ratio, that has come down to 53% versus a 61% in Q2 FY '24.

Overall, PAT has grown by around 77% for the quarter. And for H1, it has doubled to INR 479 crore s.

Happy to share that the Board has declared the interim dividend for H1 FY '25 at INR 63 per share. The ROE for the quarter was around 33.6% and for H1, it is 31.5%. So if you look at all the numbers, whether it is growth, cost only in terms of distribution side, overall ROE level, cost to income ratio, everything is in the right direction.

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Now coming back to the individual businesses. Before we go to Nuvama Wealth and Nuvama Private separately, if you look at the overall Wealth business, the revenue has grown by around 24% and the cost to income ratio is broadly same as what it was last year. So it is around 66%-65%. This is despite when we have added so many people over the last 12 months.

As we mentioned during the Q1 call, there was a revenue recognition methodology change which had happened in Q1. Despite that, our PBT has actually grown up by 22%. So 24% growth on the top line, cost to income ratio same with lot of capacity added and the PBT growth of 22%. So I think Wealth business is on the right trajectory. And as Ashish also mentioned, our focus is more on the annuity business, which we call it as MPIS in our Wealth as well as on ARR side on the Private. Both businesses have done well.

Coming to Nuvama Wealth, the overall client assets are now at around INR 1 lakh crore, which has grown by 53% Y-o-Y basis. The overall NNM for H1 if you look at that's broadly the same as what it was last year, say around INR 3,600 crores - INR 3,700 crores. But within that, if you look at our MPIS, which is where the trail build up happens that has grown by 35% from INR 2,600 crores to INR 3,500 crores in H1 period.

And now within NNM, if you look at what we focus more on is on the Managed Product that has grown much faster, that has doubled from INR 1,100 crores to INR 2,300 crores and hence the proportion of managed products within MPIS has increased to 65% compared to 45% last year. So I think the idea to communicate here is that that trail build up will now start eventually happening as the focus is more on the MPIS side of the business.

Overall, NNM for Q2 was at INR 2,100 crores. This is the highest we have done in a quarter. So that's where the NNM has been. MPIS assets within the overall assets have grown healthy by 39% at INR 27,000 crores. RM capacity today we are at around 1,200, which is almost 40% higher than what we had just 12 months before or say end of September '24. As those RMs get vintage, the productivity or the operating leverage will start kicking in. Overall, revenue was around INR 200 crores with a growth of 25%.

And if you look at the cost-to-income ratio, as I mentioned, it's around 65% or so. This is despite the capacity addition. So, if we remove the cost of capacity addition and the associated revenue with

that, the cost-to-income ratio would have come down by 400 basis points or so. So from, say, 66%-65%, it would have been around 62%-63% kind of a number. And the overall PBT is strong at INR 71 crores, which is a growth of 20%. So that's how Nuvama Wealth did in quarter one.

Similarly, if you look at Nuvama Private, the assets have crossed INR 2 lakh crores and grew by 35% as at the end of September. The ARR assets also grew in a similar fashion at around 36%. Now the ARR asset stands at around INR 40,700 crores. The NNM actually grew by 50%. So, we did around INR 7,100 crores of NNM in H1 of this year versus around INR 4,700 crores last year, within which ARR is almost 85%-86% as Ashish also mentioned in his opening remarks. Overall, the number of families are up by 22% and we are at around 4,071. We added more families in H1 versus what we added last year. The overall revenue grew at 22%. As I mentioned
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in the beginning, for both the businesses, the revenue growth is upward of 20%-22% and the PAT is also to the tune of 20%-25%. So I think that's very reassuring.

Overall, if you look at the capacity on the Private side, we are up at around 127 net RM, which is 11% capacity addition over the year. And the cost-to-income ratio is at around 67%. Again, if we remove the growth cost as well as the associated revenue, this would have also come down by around 350 to 400 basis points on a like-to-like basis. That's where it is going on and the operating leverage or the productivity uplift will come over the coming quarters.

Operating PBT was around INR 48 crores, which is up by 25%. Ashish did mention in the beginning that we had started our Dubai operations, and I think we are seeing a lot of good traction on this front. So we'll see a lot more in the coming quarters on the offshore propositions. With respect to Asset Management, the overall assets under management have gone up to INR 10,300 crores, which is a 67% growth. But within that, if you look at the public market, that has grown by 255% over the comparable period. This INR 2,500 crores, we got around INR 1,500 crores - INR 1,600 crores in our public market funds and the balance have come into the commercial real estate fund of around INR 800 crores - INR 850 crores.

Otherwise, a lot of new things on the Asset Management side, our EDGE fund in the public market space is now the largest in this category and the fund performance is among the best in all possible cohorts, wherever it is comparable.

Even with the INR 850 crores in the commercial real estate, our commercial real estate fund has now crossed the INR 1,000 crore mark and we will see how we continue to expand the distribution to wealth as well as to the external channels.

Over the last few months, what we have also done on the asset management side is that we have started adding capacity through our external distribution side. So, the public market fund EDGE, if you look at today's flows for EDGE, almost 25%-30% comes through external wealth managers. As time progresses, we will see how we expand our external distribution.

But to start with, we have added a lot of external distribution capacity in terms of the banks as well as the independent wealth managers. Revenue ex-carry grew by 45% to INR 17 crore s. That's how Asset Management has performed over Q2.

Capital market, we mentioned in the beginning, the Asset Services businesses, the custody and clearing assets has doubled from almost INR 65,000 crore s to INR 1.25 lakh crore s. And the contribution is both from the domestic side as well as on the international side. On the international side, the new client has contributed almost 30 %-35% of the new flows in the business.

And on the domestic side, our market share for AIF and PMF has improved to around 21%. And if you look at th

e similar number for last year, it was used to be around 18% or so. Similarly, on the IE, Ashish did mention the improvement in the market share from 5.7% to 6.3%. So, I think that's reassuring. As well as on the IB side, our ECM deal closures were almost double than what Nuvama Wealth Management Limited
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we did last year. So, I think that's working fine. Overall revenue for the capital market was around INR 376 crores , a growth of almost 100% Y -o-Y.

As you understand, this business has the ratio between the growth in the revenue versus the PBT is normally disproportionate. So, when you grow your revenues by 100%, our PBT for this business has grown almost by 150 %-155%. That's how the overall capital market has performed. Nothing specific on the financial performance beyond this. We can start the Q&A session.

Moderator: Thank you very much. We will now begin the question -and-answer session. We'll take a first question from the line of Sanket God ha from Avendus Spark. Please go ahead.

Sanket h Godha: Yes, thank you for the opportunity. I have a few questions. So, the first question is on your asset services in the capital market business. So, you alluded to the point that F&O activity, if it slows down, it can have an impact. So, my simple question is out of INR 284 cores, what we made in H1 in the asset services, how much would you like to link it to F&O activity? And if you have done any, you alluded to that point, but in a worst -case scenario, do you see this number to fall if the new rules get implemented from November 20th?

That's on my first question. Maybe if you can answer the question, then I will go one by one. I have three questions to ask.

Ashish Kehair: Sure, sure. So, Sanket, if you look at that business, it's basically split between domestic and international. So, domestic, there is zero impact because domestic, we basically service the PMS and AIFs, which are typically long only or maybe category three , category two, where the impact of this is zero.

I mean, there is absolutely no impact. That is, let's say, maybe 30 %-35% of the business. Balance 60%-65% of the business, again, half of it is completely non -related to any activity which is related to F&O.

So, if you see, let's say, one -third of the clients are the clients that are affected by F&O. And if I look at the volumes, which basically get impacted, which is largely at the retail level, for us, about 90% of the volumes sit into expiry , out of the five, which were there every week. So, it really doesn't matter for the balance expiries to go away.

And when we have discussed with these clients, again, as I said, they mentioned that, look, even if the profit pool in India were to fall by 50%, they're saying, which is an extreme scenario, even then the derivative profit pool for these type of clients i n India is 5x larger than the next market. So, deployment of capital will continue. Plus, if two out of five days, they need to keep the float here, balance three days, they don't take it out.

So, as I said, while the volume for brokers may get impacted, whether the volume for us in asset services, the answer looks to be no right now. That is point number one. Point number two, the number of new clients which are coming in, which are of similar type, size, and scale, which operate in other markets and are now coming in India, and we are opening the accounts, I would say that addition itself will more than compensate if there is any fall.

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So, right now, I may sound a bit optimistic, but this is after a lot of discussion with all these participants is that we have come to a conclusion that the impact looks marginal, at least on this side of the business.

Sanket h Godha: Got it. So, basically, if I want to simplify, you're saying that in F&O, means out

of the total asset

services, around 30% is related to F&O, which in that last part is sitting into expiry. And second, new client addition, even if the volumes fall in the 30%, new client addition should compensate for it. So, net net, you will not see an impact. That's the way I should summarize?

Ashish Kehair: Yes, Sanket. That's absolutely right.

Sanket h Godha: Okay. And maybe just adding, because the margin requirements will go up on expiry date, actually, it could negate a bit of impact because you collect more margin, more interest income.

Ashish Kehair: Absolutely. Absolutely.

Sanket h Godha: Perfect. That's on my first question. Second was on wealth business, we saw a significant, I mean, mid-market, I would say, we have seen a significant increase in the flow in the current quarter. Is it fair to assume this happened because of the broker code change, which is prevailing in the industry today?

Ashish Kehair: For us, Sanket, broker code in Nuvama Wealth, the overall net inflow in a quarter, it's about INR 100-INR 120 crores as of now. We have not started pushing it a lot. I think this number will go up more for us because, as you understand, we are one of the players where we have a smaller AUM and when we get new RMs from outside, our ability to pull in will be more.

But at this point in time, if I look at historical data, it's about INR 100- INR 120 crores only for the quarter on net business out of the INR 2,100 crores of net flows.

Sanket h Godha: So, what led to this INR 2,100 crores then? Because it is a little higher compared to what...

Ashish Kehair: It's not like it happened suddenly in the quarter. It's been in the offing for the last 12 to 15 months. Like I said, when that change from upfront to trail happened in, let's say, AIFs, it actually fundamentally changed our business model completely.

Because let's say, we started evaluating the other products in the managed product categories more seriously and which includes, at least in Nuvama Wealth, mutual funds, PMS, CAT III, AIF, in that order. And then we started building, we started building the proposition, we started training people. So, it's a momentum which is catching on.

So, it's not like suddenly in Q2 it happened. Basically, in Q2, you saw that a better part of that rising trend. I think unless we see sustained corrections in the market where people start moving out of equities as an asset class into different asset classes, I think this momentum is going to sustain and will only have a positive upside.

Sanket h Godha: So, is it fair to assume that this INR 2,400 crores run rate sustains and if a broker code system also plays out, then these numbers should look upward trajectory assuming there is no steep correction in the market?

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Ashish Kehair: Yes, yes. We are fairly confident around that.

Sanket h Godha: Okay, perfect. And one more on cost. See, our cost-to-income ratio at the company level seems to be largely driven by capital market businesses because they have done phenomenally well, as Bharat highlighted. And even the flow to the PBT is meaningfully very high. Just wondering, your private and wealth cost-to-income ratios have not improved meaningfully.

And I think Bharat told in the call that it is capacity addition. But at some point in time, you will think that this capacity addition, what you have done in RMs, will play out and say next year or a year later.

Ashish Kehair: I got your question. Let me explain. So, if you just look at the Q2 cost for both, let us look at wealth. Wealth Q2 costs have gone up by INR 28 crores and in Nuvama private, the Q2 cost has gone up by INR 16 crores. INR 80 crores has become INR 96 crores and INR 108 crores has become INR 132 crores.

Out of that, 50% is growth cost. If you take the number of RMs which have gotten hired and you

take their pro-rata compensation, you take the surrounding opex which is the consultant cost, the office cost and all that around 50% of both these cost increases is actually growth cost which is 400 basis points. And this is after taking 1x revenue against that cost. So, if I say that INR 28 crores is the cost addition in Nuvama Private, that means 14 out of the 28 is growth cost. That 14 has produced 1x revenue and after taking that 1x revenue, the cost income of 400 basis points impact.

Now, if we look at our RM cohorts, again in both the segments, when people move from 1 year to 3 years to 5 years, the productivity moves from 1x to 4x to let's say 6x. And as you rightly said, once we move these people on that upward cohort with an increase in productivity, the cost to income will come down. And now it is a choice as to how many new RMs we'll hire.

Let's say we reduce our RM hiring in the next 12 months, automatically there'll be a sharp fall in the cost-to-income ratio. And even if we continue to hire at the same pace as our existing base of RMs become bigger than the new RMs that are coming in, the cost-to-income starts improving.

Sanket h Godha: Got it. And lastly on private, your net flows have slowed down on quarter-on-quarter basis.

Anything to read in between?

Ashish Kehair: Nothing. It's basically - it will continue. See Q1, we had one massive inflow and Q2 there was an outflow that happened which is why it looks like that, but otherwise if you ask me on an annual basis, how you should see it basically our estimate remains that between 30 % to 35% of our opening ARR assets is what we will see as net new money inflow.

Sanketh Godha: Perfect. And lastly, if you can break down your IE income, IE& IB income would be useful, just because IB is little episodic?

Ashish Kehair: 40-20. So that asset services if you remove balance, you can divide in the ratio of 40 -20.

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Sanketh Godha: 40-20. Okay, perfect. That's it from my side. Thank you for the answer.

Moderator: Thank you. We'll take a next question from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Thank you for the opportunity.

Moderator: Sir, can you use your handset mode please, your audio is not very clear.

Lalit Deo: So sir I was looking at the net new money. So, we have done very well in this quarter and in H1, but if we just calculate the MTM gains in our AU M book, so there we are seeing some softness over there like on the overall MPIS assets as well as the ARR assets. So, just wanted to understand the broader mix of those piece like how much is being contributed from the equity side, how much is it debt and what is the overall composition?

Ashish Kehair: Lalit, if you look at the MTM in both, broadly it's in the range of 8 % to 10% annualized like MPIS and ARR. So, right now, the composition of our assets both in ARR and MPIS is less market linked, so less of equities, more of alternative asset, more of absolute return fund, more of infrastructure, distressed asset fund. But if you look at the composition of net new flows which are coming into these, the proportion of equity assets are higher.

As I said initially, when I was telling Sanketh that the change of business model happened over 12 months to 18 months back where we shifted our focus towards more PMS, MF, C&T III A IF. So, incremental flows will have more equity, so more MTM related assets are coming in, but if I look at the base from which we started, equities was lesser, maybe let's say about 25 % to 30%, which is why if you take an annualized MTM right now, it's in the order of magnitude 8 % to 10%.

Lalit Deo: Right. Sure, sir. And secondly could you broadly split the cost between the asset services and the IE& IB business because we have been seeing continuous improvement in the cost

-income

ratio over there?

Ashish Kehair: So, overall cost -to-income, if you look at Q2, in that segment is about 40% to 42%. Asset services, you can broadly take a cost -to-income ratio of between 25% - 26% to 31 % - 32% and the IB & IE order of magnitude between 45% to 55%. I mean, that is the range in which these businesses operate.

Lalit Deo: And sir hypothetically if this businesses were to – if there were any adverse movements and if the revenues from this business declined by 15% to 20% in any adverse scenarios, then how this cost-to-income would change? Could you give us some color around the same?

Ashish Kehair: So, to the extent of variable cost, so I think the variable cost, variable employee cost in these businesses are higher. So, to the extent if there is a revenue fall, some of the fall will be absorbed by the change in variable cost, rest will be a pass through to the PBT. But if I look at, let's say, a 2 year, 3 year perspective. Right now in FY23, the cost -to-income of this business was around 68% to 70%. We came to 53 % in FY24 and this year, we may end up around 45 % or so. And

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let's say, this business we're to normalize over the next 2 year to 3 years and the cost -to-income goes back to say 55 % - 56%. I'm saying a 10% up move from here.

Parallely, what is happening is the cost -to-income ratio of our wealth management business is coming down, because as we added this new capacity, as that becomes productive and operating leverage kicks in, in the next 2 years to 3 years, that cost falls from 65 % to 60%, which is our stated strategy. Asset management moves from being a 100% cost -to-income business to positive contribution as we move from INR 10,000 to INR 20,000 crores. So, on a blended basis, our cost -to-income should be below 60% in the next 2 years to 3 years, even if there is a decline in the capital market's cost -to-income ratio.

Lalit Deo: Sure, sir. Lastly, on the dividend policy, so like in the first quarter, we have been regularly announcing dividends. So, going ahead how should we look at the overall dividend distribution

policy?

Ashish Kehair: Similar. So, when we declared the dividend last time, we said that that was for last year. So, that was about 47 % - 48% of last year's profit and this time around also for H1, it's about 47% of H1 profit. And as of now, as per our calculations, our retained earnings after the dividend should be sufficient to support the business growth. So, we will maintain that 40% to 60% range which we have indicated.

Lalit Deo: Sure, sir.

Moderator: Mr. Deo, are you through with your question?

Lalit Deo: Yes.

Moderator: Thank you. We'll take our next question from the line of Jayant Kharote from Jefferies. Please go ahead. Mr. Kharote your line is unmuted. Please go ahead.

Jayant Kharote: Thank you for the opportunity. Two questions. First is on the translation of flows to revenues. When I look at Nuvama Private, for example, we've had very strong inflows of almost INR 8,500 crores in the last three quarters. Now, I get the impact of that policy change on CAT III AIFs, but even if I look at the Q-o-Q revenue, we have gone from INR 50 crores to INR 52 crores. I'm just trying to understand why isn't the flows translating to better revenue in the managed products piece? That's first question?

Ashish Kehair: That's the first question. So, it's largely a trail build-out, Jayant. It will take its time and also the timing of the flows. Sometimes the flows come towards the end of the quarter, middle of the quarter. So, from a yield perspective, if I look at the yield at a sub-product level, there is no decline in yield per se. The yield is intact in each of the product lines in either of the two businesses, but the build-out will take time. So, you will have to be patient for at least two

to

three quarters.

Jayant Kharote: Great. So, we should expect the yields to move back to that 90 basis points number?

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Ashish Kehair: Yes. So, I'll tell you Nuvama Private basically this quarter the impact on yield has happened because the lending proportion has gone down. If you clearly see as a proportion of income within the ARR revenue, lending has gone down and that has brought down the yield by about 4 - 4.5 basis points. So, once we bring that back to the proportion, it comes back. And in wealth, it's driven by the MTM of the broking asset because broking for us is not a big revenue driver. So, broking assets moved by about 17 % and broking revenues moved by about 2 %. So, that brought down the yield. It's purely mathematical. Hopefully, with this correction in this quarter, the broking MTM should remain flat. The yield will come back.

Jayant Kharote: Great. And in Nuvama Wealth, first of all, a great number, this INR 2,000 crores number, and from what I gather with Sanket conversation, this should hold up. Would you like to guide that this kind of number should not correct, given that this is spread across a larger number of 1,000 plus RMs, given, of course, market conditions are supportive?

Ashish Kehair: Yes, if market conditions are supportive, then I don't think we will see a significant drop from here. It should be in this range, maybe 10 %-15% up-down, that can happen in any quarter. But directionally, I'm saying it can't be like it goes to INR 1,000 crores and all. It should remain between INR 1,500 Cr- INR 1,600 Cr to INR 2,200 Cr – INR 2,300 Cr range.

Jayant Kharote: And lastly, sir, on the RM addition, you are at 1,200 now. What should be the pace from for this year and next 3 years?

Ashish Kehair: See, between, in Nuvama Wealth, on a net basis, anywhere between 35 to 45 per quarter, we should add. And then we will review again towards the end of the year. Ideally, between 15 % to 20% capacity addition should continue, but we will review again. So that's the plan broadly right now. And for private, anywhere between 5 to 8 RMs in a quarter maximum is what we will look to add.

Jayant Kharote: Sir, if I could just squeeze in one last question on the distribution commission, some of the AMCs have rationalized their commissions in Equity MF. How are you seeing this play out? I know the first order impact will be towards the retail guys, but maybe in some quarters it will come to us as well. So how should we think about it? Again, not from one quarter, but directionally, are there more funds that you are in discussion with? Is this a sector wide trend? And even if it plays out, how does it play in our P&L?

Ashish Kehair: So for us, let's say mutual funds across both put together will not be, even at full scale basis will become more than, 5 % - 10% of the revenue, maybe 15 %. And we are still an early player in that. So it's not that our current AUM is getting impacted. On the fresh flows, I think out of the top 10 - 15 AMCs, there are multiple products, multiple schemes available in which you can negotiate and get a good rate, if you are able to deliver a good placement for them. I don't think it's going to impact us much. For people who are largely dependent, I think few players who are largely dependent on MF as a product, as a single product, because we have

PMS, we have CAT III AIFs , we have multiple avenues to monetize. I think there the impact may be higher because for us, I think it's just one of the lines that we should be able to manage.
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Jayant Kharote: Great. Congratulations, sir, for a great set of numbers. Thank you.

Moderator: Thank you. We'll take our next question from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Hi. Good afternoon, sir.

Just a few questions. So the first question is, again, none of us would probably know the direction of movement of market, but let's say things hold up at current levels after the sort of correction that we've seen over the past 1 month. And in that case, how would you quantify the IB pipeline in terms of assuming, let's say, 80 %, 90% of whatever deal pipeline you have, fructify ?

Second question is on the new flows that you're seeing, be it in private or in Nuvama Wealth. Given that you have added a lot of RMs, your client additions have all picked up in the last 12 trailing months, how would the proportion between flows from new clients to existing clients have shifted, let's say, 18 months or 24 months prior to, let's say , today? That would probably give us some understanding of how the productivity benefits shape up over a relatively longer time horizon?

A third is on the competitive landscape we have seen RM exits across some funds or other competitors. We are hearing some new entrants also coming into the marketplace? So could you give some color on how your sort of RM discussions are shaping up in terms of both new additions, as in top RM additions, both in private and wealth, and also in terms of retention? And do you expect any pressure on the cost side in case things heat up?

And this last one question is on the Nuvama Wealth business. Between your active customer base, which is like 20% of the 12 lakh customers that you have, how much would be serviced by your in-house RMs and how much would be serviced by the external asset managers? And also, if you can give some color on the product mix sourced by the in-house RMs versus the external asset managers. I assume that the clientele quality would be a little different in both cases?

Ashish Kehair: Yes, so let's start with the IB deal pipeline . So I think if the market sustains, then I don't see a dip from how we have done in the past. It should be in the similar range, because the number of filings which we are seeing are actually higher than what we have done both in previous quarters. And in terms of IB, you know that if you have filed now, then the revenue visibility is this year, because whatever you are going to do after, let's say, October, November, December, the revenue will come next year.

So we don't see a dip there happening. And plus, in our IB, half is fixed income. That is anyways continuing at its own pace. That is not impacted by the market. You'll have to repeat the second question, Dipanjan .

Dipanjan Ghosh: Yes, so second question was on the flow between new and existing clients in the wealth management?

Ashish Kehair: Now, if you look at the flows on ARR assets and MPI S assets between, let's say, existing and new, I think it's almost 50 -50. And in some quarters, it also goes slightly higher towards the new

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clients in Nuvama Wealth. So that is a healthy sign which we are seeing, at least in the MPI S assets.

And similar ratio even in Nuvama Private. Although I would say Nuvama Wealth, the new client flows for the last 10 , 12 months have been higher than the older existing clients because of the number of RMs which have gotten added. And that's purely logical, because when you add, somebody transfers or somebody opens an account, there's a transfer of assets which is happening and all that, whereas in the existing clients, only incremental flows come. So that's why the ratio is like that. What was the third question for you?

Dipanjan Ghosh: Third question was on the competitive landscape and RM , either attrition or retention?

Ashish Kehair: So attrition right now, so let's go segment by segment. In Nuvama Wealth, as I said, we bucket the RMs in 3 , 4 categories. The top category is called the big league, which is, let's say, 60 %, 70% of our revenue producers. Those are the

the 300 , 400 RMs out of the entire 1200 population.

We lost 2 RMs in the last quarter. In Nuvama Private, both Q1, Q2, there has been zero regret

attrition.

Having said that, is there pressure? There is, of course, pressure. Higher in Nuvama Private, because the number of people available in the market are lower. So there will be some cost pressure. There will be retention tactics which everybody will employ. We will also employ. In terms of hiring in both, I think Nuvama Wealth is slightly easier, because the number of people who can give a proposition like us right now in the market are far and few, which can give such a widespread product bouquet with less pressure on insurance as a product class, which these RMs are normally subjected to, superior execution platform, reporting platform, multi-product access.

So I think our employee value proposition is significantly superior to our competition at this point in time, so we are able to attract. Private, as I said, large number of players coming. But again, continuous investment in the value proposition for the employee, we are able to attract. So like last quarter, we hired 9 RMs. We have a decent pipeline for Q2 in terms of number of RMs where we've already closed and people are serving their notice periods. But I will not hesitate to say that it is competitive. It's a part of business. It's one of the factors where you have to compete, and you have to compete fiercely on the street.

Dipanjan Ghosh: The last question, sir, was on the active customer base mix between in-house RM servicing and EAM-based servicing in the Nuvama Wealth segment and if the product mix varies across these two categories?

Ashish Kehair: So I can give you the asset split. The asset split is about 80% and 20% between the in-house RMs and the external RMs. Net new money is also similar ratio between 75-25, which is in line with the revenue. In terms of the product mix, the external RMs, I would say, are more transactional or investment solutions oriented, less managed product oriented. Managed product, they do more which are our in-house managed products like, the ones which we manufacture. But otherwise, MLDs, unlisted shares, fixed income, insurance, those, they are heavier compared to our in-house. So, which is why in certain quarters, you will see that the tilt of revenue towards Nuvama Wealth Management Limited

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external wealth managers can be higher because they are doing more transactional versus the in-house doing more managed products. So, the trail builds out and therefore the revenue growth is gradual. But once it starts building, that momentum will be faster.

Dipanjan Ghosh: One small question on your AMC business. I think you briefly kind of highlighted earlier that when you reach around INR 150 billion sort of an AUM, that is where one probably can see breakeven. You've already crossed like INR 100 billion. So just wanted to get some two questions, actually two small questions.

One is the new fund offering, apart from whatever you have mentioned, one more maybe next two quarters. So if you can give some color on that and the next is, how should the profitability curve be in that segment let's say for the next three to five years?

Ashish Kehair: So, one new product, one approval we've received now is FlexiCap fund, which we will launch. Because on the long only side, we only had a mid and small cap. And then we had a 60% Delta product with a large cap replacement, which has crossed INR 2,000 crores and an absolute return product. So now we will add FlexiCap. And we will also maybe in two quarters have a credit fund, maybe real estate, non-real estate, both or only one. So that will be another product that will get added.

In terms of vehicle access, we've added Gift City for inbound for our 60% Delta product and our absolute return product, because that will

be extremely compelling for non-resident Indians and offshore investors because derivative taxation is negligible. So overall taxation on that product will fall to sub 5% in the Gift City. So that is going to get added.

In terms of breakeven, actually we are already breakeven as I said earlier, because we allocate central costs equally to all businesses. Even asset management gets an equal share. So, the large businesses like wealth, private, asset services, institutional equities and asset management get a similar share.

If I take that, even if I reduce that by 50%, asset management has broken even. But even with the allocated costs, I think now the gap you see is about INR 2 crores a quarter, INR 2 crores to INR 3 crores a quarter. I think by the end of this year, if we are able to cross a maybe INR 13,000 crores, which is INR 130 billion.

And out of that, if you are able to sort of hit, let's say, essentially INR 10,000 crores at 80 basis points, which is about INR 80 crores of fee income next year. And if our total cost is, let's say, 38 in, H1. So maybe around next year, mid this time, we should be on a monthly basis, start to show numbers, which on a monthly basis will look breakeven.

I think by around September, October next year. And from there, depending on the asset addition, it'll start growing. So, if you are able to add \$1 billion of assets every year, after that,

the profitability curve will just keep going up.

Moderator: Thank you. We'll take our next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

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Prayesh Jain : Yes. Hi, everyone. Congrats on a great set of numbers. So firstly, you know, while everybody has been talking about equity markets, even the debt market seems to have, you know, we will see some interest rate corrections in the second half. Yields have already come down. And we started Nuvama work has been pretty strong on the credit side. So how do you see the benefits kind of playing out for Nuvama if the interest rate kind of cuts from here on?

Ashish Kehair: So actually, multiple businesses have multiple impacts. If, let's say the interest rate goes down, there will be some impact maybe in the yields of asset services business, but that will come with a lag of 12 months because yields are already locked in for about 12 to 15 months. There could be some improvement on, let's say, the lending side, because our yields are already quite competitive, our cost of funds can go down.

So, there could be a positive impact on the NII side in the wealth management. I think barring these two, I don't see any other impact for us on the overall business side, unless there is a positive momentum on the equity side because of the interest rate cut, that is a second order derivative impact.

Prayesh Jain : So broadly, overall, from a wealth management perspective, could you split your assets between equity, debt and others?

Ashish Kehair: Almost 60% will be equity and maybe 25 % to 30 % will be debt, quasi -debt, and then balance will be alternate.

Prayesh Jain : Okay. And so, coming to your overall R M strategy, I alluded to what growth, what additions you're planning to do. My question was more on, like just a couple of quarters back, we were discussing about growth, investing now versus kind of benefits. Are we kind of, you know, the bulk of the investments have happened now, or we will, it's more of a gradual addition story that we are embarking on? So, what's the thought there?

Ashish Kehair: So, see, in Nu vama Wealth, we've added about 40% of the capacity in the last 12 months, right? Now, the game is also to make them productive, and that part of the activity is on. We are not, in a sense, slowing down. There could be some quarters where we ramp up, some quarters where we dial down, but on a yearly basis, like this year, we

will add about anywhere between 175 to 200 RMs on a net basis, right? So it is a significant number.

And maybe next year also, we will continue with that, because I don't see any reason for slowing that down. So, if you are able to, Pr ayesh, for example, add 200 people, and if I look at it from last September, we would have added almost 400 people. 337, we've already added.

And let's say, if we add even 70 in the next two quarters, we would have added 400 people. And if we end up at a cost income of 65 %, which was without people addition in H1 last year, I think it's reasonably good to continue that, right? Why to cede market share just to improve cost income?

I mean, you can do that anytime you want, right? You can stop recruiting for two quarters, and your cost income will improve. But if you're able to add, if you're able to contain attrition, and

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you're able to move people from bucket one to bucket three, which is three to five years, where the productivity jumps from 1x to 5x, it can have a massive impact on the business.

Prayesh Jain : Absolutely. Absolutely. Got that. And, sir, you know, you mentioned about the cost of income, the 50% of the increased costs and growth, where else are we investing?

Ashish Kehair: So, rest would be mix of everything, right? So, there'll be some bit of tech, there'll also be hikes given to the existing people. Because of the increase in business, the provision for incentives, the provision for bonuses have gone up. So it's a combination of all that.

Prayesh Jain : Got it. So last question on the private side, where, how is the kind of RM cost trending, you know, when you're hiring new RMs? And what is your source of RM hiring today? It's private banks, or how is it? Because whenever we attend wealth management conferences, this is the biggest discussion point about the resource crunch. So, is it the right time to add costs? At what level are we adding? Could you give some sense there?

Ashish Kehair: So, we will continue to add, but we will not add at any cost. So that is our stated philosophy, because it doesn't make sense. And it doesn't make sense for the employee also, because they will soon realize that if they join organizations at absolutely unacce ptable costs, and if they don't

become productive over a period of time, the strain on the organization will be such that they will be compelled to ask those people to go.

So, I think there are a set of people who understand this, they also understand that in this business, fixed cost is not the only cost, it's actually a combination of fixed cost plus the bonus or the incentive you make plus the ESOP which the organization gives you. And then on a collective basis, if you're joining a platform in which there is a higher degree of certainty, there is ESOP coming in, there is incentive, which is paid better than the market, there are people who understand and then take that call.

And we are able to find these people, like I said, in Q2, we were able to add nine RMs. It's not that it all happens in Q2, because you work over four, five, six months, you close, and then they serve their notice period, and then they come. So, it's an activity which is an ongoing activity which keeps happening. So we are not in a rush that we have to go and add 50 RMs in the next six months. If we don't get, we don't get, but we are able to find these people, private banks, MNC private banks.

Typically, if you're hiring from a firm, which has given people stock options and the stock has run up and they have unvested options, those are the most expensive people which we avoid.

Prayesh Jain: Okay, so just sorry to slip in just last one more. You know, Dubai is something where we were kind of expanding, and we were investing in Dubai, Singapore, any incremental information there as to what is the size or anything like

that?

Ashish Kehair: Yes, so Dubai, right now we have about three RMs and the country head. We are now functional in the sense all licenses are there, all product setups have happened, our first set of transactions have happened, our first set of clients have been onboarded last week itself. So, as we say that we are now open for business, and it's progressing well.

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Singapore, we just got the license, I think a week back, and we will now evaluate as to how to move ahead. But between the two, Dubai seems to me as a more, I would not say easier, but I would say more logical to expand first than Singapore.

Prayesh Jain: And this would be more private rather than wealth, right?

Ashish Kehair: Yes, right now it's more private, but we will also evaluate to see if there's an opportunity in wealth.

Moderator: Thank you. We'll take our next question from the line of Jay Jariwala, an individual investor. Please go ahead.

Jay Jariwala: Yes. So yes, my question was on recruiting of RM. So, like how much cost or how much like on an average RM cost, RM recruitment cost will be and like at what pace it is growing or it is like a stagnant from a couple of years or what will be the revenue generated by each RM? Do we have any sort of data on that?

Ashish Kehair: You can just divide the total revenue by total number of RM. So, for example, if we take last year, let's say Nuvama Private, we had about INR 550 crores -INR 560 crores of revenue and about 100 average RMs you can take because we had new, so about INR 5 crores -INR 5.5 crores per RM. And similarly, if you take in wealth, about INR 700 crores of revenue and about 1,000 RM, so about 70 lakhs, so that's the order of magnitude.

And we operate at about 4 -5x in terms of the multiples of cost. In terms of hiring cost, it's a broad number. I mean, it depends on how many consultants you hired, but typically it's about 8% to 12%-13% of the first-year compensation of the new employees that you hired only if you are going through the consultant. If you are doing a referral program or if you are able to reach out directly to candidates, those costs are not incurred.

Jay Jariwala: Sure, yes, got it. And also like about RM itself, so like whenever we recruit and...

Ashish Kehair: We can't hear you, Mr. Jariwala.

Jay Jariwala: Sorry for the disturbance. Yes, so I just want one more question. So, the cost to income of the company has been down in this particular quarter, any guidance on what it can actually bring it down in the next couple of quarters, any further guidance on that?

Ashish Kehair: I think it will remain similar to where it is in the next couple of quarters. But over the next three years is what we are saying that maybe capital markets will move up slightly, Wealth Management will come down to 60 %-61% and asset management will move from break-even to maybe 75 %-80%. So therefore, on an overall basis, we will range between 55 % to 60% in the next three years.

Jay Jariwala: And in the Dubai, you have started a particular -- so from there, from where we can expect revenue to be kicks in, in which quarter specifically, any guidance on that?

Ashish Kehair: It will take time for Dubai to become a meaningful contributor. So, you can just look at Dubai as a new city addition in India. It's not that it will become some 10 %-15%-20% contributor, it

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will take time to develop. It's an addition, it's a product addition also for our clients. It's also a new revenue source, but it's not going to become one major contributor in that sense.

Moderator: Ladies and gentlemen, due to time constraints, this was the last question. I now hand the conference over to Mr. Ashish Kehair for closing comments. Over to you, sir.

Ashish Kehair: Thank you. As usual, for taking

time out. And as I said, this was a special one for us because we completed one year of listing and many new milestones were achieved in this quarter. Hopefully, the markets will be supportive and we should be able to see you again in the next quarter. Thank you. Thank you for your time.

Moderator: Thank you, sir. On behalf of Nu vama Wealth Management, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

Nuvama Wealth Management Limited

Corporate Identity Number: L67110MH1993PLC344634

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February 7 , 2025

The Manager,
Listing Department,
BSE Limited,
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BSE Scrip Code: 543988 The Manager,
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051.
NSE Symbol: NUVAMA

Dear Sir(s) / Madam(s),

Subject: - Transcript of earnings conference call

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation dated January 24, 2025, regarding the earnings conference call to discuss the Company's performance for the quarter and nine months ended December 31, 2024, please find enclosed herewith the transcript of the aforesaid earnings conference call held on Monday, February 3 , 2025.

The same is also made available on the website of the Company www.nuvama.com .
We wish to confirm that no unpublished price sensitive information was shared/ discussed in the aforesaid earnings conference call.
Kindly take the same on record.

Thanking you,

Yours faithfully,

For Nuvama Wealth Management Limited

Sneha Patwardhan
Company Secretary and Compliance Officer

Encl: as above

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"Nuvama Wealth Management Limited
Q3 FY '25 Earnings Conference Call"
February 03, 2025

Disclaimer:

This document is subject to errors and may or may not contain words which have been included / omitted due to human error while transcribing the conference call. Any and all information should be verified with the company by the reader.

MANAGEMENT : MR. ASHISH KEHAIR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – NUVAMA WEALTH
MANAGEMENT LIMITED
MR. BHARAT KALSI – GROUP CHIEF FINANCIAL
OFFICER – NUVAMA WEALTH MANAGEMENT LIMITED
SGA, INVESTOR RELATIONS ADVISOR – NUVAMA
WEALTH MANAGEMENT LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Nuvama Wealth Management Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star t hen zero on your touchtone phone. Please note th at this call is being recorded.

I now hand the conference over to Mr. Ashish Kehair, Managing Director and CEO. Thank you, and over to you, sir.

Ashish Kehair : Thank you, S eja l. Good morning everybody. Welcome to the earnings call for quarter three . I have with me Bharat, Group CFO, and SGA team, our Investor Relations advis or.

Like every time , I will summarize the last quarter and maybe give some outlook or some guidance on how we are looking at the future ahead , and Bharat can then detail the results. And then we can move to the questions that you may have.

Pleased to share that we have had a successful Q3 and a very good 9 months. Client assets have grown by about 36% year -on-year. Revenues until Q3 grew by about 45%, and profits for Q3 was about INR 252 crores and for 9 months, INR 731 crores, recording a growth of 76% year -on-year.

I would sincerely like to thank both our customers for their trust in us and our teams for the relentless commitment. I think that is the dual force behind these outcomes, which continues to be superior to most of the market.

On macro s, I think it is a very interesting day to talk about . A lot of uncertainty is now coming about, but I think things will settle in maybe next 20 -30 days. I am fundamentally an optimist. I believe that India 's long-term structural story is fully intact . The se bouts of volatility will give opportunities to people to participate in the market and everything finally settles down and things come back to fundamental s. Short term ups and downs are going to remain, but I don't see anything getting impacted in the long term.

And this kind of a setup is where the diversified business model, which we are blessed to have, comes into play where you have multiple levers playing out. And if one thing undergoes some moderation, the other picks up. And that we have seen play out for the last 3 years and more so in the recent quarters.

We continue to remain bullish on our core wealth and asset management businesses and all the ancillary servic es around it. I think if those two grow, which are destined to grow given where the Indian fundamental story is, businesses like asset services and capital markets will also thrive .

Coming to the results and more so o n our strategic priorities and on what we have been focusing .

I think beginning of the year itself, we had highlighted that there are 3 or 4 key levers, which we are going to drive for this year. The first being scale and growth , across both of our wealth businesses, asset management business and asset services. Happy to say that we have really

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played that out well. We have increased the capacity and expanded geographic ally in both our wealth businesses, we've also gone offshore and in Asset Services, we've added significant number of clients over the last year or so in o rder to make the business more granular . Second was capital efficiency. When we started out, we had clearly said that we want to be best -in-class ROE, and we continuously look ed at opportunities to deliver this superior growth but also improve the usage of capital. And deliberately, we calibrated our loan book because we wanted to make it undergo a change such that it becomes a reasonable ROE business. I think , we have now reached that state where we can now increase the loan book

from here, more like
what our peers are doing.

Revenue quality and granularity . This was one of the key agenda points for us, where we said we will now focus on annuity and ARR assets in private and managed products and investment solutions in wealth and as I said, increase the number of clients significantly in our Asset Services business so that it becomes granular and extremely resilient.

And last was leveraging technology across the board because if you're aiming for this kind of a growth in capacity expansion and you want to maintain your handle on efficiency and productivity, I think technology becomes a key player. On all 4 parameters, we are quite happy on how the progress has been made. And I think we can talk about it more in detail if you have Q&A.

Coming to specific businesses. Nuvama Wealth, as I said, our focus continues to be managed products and investment solutions . We have reasonably grown the flows there. The net new flows for 9 months now are about INR 5,000 crores plus, which is more than what we did for the full year. It has grown by about 46% year -on-year if we compare the same period.

Also, on an annualized basis, it is growing at about 35% on the opening base, which I think is reasonably robust and within this also the constituent of managed products is now increasing. It used to be around 45 -50%. It is now nearing 65 -70%. So that was one key element.

Second, as I said, tech , we have significantly invested in technology and continue to do so in this business. I've been speaking about one of the solutions, which we have launched earlier, the portfolio solution. I think that is one of a kind in its industry. We have done second pioneering development in this space. We have created a product called NUWAI. It is an AI -based training solution . We are hiring in such large numbers, we figured out that a classroom tra ining solution becomes extremely sub -optimal to deliver the kind of objectives, which we want to do.

So, we proprietarily developed a solution to deliver tra ining, which is one -on-one to our relationship people. And I think there is a significant amount of acceptance by the relat ionship people on the field .

On the loan book, as I said, we deliberately calibrated it because we wanted to improve the quality of the book, which we have now done. You will see that there is a dip in the NII in this business , that is temporary , I just wanted to highlight . Because of two to three reasons , one, we have moved into what is called self -clearing in the wealth businesses.

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Earlier, the clearing for the wealth management clients used to be done by the Asset Services division. For three reasons we have shifted to self -clearing. One, operating efficiency , because operations of one team and the other team had to coordinate , it led to a lot of sub-optimal processes. So , for operating efficiency, margin efficiency for clients and capital efficiency for the wealth business we have shifted to self -clearing for wealth. Now the clearing is don e by the wealth business itself. This movement was done in this quarter and to do this movement, we had to borrow about INR 800 crores extra for about 45 days, which was a temporary borrowing, which at the end of December was paid back.

And the cost of that borrowing has had some impact on this NII. So , if you see , there is an INR 10 crores gap. Out of this, INR 4 crores comes from there and given the volatility in the quarter, there was some INR 2-3 crores cost on the MLD hedgi ng side. I think , these are the two large things. And of course, the average loan book itself was down by INR 100 cr ores. So , I think out of the two-three factors, two are temporary, and we will see the margins come back in Q4 for this part of the business.

On Nuvama Private, again, focus remains in the annuity p

roducts, the ARR sales. And if you

look at the numbers, it is about INR 8,000 crores again for 9 months, which is exceeding what we did for the last full year. This growth is about 88% year -on-year. And again, on the opening base, about 35% annualized. So robust capacity expansion here also , goes on . Though we prefe r to not be mindless in adding RM s because of the price point.

And I think the volatility in market now will be of some help because people will understand that at every price point, it doesn't make sense because it takes enormously long for the relationship person to break even and puts a lot of pressure on the individual himself and also on the system. In the last one year, we have added about 11% in terms of capacity. We are fully functional on the offshore side.

Our first location DIFC , is live . Business has started. Revenues have started coming in. Clients have started joining in. So , I think that is the reasonable progress . Maybe in another six to nine months we'll breakeven there.

Self-clearing, I have already spoken

On asset management, again, net flows remained strong. We had about INR 1,200 crores of net flows in this quarter. We did first close of our commercial real estate fund at about INR 1,700 crores. Once we make one or two deployments, we will start raising funds again. We target to

achieve about INR 3,000 crores in that fund.

On the private equity front, we returned some money. We did some sales of Ola Electric and also, we distributed capital back, which is why there's a reduction of about INR 200 crores in the AUM there. But we have launched our fourth series of the private equity fund, which should do the first close in about two quarters. So again, fee paying AUM will get added back.

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Public markets, we have grown 3x in the last 12 months from I think INR 1,600 crores to about INR 5,000 crores. Some of our funds have become largest in the category in their segments and are always in the top two, three in terms of performance.

We now have products across the spectrum. Starting from a capital protected product, an absolute return product, long short, Flexi cap, mid and small cap. So, across the spectrum and we have also added GIFT as the location for getting offshore money, and we are expanding on the external distribution side. About 20 - 25% of the funds that we raised in our public markets come from external distributors. We are adding more external distributors, and we hope to see that expand further.

You would have seen one of the announcements made, that we are making an application for mutual fund license to SEBI. This is for the specialized investment fund (SIF). This is a new category called as SIF, which has been rolled out by SEBI, with an INR 10 lakh minimum ticket size. It will allow some of our strategies, which we now deploy on the AIF side, like long-short and absolute return.

As of now, SEBI's intention is to allow these strategies on SIF, and if this fund has the taxation structure, which is similar to MF, not like AIF, which means taxation only on redemption, then I think this vehicle will become extremely efficient for clients. Hence, we want to apply and be one of the first ones to launch under the structure.

Coming to asset services. Based on feedback from most of you, we have now segregated asset services from core capital markets and over the last 1 year, many of you have individually come and told me that you need to segregate that out and I think, fundamentally, we also agree that the nature of the business is closer to wealth and asset management. In my view, everything is correlated to the capital markets. It is just a degree of correlation changes and asset services is, I would say, closer. And hence, we thought we will segregate it out. And the reason is basically the growth of that business

is more linked to the growth of wealth and asset management

business in the industry. The revenue stream is more recurring, less transactional, assets are more sticky and less volatile to move. I think these are the fundamental reasons why we moved or segregated.

On how we did in that business, assets under custody and clearing have grown by about 57%.

For the full year now, we are at INR 1.3 lakh crores and as I said earlier on, that we have significant number of clients. On the domestic side, now our market share happens to be 22% of all incremental AIF and PMS registration. We are able to on-board them and internationally, obviously, in the client segment of our choice, we have a dominant position.

Coming to the core capital markets now, institutional equities and investment banking. Equities saw a bit of a tepid quarter with Q3 because of the fall in volumes by about 10% in the market.

And we have seen about a similar fall. Market shares have been intact. We still have a 6.2% plus market share in institutional equity, which is industry leading. On the IB side, on the other hand, this quarter was reasonably robust.

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Our capital market income dipped because there was a large M&A transaction in Q1 and Q2.

Some impact came from there. But if I look at stand alone IB on business-as-usual basis, Q3 was actually better than Q1 plus Q2. In the market, there were 57 deals that happened across IPOs and QIP and the fund raise of about INR 1.45 lakh crores. We were able to capture a market share of about 18%, about 11 deals and INR 25,000 crores.

As you know most of it doesn't get built in the same quarter. Yes, we have a spillover of Q1 and Q2. But I think the activity of Q3 was significantly higher, which does not get fully built.

So, you will see the flow-through coming in Q4 and ahead. And even the deal pipeline remains significantly strong, even now. There is some bit of market volatility and price correction that could lead to postponement of some issues.

But once it settles down, then people will get on to it. This is all from my side for now. I will pass it on to Bharat. He will take you through the detailed numbers across all the metrics in the

businesses, and then we can move over to Q&A.

Bharat Kalsi : Thank you, Ashish. Thank you so much for setting up the context. Good morning everyone and a warm welcome to all the participants on the call.

Before we jump on to the numbers, as you know , last quarter saw a lot of volatility driven by the macro and geopolitical events. Within India, if you look , there are a lot of mixed expectations on the results and similarly the implementation of key regulatory changes, more specifically, say, SEBI F&O regulations . I think all these kept the market on its toes during the last quarter, and we saw a lot of volatility, and we also saw some hit of it on our broking revenues also, which is driven by the regulatory changes. So that is also built into the performance.

Overall, if you look at the company level performance, happy to share that all our businesses during the quarter has delivered a continuous performance quarter -on-quarter, whether it was a net new flows for wealth business, private business or asset management, whether it was launching new strategies in our as set management business, adding new clients on the asset services side , or market share on the IB / IE side.

I think all in all, these were the business numbers, but even if you look at the qualitative parameters in terms of RM capacity increase or investing into our enterprise tech stack, all those things were also in place. I think from a quarter perspective as a management, we believe that this has been a good quarter for us.

Overall, number -wise, as Ashish also covered in the beginning, the client asset has grown by 36% year -on-year, and

we are now at around INR 4.5 lakh crores, which is a very respectable number.

Revenue continued to grow strong at 30% for the quarter at INR 723 crores, and this as I mentioned, was done by all the businesses. So, it was not just one business, which was pulling up the numbers. Total cost was at INR 390 crores or so, which is a 19% growth, but that's mainly driven by the people which we have added in the last 12 months or so, we have added around 270+ RMs. So , that's the cost which is coming in, but that's a good cost to invest.

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However, I would want to highlight that our opex on a quarter -on-quarter has always been like flat. We are at INR 90 - 95 crores a quarter of opex. We are looking at investing into our enterprise tech upgrade. So , we may see some increase in opex in the coming quarters . But I think investing in tech is never a wrong idea, I would say. So, to that extent, it's fine.

Overall cost income ratio continued to improve. We are at 54% compared to 59% last year, and the PAT has grown by 43% YoY for the quarter and 76% YoY for the full year to date at INR 731 crores. Last full year profit was around INR 597 crores, and we are now at INR 731 crores in the first 9 months .

Ashish did touch upon the capital utilization. Our ROE for the quarter is 32%. I am happy to share that for 9 months also, it is at 32%. So , it's not about this quarter, we saw some ROE uplift. It is being consistent at 32% for 9 months as well .

Moving specifically to the businesses. Wealth management , our focus area , within that Nuvama Wealth segment , the AUM has crossed INR 1 lakh crore with a growth of 38% YoY . MPIS , which is our key focus area, has grown by 34% YoY , and the client assets are now around INR 29,000 crores or so.

Good sustained net flows, we are at INR 5,800 crores for the 9 months. We did almost same number for last full year. So , we did INR 5,800 crores now and INR 5,785 crores for the full year FY '24. And again, the MPIS contribution has gone up to 90% in the first 9 months of the financial year. So that's a good sign.

Capacity, we are at around 1,237 odd RM. There is 1 more number, which I would like to specifically highlight for Wealth . So, quarter 3 revenue have grown by 24% and 9 months has also grown by 24%. So , it's a very consistent performance. If you look at quarter or you look at the 9 months, a 24% consistent growth is a very reassuring number.

Cost-to-income ratio at 67%, same as last year despite adding a lot of capacity. If we remove that capacity cost as well as their revenue, the cost -to-income ratio would have improved by 300 basis points or so. So , I think it's all ok, I would say, a good investment in the right direction.

Operating PBT has grown by 19%. So , I think we've ticked all parameters in terms of revenue growth, capacity addition, tech also , as well as on the PBT growth.

Nuvama Private crossed INR 2.1 lakh crore and grew by 24% in terms of the client assets. ARR asset continues to grow much faster at almost 38 %-39%. The ARR net flows is INR 8,000 crores for the first 9 months, which is significantly higher than what we did in the last full year . Again, we continue to add number of families. We added around 20% families, and 150-odd families in the quarter. So , I think that's a good sign of adding new families or the new clients in the private segment , that's working well.

Q3 revenue was around INR 153 crores. So now if you look , Wealth has touched almost INR 70 crore per month run rate and private has touched a run rate of INR 50 crores. So , I think that has Nuvama Wealth Management Limited
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come to a level where it's reasonably assuring that at INR 70 or INR 50, give and take , INR 120 -130 crores a month number coming from Wealth business is a good way to look at it.
Overall, yo

u will see that the revenue growth for this quarter over previous year was a little lower. Nothing unusual ; what happened last year same quarter was our gross sales was more heavy towards the AIF 2, where you have more upfront of one-third commission. But now in this quarter, we have more of sale of AIF 3, which is more trail -based. So , if you ask me, it is basically the revenue and the profit cash flow timing issue, nothing has changed structurally . For private, we should rather see quarter -on-quarter. So , quarter 2 versus quarter 3, the growth is around 6%. So , we have implemented that change in the system, and that's why the quarter -to-quarter growth is more relevant versus compared to Y -o-Y growth. Otherwise, I think this business is shaping up pretty well, and we are all in the right place.
Asset Management, Ashish covered a lot of things in terms of AUM touching around INR 11,300 crores and INR 1,200 crore of net flows. Also in the public market, we have picked up INR 725 crores, and in commercial real estate, INR 675 crores. We have distributed from our first crossover 3 fund around INR 225 crores ; we launched our Flexi cap fund and achieved first close of the CR E fund. SEBI MF application, anyways Ashish covered in a lot more detail , why this is relevant for our business.

Asset services, I would request people to look at our investor deck, we have added a new disclosure or new insights about the business, why this is more recurring in nature and relatively less correlated to the capital market movements. I think it's a pretty reasonable articulation of how the business is actually working and what are the various levers in the business. I would request the team to look at it.

Capital Market, again, we discussed it's been steady for us. And I don't know whether Ashish covered or not. But our market share in terms of our equity IPO has doubled. So, if you look at prime database from calendar year '23 from a 9%, it has moved to 18% in calendar year 24 and I'm happy to share that we have secured number 1 rank in terms of our public debt issue. That is the end of my commentary, I would say that quarter 3 has been pretty happy for us. And we can now open for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain : Good morning , Ashish and Bharat . Great set of numbers. A few questions. Firstly, on wealth , could you give me some understanding on the breakdown of your managed products category and what is the kind of share of insurance or some other products, the breakdown will really help us understand as to how things are moving. And the yield pressure in the wealth segment is primarily just because of NII going down right , nothing else to be kind of looked back there. So that's on wealth.

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On private, again, breakdown of AUM with respect to especially the ARR AUM that is from which segment does it come through that will help us understand better. And again , the yields have been declining consistently. It's not that just the recent quarter or anything else. But how should we look at it from a structural standpoint whether the yields have to be assumed at the current levels or it can see further decline. Bharat did allude to it, but your view going ahead is something that we'll look here. And also, there is some weak net new money in this business.

And last question would be on asset services. What is the kind of split between domestic and international here and is there any concentration risk in the international piece? Those would be my questions.

Ashish Kehair : I will start with your first one on Wealth managed products. Basically, out of the net new money that is coming in now Prayesh , about 65 %-70%

essentially pertains to PMS, AIF and MF in terms of MPIS flow. MPIS total led about 65% and out of the total MPIS AUM, I think now about 60%-70% is now managed products. And when we say managed products, we don't include insurance in it. Insurance falls in the

bucket of investment solutions . So fixed income, MLD unlisted and insurance, that is the other bucket. So, 65% to 70% flows now sitting in managed products. And within that given the segment, I think the yields would be more on a trail basis bet ween 1% plus because all PMS AIF CAT 3 would be at that range itself.

On the yields falling from whatever, 85 to 83 bps, I think there's nothing structural. There is just one element which we want to keep saying on the wealth business is that there is a component of broking assets, where MTM and the revenue doesn't actually move in tandem . If you see last 18 months , Prayesh , INR 35,000 crores of broking assets have become INR 70,000. So literally doubled, b ut revenue of broking doesn't move like that.

And in this quarter, specifically MTM is 7% positive, but revenue is down on broking because of whatever has happened in the market ; true to label, F&O, consolidation, all reasons put together. 7% positive MTM and the yield impact is just 2 bps in a quarter where your NII has been because of the self -clearing and all. So , if you remove the impact, our actual yield this quarter is 90 bps. So , there is nothing structurally wrong . So Q4, you will see things coming back.

Private ARR breakup. Again, out of the ARR flows, actually everything is managed products only. And around INR 42,000 crores is our ARR AUM out of that INR 12,000 -13,000 crores is advisory a nd rest happens to be about INR 2,000 crores of loan and rest is managed products. And yield there. Yes, this quarter, we saw about 7 bps of fall. 7 bps of fall, out of that, again 4 bps comes from self -clearing, so that will reverse about 1 to 2 bps from MLD. So , I think that will also change .

The other -- the third bucket, which is the proportion of CAT 3 AIF is going up, that is structural in nature. So , if you ask me, I think 80 to 85 basis points should be the sustainable yield and I

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think Q4, we should come back to that level . Asset Services, domestic international breakup remains the same. Like I said last quarter , 25-75. And internat ionally there is always this concentration.

But the good point is that the top 5, 7, 10 clients. See, it's not a business where you have thousands of clients . There are only limited set of clients, let's say, 100 -200 internationally. And the top 10 keeps changing. So that is the good part which you always want to see, that you are not necessarily dependent on just one or two it keeps changing depending on how they're deploying their strategies, how they are bringing in capital into the country. So that's where we are in terms of asset services.

Prayesh Jain : Just one question there on net flows on the private side.

Ashish Kehair : On the private side, sorry, I missed that. Transactional, there is a negative. There i s one transactional client which basically moved out, but hardly an impact on revenue. But on the ARR side, if you see the flows are consistent and this was a one -off transaction al outflow, which happened for one client because I think they are relocating and they're taking everything to the Middle East.

Prayesh Jain: Okay. Got that. Thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo : Congratulations on a good set o f numbers. Firstly, so in the clearing business we saw some yield pickup in this quarter. Now that could be majorly on account of that movement of self-clearing , but I wanted to understand more on that and like how that yields

have increased. Secondly, so

like you mentioned that we are building our presence in Dubai and Singapore. So just wanted to know like how many RMs over there we have recruited and what is the growth plan for the next 2 to 3 years?

Ashish Kehair : Okay. So self -clearing, basically as I said earlier, the clearing of wealth busin ess used to happen through our sset services division. Now we have moved those assets, which were sitting there. They have been transferred back to wealth. So , you will see that assets under clearing there is a dip. So, about INR 10,000 crore s assets moved.

Now the earnings, which the asset services division used to make on these clients was lower than what they do from their other clients. Because these were largely wealth clients with only minor clearing services and all . Hence, on the remaining book the yield has gone up. It's just mathematical. It's not that there is something di fferent that has happened there and on our offshore plan s, DIFC as I said, is now fully live functional.

Business happening every month, revenue coming in. At an RM cost level, we have broken even, of course infrastructure costs in all another 5 -6 months, we should now breakeve n. And then we have about 3 RMs there. We may go to 5 -6 over the next 12 months depending on how it shapes up. Singapore, we are just in the process of thinking through on how we want to do.

I think we'll first want to focus on Dubai and take it to the next level and then maybe add Singapore because the competitive intensity in Singapore is significantly higher, and the cost of people and the time taken to breakeven is longer. So, we may want to prioritize Dubai more than Singapore at this point in time.

Lalit Deo : Sure, sir. So, as you said about the yields. So, like going ahead should we see that yields in clearing business to be in excess of 150 basis points or should that revert back to 130 -140 basis points of fee?

Ashish Kehair : No, it should remain at this level. It will not revert back unless there is a structural change in the interest rates and all which takes about 12 to 18 months to take impact.

Lalit Deo : Sure, sir. And sir, just one question on the transactional income in this particular quarter. So, like we have seen some good pick up there in the Nuvama Private business. So, like what led to that?

Ashish Kehair : So largely two, three things. I think given that there was volatility in the secondary market. I think activity in the unlisted space picked up. We've not done credit down selling still. I mean I think that is also one thing which is happening in the market in a big way. Direct transactions in the markets are increasing as a trend is what we are seeing. And I think we just participated in a few transactions and that led to that income.

It should become part of course in my view, in the wealth management space because more and more clients, in addition to putting money in funds also want to do direct deals and direct transaction and unlisted as a space over the last 3 -4 years has grown significantly.

Lalit Deo: Sure, sir. Thank you.

Moderator: Thank you. The next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: My first question is just to get some clarity on the asset class mix for both wealth and private divisions, especially pertaining to the ARR assets between how much would be equity, listed, unlisted and rest of it?

Ashish Kehair : So ARR assets in private largely for us is not equity. We've just over the last 8 -10 months started doing more PMS and AIF. So, our impact, therefore, on the positive and negative MTM is lower than rest of the street. It's more non -correlated asset classes. So, it includes real estate funds, private equity funds, infrastructure funds, credit funds and now li

sted equity funds also getting added there. So that's how the split is.

In terms of wealth, I think it will be more 50 -50, so 40 -50% would be listed equities and balance would be non -correlated asset class .

Abhijeet Sakhare : Got it. Thank you so much. And secondly, a bit of a qualitative question. So, we operate across the spectrum asset management to wealth and capital markets. So, is there a way to quantify

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what would be, let's say, synergy benefits or what would be the likely sort of franchise value in terms of having everything within the firm? And how much extra revenue does it create for the overall firms ?

Ashish Kehair : Interesting question at this time. So, I think over a period of time, the value gets derived. The way we look at it is, it's like a flywheel. The customer can enter in any part of the business. So, for example, and I'll give you a critical construct and then tell you practically where we are and what we have achieved.

So, customers could enter into a fund of asset management and could be a pre -IPO fund or a private equity fund. Technically, you have a shot to becoming investment bank for the IPO. And at the time of monetization, you can get access to the wealth for the promoter and then if you have an HNI in an affluent division, you can also explain the services to the senior management of that company.

So that's just one construct. There are many such use cases like asset services and wealth, investment banking and wealth. I think around 10% to 15% of the revenue is what we think one can add by bringing out these synergies across the board and that's a straight through pass to the PBT because there's no extra cost apart from the incentive or the incentive you will provide for creating this ecosystem.

That is the only extra cost. But otherwise, it's a straight through pass through the PBT I think that's where we have reached right now. And the areas where we have sort of tried to focus more is between the investment bank and the private division. I think that is where the highest level

of synergy lies, and some, let's say, in the mid-cap equity research and wealth division and so on and so forth.

So, it's an ongoing process. It's easier said than done because people of different businesses take time to understand the nuance of each aspect and why they should do and why it is beneficial for them. But once you taste success, once any individual taste success, then we've seen that it becomes widespread in that division and then it follows through from there.

Moderator: The next question is from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: Just a few questions. Now we see 1 month into the quarter, in terms of activity levels on the wealth side, both on incremental flow on the ARR side or on the transactional pipeline, how you see things kind of play out, if you can give some color on that? Second would be on the transactional income that you are booking in your both Nuvama Private and maybe a little bit of the Nuvama Wealth Management segment also.

In terms of quality of the underlying product that you're really down selling, if you can kind of break it up or maybe give some color so that we can get some understanding of how this should be on a more steady state-run rate basis. And lastly, if the markets were to remain sluggish for, let's say, a prolonged period, what sort of expense levers would you really have to kind of manage your margins? Or do you expect the margins to sustain at current levels?

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Ashish Kehair: So, the first one, I mean, I don't know whether we are allowed to answer, but I'll still do that. We are not seeing any significant negative impact either in the transaction flows, or ARR in both the Wealth businesses, at least in the month

of Jan. I think where we are seeing impact is, of course, broking volumes, which has come off. But I think Jan again is coming back in that sense. But in terms of the other areas of business, right now, at least, we have not seen any negative impact flow through.

In terms of transactional income, let's look at Wealth first. So basically, there are 3-4 categories, which fall into transactional income. There we don't call ARR and transactional. It is Unlisted, fixed income, MLDs largely. And it will be dominated by fixed income. I think more than 80-90% would be fixed income. And between unlisted, fixed income and MLDs also, to some extent, I'm saying unlisted is sporadic in that business, it's not like a BAU.

But fixed income is BAU, like every month. And fixed income for that client segment is a significant part of their asset allocation and as we all know that mutual fund fixed income does not attract flows from individual clients. The large part of mutual fund fixed income, 85-90% still comes from corporates and institution. So, the fixed income allocation of individual sits in bank deposits and that remains to be a large opportunity, and we tap it through direct fixed income. So, it's fairly steady and consistent in that sense.

When we come to Nuvama Private, it's a combination. Again, fixed income is a big component there followed by, I would say, a bit of MLD, followed by a bit of direct deals, direct deals more in the unlisted space, very little maybe in the credit space, if we find a transaction in some fund which has an overflow and passes our diligence, then we may offer to our clients.

So largely this. But between these 4, opportunities keep coming and we keep repeating that. In terms of sluggishness, I think if there's a sustained and prolonged sluggishness, there are discretionary expenses, which we have, like there are conferences, there are events, there are marketing events.

I think, in general, the travel cost come down, variable expenses, variable employee expenses. So those would be like at least 20-30% of the cost. And today, if I look at our variable cost and fixed cost, our variable cost is actually at the same level as fixed employee cost, given how we are performing in the business on the overall level.

If you are saying that everything becomes sluggish and prolonged, that level, of course, comes down. So, there is a 20-30% play that is available. And when I analyse our cost income today, let's say, we are sitting at 54%. And this Dipanjan we are now taking a 3-year view. Now we are clear that in 3 years, Wealth will move from 65 to 60%. Asset management, which is now at 127%, will at least break even or become like 80-90%.

Asset services at the same level. And I think even if capital markets deteriorate by 20% from here, given how our business is proportioned, our cost income will remain at 54%.

Dipanjan Ghosh: Got it. Got it. Just follow up, if I may. In terms of the RMs that you have added, the productivity pick up, that should play out over near to medium term. Now obviously, on a low

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base, you're currently operating at a flow to opening, which is significantly strong, like north of 30%, as you mentioned. How do you see that changing as the business scales up and also, the productivity levels pick up? I mean, how do 2 things really work in parallel?

Ashish Kehair : I don't think this to slow down significantly unless we meaningfully reduce capacity addition because right now, if you see in both the businesses, the productivity of new people has just started to play out. It's not even played out. Like in the Wealth business, if I look at our RM cohorts, more than 40 -45% is less than one year. Right . Now, 45% of people less than one year are doing, let's say, around 1x or less than 1x. When they move, and I'm saying there will be

attrition.

So even if 50% of that moves to more than three -year bucket, that's like a 4x jump. So , in both the businesses that is yet to play out, which is why we keep saying that there will be a cost income advantage when this capacity starts adding over the next three to four years. And maybe, yes, I mean, two, three years down the line, on an opening AUM, we may not get 30 -35% of incremental flows. But between mark to market and flows, I don't think that to come down below 25% on an overall basis.

Dipanjana Ghosh: So, if I understand correctly, you're saying that the AUM growth even two, three years out should be 25 % assuming mark to market is more steady and normalized?

Ashish Kehair: Correct.

Dipanjana Ghosh: Got it. Thank you, sir and all the best.

Moderator: Thank you. The next question is from the line of Mohit Mangal from Centrum Broking Limited. Please go ahead.

Mohit Mangal: Yes, hi. Thanks for the opportunity. So first is in terms of the RM attrition. I mean, in the last call, you said that you have RMs in the big league, which actually produces, maximum revenue for us. So just wanted to know, like, in quarter two, we lost around two RMs. So how has been the movement in that category in Q3?

Ashish Kehair: I think Q3 was actually zero loss and when the volatility increases in the market, the RM attrition also keeps coming down.

Mohit Mangal: Understood. Secondly, in terms of the cost to income ratio, right? I mean, you just said that the wealth will come down from 65 % to 60% and we have also seen that, I mean, the competition is ready to pay more. So , are you a little confident that, you'll be able to retain those RMs with the lower cost or in the sense at the same cost? Just wanted to understand that.

Ashish Kehair: So again, let's segregate both the businesses and also, you have to understand that when you say pay more, it always means fixed cost, right? And what people actually make is a combination of fixed plus variable. And variable is largely a function of how much monetization opportunity a platform can provide. And all platforms in wealth management are not equal because of the Nuvama Wealth Management Limited

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number of products, access to opportunities, access to in-house products, access to investment banking deals, institutional equity block deals.

Everybody doesn't have all this. So , the ability of the RM to make money on this platform from their clients is significantly higher, which basically ensures that they end up making a higher variable. And once you have spent some amount of vintage on a platform to go out and to recreate it, it takes time and long.

So, you will see that movement of people when it happens from one place to the other. Actually, performing people move less. It's underperforming who move more and performing people sometimes move for change in role, change in position, or some significant opportunity. It's not that they keep jumping.

So large part of the attrition noise is actually not in the performing bracket in the wealth management industry. And we also face that challenge. When we go out and we want to recruit, it's not easy to get performing people, even from moderately successful platforms.

Mohit Mangal: Understood. And any change in the fixed cost to variable cost component, any change in the formula for that , for RMs , or it has remained the same?

Ashish Kehair: No. Largely the same. No change .

Mohit Mangal: Okay. Thanks, and wish you all the best.

Moderator: Thank you. The next question is from the line of Vivek Ramakrishnan from DSP Mutual Fund . Please go ahead.

Vivek Ramakrishnan: Congratulations on a great performance. My questions were on the loan book only. I mean, you had said it was calibrated, but actually if I see the loan book has been relatively stable given the market conditions. So , I wanted to know in terms of

calibration or better quality of loan book,

what have you done? Is it just more granular in nature? And how do you expect to grow this? Is

it the number of clients because the market remains a volatile thing? Thank you.

Ashish Kehair: You have to understand our loan book. It's not necessarily margin trade financing, which is linked to the levels of market and market activity. We have loan against shares. We have ESOP financing. We have loan against AIF funds, which typically wealth clients take for either leveraging and improving their returns in those funds or for temporary liquidity. Margin trade financing is a small component of our book, which is more correlated to the market.

What we have done is that, in some cases like in our ESOP loans or loan against shares, I'll just take one specific example and that will give you a sense. Like people used to borrow against their ESOP and then sit on it for a year, 2 years' time. We thought essentially that in a rising market, that was an okay thing to do for the client. But given where we are right now, it may not be very wise to be leveraged and hold on to your ESOP when valuations are sitting at this level. So that was one point of view, which was client related.

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And therefore, we said that we want them to borrow, yes, fine, exercise, but then sell and diversify. So, we changed the structure of our rates. We made it extremely competitive, less than 30 days and then increased post 30 days. So that induced the behaviour of people moving out and moving into other assets.

So, the book remains same, but more people borrowed. And your ROE also improved simultaneously in the process because you have a processing fee on selling, you have a brokerage, which if you annualize 12 times, it increases. So that gave us the capacity to access more clients with less capital and overall led to an improvement of ROE in the business.

Now with this in place, we can expand our book size, we can go to more corporates, we can add more clients, we can allow more people to borrow. But we don't want to, when I said we can grow the loan book, I want to make myself clear, we don't want it to become some dominant contributor of our revenue. But like one year we've kept fairly steady, we can now look at it increasing with the size of our scale of our business and not just remain flat.

Vivek Ramakrishnan: Excellent, sir. Wish you all the best.

Moderator: Thank you. The next question is from the line of Ashish Agarwal from Oaklane Capital. Please go ahead.

Ashish Agarwal: So, I have a question on the ownership. So, what is your view on PAGs long term ownership in the company? Also, how does PAG add value to your company, basically you have mentioned that it adds strategic value, so how does it add value? So yes.

Ashish Kehair: What was your first question?

Ashish Agarwal: So, what is your view on the PAG's long-term ownership in the company?

Ashish Kehair: Okay. So, see, PAG essentially is a fund, right. And it's like Blackstone, Advent. So, this is largely an alternative investment fund, and private equity happens to be one of their key areas, and India now happens to be one of their key sorts of investment thesis. And we are a reasonably successful company in that portfolio.

The fund life is up to 2030. But any private equity fund always enters into an asset with a view to exit at a point in time. So, it's never like permanent. So, they will explore opportunities in their normal course of business. We wouldn't know more than that.

In terms of strategic value, see, I've always maintained that, when a private equity actually enters into an asset, it's clearly entering to create value in different components of the business, and take the multiple higher, valuation higher. So, in a sense, it's completely aligned with all the shareholders.

And the

way they add value is they will find pockets where your operating efficiency is low, your capital efficiency is low, or are you not looking at some strategic target market, which you should be looking at. How do you bring synergies between various components. So, it's more

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strategic and a business owner kind of a mindset. They have extreme amount of learnings because they've invested.

And I would say any large private equity invests in so many businesses, across so many markets, that they are able to see some mistakes, which typically management make who are in their business, and they're able to point it out, and help you clear that, and help you grow faster than the others. I think that's one and also the focus on governance and relationship with stakeholders, like lenders, rating agencies, and all. I think those are the things which bring an immense amount of help in having a large bulk bracket private equity as your promoter.

Ashish Agarwal: Okay. Just one more question is that what is the time frame that you look to break even the asset management business ?

Ashish Kehair : As I said, in our company, we load allocated costs equally to all businesses. If we remove that, they are breaking even now. But with that allocated cost loading, I think by the time we crossed about INR 20,000 crores, so maybe another 12 to 15 months.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha : Sir, we see that you added almost 600 families in 9 months in ultra-HNI space. And if I do 9 months net flow figure, it is INR 7,300 -odd crores. Sir, just wanted to understand, this INR 7,300 crores is largely driven by mining the old 3,600 families or this 600 actually have added much to numbers or not?

And if they have not, then how do you expect it to play out in subsequent quarters or years, in a sense? And I think it's a similar trend I see in the wealth business, that family additions are there. Just wanted to understand the waterfall, whether it is more driven by family addition or client addition? Or is it mining of the existing customer? If you can give a waterfall in that thing, it will be helpful to understand how it works?

Ashish Kehair : Typically, Sanketh, it's a combination of both. And in the Wealth business, for example, we've added about 15,000 families in the quarter and maybe 75,000 in the year. But out of that, only 10%, 15%, 20% will be relevant. And the contribution into net new money, 30%, 40%, 50% will come from, let's say, the new families and balance comes from the old . Actually, we'll also share this data. I think going forward, we'll look at them how we can share.

The new family typically, when they come in anywhere, whether it is wealth or private , it doesn't happen that you get 100% of their investable flows in one go. In some cases, it may be a possibility, but more often than not, it starts with a product and then it keeps adding, keeps adding, keeps adding.

So, it is not fair to assume that if you add 600, their entire investable surplus will come to you.

I would say maybe 20% would come now, and then it keeps adding over the following years.

So, depending on year-to-year, this mix will keep changing, I think 30- 40% is safe to assume would come new clients and balance from mining of old clients.

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Sanketh Godha : Got it. Perfect. And second question, sir, is to understand from both in wealth and private , how much of our revenue concentration or AUM concentration is linked to ML D's? And if there is any specific -- I mean, basically, just wanted to understand ML D's concentration into the entire revenue pie of our, if you can give that break...?

Ashish Kehair : Less than 1%, I mean hardly anything. I mean our ML D sales total would not be more than INR

50 - 60 crores a month. I mean we don't actively encourage MLDs on our book, we are actually bringing that book down , because we don't want to have the hedging risk.

And second, we don't pay significantly on that as a commission because we want the cost of borrowing down. So not more than INR 50 - 60 crores, hardly 1 -2% of our revenue would come from MLD.

Sanketh, before the tax change, it used to be reasonable. But our own ML Ds, I mean, it's not a significant revenue provider to us.

Sanketh Godha : Got it. . And sir, the reason I asked this question is that in 1 of the questions, you said that the MPIS net flows 65-70% is AIF, PMS and mutual fund and 30 -35% is insurance, fixed income and MLDs.

Ashish Kehair : So that MLD would be , let's say, of other issuers who still are issuing some, but that also will not be big. Like in our fixed income, we include MLD in fixed income only , more than 90 -95% is vanilla fixed income.

MLD, now I think across the market, except maybe one player, everybody else, MLD has come down significantly, only two players. I think , one we all know, and the second one is an unlisted wealth management player . Otherwise, across the board, MLD has come down significantly post the tax change.

Moderator: The next question is from the line of Nishant Shah from Millennium Capital.

Nishant Shah: I just have one clear question to ask. You mentioned in your opening remarks , that there may be some postponement of flow activity or deal activity. And earlier in the call, you also talked about how January has been relatively steady. I am just re -clarifying this part, again, like do we see some postponement of flows given capital market activity slowing down.

So not a lot of promoters unlocking value, not a lot of ESOPs getting encashed. So does that kind of likely reduce flow activity until the markets kind of like settle down a bit? Or how should we kind of think about flows going forward? Medium term, I take your point, like it's probably irrelevant, but like more in the 6 months' timeframe.

Ashish Kehair : So as of now, actually, Nishant, we are not seeing, we were discussing amongst ourselves that

logically, this could happen because prices have come off very sharply. So maybe people who wanted to do QIP or IPO may want to wait, but the filings are still going on at the same pace.
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I mean, our teams are saying that has not come down. People are saying that, okay, valuations were significantly higher than what we had thought earlier. Now it looks more reasonable, and we want to go ahead, because our plans have not changed. Maybe some private equity funds who want to exit through IPO, they may want to delay because for them, it's not necessarily related to plans around their business.

It's more maximizing the IRR. And if that they can delay by one month or two months, it may be okay, but that also they're not stopping the filing. But on the promoter side and ESOP encashment and all, we are not seeing anything. I am just saying that if it becomes prolonged, that is one area that can get impacted, but if you're asking me on actual activity side, are we seeing that change, as of now, no.

Nishant Shah: Understood. And second question was on just your clearing - F&O clearing business. There's been a slew of kind of regulatory changes, but not a lot of like real impact on the premiums traded. So how is that business kind of shaping up? You mentioned -- last time we have spoken, you had mentioned that you have a long pipeline of new clients, hedge funds that you want to add as well. So, any outlook that you can give per for the coming year for that part of the business?

Ashish Kehair: Outlook, actually, we don't give. But all I can say is that one, of course, the premium levels are back. And I think January, I was reading one of the reports of

from one of the analysts in the call only, that both for BSE/NSE, even the premium turnover is back.

But for us, actually, the premium value matters, and that is reasonably intact and new client addition, I'm not talking small clients, these are large billion-dollar clients. They have not stopped activity, either taking offices on lease, racks on lease, hiring of people. So, I can only say that the momentum of the activity, we have not seen a slowdown. And when we spoke to them, even after all this, India remains within Asia their pick as the next largest profit pool is 20% of India in derivatives market. So, it is a long time away that we will go away from here, addition is only happening. And many participants globally have still not come. They are still looking to come to India. So, I am not actually sensing a slowdown in activity there.

Moderator: The next question is from the line of Vivek Gautam from GS Investments.

Vivek Gautam: Just wanted to know about your statement, you said that the coming quarters will be better. What could be the reasons for that? And how is the opportunity size looking for market in terms of the volatility, which is now engulfing Indian market?

Ashish Kehair: I think coming quarter will be better in two things. One was the yields in the private should come back to the 80-85 bps and NII income in the wealth management business, because both of which underwent a depression due to the same reasons which were temporary nature, so that will reverse.

In terms of overall activity, I think institutional equity volumes is the only place where we are seeing some impact. Other than that, largely things remain to be in place. I don't think we have an impact on the business. But yes, we have to be watchful of the global situation.

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I mean there is a significant change in leadership in the US. He is coming out with tariffs and other things, which have a bearing on their inflation, which means it has a bearing on their interest rate, which means it has a bearing on their currency, which basically has a bearing on everybody in the world. And how that plays out, how each country reacts and what it does to the emerging markets, I think there are too many factors to be considered to be able to give a calculated call on how it will go.

All I can say is that activity levels of clients have not gone down. And we are not seeing this negative chatter or sentiments playing in large parts of the business, except broking volumes where there has been an impact, but I think that will get covered up with the positive activity in other areas.

Vivek Gautam: And how much of the broking contributes to our business, because I believe most of your offline brokerage has now shifted?

Ashish Kehair: In total, if I look at our overall revenue, our institutional equity revenue would be in the range of 12-13%. And within Wealth Management, if I look at broking, it's less than now maybe again 12-13%. If you see a 10% fall in both, you are actually seeing a 2-3% change in revenue.

Moder ator: The next question is from the line of Anirudh Agarwal from Value quest Investment Advisors.

Anirudh Agarwal : Question was on the lending business. So, if you could just talk about how much capital you've allocated to the lending side? And what are the current ROE that you're making? So, you spoke about improving the ROE profile of this business. So where is it now? And what is the target ROE that you would be comfortable with in the lending side?

Ashish Kehair : So, the way we look at lending is not actually a business, it's a product, actually nothing neither broking nor lending, everything is a product , because your end client is same . And overall book size is about INR 5,000 crores, and it's split across largely three products, ESOP financing , loan against securities. I'm

saying securit ies not shares , because it includes everything.

And third is your MTF. MTF out of this overall INR 5,000 crores would be more or less around 20%, which is people who buy, and rest 8 0% is above two. And ideally, the way we look at this, is that this is not the only product the client should be consuming for us , because if it becomes the only product, that the client will consume, then at an ROE level, you will always be in ferior, because you are lending to the super prime client , at the finest possible rate , against the best available collateral, and there has been no credit event for the last 10 years.

So, you cannot hope to make a large ROE unless you leverage 7x, 6x, which we don't do . We run an overall book at 2.5x leverage. So therefore, your ROE actually comes from doing other activities and other products with the client , which would be , let's say, some buying, selling, broking, some wealth management. So, if you put everything together, the wealth management whole cluster ROE s are now upwards of 22%.

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We were sitting at 16 -17% a year back. We are now upwards of 20 - 22%. And I think at 25% is a level where we can then say, it's good enough from there, you can keep on expanding the uses of capital and keep the ROE impact and drive more growth. So that's how we look.

Anirudh Agarwal : Got it. Second question was on the MPIS piece in the Wealth business. So, the incremental growth that we've seen in this quarter, is that also la rgely on account of increasing PMS/AIS/ MF? Or there has been some activity on fixed income , MLDs or insurance in this quarter?

Ashish Kehair : So, insurance is not significantly high in this quarter as compared to previous quarters, but fixed income is high. And so, it's a combination of all. So, your MF, PMS, AIS, that trails adding and of course, fixed income was high. Only out of those three , this kind of an impact cannot come in the quarter. So, it has to be both. I think Q4, we will have insurance play coming in because largely, Q4 traditionally has been big on insurance for everybody.

Anirudh Agarwal : Okay. And there is any indication of the surrender value regulations change on the insurance front? Any change in commissions, etc , on that?

Ashish Kehair : Not for us, really, because our persistency ratios were best in class in the industry . We are actually saying that we want to have a positive impact of this change because we are one of the few that insurance company doesn't have to worry because of this surrender charge.

Moder ator: Ladies and gentlemen, due to time constraint, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Ashish Kehair : Thank you once again for sparing your time. I think we've had a decent quarter. Now we'll focus on Q4 and see you again after three months. Thank you for coming again.

Moder ator: On behalf of Nuvama Wealth Management Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2025

Nuvama Wealth Management Limited

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June 4, 2025

The Manager,
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Mumbai - 400 051.
NSE Symbol: NUVAMA

Subject: - Transcript of earnings conference call

Dear Sir(s) / Madam(s),

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation dated May 21, 2025, regarding the earnings conference call to discuss the Company's performance for the quarter and financial year ended March 31, 2025, please find enclosed herewith the transcript of the aforesaid earnings conference call held on Thursday, May 29, 2025.

The same is also made available on the website of the Company www.nuvama.com.
We wish to confirm that no unpublished price sensitive information was shared/ discussed in the aforesaid earnings conference call.
Kindly take the same on record.

Thanking you,

Yours faithfully,

For Nuvama Wealth Management Limited

Sneha Patwardhan
Company Secretary and Compliance Officer

Encl: as above

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"Nuvama Wealth Management Limited
Q4 FY 25 Earnings Conference Call"
May 29, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the Nuvama Wealth Management Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Ashish Kehair, Managing Director and CEO, Nuvama Wealth Management Limited. Thank you, and over to you, sir.

Ashish Kehair: Thank you, moderator. Good afternoon, everyone. Thank you for joining us today. Happy to welcome you to the Q4 conference call of Nuvama. As usual, I have with me my colleague, Bharat, our Group CFO and the SG A team, our Investor Relations Advisor. I'll quickly give a brief overview on the quarterly performance and a bit of macro and then maybe Bharat can take you through the detailed numbers. And then we can jump into the Q&A.

Starting with the numbers. I think headline level, happy to state that on all input output parameters, the year has been truly a breakout year for us. Client assets grew by about 24%, revenue for the year by about 41% and profits by about 65%. We closed the year with about INR986 crores of PAT and both the cost-income ratio coming down, in the sense the profit margins went up and the ROE substantially improved from about 23.6% to 31.5%.

I think before moving into the business, it's worthwhile to talk about the year in terms of the macro. First half, as we all know was actually extremely bullish from a market perspective, markets went up significantly. And correspondingly, a lot of supply started coming into the market by way of IPOs, QIPs, blocks, insider selling.

But I think somewhere around the middle of the year, things started to change. Liquidity tightening to the tune of about INR3.5 lakh crores happened. RBI rightfully got worried about the rising unsecured and microfinance loans. And I think in order to contain any prospective damage, they actually tightened the rules around both NBFCs and banks.

And due to the general elections, I think government also postponed their spending. So, all this, along with I think dollar strengthening, heavy supply in the primary market and simultaneously selling by FPIs in the secondary market, the tonality of the market changed in the second half.

If you see from September through February, the market continuously kept coming down, and as a result of which, I think cyclically, things changed. I think two-three things happened.

Elections got over, so government started spending. The policy pivots also changed. Both the regulatory bodies saw the change at their helm.

RBI essentially started injecting liquidity through OMO, let the rupee depreciate. There were rate cuts, which were done. Reduction of risk weight was done towards NBFC and micro finance companies. Inflation target became more benign. And primary supply also dried up, which was, I think, simultaneous with FPI buying.

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So therefore, Feb onwards, you see that there was a change in trend. And hopefully, we'll see that momentum continue and go on through the first half of this year, but having said that, Q4 from a market context was a bit tough for everybody. But within that context, I think what we were able to achieve actually is a true testimony to the diversification and the resilience of the platform. And I think the excellent execution by the team Nuvama. I can't thank them enough. Coming to specifics in terms of the businesses, starting with Nuvama Wealth. We've always maintained that there are three, four large priorities with which we've been working with. First being, of course, the capacity addition and

d scale, which we've talked about a lot. But the more important part was the whole focus which we did on the managed products and investment solutions.

And if you see the flows, they're quite heartening. I think even this year, we were able to achieve about INR6,500 crores of net new money. And within that, quarter 4 saw about INR1,400 crores in a tough environment, which was nice. And now almost 70% of these flows actually comprise of managed products, which in a sense is building some annuity for the future. So slowly and steadily, that book is getting built, which will play out as we move ahead.

In terms of lending, I had mentioned this, I think both in Q2 and somewhere around Q3 that we are relooking at the way we run that business, and we wanted to fix certain ROE issues by changing the whole proposition and the model, which we have now done. From this year onwards, you will see that there will be a dial up that will happen.

Last year, we did not aggressively push the book because we were changing this model. Although gross disbursements happened and then loans got paid back because of the change of the business model, the ROE improved substantially. But this year, I think on a net basis, we'll be able to increase the book.

I've been talking about the investments which we make around the technology related to both productivity and efficiency. I've spoken about our multi -asset advisory platform called MA RS. I think now it's fully functional. Earlier, it was in the beta version. It's now being used by most of our RMs and top clients.

The next stage is to essentially integrate generative AI into this. So right now, it's a rule -based engine. We will move it to GenAI. I think that should help in terms of both client experience, consistency of delivery and improvement of productivity of our field force. And second, which is a big move which we did, was there was a fundamental challenge when you're dealing with such large set of people, the traditional classroom training model starts to become ineffective and extremely expensive to execute.

I think with the advent of GenAI, even that we have considerably moved. And now more than 90%-95% of our training of relationship people in that business happens through a self-done tool, which we have created, where they can at their own pace and time interact with the fictional clients on a product and get real -time feedback. And the acceptance across the board is phenomenal. We will see the numbers in productivity also showing through, which actually, if you see the MPIS numbers, it in a sense has started reflecting that.

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Coming to Nuvama Private. Again, there were three clear priorities which we had called out, building out capacity at a reasonable cost, build offshore as a proposition and focus on ARR in terms of increasing the proportion of ARR as part of the overall business. I think on all three, we've made significant progress.

Capacity, we've been able to add about 10% this year. And here, I would like to comment. I mean, I think in a sense, there's some sort of madness happening in the market right now, the way people are building out teams and the way compensation has been dealt, I don't know, it looks like a race to death. I think at a time when cycle goes bad, I maintain that many of these will get decimated. I think some sense should prevail over a period of time.

We've been able to build, I think, like -minded people have joined who appreciate platform, who appreciate building a book and not look at immediate short -term gratification but how a platform can help them build a sustainable practice and deliver value to the clients and therefore, create long-term value for them.

On the offshore side, we've been now fully functional in Dubai. We've hit operational breakeven with the current set of people. We will now add capacity there.

And I think the three legs which we had envisaged, which was India outward, offshore inward and offshore -offshore, all those three legs are operating well.

On ARR assets, you would have seen the data book, even in Q4, despite, I maintain, the challenging environment, we've been able to do about INR2,100 crores of net new money. And in this time, actually, more than 100% is managed products because we saw some down in the loan book in the ARR assets.

And overall, through the year, we've been able to do about INR10,000 crores, which is actually 30% on the starting base on the back of last year, which was 26% on the starting base. So, I think all the three strategic priorities, reasonable progress has been made.

On Asset Management, Q4, the key highlight for us was the commercial real estate fund, we had to take it to first close, which happy to state that we had done.

We had also issued a press release. And as we stand today, we've made our first deployment.

We'll talk about it in detail in the next call, maybe, but just to give you a brief, it's a marquee asset, office asset in Delhi, more than 95% leased with an equity value of more than INR460

crores and I think it was one of the most prized asset chased by most of the funds, we were able to pull it through.

The next phase will be to take this fund from current INR1,700 crores to INR4,000 crores in maybe next two to three quarters. Our public market funds, which basically comprises of long short and absolute return, which as of date, have become largest in their categories in the market. The long -short fund now has a 3 -year track record. The absolute return fund has a 1 -year track record .

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I think for this part, Q4 was a bit challenging because the whole public market space went through net outflows. We still saw net new money coming in here. Because of the market fall, I think people were circumspect or postponing decisions or maybe redeeming. So , I think that played out here.

Hopefully, with the recovery now happening in the next two -three quarters, we will see the momentum come back. We've also, in this bucket, launched our gift fund. We've created the pipes now which can access capital. We now need to go out and basically place these with institutional and wealth customers in overseas jurisdictions.

On the private markets, our focus has been deployment, both in our crossover and venture debt fund, which in this quarter, we made three, four deployments. Now in our crossover fund about 15% of money remains to be deployed, which should, hopefully, get through in the next maybe 7-8 months maximum. And we will look to start raising our fourth crossover fund over the period of this year.

And lastly, I've been talking about private credit as a strategy. We've now firmed up that we want to launch that strategy. We are in the process of identifying and closing the team, and maybe by Q3 or Q4, we should be up and running with that.

Coming to Asset Services. This, I think, has been a breakout year for this business on the back of last year also which have seen reasonable amount of growth. Both international and domestic clients have been growing meaningfully.

On the domestic side, we have about 20 %-22% incremental market share. International side also, there were some bit of uncertainty that has seeped in because of this entire F&O regulation and people thought that volumes will go down, which they actually went down, but we saw that this business was relatively inelastic in that sense because typically, people do not take margin in and out, even if you have two expiries in a week and they compute the peak margin required. So, basis the peak margin, our float actually went up in Q4 also. And with this uncertainty around this F&O going away, we are seeing immense amount of interest coming from all the clients who are

sitting on the fence. So , the pipeline is extremely strong in this business.

Coming to our capital markets business, which is institutional equities and investment bank, I think on a collective basis, we've been able to weather the downfall.

Our numbers are lower than Q3, but marginally lower as compared to the peer group. We were able to do a lot in fixed income. We were also able to increase our market share in institutional equities in Q4. So, we are seeing resilience. Obviously, there was a slowdown, which happened in the primary market. And as we just saw one IPO of Ather now, for the last 3 -5 days, again, we are seeing a flurry of IPOs coming back.

We are also focusing on advisory transactions. And fixed income remains intact in the sense fixed income in Q4 was also intact and even now remains intact. And the pipeline in investment

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bank, although the activity has slowed down but I think mandate creation and pipeline is extremely strong.

So, if the market remains stable at this level and the activity comes back, I think we will be out there executing deals and come back with our numbers. Although the fall, again, as I said, is relatively far, far lower than what the market saw. I think this is about it from my side. I will hand over to Bharat to take you through the detailed numbers for Q4.

Bharat Kalsi: Thank you, Ashish, and good afternoon everyone and a warm welcome to all the participants on this call. Ashish anyways covered all the headline numbers, but I'm happy to share the overall performance for the quarter as well as for the year. If you look at FY '25, it has been a breakout year, as Ashish also in the starting allude to, and it creates that base effect of having large numbers coming from wealth, private as well as asset services side.

So, with that, the number on the consolidated basis, if you look at our client assets, it's now at

INR4.3 lakh crores, which is a growth of around 24% on a year -on-year basis. This has been held through the sustained inflows which is coming in and obviously, the market supported in the whole growth of 24%.

For the quarter, the revenue was at INR771 crores, which is a strong growth of 29%. Here, I'm referring most of the numbers on a Y -o-Y basis. Wherever I use quarter -on-quarter, I'll be specific about it. In case of overall full year revenue growth, the growth was at 41%, and this was a broad -based growth, not that only a few businesses did. Obviously, few did exceedingly well, and few did a growth of 15% to 20%, but it was a broad -based growth.

If you look at the overall cost, our cost is around INR435 crores for the quarter, which is a 22% growth . If you look at the breakup (available in data book as well as our presentation , which are uploaded on the website website) the fixed cost has gone up because we have added around 350 odd RMs over the last 18 months.

So obviously, as they start building up, the fixed cost continues to go up. But I think that's the investment which we have decided as a strategy, and we continue to invest on that. You would also see that the operating expenses has grown. So , if you look at the full year operating expense, that has gone up by 10% and which I think seems very reasonable given our size of operations and as we are expanding.

But on a Q -on-Q basis, you would see that there is opex growth of around INR30 - 32 crores between Q3 and Q4. Key reasons being there are a few one -offs which are there in Q4 and also typically, Q4 will always have some seasonal expenses. I'll just call out some broad one -off as well as seasonal expenses, like , we do our flagship I E conference, which maybe few of you would have also attended in Q4 as well as all our businesses and enterprise strategy offsite happens in the quarter 4.

So those are the expenses which are specific to Q4. You can see the similar

trend in the previous

year Q4 where the opex suddenly goes up. Other than that, as Ashish was mentioning that we
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have added capacity on the private side. So , there is some cost which comes in, in terms of recruitment and all.

We are also investing in our marketing spends because we want to further build on the Nuvama brand. There are some investments which we are doing and the part of that is sitting in quarter 4. If you go back to my Q3 update where we specifically mentioned that we were in the process of modernizing few of our key systems, APIs, applications on the tech side, this was more of an upgrade.

Most of it has already been done, and that's why the cost is sitting in Q4. So those are like conscious investment s/spends , which we wanted to do, and they are coming in Q4. And in Q3, there were some specific things which we got like credit from our cloud partners as well as there was a termination of lease, some reversals were there. So that's why the delta looks higher. But otherwise, if you see overall quarter -on-quarter, our opex remains between, say, INR95 crores to INR105 crores, give and take the seasonality part of it, and the full year growth was 10%. I think we will be in the similar ZIP code in terms of opex growth year -on-year. So close to 10% seems reasonable, and that's our expectation.

With that, our overall C /I is at 56% compared to 60% of Q4 last year, which is a n improvement of 4%, and our PAT is at INR255 crores, a growth of 41%. Full year basis, the PAT has gone up by 65% to INR986 crores. And our ROE for Q4 was around 31% and similar number for the full year at 31.5%.

So that was on the overall financial performance. With respect to dividend in October, we declared our H1 interim dividend of INR63 per share. In the yesterday Board meeting, the Board has approved INR69 dividend for the balance year. With this, we are within the range of our dividend distribution guidance. And on an average, 48 %-49% of the last 2 financial years, we have paid it as dividend to the shareholders.

That's how the overall consol level performance looks like. In terms of businesses. Nuvama Wealth, similar to company 's overall growth, the Wealth assets have grown by 20% Y -o-Y but we more specifically look at the MPIS assets because broking assets with mark -to-market can do plus/minus. The MPIS asset has grown much faster at almost 29% and touched INR 30,000 crores.

As Ashish was mentioning on the overall flows and our focus on our MPIS, the MPIS flows were almost INR1,350 crores - INR1,400 crores in the Q4. And on a full year basis, it is INR6,500 crores, which last year was around INR5,000 crores. I'm specifically talking about MPIS flows and not the total flows.

Overall, the revenue was up by 17%, and this was marginally lower than what we initially thought, but that was led by broking revenue. As you know that quarter 4 saw some extra

volatility and that's why the broking revenue was marginally lower. Overall, the C/I ratio is at 67%.

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As we've been mentioning that if we remove the growth capital, which means the cost of the new RMs as well as the associated revenue, the C/I would have improved by 250 to 300 basis points. So, this is a conscious thing which we are aware of, and we are okay with that as we are still building on the capacity at the business level. Operating PBT for Q4 was up by 14% at INR66 crores.

Similar to Wealth, even Private for the quarter has seen a very good performance in terms of overall client assets up by 17% at INR2 lakh crores. Again, the ARR assets, our focus area, grew much faster at 33%, and now it's at INR45,000 crores give and take.

On the ARR asset flows, this is up by 52% on a full year basis. So last year, we did around INR6,600 crores. And this year, we have cr

ossed INR10,000 crores of net new money in the ARR assets. So that's one benchmark where we are now touching, INR10,000 crores of annual net new money.

Overall revenue, Q4 has been very strong. In the initial quarters, we mentioned that the revenue growth for Private was a little lower, Q4 is a full reflection of the activities and the growth was at around 24%. And our ARR revenue now contributes almost 60% of the Private revenue, which is where we are focusing on.

Similarly, the C/I ratio, excluding the growth cost of the new people and revenue, would have improved by 250 to 300 basis points from what we have reported. The overall PBT was up by 12%. And in terms of number of families, we are at 4,250. We added around 575 new families during the year, and RM count stands at 135.

Asset Management, a few good things. The AUM grew by 62%, is now at INR11,300 crores. Public markets and the commercial real estate helped in. I think the one number which is more important is that out of the total AUM, now 92% of the AUM is fee paying. That is how the journey is going on for the Asset Management business.

In terms of the new flows, you would see that the quarter 4 was subdued at some INR300 crores, say, compared to last quarter of around INR1,200 crores, but that's primarily because till last quarter, we were focusing on our commercial real estate fund where we raised almost like INR700 crores in Q3. In Q4, we did not raise because that fund is at the deployment stage. And Ashish also mentioned about our first deal on the commercial real estate fund. So, it's nothing like the numbers has gone down. It's just the commercial real estate fund focus is now more on the deployment.

Asset Services, the assets under custody and clearing are up by 38% to INR1.26 lakh crores and the revenue is up by 85%. Overall capital market, again, IE and IB, our number on a totality basis for IE and IB put together was up by 16% on a Y-o-Y basis.

The quarter-on-quarter, obviously, the ECM activity was lower and hence, the IB numbers were relatively lesser than what we did in Q3, but the pipeline in terms of the mandates, which are at different stages is very strong.

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We've been working on some mandates and there are some new mandates, we are talking to them, they are at different stages of closure, but the IB pipeline in terms of mandate on the ECM side looks strong.

And on an overall basis, IE and IB continue to maintain or rather improve their market share in the respective business lines. I think with this, happy to share that our overall performance for FY '25 has been satisfactory. And now we can go for the Q&A.

Moderator: Thank you, sir. We will now begin the question and answer session. Our first question comes from the line of Prayesh Jain with Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Congrats on good set of numbers. Just a few questions. Firstly, on this Asset Services side, while we have seen that the assets under custody and assets under clearing has more or less been flattish sequentially in Q4, but we still have seen a very good jump in revenues. What will be that attributed to?

Ashish Kehair: So typically, average assets, if you see, within that, the float has actually gone up, Prayesh. One, because of the new clients, which we continue to acquire, there, the proportion of cash to non-cash collateral or G-Sec is normally higher. So that becomes a big contributor in terms of the number going up for the Asset Services business in general.

And some yield pickup has also happened because if you see now the yield is inching towards 2%. And it is also a combination of two things. One, of course, new client acquisition continues to happen where we keep on getting the cash float. And second, if you remember, in the last call, we said that we moved to self-clearing for

our wealth business.

So that part of the float went out. So, in Q3, it was only for part of the quarter, Q4, you see the full effect so, the yield went up even further. So, there is an increase in yield and increase in the float assets within the overall assets.

Prayesh Jain: Okay. Got it. Now coming to the private segment, where we have seen transaction revenues holding up pretty strong, it's at about INR90 crores in this quarter. What would you attribute to this? Would it be unlisted shares that has created this or how should we look at it?

Ashish Kehair: It's a combination. That transactional revenue also has some bit of broking income, which, of course, was not up for this quarter. So, what you're saying is right. It was unlisted shares, fixed income and some other deal down-selling. So, combination of these three, because transactional income basically has only three-four line items.

One is brokerage, second is unlisted, third is your structured product MLD and fourth is fixed income. So, it's split between all of this. There was some bit of heightened activity in both unlisted and fixed income in Q4.

Prayesh Jain: And just one question on the overall cost to income on both wealth management side. While we've been investing over the years, over the last 1-1.5 years to kind of add capacity, when do we really start seeing the benefits of these in terms of reported numbers, in terms of profitability?

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Do you think that we are still a year away? How should we think about this? And how long would you continue to invest in building more capacity in both the Wealth and the Private side?

Ashish Kehair: See, if you look at it, and this we've discussed in the past, and I've also asked you this question and you only told me that you should continue to invest. So, I think we follow the same because if there is growth to be had, right, now as a business, you have two choices. One, you say that, okay, I want to show better cost income, stop investing in new talent.

Immediately, this 66% moves to 63%. Now in the short run, which may be good, but I think in the long run, that's extremely damaging to the business. As long as you are able to get talent and you are able to move them on the productivity trajectory. Now this is a business which is a slow movement from, let's say, 1x productivity to 4-5x productivity. It takes 3 to 4 years.

Because unless you start doing things which are non-aligned to customer, sell very high-margin products, which again will be damaging to the business and to the franchise. So, if you see a 2-3 year trajectory as this productivity moves up, cost income gradually will keep coming down.

I don't think we are going to slowdown investment considerably.

Maybe in Nuvama Wealth for, let's say, one, two quarters because now if I look at the cohort of 1,200 plus RMs which we have, about 500 would be less than 1 year. So, in effect, that 500 on an aggregate basis are delivering 1x. So whatever number jump you are seeing is actually coming from the balance 700.

Now the idea is to get some part of this 500 to slightly higher productivity. So, we may take a pause for maybe 1 to 2 quarters, focus on this and then restart. But if you ask me from a 2-3 years perspective, I don't think the idea right now is to focus obsessively on this number and not build capacity because growth is there to be had.

Prayesh Jain: Sir, is it fair to assume that your cost to income, which was at 66% for Nuvama Private and 67% for Nuvama Wealth, this would hold up in the near term, and we should keep these kind of numbers from our modeling perspective for the next couple of years?

Ashish Kehair: For FY '26, I think we are actually looking at 100 basis points down.

Prayesh Jain: Okay. And this is at the full year number, not at the Q4 number because Q4 number was even higher I think...

Ashish Kehair: Yes, at the full year number.

Prayesh Jain: For the full year?

Ashish Kehair: Because Q4, if you also see the cost, when we discussed, there are certain seasonal costs which bunch up at Q4. So Q4 cost is not the right reflection. At least the opex manpower costs will still be there. Even in manpower, incentive and bonus there could be catch up due to year-end. But otherwise, on a full year basis, you should see and then 100 basis points is what we want to target.

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Prayesh Jain: Got it. I will come back in the queue for more questions. Thank you.

Moderator: Thank you. The next question comes from the line of Dipanjan Ghosh from Citigroup. Please go ahead.

Dipanjan Ghosh: Just a few questions from my side. First, in terms of the transactional business, despite broking being a little volatile, we have seen them do quite well, both in Private and Wealth. So, I just wanted to get some sense of when you look at the next 1 to 2 years, what will be the key revenue streams in this transactional portion, excluding broking obviously? And what's the pipeline sort of looking like that you can think of in that segment?

Second, in your opening remarks, you mentioned that the pipeline on the IPO side is holding up well. So, from a modeling perspective, can you give some color on the pipeline or revenue potential out there? The third question is coming back to the custody clearing business. Obviously, last year was a year of significant number of new client additions. How is that looking like, let's say, for the next four, five quarters?

And just one data keeping question. If you can quantify your corporate treasury book in the Nuvama Private businesses?

Ashish Kehair: So, let's start with the first one. The first one is on the streams of transactional revenue. The streams of transactional revenue would largely remain what we are seeing, I mean, the same, unlisted shares, fixed income, MLDs, some corporate deals and all. I think by Q3, there are two streams which will get added for us maybe by Q2 some and Q3 some.

Q2, I think we will see some addition of down-selling of our commercial real estate where now since we have a commercial real estate fund and obviously, the deal sizes there are large and when the fund goes and invest, you may get assets which are extremely good, but it may not fit fully within the funds' ambit.

So, we may do a co-invest with some of our large clients and family offices. So that will be one that will get added. And if by Q3, we are able to get the credit fund going, then in Q4, you will also start seeing credit downsell. So, I think these two meaningful streams are there in the future, which will get added in terms of transaction revenue. From a trajectory perspective, unlike ARR, it will go up and down quarter-to-quarter.

But on a full year basis, I think 40-45%, we will be able to maintain. Your second question was around the IB mandate. So IB, if I disintegrate and look at our overall IB, you obviously know we have a very, very strong fixed income practice. And that, we are seeing secular growth for the last 4 years and even now that growth continues because unlike the equity side of the market. It's a very, I would say, a repeatable market because when somebody borrows, by definition, that borrowing comes to an end and they have to re-borrow. Unlike an IPO, once done is done. Then if you need fresh capital, then only that issuer will come and access the market. So obviously, the fees in terms of percentages and quantum are lower, but the repeated-ness of the business is significantly higher.

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And we've also built more pipes there because of this entire FII interest or FPI interest in India, given the G-Sec has been included in the bond indices, that activity has g

rown substantially, and

we are focusing on that. So, we have a lot of FII side of business that is coming in on that side. So that part remains strong.

On the non-fixed income side, in addition to IPO, so IPO, in my view, we have 30 to 35 mandates which are signed. Now we will wait for the market condition, investor appetite and all that. So, you are going to see that coming through. I will not put a number to that, but the number is reasonable and probabilistically also, we feel if the market sustains at this level, we will be able to play that out.

What we are adding to that is an intense focus on generating mandates on non-ECM side, which is advisory. There also, we have about 10-15 mandates right now. Some sell side, mostly sell size because buy-side doesn't get materialized so easily, mostly on the sell side. So that's on the pipeline side on the IB.

On the custody clearing, I think this year was a breakout year. I don't think we will see an 80-85% growth next year. I want to, but I don't think we will. But having said that, I think the entire F&O thing, which was clouding the whole space for the last 6 months, is now out of the way.

Two things, we have seen. After the implementation of whatever the regulators have put out, we have seen the full quarter 4 play out, and we have not seen a dent in revenue because again, people operate with a peak margin which is intraday and that doesn't fluctuate that much. That keeps going up given the deployment opportunity they have.

Now with the new rules which is now as a discussion paper and maybe will get finalized where

the limits have been increased to INR1,500 - 10,000 crores, and limit will be monitored on a delta -adjusted open interest basis, there are flexible rules on index futures and market -wide, open position will also be linked to cash volume.

So, this has removed a lot of uncertainty because the regulators also took feedback from most of these international clients who operate in this market. And more importantly, the intraday peak has been removed from being a limit than to monitoring, which is t here in most of the developed markets in the world.

So subsequent to this change, the amount of interest that has started to come back again, most of the people who were sitting on the fence are coming back. So , I think we should see a good year once again. Again, I'm repeating it will not be a similar increase like we saw last year, but it will be a decent jump even on this elevated base. What was your last question, Dipanjan? I forgot.

Dipanjan Ghosh: Sir, the corporate treasury book on the Nuvama Private side, the quantum?

Ashish Kehair: Total Nuvama Private, the asset size is about INR1.99 lakh crore s. In that, the corporate treasury book should not be more than INR10,000 crores.

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Dipanjan Ghosh: Got it. Thank you and all the best.

Moderator: Thank you. O ur next question comes from the line of Mohit Mangal from Centrum India. Please go ahead.

Mohit Mangal: Congratulations on a good set of numbers. So , my first question is on the net flows. I mean if I look at net flows in the Wealth division, that number seems to be pretty low at around say INR630 odd crores. And if I look at previous two quarters, it was more than like INR2,000 odd crores. So just wanted to know, I mean, what led to this downfall and going forward, how should we see the net flows within the Wealth division?

Ashish Kehair: So, if you look at the data book, Mohit, we give two lines on the net flows. So , there is a net flow and then there is an MPIS net flow. Actually, the relevant line to see is the MPIS net flow because the other net flow includes loan assets, it includes broking assets, where the bearing of the net flow to revenue is not correlat ed.

On loan assets, it will be, but loan assets is a discretionary item for us in the sense, we

can dial

up and dial it down the way we want. It has less of a function of a market phenomenon for us.

But broking assets, the correlation of net flow to revenue is not directional. Broking assets, the higher correlation is between the volumes in the market and the directional trend of the market.

So MPIS net flow is what you have to see and that is what we target, that is what we want to focus on, because that contains a combination of annuity assets and the investment assets, which is your fixed income , MLDs and all. That net flow, if you see from a year -on-year basis, has grown by about 30%.

And on the base of last year, it has grown again by 30%. And even in Q4, which was, I think, an extremely challenging quarter in terms of overall equity environment and uncertainty around that, we've been able to do INR1,350 - 1,400 crores.

Mohit Mangal: Understood. That is helpful. My second question is on the attrition. So , I just wanted to know, I mean, how has been the attrition at the RM and the client level? And do you saw any loss of AUM because of the client attrition?

Ashish Kehair: Not really. In both the businesses, we have not seen attrition of clients. Attrition of RMs is a normal, natural phenomenon and both business operates very, very differently. In our private business, typically, people take 3 - 4 years to build books. So , for them to leave is like going and rebuilding, it's an arduous exercise. So there, the regret attrition for this quarter is actually 0.

In our Nuvama Wealth, we categorize RMs in different buckets. So , at the top end, we call the big league, there the attrition would be order of magnitude . About 300 -350 people come in our big league out of our 1,200, we would have lost 3 -4 people there. And out of the rest, the attrition can be 25 -30% as compared to banks which operate at 45 -50%.

Mohit Mangal: All right. And our endeavour is to increase around 10% to 15% the RM count?

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Ashish Kehair: Yes, that's right.

Mohit Mangal: Okay. Thanks, and wish you all the best.

Moderator: Thank you. O ur next question comes from the line of Sanketh Godha with Avendus Spark. Please go ahead.

Sanketh Godha: Ashish, on the core flow number, net flow number, if I look at INR10,000 crores in Private ARR,

MPIS INR6,500 odd crores and AMC INR4,500 odd crores, so INR21,000 crores. This is core net flow number. So, I just want to understand, given this number has grown by 65 percentage almost year -on-year.

I mean how do you see this growth to play out in FY26 and which segments where you will see the maximum flow to happen, whether it is Private or MPIS, just want to have a color how it will play out ?

Ashish Kehair: So, in terms of size of the net flow, I think Private will be higher. And in terms of percentage, I would assume , now if you look at the closing ARR book, it's around INR44,000 crores. If we are able to do anywhere between 25 -30% on that, so you are again looking at INR10,000 crores to INR11,000 crores coming from there is what we will target. Anything above that is even better.

Similarly, on the Wealth side, now our MPIS book would be around maybe INR30,000 crores, again, a 25-30%, so maybe INR7,000 - 8,000 crores there. On the Asset Management side, this year, public markets led the net flows. I think in the coming year, depending on how the public market flows settle, I think on the commercial real estate side, we are looking at a total net flow. So, let's say, we've had INR285 crores in asset management in quarter 4. If I see FY26 , at least INR2,000 crores -INR2,300 crores will come in commercial real estate. INR3,000 crores to INR4,000 crores bare minimum we'll target in the public market and say about INR800 crores to INR1,000 crores in the private market.

So, if you add all this together, we are again order of magnitude INR5,000 - 6,000 c

rores. So ,

leaving your credit fund aside, because I think that the real play will come in FY '27 and not in '26. So , if I add all this together, we come back to some INR23,000 - 24,000 crores at the bare minimum is what we target.

Sanketh Godha: Okay. Perfect. So, which means that this AUM growth of, again, around 20% plus is still overall possible is the view you have, right?

Ashish Kehair: Yes.

Sanketh Godha: Okay. Perfect. And the second question, maybe again back to the cost number. So, if I look at Private and mid -market put together, you are at 67 -68% percentage and your capital market business is at 40 %. I was just wondering, given you had a significant increase, a delta change in the contribution of the capital market business in the current year, if the capital market business

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broadly grows in line with the Wealth business next year, then is it fair to say that, that 55% cost ratio what you reported might inch up back to 57 - 58%?

Because I'm asking this question because you had seen some 100 basis improvement in the cost ratio. That 100 basis is meant to reflect only for the Wealth side or overall company put together?

Ashish Kehair: That was for the Wealth side, Sanketh. If you look at the balance, t wo, so I'm saying there will be some improvement in the asset management. Obviously, the quantum is small, so the impact on the overall will be lesser. But in capital markets, if we disaggregate, again, Asset Services, I think broadly, we will be at a simil ar cost to income this year or we will marginally improve over this year.

Maybe institutional equities and investment bank, if the growth is slower, that is also a business where the variable cost, Sanketh, are very much linked to the growth of revenues. So, there will be some adjustments which will happen there. So, it's not that the revenue has a straight pass - through to the PBT.

So even if that, let's say, degenerates by 200 -300 basis points, if we are able to improve wealth by about 100 and let's say, Asset Services also by about 100, we should be able to neutralize.

But worst case, you can see maybe a 50 -100 basis points decline if you have an average year.

Sanketh Godha: Okay. Perfect . So basically, predominantly the endeavour will be at overall company level to maintain the same cost -to-income ratio, what we experienced in '25?

Ashish Kehair: Yes.

Sanketh Godha: And lastly, or maybe two more. And lastly, on yields, my point on yield is that maybe there could be some seasonality and product mix factored but if I look at from '24 to '25, the yields, honestly, except for the clearing business, there has been a bit of a depletion. So, should we assume the yields, what you have realized with respect to ARR, MPIS and maybe AMC business will hold up and clearing business, 1.61% is what you reported for the full year, will be the new normal going ahead?

Ashish Kehair: So actually, clearing business, I think the new normal should be closer to maybe 1.8 -1.9%. I am assuming some decline in the FD yields coming in maybe Q3 -Q4. And already, we are sitting at 2%. So , combining the two, we will still be higher than 1.6%. In private, I think will sustain.

Obviously, some quarter will be up and some quarter will be down depending on the composition of AIF II versus AIF III.

Wealth, also, in my view, unless, Wealth, Sanketh, we've discussed this, right? There is a denominator effect of MTM of equity assets. Now if this year, you don't see any phenomenal MTM happening, then these yields will sustain. If tomorrow the equity markets go up by 50%, obviously, the revenues will also go up, but the yield will look lower.

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Sanketh Godha: Yes, understood. Perfect. And lastly, Ashish, any color on PAG exit or sell? If you can tell us, given there are lot

of articles in the paper that PAG is thinking to sell and whether it will be full block or partial and if it happens, how it will happen? Any color on that would be useful?

Ashish Kehair: I have also read the same news article, Sanketh. If there is anything which has to be reported, we will report to the exchange. There is no such development which has happened. And I'm also privy to the same articles which you are privy to. So, we are actually at the same page right now.

Sanketh Godha: Okay, Ashish. That's useful. Thanks. Those are my questions.

Moderator: Thank you. The next question comes from the line of Ashish Agarwal from Oaklane Capital. Please go ahead.

Ashish Agarwal: Sir, I had two questions basically. So overall, if I look at HNI wealth growth, that growth has been pretty good. But if I look the client count essentially for HNI segment, that has not seen much growth. So, what can we do essentially to get that growth number on the client count side? And also, can we look at inorganic route?

Ashish Kehair: No, I think client count will be a function of RMs and how we add and how much they can manage. So, I think we are pretty much happy with the current level of clients which we have.

If we are actually able to deeper mine the ones which we already have, we will be happier than just going out and acquiring.

In terms of inorganic, one always keeps looking for an opportunity, but it has to be some real addition, right? It can't just be going and buying some other wealth management firm because right now, the valuations are through the roof. So either it has to be some addition of some asset class expertise which they have, which we don't have, which has to be a strategic fit.

Otherwise, for us, if you look at our overall business diversification, we pretty much have most of the components that are needed. So, in order to add something inorganic, there has to be something compelling available for us.

Ashish Agarwal: Okay. And just a follow-up on that is that does that apply to basically increase our global presence as well like something looking at a collaboration or something like that?

Ashish Kehair: Yes, that is something which one can look at because if in global, we get something where we can acquire and it speeds up our process and it is a strategic fit, that we are always open to. In terms of collaboration, I think globally, there are extremely well evolved models which exist today.

And if you study with a concept called external asset manager, which is prevalent in both Singapore, Hong Kong, Dubai where we as a firm can become an external asset manager to any of these large global private banks and then there is a revenue sharing of 50- 60% which they share and their entire platform, including their lending book, research, product access, product people, investment experts, analysts, everything is opened up.

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So, you're not actually then tied to one firm because, very frankly, if you get tied to one firm, then you may not be able to exploit the benefits which are available across the other platforms.

Ashish Agarwal: Okay. Thank you, sir. These are my questions. Thank you.

Moderator: Thank you. Our next question comes from the line of Lalit Deo with Equirus Securities. Please go ahead.

Lalit Deo: So just two questions. Firstly, on the lending book, sir, as you mentioned that we have reworked on the model, we have reworked on this segment. So just wanted to understand like, what would be the desired levels of the lending book which we are looking to grow in FY '26 and FY '27?

And similarly on the yield side, so there, we have seen that the NIMs have come under pressure in the loan book to around 5%. So, what would be the steady state for FY '26 and '27?

Ashish Kehair: I think the steady state for our Wealth business would be anywhere between 5 -5.5% and for our

Private business would be again between 4.5 -5%. And in terms of the book growth, it should be in line with the overall business growth. So, in my view, we would want to look at least at the end of period book growth, maybe by, let's say, if our opening book is, say, INR5,000 crores.

And we want a 20% growth, that means about INR1,000 crores at an average level. So, by end of year, it should have grown by INR1,800 -2,000 crores is what ideally we would want to target. Lalit Deo: Sure, sir. And sir, just on the asset management side. So, when we're looking at a growth of around INR4,000 crores of net flows in public market, around somewhere between INR7,000 crores to INR8,000 crores of net flows on the overall side for FY '26. So, in terms of cost income ratio, so currently we are at a level of 130%. So, by when one should expect to achieve breakeven in this business?

Ashish Kehair: I think at INR20,000 crores of assets, we think we will be breakeven. So, if you look at the cost there, it's about INR78-80 crores, right? And if you assume that the cost will grow by, say, hypothetically, I'm saying 10%, 12%, so you are looking at INR88-90 crores of cost in FY '26, ex of the credit funds. So, I'm talking existing strategies.

Now if you look at each of the individual components and their yields. So in my sense, if you are hitting a cost of, say, INR90 crores, I think you would end up at a revenue of anywhere between INR85-86 crores, if you are able to achieve the net flow numbers which we are talking about. And at that level, the gap is really minimal.

And to be very frank, you also load the group allocated costs on that business, which obviously is lower compared to other businesses. Excluding that, that business is breakeven. But including that, I think FY '27 somewhere around the middle is when we should start seeing that business breakeven on a quarterly basis.

Moderator: Thank you. Our next question comes from the line of Piyush Kumar from Global Consilient Research. Please go ahead.

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Piyush Kumar: So, sir, my question is regarding wealth management AUM. So, sir, can you just shed some light, out of the total wealth management AUM, how much we have from ARR AUM? How much is the ARR AUM of the total?

Ashish Kehair: Of the total in Nuvama Private, about 25%.

Piyush Kumar: Okay. And sir, my second question is regarding the investment banking activity in India. And how do you see the IPOs, FPOs and all of these doing over the next 2 years in India?

Ashish Kehair: Two years, nobody can say. I can say at least for the next 6 months, we are seeing some action coming back because I think what happened to the market from September to March, the investors saw so much pain in their portfolios that they were not willing to commit fresh monies into the new supply that was coming in.

I think that is somewhat adjusting now, and slowly and steadily, if the market sustains at this level and if they start putting in IPOs where they don't see losses, in the next 6 months, you will see the action fully back. But 2 years, I don't think anybody can actually predict on the IPO market is very difficult.

Piyush Kumar: And my last question. Sir, how do you see the AIF industry growing in India over the next 1 year?

Ashish Kehair: At least by 30 -40%.

Piyush Kumar: Okay, sir. Thank you so much. All the best.

Moderator: Thank you. Ladies and gentlemen, as there are no other further questions from the participants, I now hand the conference over to the management for closing comments.

Ashish Kehair: Thank you. I think as usual, it was interesting interacting with you. Look forward to seeing you all, I think 2 months from now when we do our Q1. Thank you for coming again. All the best.

Moderator: Thank you. On behalf of Nuvama Wealth Management Limited, that concludes this conference. Thank

you for joining us and you may now disconnect your lines.

Call: Aug 2025

Nuvama Wealth Management Limited

Corporate Identity Number: L67110MH1993PLC344634

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NWML/SEC/202 6/41

August 21 , 2025

The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street,
Mumbai - 400 001.
BSE Scrip Code: 543988 The Manager,
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051.
NSE Symbol: NUVAMA

Subject: - Transcript of earnings conference call

Dear Sir(s) / Madam(s),

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation dated August 6 , 2025 , regarding the earnings conference call to discuss the Company's performance for the quarter ended June 30 , 2025, please find enclosed herewith the transcript of the aforesaid earnings conference call held on Thursday , August 14 , 2025 .

The same is also made available on the website of the Company www.nuvama.com .

We wish to confirm that no unpublished price sensitive information was shared/ discussed in the aforesaid earnings conference call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Nuvama Wealth Management Limited

Sneha Patwardhan
Company Secretary and Compliance Officer

Encl: as above

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"Nuvama Wealth Management Limited
Q1 FY '26 Earnings Conference Call"
August 14, 2025

Disclaimer:

This document is subject to errors and may or may not contain words which have been included / omitted due to human error while transcribing the conference call. Any and all information should be verified with the company by the reader.

MANAGEMENT : MR. ASHISH KEHAIR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – NUVAMA WEALTH
MANAGEMENT LIMITED
MR. BHARAT KALSI – GROUP CHIEF FINANCIAL
OFFICER – NUVAMA WEALTH MANAGEMENT LIMITED
SGA, INVESTOR RELATIONS ADVISOR – NUVAMA
WEALTH MANAGEMENT LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Nuvama Wealth Management Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Ashish Kehair, Managing Director and CEO. Thank you, and over to you, sir.

Ashish Kehair: Thank you. Good afternoon, everyone, and thank you once again for joining us today for our Q1 investor call. I have with me Bharat, our Group CFO; and the SGA team, our Investor Relations advisor.

I'll quickly begin by sharing an overview of our performance for the last quarter and the progress we've made against most of our priorities. Following that, Bharat can take you through the detailed financial results and some of the key metrics, and then we can jump into Q&A.

So just to give you a highlight of the key themes and achievements that defined the last quarter for us. I think we were able to get a reasonable broad-based growth across most of our businesses. We saw an increase in revenue and profits, and this happened with an efficiency quotient, which we typically track. Cost to income also was lower than last year same period. Client assets grew by about 19% YoY, reaching about INR4.6 lakh, profits at about INR264 crores, grew by again 19% and ROE was about 30% plus in Q1.

Just a bit on macro. Q1 was not necessarily one of the best quarters from a macro perspective. All of us saw that the markets had been range bound. Corporate profitability remains under stress. The two positives were the reduction of rates by RBI and liquidity infusion that still essentially held things at some level.

Looking ahead, external headwinds, particularly the U.S. tariffs and broader global trade tensions, these will remain as a potential drag on sentiment and FPI flows for the next few quarters. Having said that, I think the business delivery on the wealth and asset management front continues to be robust because in some sense, we deal with the upper end of the K curve. That segment doesn't get impacted that much with these kinds of things. So that remains robust and from a long-term and a medium-term perspective, wealth and asset management, the structural growth story of these segments is now very well understood. That's why you see increasing amount of competition in these segments. Most of the traditional brokers are also entering into this area.

Capital markets was a bit dry in Q1. Mostly IPOs and QIPs were slow, at least for April and May. Towards the end of June, activity picked up and it continues to remain strong now as compared to April and May. And second half of the year is what everybody is betting that should lead to a flurry of issues.

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Having said that, structural growth drivers remain intact, supporting medium-term and long-term optimism. Although near term, there could be some earning pressures on corporates, which will play out in the market. But broadly, our businesses should continue to do well.

Getting into our business performance now. The first business being Nuvama Wealth. Like we've been speaking for the last, 2 years now almost, Managed Products and Investment Solutions or MPIS as we term it, continues to remain as the core focus area for us. And the net flows in Q1 remained strong of about INR2,300 crores, with managed products being well above

77% out of that. And if we are able to maintain this growth rate, we will be able to deliver about 30% on the starting base for this year.

The

MPIS has now reached majority of the revenues, more than 54 -55%. And that is what our desired objective was. And within that, the salience of Managed Products continues to increase, which continues to add to the annuity stream, which obviously essentially becomes a part of the growth that you keep seeing on a consistent basis. And I think if we take just the annuity stream, the jump this year would be more than 50 -60% over last year in terms of the income stream. And the way we've essentially constructed our offering for this segment is to focus more on holistic asset allocation, not monoline asset classes, which basically makes it more client -friendly, in line with what they actually need and more resilient to market ups and downs because then you become an evergreen service provider rather than if you're only focused on equity as an asset class. And if you see a long winter, then it goes through its own sets of stresses, plus I don't think that's necessarily a very client -friendly business in the long run.

Second big lever in this business, which we feel is technology , because you're dealing with a large number of clients and a large number of delivery points in terms of relationship managers. Currently, we may have, let's say, 1,200 -1,300. And if you look at a 3 -4 year horizon, it could go to anywhere between 3,000 -4,000.

At that scale, if you don't have most of the technology tools helping each component of the value chain, starting from onboarding of client, to delivery of advice, to executing the transaction and to complete the servicing and reporting, it becomes extremely difficult to deliver a standardized and a uniform service and also very difficult to personalize at a client level.

So we've invested in our portfolio solutions tool, Multi-Asset Recommendation System , MARS, which has now tested over INR30,000 crores of portfolios. And we continuously keep it evolving by adding multiple dimensions like we've now created a family level access cash flow, tax loss harvesting and stuff like that, which basically enables delivery of value to this segment, which typically you are able to give to an ultra -high net worth segment.

Secondly, we have what we call One Platform, which essentially means that , all the constituents, our relationship managers, our external wealth managers, our clients are all on that platform. So their execution, their servicing, everything is managed at one place. They don't have to toggle between multiple applications. It's both on desktop and on mobile. So it's basically a digital -first application.

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And we've also revamped our website, which is the client -facing website. You can have a look at it, nuvamawealth.com. It basically is a reflection of how the product landscape is moving. Traditionally, the digital platforms used to cater only to, let's say, exchange -traded products or mutual funds, which were, in a sense more mass and more readily render themselves to a digital platform, but we have taken it to a step ahead.

We've taken more bespoke products like PMSs, AIFs, insurance, everything onto that, OTC products, where partially clients can evaluate and then even lead the execution. Maybe some part of the execution gets done online. Some of them happen through a payment gateway. But it's in a sense, a complete digital experience for the clients.

And lastly, what we focus here, which we keep saying is productivity. And I think 2 big levers. One, as the team vintage increases, automatically, the productivity goes up. And second, tactically using the lending book to increase productivity, which I mentioned in the last quarter, and you see some sort of reflection in the numbers in Q1.

Moving to Nuvama Private. I think here, again, focus is clearly has been what we call ARR. And again, if you look at the flows, we saw about INR2,900 crores -3,

000 crores in Q1, which again,

if you annualize and if you maintain the run rate, we should be able to deliver anywhere around 26-27% of the opening base.

And second, obviously, is the addition of relationship managers. We've maintained that this part of the market is going through its own set of challenges because many people are entering at the same time. But I think the nuance of a superior platform to service clients and therefore, also create more economics for themselves, I think, continues to attract relationship people. The better ones, the more discerning ones and the people who want to build a more solid long -term book, we continue to attract that segment without any significant challenge.

The areas where we are working on here, I think lending is one place where you will see some movement, which will start to happen now in the next 3 quarters and more syndication opportunities is what we are building a pipeline on.

Moving to Asset Management. I think Q1, the focus was deployment. So we had raised our first

round of commercial real estate fund. And the whole focus was to do our first deal, which we are happy to state that we've concluded it. It's a prime property in Delhi, in Saket. We bought it from one of the funds.

And second deal also, definitive documents have been signed. It's again a large transaction in Chennai, some sort of a GCC and again, being sold by one of the leading international real estate funds. So I think deployment traction now is there. We will now focus on raising the second leg of this fund and maybe in the next 6 to 9 months, we want to add another INR2,000 -2,200 crores to take the fund to about INR4,000 crores.

In public markets, which is our long/short fund and absolute return fund, performance remains top-notch. The challenge in Q1 was because of the Indian market conditions, I think we saw some redemptions. Therefore, the net flows are negative. But that was largely in April, May.

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June onwards, the trend has changed. And July also, the trend has remained robust. So I think we will see a reasonable positive addition from second quarter onwards.

And private markets, again, the focus was on completing deployment and Crossover 4, which is our pre-IPO private equity fund, that fundraising has started, so between these 3 funds, I think in the next 3 quarters, anywhere between INR4,000 -5,000 crores is what we are targeting to raise. And new product category, which we've been talking about, private credit, we will start maybe by the end of Q3.

Asset Services, both international and domestic continue to be strong. Pipeline of clients in both has never been more robust. I think some of the rules have been clarified by the regulators. So more and more people are coming in. On the domestic front, we are planning to add 2 value-added services in order to create more backward integration and become a one-stop shop for our clients, which are more PMSs and AIFs.

We want to add the RTA service for them, and we also will add trusteeship services, and we've essentially got the approval from the Board to start these lines, and we will start floating the subsidiaries. And maybe in the next 6 months, you will see that a cition also happening here.

In institutional equities and investment bank, I think secondary market volumes witnessed some recovery in Q1 as compared to Q4. However, I think they're still moderate when we compare it to Q1 of last year. Near-term volumes, in our view, will remain moderate as the market adjusts to the disruptions till the time there is some certainty which prevails on tariff because right now, most of the global players are shifting their flows out to maybe Japan, Korea, Indonesia.

And the way they are funding it is that they're exiting Indian markets to fund their investments there. So I think that should change once some level of

clarity emerges on this tariff side. On the

primary market side, which was more dry in April and May, I think that activity has started, which we should see increased traction in Q2, Q3 and Q4.

I think with that, I will hand over to Bharat to take you through the detailed financial performance, and then we can go to the Q&A section. Thank you, Bharat, over to you.

Bharat Kalsi: Thank you, Ashish. Good afternoon, everyone, and welcome to the call. Ashish anyways covered most of the headline business priorities as well as the performance, but I'll still take on the business-wise numbers, a little bit more granular than what Ashish has covered.

If you look at the overall company performance for the quarter, and I'm using a frame of Y-o-Y here, more of Y-o-Y and less of Q-o-Q, but I'll still cover wherever Q-o-Q is required. The consolidated client assets have grown by 19% Y-o-Y to INR4.6 lakh crores. This is because of the net flows during the period, as well as, obviously, the market movement, which has helped in, but that's where we are on the client assets.

In terms of the revenue for the quarter, it is at INR770 crores, which is a 15% Y-o-Y growth.

Our cost is up by around 13%. Many moving parts, including the fact that the yearly increments have been added here and we have added the capacity on the distribution side. But if you look

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at the opex side, it is pretty steady, so nothing more on the opex side. It's mainly the employee side or the distribution capacity, which we have added.

Our cost-to-income ratio for Q1 is around 55%, which in Q1 of last year, was around 56%, so is the quarter 4 which was around 56%. Operating PAT grew by 19%. It's INR264 crores, which is an ROE of around 30% on the consolidated basis. Similarly, if you go to the Nuvama Wealth, the client asset is now around INR1.05 lakh crores, which is a growth of 20%.

But as Ashish was also mentioning our focus is on the MPIS, so there the asset have grown much

faster at 30% and now it has already touched a base of around INR32,500 crores. This quarter, we have recorded our highest quarterly net flows of around INR2,900 crores. And within that, MPIS was around INR2,300 crores, which is like a 64% growth on Y-o-Y basis. So, the stated focus on MPIS is reflecting in the NNM also.

Last year, quarter 1, we did MPIS net flows of around INR1,300 crores. Now it is at INR2,300 crores for this quarter. Overall revenue for wealth is up by 17%. And again, within that, if you look at MPIS, revenue has grown by 59% on a Y-o-Y basis and the share of MPIS revenue has moved from 40% to 54%. So almost 55% now comes from MPIS within Wealth business.

Cost-to-income ratio is steady at 66%, same as first quarter of last year. And the operating PBT is INR75 crores, which is a growth of 18%. So headline, 20% growth on the client assets, 17% growth on the revenue and 18% growth on the PBT for Wealth business.

Now moving to Nuvama Private. If you look at Nuvama Private, the client assets stood at INR2.2 lakh crores, which is a 17% Y-o-Y growth. Again, similar to what happened in Wealth, where the MPIS assets are growing much faster. Here also, the ARR assets are growing at 25% compared to the overall asset growth of 17%. And now the ARR asset base is touching almost INR50,000 crores. We are at INR48,300 crores and the net flows on the ARR asset also were very strong at INR2,900 crores.

In terms of the overall revenue, the revenue was INR155 crores, 19% Y-o-Y growth. Within that, ARR revenue was growing much faster at 25% and the transactional revenue grew by 9% Y-o-Y. You would also notice that the transactional revenue has grown lesser than Q4.

See, basically, transactional revenue, I would suggest we should not look at on a quarterly basis because there will always be a seasonality impact depending on the market o

pportunities, which

anyways has a cascading effect on the quarterly C/I ratio. So, in a quarter, our C/I ratio would look a little higher, in a quarter it will look a little lower. But on a full year basis, it will smoothen out.

That's how we look at it because transactional revenue is not something that will continue to grow Q-o-Q. It will have a higher growth as well as it may have lower growth. ARR revenue for Private is now 2/3 of the total revenue, 66% of our Private revenue comes from ARR side. That, I think, is more reassuring saying that the predictability of the future performance is coming from the ARR side.

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Cost-to-income ratio, I'd covered 69%, same as quarter 1. Obviously, there is some seasonality impact, which happened between quarter 1 and quarter 4. But I think we seem to be fine with this because we have added almost like 19-20 RMs over the last year. On a base of 118, we are currently at 137. So, they are in the early year of working with the organization. So, the productivity level yet to come to the full capacity.

Operating PBT grew by 19% to INR48 crores. Again, as a headline number, revenue as well as the PBT grew by 19% for Private, which is a steady growth.

Asset Management, the AUM grew by 54% to INR11,800 crores. Out of this, 93% of the assets are fee paying. Net flow for the quarter 1 were lower because of the volatility in the public market side of the funds. But otherwise, if you look at June, it was better than April and May, July seems better than June. And hence, we believe that as we progress through the subsequent quarters, it will be back on track. It's just a quarter phenomenon which is playing in.

Asset Services, the assets under custody and clearing has grown by 19% to INR1.27 lakh crores and the revenue is up by 46% Y-o-Y for quarter 1. As Ashish also mentioned that this is coming not only from the existing clients, but we have onboarded new clients. So, both the clients on the international as well as on the domestic side are helping us.

Capital Market, the revenue is down by 10%. But as we mentioned in the earlier quarters also, there was an M&A deal which was there in Q1 last year. If you exclude that, there will be growth in the Capital Market as well. Otherwise, it's obviously, to some extent, linked to the market activity, but we think that is on track. This quarter, the fixed income part of our IB desk has done very good or maybe they have done the best quarter ever, which is tracking well. Otherwise, the Capital Market business seems fine.

That's all. Happy to initiate the Q&A. Moderator can take on for the Q&A.

Moderator: Thank you very much. The first question is from the line of Vivek Ramakrishnan from DSP Mutual Funds. Please go ahead.

Vivek Ramakrishnan: Congratulations on a very good quarter, and there was a rating upgrade in the quarter also, which is excellent. What I wanted to ask you was on, whether there is any client concentration in revenues? Is there any top 5 clients account for a significant proportion of your revenues or profitability? And if so, if you can give us a number, that will be nothing like it. If so, what are you doing to reduce this concentration? That's my only question.

Ashish Kehair: So, Vivek, we have multiple lines of businesses. If I were to aggregate everything and then look at top 5 clients, I think it will not even be more than 5 -10%. If I look at specific businesses, then it could change because top 5 clients of each business may have different types of contribution to each of those businesses' revenues and profitability. But what we continuously keep seeing is that whether the top 5 is constant or they keep changing. And in most businesses, except maybe the domestic part of our institutional equities business, which is largely dominated by domestic mutual funds and w

here the revenues are driven by the
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size of the mutual funds, I think in most of the businesses, the composition of top 5 keeps changing.

Vivek Ramakrishnan: Yes, I needed it on a consolidated basis and your answer is completely okay. Wish you good luck.

Moderator: The next question is from the line of Naresh Naiker from Systematix Shares.

Naresh Naiker: Sir, given the recent developments on Jane Street till date, can you please elaborate on the potential impact we may have on Asset Management business and the market share?

Approximate what kind of revenue and earnings impact we can see going forward?

Ashish Kehair: Not Asset Management, Naresh, Asset Services. Yes. So, I think Jane Street was one of the clients which have right now not resumed and they may post their engagement with the regulator, may resume any time because regulator has given them a go ahead to resume. But having said that, even if we assume 0 revenue from the day, let's say, the regulator gave out the notice to them, on a full year basis in Asset Services, we will still end up getting a reasonable amount of growth, maybe early double-digit kind of a growth. Had they been there, it could have been more like late teens. This could be more early teens.

There would be some impact in Q2. But given the run rate which we are seeing both from our existing clients ramping up their balances and the new client pipeline, which we have, by maybe end of October or middle of November, we will come back to the same levels where we were assuming Jane Street is 0. So on a full year basis, we will still end up with a decent amount of growth.

Moderator: The next question is from the line of Lalit Deo from Equirus Securities.

Lalit Deo: Sir, two questions. So, one on the Asset Services itself. So in this particular quarter, we have seen some 17% decline in the AUM. what led to that? And also the retentions are like high.

Earlier, we were guiding like the retentions on a steady-state basis should be around 1.8%, so is this the new normal?

Ashish Kehair: Lalit, sorry, I'm cutting you because last time when we actually discussed on this, I had mentioned 2 things. One, that till Q3 of last year, in our Asset Services business, we also had a representation of our Wealth Management business clearing activity happening there, which we shifted to what we said was self-clearing.

When we shifted to self-clearing, we pointed out that the yields will now go up because that was a slightly lower yield business. And in our view, depending on where market interest rates are, we should be more around 1.95% to maybe 2.3%-2.4% range over a period of time. That is point number one. So, yield on a steady-state basis in line with market interest rates should be in this range. And maybe this year, it may be slightly higher also from 2.1%.

Second, again, last quarter, I had mentioned that in the clearing assets, there is a composition of cash and noncash or cash and G-Sec. And depending on the client size, depending on what

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trading volumes they do on the equity -- on the derivative side, these compositions can change.

And maybe when the reduction happens, let's say, when you said reduction in the AUM has happened, the earning assets can still go up within that, which is the cash component.

And last point is that don't look at quarter end, end of period. You should ideally look at the averages because end of period may not be a full reflection of how people deploy their money.

There are trades for which collateral comes and then goes away. So average is the right reflection, which you should see within which there are moving parts on cash, noncash. So that's why you see even if the AUM has gone down, the yield has gone up and the income fall is barely anything. It's from

INR198 crores to INR193 crores.

Lalit Deo: Right, sir. Secondly, could you also break up the cost between the asset services and IB & IE

business .

Ashish Kehair: So we've always maintained that overall cost to income there, let's say, is about 40%. Asset Services operates anywhere between 30 -33% and IE, IB is 50%-plus percent range. So you can do a math and arrive at a rough blend.

Lalit Deo: Sure, sir. and sir, just lastly, on data -- so in this particular quarter, we have seen an increase in the overall debt for ourselves. So what would be that related to, like the net debt?

Ashish Kehair: So about INR1,000 crores of net debt has been added, INR500 crores, if you see is the loan book increase. And about INR300 crores is the working capital, which is payable/receivable difference. Balance is client facilitation trade and some margin at the exchange. So it's split between these 3 -4 items. 50% has gone to, let's say, loan book increase, about 30% is working capital increase.

Moderator: The next question is from the line of Vikram Raghavan from Moon Capital.

Vikram Raghavan: Congratulations on a good set of numbers. I wanted to ask if the current run rate of operating margin is sustainable.

Ashish Kehair: So broadly, if you see, in our wealth cluster, the cost to income between the 2 put together is order of magnitude, say, 67%. And in capital markets, it's maybe lower at around 40 -45%.

Though wealth will go down by the end of the year because in Private, where we ended at 69%.

On a full year basis, our assessment is that we should end at 65% with growth cost embedded.

And Wealth, which is Nuvama Wealth, which is at 66%. That will also be maybe 100 basis

points lower. So that reduction will happen. And maybe there could be a slight increase in the

capital markets side. So , if you aggregate both, we should end up at the same level.

Moderator: The next question is from the line of Abhijeet Sakhare from Kotak Securities.

Abhijeet Sakhare: So the first question I had was from your opening remarks, I think you mentioned about setting up an RTA business. So just if you could give us a few more details as to what's the thought process behind this? And where do you see this business fitting in the overall scheme of things?

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Ashish Kehair: Abhijeet, this is not like the regular KFinTech and CAMS , which basically services the large mutual funds. This would be mostly for our custody clients, which is PMSs and AIFs because there, we feel that they need a one -stop shop. Most of the new ones which start out, they need the trustee, they need the RTA. And some of our peers have started it, and it has helped them get better market share in new registrations. When new AIFs and new PMSs come, if you can offer them a one -stop proposition, then your market share in that base increases.

So we've actually been working on this for the last 1.5 years and evaluating on whether we can partner or we should build. Finally, we concluded that it's best built. And we have seen a demonstration of it in one of our peers, and it has helped them in reasonable gain of market share. So I think it will be reasonably accretive to the overall business. And costs are not much in this.

Abhijeet Sakhare: Understood. And sir, second one is that if I go back to the Nuvama Wealth business, I don't know if you clarified this, but the fall in MPIS revenues sequentially, if you could point out what's causing that?

Ashish Kehair: Largely Q4, Abhijeet, has heavy insurance. So that is the only thing. So if you see -- I can give you the specifics about INR27 -28 crores insurance has fallen, and rest of the streams have gone up by INR17-18 crores. So there's a INR10 crores movement there. So that catch -up will happen as you move to Q2, Q3, Q4 because Q1 is the weakest in insurance and Q4 is the strongest in insurance.

Abhijeet Sakhare: Okay. And then again, within this, I'm guessing like the managed product part of it is more trail driven and investment solutions is where you'll have something like debt placements and insurance sales?

Ashish Kehair: Yes.

Abhijeet Sakhare: So then in that context, first, the breakup between these 2 segments? And then how does this move in line with the net flow number that we kind of report on a quarterly basis?

Ashish Kehair: So managed products if you look at it from a revenue color perspective, 3 products, which is AIF, PMS and MF. The only nuance is within AIF where a CAT II and a CAT III pays us differently. In a CAT II, you earn slightly higher in the first year and then it falls down, the trail falls down, and CAT III is full uniform. So depending on the salience of sales in a quarter, that component could slightly move up or down in both Private and Wealth. So that's how it moves. I think overall sales, if I look at the INR2,900 crores, about 77 -78% is net new money and about 23% is your investment solutions. But the right way to look at investment solutions is actually gross sales because you earn, like you rightly said, right, on the transaction. So there will be some fixed income, which will get redeemed during the quarter and people will roll or buy fresh. So net new money is only a reflection for, let's say, the trail products, which is your Managed

Products. And Investment Solutions revenue is a combination of gross sales, I mean, which is the net plus whatever rollover has happened.
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Moderator: The next question is from the line of Mohit from Centrum.

Mohit: So basically, my first question is in terms of the Private business. So we saw that the number of clients increasing from around 4,250 to around 4,400 plus. Can you tell me how many of these have an AUM of more than INR25 crores?

Ashish Kehair: See, overall, if you see about 1/3 of our clients have AUM of more than INR10 crores. And I think if I remember correctly, I'll have to look at the number. I think more than 50 -60% have INR5 crores. Now AUM with us is a different concept versus the potential of the client. If you are asking whether each of these clients have a potential to invest INR25 crores plus, the answer is yes.

Most of them would have a potential to invest INR100 crores plus. But you will appreciate and understand that the AUM builds over a period of time. It takes 2 -3 years for it to build. Maybe the first transaction can be a INR1 crores transaction, a INR2 crores transaction, but the client can be a INR500-crores guy?

So whenever we onboard a client, what we need to ensure that whether the potential of the client is above INR25 crores, and if that is your question, the answer is 100% of those clients will be more than INR25 crores.

Mohit: Understood. No, that is helpful. Now my second question is in terms of the net flows in the Private division. So what we saw is that we saw a very big steep decline in that. And I assume we saw in one of the quarters in '25 also, the number was insignificant, and we saw it will be bouncing back. So do you want to give any guidance in terms of flows in the Private division?

Ashish Kehair: So broad math, if you want to use, it will range between 25% to 30% of the opening ARR assets. And if you see the opening ARR assets, it would be order of magnitude of INR42,000 -43,000 crores. So if you take a 25 -30%, so anywhere between INR11,000 -12,000 crores is where we land.

There could be quarters where it could be slightly higher, and there could be quarters where it could be slightly lower. What happened last year was in Q1, there was a large inflow because we had acquired one of the investment banking clients who had sold their business to a private equity, that entire flow came in the first quarter, which itself was some INR2,000 -2,500 crores.

So the total net inflow was, I think, INR4,800 crores, out of which 50% was this one client, which was 17 families, I mean, 17 different accounts. Now that whichever quarter it comes, it will just jack up. But if you remove that and see, then it's fairly uniform in that sense. And sequentially also, it has moved up over Q4.

Mohit: Understood. No, that is helpful. My last question is on the Asset Services. I think you broadly told different scenarios and growth. But do you think that this division is kind of being very clouded by the regulatory thing and maybe tomorrow, more and more such companies come into the radar, we can have variations in the revenue. So if you can just give us something that is this

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kind of a little concentrated to the top clients? Or how does this division work, that would be very helpful.

Ashish Kehair: So broadly, you have to break Asset Services into 2 units. One is international clients and second is domestic clients. And if you look at our overall revenue stream, I think depending on which quarter we are talking about, between 70-75% comes from international and 25 -30% comes from domestic. Domestic is fully granular. It's spread across a large number of PMSs and AIFs through which we earn.

So now coming to international. International, the set of clients which we have would be more than 150 -200, and they are at different stages of evolution. Out of that, 50 -60 will be very large internationally, and they continue to test their strategies in India and whichever strategy works, then they start to increase their exposure.

I think this incident which has happened will be helpful for the market because I don't know which direction it will go because it's right now under regulatory subjudice, so I can't comment much, but it is between the client and the regulator, interactions are happening, and it will take its own course.

But I think from a signalling perspective, others will be more careful. So it will be a more inclusive market. What we've heard from most of the other proprietary traders or HFTs, both in

domestic and international side that now the profit pool has expanded and is available to a large number of players.

So yes, people will be tentative as to what the regulator will say. But as long as they are careful in how they are deploying their strategies, I don't see a problem. However, having said that, we should also be mindful that derivatives in general is a topic which bothers regulators because of the losses, which retail segment makes.

Now on that, I mean, your guess is as good as mine as to what is going to happen. But in my view, as long as there is derivative trading that is happening, you will see market makers, you will see liquidity providers, you will see proprietary funds, you will see hedge funds, high-frequency trading funds because all these also add to giving volume to the market, which helps your regular long-only hedgers, arbitrage funds also to operate. If they go away, I mean, the depth of the market will completely collapse.

Mohit: Understood. But I think my question was that we don't have any concentration of top 5 or top 10 clients, right, in this division.

Ashish Kehair: That's what I said, no. So it keeps changing. If I look at my book today, maybe in the international business, the top 10 would contribute 30-35%. But that is the nature of the business. At any point in time, it will always remain like that. But it's not like top 5 is 90% of the business.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

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Sanketh Godha: Ashish, this movement of assets from asset clearing to self-clearing in wealth, how much it impacted the overall AUM at the asset clearing?

Ashish Kehair: INR10,000 crores.

Sanketh

Sanketh Godha: Okay. INR10,000 crores. And I'm assuming that was meaningfully low yield, and that's the reason why the yield bumped up in...

Ashish Kehair: Yield went up. Yes, yes.

Sanketh Godha: Okay, okay. Got it. And second thing with asset clearing, I just want to check is on the deposit, RBI being on the path of doing rate cuts? And if it remains for a little longer period, like 12-18 months or 18-24 months, then is it fair to say this 2.1% yield what you're trying to guide will hold up or it could come off or you have measures like extra cash taking to keep it at the 2.1% kind of a number?

Ashish Kehair: So I think we could see if, let's say, there is a further fall from here of interest rates of maybe another 30-50 basis points across the yield curve, then maybe this 2.1% can fall to 2% because we also have laddered maturity. And like you said, we will increase the cash component and so on and so forth. So it doesn't fully go because this is a combination of Gsec and cash. So full doesn't translate to us.

Sanketh Godha: Got it. Got it. Got it. And two more questions, sorry. One, just wanted to check is that last year in IB, we had a lumpy deal. So, on overall, it looks minus 10 percentage. So just wanted to segregate the growth into IE and IB, point number one, for the quarter.

And second, given Jane Street impact is there in IE, too. In your view, how you see IE growth to play out? Or you think this IPO pipeline coming back can still help you to report at least flattish kind of a trend in the full year?

Ashish Kehair: So if I take IE plus IB and I take Q1 over Q4, so let's say, there is a jump of revenue of some maybe INR18-20 crores, largely has come from IB and mostly from the fixed income side because you know that on the ECM side, it was reasonably dry in the first quarter, and IE was largely flattish in Q1.

I don't think if, let's say, the Jane Street impact on IE, if we run the analysis and we look at the scenarios and let's say, if what you said, if the ECM activity picks up, then maybe we will go through a INR15-20 crores PAT impact for the full year. And if it doesn't pick up, maybe slightly higher. But this is assuming reasonably low volume growth on the IE side. If the markets were to recover and if some volume comes back, then I think a part of it will be made over.

Sanketh Godha: Understood. Understood. And one more, on the cost, I just wanted to check. See, the other opex on a sequential basis has come down on non-employee cost. So anything to read there because we reported INR126 crores in fourth quarter and it's INR105 crores in Q1. Year-on-year also, it looks a little muted compared to the top line growth, relatively lower. So just wanted to understand how it will trend out going ahead.

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Ashish Kehair: So if you remember, Sanketh, last quarter when we did the call, we clearly pointed out that there

is a INR15-20 crores extra in Q4, and there were multiple items like we did the CNBC deal, so there was a payout on that and charging on that. All our offsites got bunched. Our institutional equity conference happened.

And I clearly mentioned that in next year, again, Q1 to Q4, we will have INR105-110 crores per quarter kind of an opex range and which is where we should end up at. So these were largely Q4 related items, which don't happen in Q1. So that is the fall which you have seen.

Sanketh Godha: Okay. Then Q4, again, it should go back to that INR125-130 crores level in the current year?

Ashish Kehair: This year, we will not have the CNBC and some of the expenses. So full year basis, you can basically take a 7 -8% jump over the last full year.

Sanketh Godha: Got it. Got it. Perfect. Perfect. And lastly, on net flow guidance, which you told last time will be around INR19,000 -20,000 crores. So we should assume that number you will be confidently delivering

given we are at INR5,000 crores of ARR flow in the current quarter?

Ashish Kehair: Looks like because if I take, let's say, about INR32,000 -33,000 crores of assets in MPIS in Wealth and take about 30% of that. So that should give INR7,000 -8,000 crores and Private should give another INR12,000 crores. So INR19,000 -20,000 crores looks at this point in time, reasonably confident that we should be able to deliver.

Moderator: The next question is from the line of Shyam Sampat from MSA Capital Partners.

Shyam Sampat: I just have one question. I wanted to ask if you can give some color on our view on the SIF and when do we start applying for it?

Ashish Kehair: So we've already applied for the license for MF because we don't have MF license and only MFs can do SIFs. Our first round of SEBI inspection has happened. And so it is basically progressing.

So as and when we get the license, I don't know how much time it will take, maybe a quarter or maybe 4 -5 months. Because from a strategy perspective, from the team perspective, from performance track record, everything is in place. The day we get the license after that, whatever logistics is required to file the scheme, get the approval is the time that will be taken, and we will be up and running.

Moderator: The next question is from the line of Ashish Agarwal from Oaklane Capital .

Ashish Agarwal: I have a question. So overall, there is an expectation that wealth management industry will grow from here given there are tailwinds. So based on what I understand is that overall pie should definitely expand from here. But there are more players coming in , which means that there will be more pieces of the pie. So how are larger players like Nuvama placed? And if the market share gain happens for these players, like players like Nuvama and other players, will it happen at the cost of unorganized players or how it will be going forward?

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Ashish Kehair: I think largely, you hit the nail on the head. So there are 2 things. One, the size of the pie grows, I don't think people are really able to comprehend how big it will become. I mean in the last 2 years, if you see, the MF asset book has grown by 50%. INR50 lakh crores has become INR75 lakh crores. That is order of magnitude, INR25 lakh crores, right?

And now on this, when it starts compounding, the effect will be huge. Similarly, if you take PMS, AIF, if you take each component and just compound it at 10 -12% and then calculate the pie and then look at the penetration today, the formal penetration of all of us, all of us put together is not more than 15%. If that doubles in the next 10 years, I think the overall size grows by 8x to 9x.

So in my view, everyone who is currently operating , in the next 10 years, their market share will actually fall, but they would have still grown by 20 -25% compounded for 10 years because newer players are needed. The size will become very, very large.

Ashish Agarwal: Sir, that is there. I agree, sir. The pie will definitely expand for all players. But someone will lose market share, right? So who is that?

Ashish Kehair: The unorganized, which is your insurance agents, the sub-brokers and the IFAs because they are monoline products. So for a particular client segment, which is a certain threshold and above, and as Tier 2, Tier 3, Tier 4 start becoming more and more mainstream, you will see that they will either move or fold into the larger players who will be aggregators in some sense and give a multiproduct platform, but they will cede market share to the more organized players.

Moderator: The next question is from the line of Vedant Sarda from Nirmal Bang Securities Pvt Ltd.

Vedant Sarda: Can you please tell like what kind of bottom line is currently contributed from the clients who are deploying derivative strategy?

Ashish Kehair: For us, in our wealth

management side, our total broking revenue, if you take in a year, is about order of magnitude INR240 crores. In that, about 40% comes from F&O, 60% comes from cash. So maybe INR100 crores of revenue comes from F&O for us.

Vedant Sarda: These include like the clients like Jane Street?

Ashish Kehair: No, no, no. That is institutional equity. So there, about another, let's say, INR180-200 crores would come from F&O on the institutional side.

Moderator: The next question is from the line of Manoj from Kivah .

Manoj: As you said, we can grow 20 -25% of the industry for the next 10 years. Can I assume we are also aiming for the same for our net profits for the next couple of years?

Ashish Kehair: We are aspiring for the same, yes. Of course, we are aspiring.

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Manoj: And so even whatever everybody is trying to ask and not ask in the straight way, even with that, we can aim or aspire for the similar 20% growth as we've done in the past for the next couple of years as well, sir?

Ashish Kehair: So that event can have a bearing on this year, maybe to some extent, so it will not impact Wealth Management, Asset Management, or Investment Banking at all. So they will grow at the pace - and Wealth Management, both the businesses, I think, will grow faster than what we grew last year. Asset Management also will be faster.

The only area that impacts is Asset Services where, again, basis the scenario analysis, which we have done, we will end up with growth and not negative. So that leaves only one line item, which is Institutional Equity, where we will see some impact, where I mentioned about maybe INR15 -16 crores of PAT impact in the current year. Once the base is set, then you again start growing.

Manoj: I think things are looking great, sir. So no impact on the news we've been hearing about a private equity deal. So the current scenario should not impact that as well, those talks...

Ashish Kehair: I mean, we don't get involved in that because that is a shareholder matter. And if anything happens, I mean, you would also come to know, I'll also come to know the same time. So I mean, I have nothing more to add on that. Whenever it happens, it happens. But that has no bearing on the company performance or the growth prospect, the way we see it.

Moderator: Ladies and gentlemen, due to time constraints, we would take that as the last question for the day. And I now hand the conference over to the management for closing comments.

Ashish Kehair: Thank you. I think it was a reasonably engaging session. Thank you once again for taking time out. We'll look forward to meeting all of you again in quarter 2. Thank you, moderator.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Nuvama Wealth Management Limited

Corporate Identity Number: L67110MH1993PLC344634

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NWML/SEC/202 6/69

November 12 , 2025

The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street,
Mumbai - 400 001.
BSE Scrip Code: 543988 The Manager,
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051.
NSE Symbol: NUVAMA

Subject: - Transcript of earnings conference call

Dear Sir(s) / Madam(s),

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our earlier intimation dated October 29 , 2025 , regarding the earnings conference call to discuss the Company's performance for the quarter and half year ended September 30, 2025, please find enclosed herewith the transcript of the aforesaid earnings conference call held on Wednesday , November 5 , 2025 .

The same is also made available on the website of the Company www.nuvama.com .

We wish to confirm that no unpublished price sensitive information was shared/ discussed in the aforesaid earnings conference call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Nuvama Wealth Management Limited

Sneha Patwardhan
Company Secretary and Compliance Officer

Encl: as above

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Q2 FY '26 Earnings Conference Call"
November 05, 2025

Disclaimer:

This document is subject to errors and may or may not contain words which have been included / omitted due to human error while transcribing the conference call. Any and all information should be verified with the company by the reader.

MANAGEMENT : MR. ASHISH KEHAIR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. BHARAT KALSI – GROUP CHIEF FINANCIAL
OFFICER AND HEAD OF STRATEGY
SGA, INVESTOR RELATIONS ADVISOR

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Moderator: Ladies and gentlemen, good day, and welcome to the Nuvama Wealth Management Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Kehair, Managing Director and CEO. Thank you, and over to you, sir.

Ashish Kehair: Thank you. Good afternoon, everyone. Welcome to the Q2 earnings call. We really want to thank everyone for joining us, especially, on a holiday. As always, I have with me my colleague, Bharat, our Group CFO and Head of Strategy, the SGA team, our Investor Relations advisors. I'll begin by summarizing the quarter and share a bit of perspective on the market as to how we see it and the business outlook. Bharat can then take you through the detailed numbers, and then we can jump into the Q&A session.

Just summarizing the results very quickly. We had a resilient Q2 performance despite the volatility and loss of one large client. I think this reflects the strength of the overall diversified platform, which actually works in our advantage. Especially when one of the businesses is going through a rough phase, I think the others are able to contribute, and we are back in the game. We were able to capture flows across asset classes in our Wealth businesses. And we also saw strong synergies between Wealth and Asset Management, especially in our Commercial Real Estate Fund. I'll talk a bit about that when I'm on the Asset Management section as to how the two are working really well together.

Lastly, I think new client acquisition across all businesses were very, very strong, including Asset Services, which is why I think the recovery there has been stronger than what we had expected. Revenues overall for H1 grew by about 10% and growth across most businesses, except core Capital Markets, which is institutional equities and investment bank.

But even in the investment bank, except of the large M&A deal, which we did last year, which was in the public domain, the Appasamy deal, there is growth if you remove that, profit grew by about 8% YoY, and ROE stands nearly at 29%.

On the overall macro, I think the Indian economy remains steady and resilient, supported by the strong domestic demand. Post GST, I think the demand is really working well and has been able to counterbalance a lot of impact that was happening through tariffs. And now I'm told that even tariffs are on the verge of being closed out. So I think the future looks better than what we have seen for the first 6 months.

On the regulatory side, in my view, both SEBI and RBI are following an approach of, disciplined pragmatism. They are bringing in reforms, which may look a bit tough in the short run. But I think in the long run, it will have a multiplier effect on the overall Wealth Management, Asset Management, Capital Market and Insurance businesses, which I think is good. But yes, short term, there will be some strain in the new announcements that are coming.

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RBI, on the other hand, on what we saw, which they have done with banks, as specifically loosening up the capital markets exposure, which, I think is really in line with the changing market trend. And hopefully, they will follow it up with NBFCs also, is what our view is. Let's wait and watch in that side. And in fact, even SEBI, we are reasonably pleasantly surprised on the pragmatism, which they are displaying now.

I think all in all, the regulatory tonality has undergone a significant change

, I would say, in the

last 12 months where they are able to balance both the need for regulation and being contemporary and changing with the need of the times and also enabling an environment which will help businesses grow faster.

Coming to our businesses, starting with Nuvama Wealth and one of the key focus areas, which we've been saying for the last 4 years now, which is managed products and investment solutions. I think numbers speak for themselves. The asset base grew by about 28-30%, depending on which starting point you look at, and the revenues grew by about 67% YoY.

It's a clear reflection of the momentum that is getting built there, and also the conscious and deliberate focus of building that part and treating broking completely as a product which is now less than, I think, 10-11% of the overall revenues. This quarter, in the MPIS, we saw a reasonable amount of flows across the spectrum, managed products, alternates and fixed income. I think all the limbs were performing very, very well. It's now about 58% of our total revenues for this segment.

On technology front, I think this business, as we've always maintained, gives the highest bang for the buck because you're dealing with a large population of sales force and a distributed geographical presence with a large number of clients. So consistency, efficiency, any kind of improvement in whichever part of the value chain you see in this business, I think technology acts as a huge multiplier.

On the client side, we've made significant strides and advances across the value chain. So whether it is investing or analytics or reporting, I think it will now be best-in-class in the industry for this segment. We now give family level consolidated reporting. And when I say consolidated, it's truly consolidated. So it covers products like AIF, insurance, general insurance, over-the-counter fixed income, unlisted assets, execution reporting, IRR computation at family level. I mean, at the convenience to be able to see it on both the mobile app and on the web platform, I think, is industry-leading in this segment.

We've also done a lot of work on the delivery of advice to clients where, again, the objective is personalization at scale because you're dealing with a large set of people, you don't want a cookie cutter kind of a solution. You want to build something which addresses the need of the client. And yet, it is scalable. So therefore I think generative AI has come to a lot of help, at least in that space, where we've implemented our portfolio advisory solution. We piloted with the top 30,000 - 35,000 clients, and I think the results were very, very encouraging.

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The clients for the first time saw their overall portfolio spread across multiple distributors in one place, and we're able to play around on how to do allocation, what objectives, what goals they want to achieve. I think we'll really work on this to develop this further.

Last quarter, and I think quarter before that, we spoke a lot on lending. FY '25 was a year where we wanted to bring in the discipline in the product side and improve the ROE, which was done, and we said we will expand the book this year. You're seeing that getting reflected now. One quarter itself, the book size has grown by about 40%, not reflecting in NII. I will talk in detail, when I'm addressing one of the questions that why NII has not gone up.

But I'll just quickly summarize, the book has gone up towards the end of the quarter or latter part of the quarter. And if you look at the overall drivers, which have an impact on NII in a quarter, it's basically the average book. So average book was not up by 40%. Average book would have been up by 20-22% and that has a slightly negative impact in the quarter when the book has gone up because under the RBI guidelines, you have to book the expected

credit losses, although there

have been no credit losses in this book, but there is a standard provisioning which you have to do in the quarter in which end-of-period book has gone up.

Second thing that impacts the NII in this segment is, in the ESOP business, how much of the loan book is getting churned. Because if the churning is high, then processing fees gets upfronted. So that churning was lower in this quarter.

And third is that on our financing side, about 25-26% of our financing comes from market-linked debentures. And that has a quarterly volatility in the hedging cost, which could range from minus 0.1% to plus 1%. So last quarter, we were on the positive. This quarter is on the negative. So that shrinks the NII a bit QoQ. But when you look at a full year basis, it contributes a positive delta of about 50 basis points.

On the RM front, in this business, the approach we had taken for the last 3 quarters was to pause and stabilize the overall count. We have about 30% of the population with less than 1 year, which is a large mass, and the objective is to work on making them productive because they are less than 1x their fixed cost vis-à-vis rest of the population, which is about 4-5x their fixed cost. Second is that, now, we should not look at the count of RMs with the same lens because the composition is changing. Like we said in the last 15-18 months, the RMs which are leaving

maybe are of lower cost, and we are replacing them more with bank RMs, which are of slightly higher vintage because our client profiles are also changing with a period of time. So therefore, now one incoming is equal to almost two outgoing in terms of productivity cost, skill set and everything. So a plain reading of numbers may not give the right picture. Yes, that's on the Wealth side.

Moving to Nuvama Private. I think there, again, coming back to our key focus, which is the recurring revenue and recurring assets. Once again, numbers, as I keep saying, speak for themselves. The growth in the overall recurring assets continues to be decent. On a full year basis, again, we expect north of 25 -26%.

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Half year continues to show that same momentum. About INR2,500 crores came in Q1, but managed product within that was about INR2,800 crores. So actually, if you look at managed product QoQ, Q1 was INR2,300 crores, Q2 is about INR2,800 crores, which is more relevant, because the advisory asset, which is slightly down, is of a lower yield.

So the second milestone, which we wanted to share is that ARR assets have now crossed INR50,000 crores. Effectively, we have doubled in 2.5 years. That's a CAGR of about 32%.

Hopefully, we are able to sustain this in future.

On the transactional side, we had a very good quarter, and I think the trend will continue at least for the next 2 quarters, this is where I was talking about the synergy between Asset Management and Wealth Management, where we were able to leverage on the syndication opportunities created by the Commercial Real Estate Fund.

I have been saying that we are working actively on launching credit in the Asset Management side, which should happen maybe in the next 6 to 8 months, which will add tremendous syndication opportunities, which some of our peers have been able to leverage very well in their businesses. That is right now missing for us. And I think Commercial Real Estate gives you a sense of what we can achieve if we are able to synergize between the two across two -three asset classes, which is real assets and credit assets.

Here on the RM front, our strategy has been consistent, deliberate, cautious addition. And we are happy to state that we continue that. We maintain that we will add about 15 -16% a year. And over the last 2.5 years, maintaining that trend, we've added about 40% of the population in this business.

We've also expanded

geographically. On the international side, once our Dubai operations stabilized, then we moved into operating breakeven, now we have about 7 - 8 RMs there, working full potential. We've now expanded into Singapore because there has been client demand, local client demand. And even in Singapore, the team kept saying that there is an opportunity, we should start stuff, and we have started.

We started small. We've been cautious always on the international side, and we will be deliberate and conscious because costs are high. As and when we see the opportunity, we keep ramping up. As of now, we feel both these markets offer a significant potential for us to expand.

We are also looking to add another office in Dubai, which is outside of DIFC. Because DIFC allows you to operate with a certain set of clients, which may not fit into the profile of Nuvama Wealth. It fits into the profile of Nuvama Private. There's another license that happens, which is an ESCA license, which gives you license to operate on the mainland with the diaspora clients. That licensing, we are now going ahead. And hopefully, in the next 3 to 4 months, that should also be operationalized.

On the Asset Management side, let me begin with our Commercial Real Estate Fund. We've now reached about INR2,400 crores of fundraise, and our target size is about INR4,000 crores. We want to close it by, let's say, middle of Q4 by, say, Feb end, the entire INR4,000 crores. We are Nuvama Wealth Management Limited
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taking INR4,000 crores as a target size, we are almost 30% deployed, and I'll talk a bit about the deployment in a second.

Once we hit 60%, and hopefully, that, we should hit by, let's say, June next year maximum, it will be time to move to the next fund, which can either have a similar mandate or a broader mandate because now we are more experienced as to how we should play this game. So hopefully, in Q2 next year, our second Commercial Real Estate Fund will get launched.

On the deployment side, last quarter, we mentioned that we did our first deal. This was a prime office space in Delhi in Saket. We've been able to close our second transaction, which is a very,

very large office space fully leased in Chennai in Porur. We bought this from Keppel. It's a Grade A asset and a large deal. It was a total value of INR2,600 crores, INR1,300 crores equity value, INR1,300 crores LRD. And half of that went to the fund, and half of it was syndicated.

On public markets, last quarter, we mentioned that we're working on settling the performance, which is now done. Q2, the total gross sales were about 2.5x of Q1, but there was a big, planned redemption of one large client on advance tax, which we lost. But now I think the regular redemption will be 10-15% of the AUM. So we will see accretion from Q3 onwards. And from a performance perspective, both of them now are operating in top tier.

The key thing here to note is that you're all aware that we applied for the mutual fund license because we were very keen to operate the SIF vehicle because it gives a significant tax advantage as compared to an AIF for both the strategies which we run. Thankfully, now we have a track record in both the strategies, which is long short and absolute return. And for us, both these strategies work very, very well in the regulatory guardrails which have been implemented for SIF.

So as and when we get the SIF license, the expectation of which is, in the next maybe 6 months, we want to go live. So April is where we want to go live. We will migrate this, which shall expand the target market base significantly because you will come down from INR1 crore to a INR10 lakh ticket size. It will open regular distribution across banks, other wealth managers and IFAs. So we are actively looking forward to it.

On private equity, deployment continues to be at full pace. On the private equity funds pe

rase,

very little deployment is now left. So we have started raising Crossover 4, our new pre-IPO fund. And there also, we have done certain deployments. We are also looking at 3 to 4 exits very soon, 2 IPOs, DRHPs have been filed and should hit the market, one of them in November, one of them in December, and both ideally should list between 1.5x to 2x. So that will give a bump up to the NAV and hopefully will act as a catalyst to the fourth fund raise.

The other two deals, again, banker appointment is in process, and the expectation of the team is, by April to June, those two also will list. So these four itself will give a reasonable amount of NAV jump.

I wanted to talk about the yield compression that has happened on the private markets. In our VDF, which is the other strategy where we deploy in venture debt, we have consciously taken a Nuvama Wealth Management Limited

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call because deployment got delayed, deals were not coming at the right valuation. We did not want to risk the investor capital by putting it at any valuation.

So we consciously said that for 3 quarters, we will not charge fees, which is due to us, which is an impact of about INR2 crores a quarter. And from April 1, we will start charging it back. So it's a temporary reduction, which will come back from April 1. And in VDF, we have about INR600 - 700 crores of deployment left, and we charge fees as we deploy and not on the committed value.

So as and when that INR600-700 crores, which is, let's say, maybe you can take INR20-25 crores a month to be the deployment to be done, so about, say, 9 months to 12 months, we deploy full, and the overall yield there is about 60-70 basis points. So that addition will happen into the revenue, which comes into the private markets.

Coming to Asset Services business, I think this was the most anticipated and washed out after what happened at the beginning of the quarter when we lost that large client. I think resilience is clearly demonstrated. We basically recalibrated our entire strategy, and we looked at the existing clients and the new pipeline, both on the domestic side and on the international side. And our sense was, which continues, that by maybe middle of Q4, we will come back to the same levels where we were. 50% of the loss is now recovered. So let's say, the client was contributing X revenues. As we speak, by end of Q2, 50% of the X is now recovered on a run rate basis, and the balance 50% will come maybe by January-February. So I think that reasonably brings us back into the game.

On a half year basis, the revenue has still grown 5% YoY. The fundamental thing which people keep asking here is on concentration. Now you have to understand two, three things that at a cross-section of time, concentration in this business will be there. So there are only 30-40 HFTs who are invested right now in the country.

So by any Pareto principle, the top 10 will be contributing 60-70%, and that is the case for us also. But the key point is that the top 10 keeps changing every 12 months. Like if we see our own book, the top 10 contributors of FY '23, which were, let's say, 60-70% then, are less than 25% now. Same thing, the top 10 contributors of FY '25 would be less than 40% now.

So if you understand what I'm trying to say is that 3 years back, there were 10 HFTs. You are now 35-40 HFTs. And if you plot this 3-4 years out, you are looking at 100 HFTs. So

structurally, the concentration in the market will keep coming down as you move forward. So I don't think one should be too hung up on that.

Market opportunity remains really attractive. If you look at the overall FPI AUM growth, that has clocked about 20% on a 5-year basis despite so much exits that has happened. And AIF / PMS have clocked about 45% CAGR over the last 5 years. And even now in the last 6 months, there have been about 150 new registrations,

each for FPI and AIF / PMS. So I think the strategic trend remains as strong as ever for this business.

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Our pipeline also is extremely strong. I think new client acquisition continues to keep pace.

People are now reasonably settled with the regulatory framework around derivatives and the stance of the regulator. I think they are now increasing the pace of their deployment. So I think business seems to be in a good place from a sector and a macro perspective here also.

Institutional equities and IB, I think, is going through a tough phase, especially on the institutional equity side this year because when you compare last year to this year, I think the key change that has happened is that the F&O regulations came, which has brought down the ADTO across the market level, which is now reflecting.

And Q1 was extremely weak on the ECM side also. I think Q2 was a complete reversal. Q1 saw about 15 IPOs, Q2 saw 50. So there was a jump, and I think the trend will continue. And maybe once that stabilizes, you will see the secondary volumes also coming back.

On the IB side, fixed income continues to shine. We retain our position as the number 1 banker for IPOs. We moved up one rank in private placements. We are now number 3. Just to remind, we were in the 20s about 3 years back.

And with the inclusion of Indian G-Secs in the index, I think the FPI interest has gone up significantly. So that part of the business has also gone up. So fundamentally, the business, which was about INR20 crores a quarter has basically moved to INR30 crores a quarter for us, which is a 33% jump.

So combination of ECM plus fixed income, I think, holds that also in a reasonably good state, although on a full year basis, because of the Appasamy deal last year, we may not see a significant jump. But I think trend-wise, we are reasonably okay. Yes, I think that basically sums up our performance and outlook across businesses. I can now request Bharat to take you through the details of the financial performance. Bharat, over to you.

Bharat Kalsi : Yes. Thank you, Ashish, and good afternoon, everyone. As Ashish discussed quite a bit in detail, so I'll focus on the key numbers and more on the consolidated level so that we have enough time for the Q&A. Ashish has already discussed, in terms of the various moving parts of our businesses, what initiatives we are taking, how the client behaviour is moving, how are we doing our geographical expansion, on RMs and all.

Two things which is over and above what Ashish has covered is that we have declared our interim dividend for FY '25-'26, which is INR70 per share. This has been approved by the Board in the yesterday Board meeting. This is similar to our dividend distribution policy, where we have mentioned about 40-60% is our dividend distribution range, and this comes out to around 49-50% of the H1 profit. Record date for the same will be 11th of November.

Secondly in the Board meeting, we also deliberated should we look at our share split, and I'm happy to share that the Board has decided to split the shares from INR10 face value to INR2 face value. Obviously, it will take some time for all paperwork to be done, but the share split has also been approved by the Board. These are two things which is over and above the quarterly performance, which Ashish updated.

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Having said that, if you look at the overall consolidated numbers, client assets at around INR4.4 lakh crores, which is obviously added by the net new flow, which we've been adding over the last four quarters. So that has helped.

Overall, revenue for the quarter was at around INR772 crores, which is a 4% growth on Y-o-Y basis. This time, both Wealth and the Private has led the pack wherein they have grown by 26% Y-o-Y. And now

the Wealth and Private business contribution in the total revenue has touched 57% in Q2, which was 47% Q2 last year. So there is an absolute 10% increase in the Wealth and Private contribution to the revenue.

Similar thing you will see in the PAT also, so the contribution has moved from 35% to 45% in the PAT for the company coming from Private and Wealth itself. So the strategy which we've been following is, to focus and enhance our Wealth and Private franchise, that is playing in well. Overall, if you look at the cost, the cost is at around INR437 crores, which has grown by 12%. 75% of this cost is employee cost, which is about people and variable cost of it. You will see that there is a growth in the opex, but for opex, my recommendation here is that last year, we did around INR410 crores of opex on the full year basis. This time, quarter 1 and quarter 2 average is hovering around INR110 crores.

The way to look at our opex growth is twofold. One is that a 4-5% increase in the opex will happen because of the usual inflation. So the vendors bills will go up as part of the inflation, and the lease rentals will go up. That is roughly 4-5% of the cost. But the balance 4-5% cost increase will come because of our expansion.

As Ashish was also referring that we have opened new branches for, say, Wealth and Private. We have expanded our DIFC office. We have now taken a lot more space close to our HO because as we are establishing our mutual fund license, we need more space. So we have taken a lot more space closer to our HO, which will obviously come in the quarters to come also. But having said that, headline, 10% kind of an opex increase, 4-5% inflation linked, 4-5% linked to the business is what we can expect on a steady-state basis. That's where the opex is expected to go.

In terms of the overall PAT, it is INR254 crores for the quarter, which was INR264 crores for the last quarter and maybe INR258 crores for the similar quarter last year. And the ROE was at around 28% for the quarter.

Again, my recommendation and the view on the PAT is that the same PAT, the same INR250 crores PAT, what was there, say, last quarter and now, the composition is what makes the difference, and that is where I was saying that the composition of Wealth and Private has moved from 35% to 45% in the similar genre of the PAT. I think that is more relevant to know rather than attempt just the absolute change in the PAT per se over a QoQ or a YoY.

That's where I think as a business, we are moving, and it seems to be on the right trajectory. Rest, Ashish anyways covered a lot of details in terms of the various businesses. So I would suggest that if we can move to the moderator to take the questions. Ashish, is that okay?

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Ashish Kehair: Sure.

Bharat Kalsi: Yes. So we can answer the questions. Thank you, everyone.

Moderator: Thank you. Take our first question from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Congrats on a decent set of numbers given the challenge that we had on the Asset Services. The first question is on the Asset Services side, wherein the yield has gone up in this quarter. Is it again because of that one lumpy client going away, and these are more sustainable yields? Is that the way to think about it? That's the first question.

Second question is on the flows front, where we have seen strong flows in Wealth and Private both. We think that this momentum can continue because in one of the segments, it's like almost the amount of flows that you've done in the first half is equal to what you have done in the entire of last year. So how should we think about flows from here on in both Wealth and Private?

And third is on the overall PAT. Bharat, you mentioned that we should look at the way the mix has been changing. But on an absolute basis, the PAT has been s

tagnant at about that INR250

crores mark for the past 4 or 5 quarters. So how should we think about the profitability going ahead? Those are my three questions.

Ashish Kehair: Thanks, Prayesh. So first, on Asset Services, I think you have to look at two things in tandem, essentially the yield and the assets. So what we've always maintained is that the earning assets, so there is one set of assets on which you earn custody fees and all that, which is one. And one, on which you earn float.

In the one where you earn float is typically the clearing clients where there is a split between G-Sec and, let's say, bank deposits, which come through us. Now that ratio keeps changing with the size of the clients. So when you saw the yields went up, you also see that the clearing assets have come down. So basically, yes, there is an impact of, let's say, that large client because that large client bought large amount of assets, so the ratio was skewed higher towards G-Sec, lower towards deposit.

If strategically, we are able to get a large number of smaller clients, the yields would be higher.

But if, let's say, some clients comes in and then scales up significantly, then their ratio would change. So at least for the next 2 to 3 quarters, we can project the yields, and that looks to be in the range of 2.6% to 3-3.2% because we are in the acquisition mode of many, many clients. And then if, let's say, somebody ramps up, maybe it corrects. But when it comes down, there will be

a simultaneous increase in the clearing assets.

On flows of both Private and Wealth, we are reasonably confident that it will continue. There is no one-off here. It's reasonably granular across different product categories. Maybe 10 - 15% up, down that keeps happening in our business QoQ. But if you ask me from a directional trend perspective, we don't see anything changing in the strength of the flows per se.

And on PAT, like you, we also want to cross the INR250 crores, I don't know, it's an artificial threshold, which has come and something keeps happening. Hopefully, now everything is

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behind us, and we come back to our 20% growth trajectory from here on because the rebasing of Asset Services should happen.

I think 1 quarter has passed. And as I mentioned that in the next 3 to 5 months, we will recover fully what we lost from that client. And thereafter, then it's again an upward move, which you will see because Wealth businesses is anyways performing what it should do, even better, I would say.

Asset Management, as it keeps adding, it moves into breakeven. And even if it does not, I'm saying the adjacency benefit that it brings to other businesses is significantly high. So as we add credit, maybe there will be some drag because new team will come and all that. I'm not so much concerned. But otherwise, that 20 - 25% growth trajectory should be back once the rebasing of Asset Services happens.

Moderator: We'll take our next question from the line of Manas Agrawal from Sanford C. Bernstein.

Manas Agrawal: A couple of questions around Asset Services and then on the split. Asset Services, essentially, is there any phasing impact also because assets have grown more than revenue despite yields going up? So is there like a back-ended cadence to asset accumulation within that business? That is A. B, can you help us understand where the cost-to-income sits for the period because this is a slower growth quarter?

So as to say, historically, my understanding is in this business, you have operating leverage favoring you. Third, this is hypothetical. If weekly was to go away, any indication of what clients would do behaviourally or from a financial perspective? That is on Asset Services.

And on the split, my first reaction to that whole discussion around doing a split is, is it aimed at improving liquidity so as to facilitate

potential exits for shareholders? That is my question on the split.

Ashish Kehair: Manas, can you repeat the first question? I didn't understand when you said assets have gone up faster.

Manas Agrawal: So I'm looking at the press release, and I have not necessarily looked at the data book in detail at this point in time. Your Asset Services assets have gone up 15%. Your Asset Services revenue has gone up 5%.

Ashish Kehair: Okay. You're comparing year-on-year?

Manas Agrawal: Yes.

Ashish Kehair: Actually, year-on-year closing assets in Asset Services is down 15%.

Manas Agrawal: Okay. My mistake over there. So we can skip that question. That is fine. That bridges the gap. Cost to income and any potential impact on weekly expiry and then the split?

Ashish Kehair: Got it. So cost to income, broadly, I think the range there is similar. So overall, if you look at the segment of Asset Services and Capital Markets put together, last full year was 40%, Q1 was

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also 40%. Q2 is also 40% because there is some amount of control you have on the cost side, especially the variable employee cost, which moves in line with the revenues.

So the range at which you operate in cost income will be between 38 -39% to 43 -45% unless there is a massive deterioration in the Capital Markets business. Otherwise, this is the range we'll operate in. So going forward, as we add clients and the rebasing happens because of the loss of large client, we will come back to the trajectory of operating leverage. So you will see improvement happening from Q1 next year onwards.

The split actually was long overdue in the sense we've received a lot of representation from retail investors and all that. And when we analyzed our own book of retail investors out of some 1 – 1.3 lakh retail investors (Note: it was inadvertently said 2 –3 lakhs on the call), which we have, more than 70 -80% hold less than 10 shares and 50% hold less than 5 shares. So there was a lot of this thing, which we then said, okay, let's just go ahead and do it.

It will have no bearing on exit planning for, let's say, a PAG because if you look at how a PAG

exits, okay, I'm just talking about the theoretical modes of exit. The most basic is selling blocks in the market. Now selling blocks in the market happens to institutions, nothing to do with split. Second is selling to other private equity or strategics, which also has nothing to do with split. So exit of the shareholder and split actually do not have any correlation whatsoever. If you look at the peer group and when we saw the peer group, everybody has done split, everybody trades in that 900-1,200, except maybe Anand Rathi, which has also done a split. Otherwise, if you look at Motilal, if you look at 360. If you look at IIFL, everybody has that INR2 or INR1 stock. We were the only one remaining at that INR10. So I think we just said we should just do it. That's it.

Manas Agrawal: Understood. Any discussion around weekly expiry potentially going?

Ashish Kehair: So it depends on what weekly converts to. And see, this is one thing which we realized is that like the world of macroeconomics, there is no ceteris paribus here. There are too many moving parts, right? So like if you see the volumes that are happening in MCX, we would not have imagined that 2 years back. That is picking up. There is discussion around Gift Nifty and volumes there, how they will bring back.

So let's say, weekly moves to fortnightly, I don't think too much will change because the way you look at it is that if I have INR100 to deploy, I will still deploy INR100. And if you divide the earning of the intermediaries who make money by trading in derivatives, I would split it in three buckets: one is brokers, second is exchanges and third is custodian and clearing agents. Brokers and exchanges will get impacted b

ecause they earn on transaction, number of transactions and transaction volume. Clearing and custodian does not get impacted that much because they earn on the position. If your position size is still there, you will require collateral, you will require margin. If you require margin, the earning of the custodian and the clearing agent is consistent. So that doesn't change. So that is how we look at it in terms of overall impact if weekly were to go.

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Manas Agrawal: Understood. One last question. Sorry, you brought up MCX, so I'm asking. Your clearing license is across asset classes? Or is it only some asset class?

Ashish Kehair: No. Across.

Moderator: We'll take our next question from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: I hope I'm audible. A few questions from my side, maybe one on each of the segments. First, on Nuvama Private. Can you break up your recurring AUM and flows between corporate treasury and ex corporate treasury for 2Q and 1H? And you also mentioned on the T BR pipeline, kind of sustaining in 2H also. So should we expect a 2Q run rate or some moderation to that? On the AMC business, just wanted to get some color. I mean you mentioned that some of the deals are nearing their exit. So should one expect carry booking gradually? Or do you want to kind of defer it over the period? And last question on your Capital Markets business. In terms of the IB, IE, first is, if you can split it between IB, IE, and also just -- let's say, hypothetically, if all of your primary market deals were to convert over the next 12 to 18 months, what should revenue quantum can one really expect in that business?

Ashish Kehair: So Private, let me start. Corporate treasury is actually negligible in both Q2 and H1. Actually, Q2, there was a loss on an outflow of about INR300 crores from a corporate treasury. Rest, all is non-corporate treasury.

Transactional income, if you see the way we look at it is that we should see an almost 15% to 17% growth over last year. And once we look at H1 numbers, that basically gives a sense that Q3-Q4 should be order of magnitude between INR75-INR80 crores as against the INR100 crores of Q2.

AMC carry, we don't accrue. We typically start book only when it gets realized at the end. So this exit, we will not lead to a booking. Right now, no. See, once our Commercial Real Estate Fund moves into that zone, we will start doing an accrual and booking. And once we launch credit, these two asset classes render themselves more to a carry, accrual and booking. Our sense is that on equity products, we still want to be conservative and want to do it more towards the end and not do an accrual or an estimated probabilistic accrual as of now. That's our stand. Capital Markets, IB plus IE, it keeps changing Dipanjan. But broadly from a profit perspective, if, let's say, both put together contribute in a year about 20% of the profits, then anywhere between 12 - 13% comes from IE and 7 - 8% comes from IB.

And the last question was if all our ECM deals were to convert. So you are assuming a probability of 100%, then the revenue is INR250 crores. If I apply probability, which we do, then it comes to about INR150 crores.

Dipanjan Ghosh: Got it, sir. Just one question on the regulations part. I mean, if this consultation paper from SEBI on MF were to go through, I think we obviously don't get color on the exact details of the

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Ashish Kehair: About INR20-25 crores on top line basis. If it goes exactly in the shape and form it has come and we charge 0 on research. So we don't charge anything on research, and you charge only 2 bps. Derivatives is already less than 1 bps, so no impact. And on cash side, there is a blend of D

MA and non-DMA. So we are not at 12 bps. Nobody is at 12 bps, except people like yourselves who are MNC brokers. So we would be lower, much lower. If this settles anywhere around 5 -6 bps, we will actually benefit than lose.

Dipanjan Ghosh: Sorry, sir. And on the distribution front, I mean, the similar circular, any effect on distributors.

Ashish Kehair: No, not to us. Our total MF income is still quite low. I mean both businesses put together would be less than 5 -6% of our revenues, so not too much to us. I think for people who are higher on distribution on MF, they will get impacted on that 5 basis points depending on how the split is decided. But for us, no. Right now, no.

Dipanjan Ghosh: And just to be clear, this INR20-25 crores is on an annual basis, right?

Ashish Kehair: Yes.

Moderator: We'll take our next question from the line of Lalit Deo from Equirus Securities.

Lalit Deo : So just two questions. One, so we have seen a good increase in the lending book in this particular quarter. But however, the margins have declined from 6% to around 4.4%. So anything particular to read over there? And secondly like in the Wealth business, like as compared to the , last quarter's presentation, the RM count seems to have declined from 1,200 to 1,100. So like, are we seeing some attrition over there ?

Ashish Kehair: So on the lending book, like I said in my opening remarks, you have to see three, four things. What impacts the NII? One is basically the most basic is the composition of the book. So that part has no impact. I'd say how much is margin financing, how much is loan against shares, how much is ESOP, margin financing being the most profitable, but that for us has remained consistent. So that has not had a bearing.

Second is that what proportion of the ESOP books churns in a quarter. So let's say, you exercise ESOP, there is a processing fees charged that gets amortized over the period of the loan. Now you've taken a loan for, say, 6 months or 1 year, amortization will happen monthly. But you happen to sell your ESOP in the second month, then in that month , the entire realization is booked.

Now when the underlying stock price moves faster, we see behaviourally people exit their ESOP loans faster, and processing fees gets booked faster, which happened in some of the underlying ESOPs for us in Q1. And the reverse of that happened in Q2. So it's just a timing difference.

And the third, I think, more important thing is, when our book size increases, you have to see the timing. If the timing is towards the latter part of the quarter, then it acts as a negative in that quarter because we have to book what is called expected credit losses as per RBI, and that booking is done on the end-of-period book size basis.

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So let's say, hypothetically, your book was INR100 crores at the end of Q1, and it remained at INR100 crores, INR100 crores for the next 2 months. And in third month, it became INR200 crores. So now you earned NII on INR200 crores only for 1 month. but you paid the expected credit loss on the full INR200 crores. So the benefit will start coming from next quarter onwards, which you will see. So that ECL or expected credit loss was high.

And the third is, again, a timing difference of the profit or loss that happens on MLD hedging.

So we have about 25% of our borrowing that comes from MLD. And that hedging can move plus/minus 0.5%, plus to minus, which is a 1% range actually. And in Q1, Q2 , we moved from plus to minus. Q3 expected, again, we'll move back to plus because on a full year basis, you end up making a 0.5% profit, which reduces your cost of funds.

So I think these are the three things. Hopefully, in Q3, Q4, you'll see an uptick on NII, which will happen, which will benefit the business, the cost income, productivity, everything. On Wealth RM also, Lalit, I m

entioned, you remember that we are changing the composition of the RMs. What we had earlier on a full population basis, we are upgrading them almost by 70 -80% fixed cost basis.

So numbers may not actually talk to each other. If I lose two RMs of, say, INR7 lakh , and if I

hire one of INR14 lakhs, I'm at the same level because productivity of 5x will deliver the same revenue, but my opex goes down, my training cost goes down, my supervisory, everything else goes down. So that is the transition that is happening. But having said that, Q3 onwards, we will start adding RMs on a net basis also, which you will see from next quarter results.

Moderator: We'll take our next question from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha : Ashish, my question is on the net flow number. So last time when we spoke, you highlighted around INR24,000 -25,000 crores of flow happening in FY'26. And we already are closer to INR13,000 crores in 1Q for all products put together. So you still want to maintain that guidance? Or do you think it will surprise positively? And if it's the case, then which segments can be doing that? That's the first question.

And the second thing is just wanted to understand probably a bit of color on your asset clearing business, whether your HFT guys are predominantly Nifty guys, or they even do a lot of Sensex? The reason I'm asking this question is that the Sensex in general as an index has been taking a lot of market share, whether your participants or HFT clients are heavily skewed towards Nifty, or they have an equal -- or they move in line with the industry, how Sensex contribution has gone up for the industry? So these are the two questions.

Ashish Kehair: So on the first one, Sanketh, I think right now, so we feel that it will be in the lines what we had guided earlier, which is INR25,000 -26,000 crores. If we happen to launch a few more products in asset management, that could lead to a positive spin there, or maybe both the Wealth and Private businesses can add a bit more, but I don't want to build that anticipation right now.

On HFT, I think your assessment is reasonably accurate that they actually move in line with the industry because see, they ultimately will follow where the volumes happen. They have to do that whichever segment will produce volumes, they have to chase that. They don't have a choice

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because that's where their algos will work because they need volumes to work. So in fact, most of them operate across both and in general, will move in line with the market volumes between Nifty and Sensex.

Sanketh Godha : Understood. Understood. And lastly, Ashish, this SIF thing, what you mentioned in the opening remarks, is it fair to say that the way SIF will go live, then given tax angle you mentioned, is it fair to say that your AIF money, which is sitting in public markets today in AMC business, will largely get directed or sales will happen more there?

Ashish Kehair: Yes. No, no, that is by far the desired end outcome only. Even if the client doesn't shift on their own, we will make them shift because it is superior for them.

Sanketh Godha : And the yields or your realization, which is around 60 bps on the public markets today, that number will still hold up, or it will be better relatively, from your perspective?

Ashish Kehair: So basically, if you look at it from a 2-year perspective, I think it will go up because we will add a larger number of distributors. We have now more performance on the belt. So in both these categories, from a performance perspective, we are really the top players across the board. I think the issue is that many of the retail-oriented or affluent-oriented distributors are not able to touch our product because of the minimum ticket size, that changes. So hopefully, the yields will inch upwards.

Sanketh Godha : Understood.

But you might be enjoying carry in the larger ticket size, right? So that advantage will go away?

Ashish Kehair: See, the carry also brings down the fixed fee Sanketh?

Sanketh Godha: Understood. Understood.

Ashish Kehair: Yes. And anyways, we like fixed fee more than carry because certainty is higher and everything is higher. And even for the distribution community, the fixed fee product works much better than the carry product because it brings more predictability to their revenue streams.

Moderator: Next question is from the line of Mohit Mangal from Centrum.

Mohit Mangal I got three questions. My first question is, if you see the net new money within the Wealth segment, actually, saw a big jump from INR2,800 -3,800 -odd crores. So was this because of the increasing wallet share from old clients, or the newer clients contributed to this increase?

Second question, I mean, you explained that the transaction income within the Private division grew abnormally higher because of the syndication opportunities. So safe to assume that your transaction would grow higher than ARR, and that ARR as a percentage of the segmental revenue would be less than 50%?

And my last question is I was looking at your consolidated balance sheet, and the loans and investments have seen a big increase. So what could be the reason for that? Yes, that's it.

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Ashish Kehair: So first one, in Wealth, INR2,800 -3,800 crores, I think the contribution from deepening of existing clients is higher than new. Typically, for us, that's the case. In certain quarters, only new clients contribute more. But in a general basis, you have a larger pool of existing clients. So if you take the full revenue and full flow and split between the two, the contribution from existing will be higher.

On Private, let me give you a bit of color on the transactional income in general, and then we can go into the specifics. See, in Private, transactional income is basically driven by four, five drivers. One is your classic brokerage, then your fixed income and MLD, MLD being very, very miniscule, fixed income largely.

Then you have unlisted shares, and last is syndication. So if you look at INR100 of, let's say, transactional income, almost INR70-80 crores comes from BAU, which is brokerage and fixed income. Only INR20 to INR30 will be what we call episodic, which is unlisted and syndication. And episodic syndication for us now, because I keep saying we don't have credit funds, so we work with external credit fund managers where the deal supply is slightly more sporadic. Once we have our own credit funds launched and we are deploying every month, you will see this syndication also become a part of BAU like for some of our peers.

So it's a combination of this. But if you're asking whether between ARR and transactional, the share of transactional will go up like in this quarter. For a full year basis, the answer is no. On a full year basis, we will still end up, I think, with more than 55% being ARR and 40 -45% being transactional.

And loan book and investment book gone up. Investment is basically client facilitation where we hold stuff on our book to downsell. So that is in line with the growth of business. Both fixed income and any other syndication or unlisted deals, if it is sitting on the balance sheet and the transaction has not yet concluded with the downselling, then that's just temporary.

But loan as a part of design, we said that we will grow. Because if you look at our overall lending income, it's, let's say, 10% to 12%, whereas if you look at our peers, it's about 20%. So there is a 50% gap, which is a clear scope available for us to ramp up the loan book. This is the first step we have taken, directionally. We will keep increasing that.

Moderator: Next question is from the line of Raghvesh from JM Financial

Raghvesh: So I had one question on the Wealth space. So when I try to calculate the retention which you are having on the MPIS, it's coming to somewhere around 1.5 -1.6%. So can you explain that? Or am I doing something wrong? So on the MPIS in the Wealth space, when I'm looking at somewhere around INR37,000-38,000 crores of client assets and the revenues which you are giving, my retentions are coming to somewhere around 1.5 -1.6%, which appears slightly high. So can you explain how that number is coming in?

Ashish Kehair: So if you look at the products there, it's essentially mutual fund, PMS, AIF, these three would be managed products. And there, depending on the underlying asset class, the yield could range
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between 70 basis points, to 1.2%, depending on the product class which we are dealing with. On a blended basis, maybe we hit about 90 basis points, to 1%.

And then there is fixed income, there is insurance, there is MLD, there is unlisted, where you are earning more transactional income and the yield is on gross sales, which is higher.

Combination of these two essentially gives you that 1.5 -1.6%, which is broadly in line with, let's say, what, if you look at an Anand Rathi Wealth also makes, it's similar to that range.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we'll take that as the last question for today. I now hand over the call to management for closing comments. Over to you, sir.

Ashish Kehair: Thank you. I think I really want to thank all of you for being there on a holiday. We were expecting a lower participation. I think it has been higher than what we had expected. Would look forward to meeting you all once again in quarter 3, hopefully, with positively surprising all of you. Thank you once again.

Bharat Kalsi: Thank you.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Nuvama Wealth Management Limited

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BSE Limited,
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Mumbai - 400 001.
BSE Scrip Code: 543988 The Manager,
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National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051.
NSE Symbol: NUVAMA

Subject: - Transcript of earnings conference call

Dear Sir(s) / Madam(s),

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our intimation dated January 16 , 2026, regarding the earnings conference call to discuss the Company's performance for the quarter and nine months ended December 31 , 2025, please find enclosed herewith transcript of the aforesaid earnings conference call held on Tuesday , January 27 , 2026.

The same is also made available on the website of the Company www.nuvama.com .

We wish to confirm that no unpublished price sensitive information was shared/ discussed in the aforesaid earnings conference call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Nuvama Wealth Management Limited

Sneha Patwardhan
Company Secretary and Compliance Officer

Encl: as above

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January 27, 202 6

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MANAGEMENT : MR. ASHISH KEHAIR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – NUVAMA WEALTH
MANAGEMENT LIMITED
MR. BHARAT KALSI – GROUP CHIEF FINANCIAL
OFFICER – NUVAMA WEALTH MANAGEMENT LIMITED
SGA, INVESTOR RELATIONS ADVISOR

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Moderator: Ladies and gentlemen, good day, and welcome to the Nuvama Wealth Management Limited Q3 FY '26 Earnings Conference Call. I will now hand the conference over to Mr. Ashish Kehair, MD and CEO, for opening remarks. Thank you, and over to you, sir.

Ashish Kehair: Thank you. Good morning, everyone, and thank you for joining us today. I wish you all a very happy and healthy 2026. Today, as usual, I have with me Bharat, our Group CFO, and SGA team, our Investor Relations Advisor. We'll walk you through the performance for the quarter, discuss the key drivers of our results across the segments and then also share a bit of strategic outlook for the period ahead. We can then jump to the Q&A section.

Starting with the summary of the results. I think we continue to build on our growth momentum supported by the core businesses, which are our strategic priorities. We are seeing the benefits of the value proposition built around the exhaustive platform, which can basically service the full wallet of the client. And this, I think, positions us well to continue to capture the growing trends in our industry across the segments in which we operate.

Revenues for nine months grew by about 8% and we witnessed growth across most of the segments, except the core capital markets, which is IB and IE. Wealth, Asset Services, we saw a decent amount of growth, and operating profit after tax for nine months was about INR780 crores.

Coming to a bit of outlook on the market. I think while the global conditions remain challenging, it's genuinely an extremely volatile environment given the geopolitical stance of U.S. But domestic growth, as there is consensus, now should begin to recover. The policy support through tax measures and RBI action has improved the credit momentum which would support the gradual recovery in the corporate earnings in the Indian markets.

I think with this backdrop, the overall capital markets look to be supportive and with the increasing investor confidence and rising participation, it is continuously translating into healthier flows. I mean the domestic flows are still strong in the capital markets.

Turning to Nuvama. Over the last 2-3 years, I think we've gone through multiple phases of transformation. Our initial focus subsequent to demerger was to ensure a smooth transition and establishing ourselves as an independent company with our own governance framework, brand, rating and operating system.

This was followed by listing about nine quarters ago. Since then, our focus has been firmly on driving organic growth across each of the segments and also to unlock synergies across the different segments through what we call One Nuvama program. I think this approach has worked well till now.

Profits have grown by about 45% CAGR over the last 3 years. Nine months now, as I said, was INR780 crores compared to nine months FY '23, which was about INR253 crores. With this scale, we now are also looking at a set of strategic initiatives aimed to drive better value discovery for the company across each of the segments over the near term.

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Starting, let's say, with asset management, business has been historically focused on AIFs and a bit of PMS. We are now expanding this platform to include SIF. As you are aware, we've already applied for a mutual fund license, and we have the in-principle approval. Only the final approval is pending.

Once that is done, in the next 2 to 3 months, we will launch the SIF, and it's just a migration of our existing well-positioned AIF strategies, which we will transition here. And I think that gives a significant better value proposition for the client, which will then bring about growth. We are also looking at potential M&A opportunities in this segment. I mean, we are o

pen to all

kinds of ideas, but the primary interest is in alternates where there are managers where they have skill sets of managing money, but do not have the platform to raise capital. So, we plan to bring some of these under fold if we get decent opportunities in the market.

In Wealth Management, I think domestic is doing reasonably well, and we have the path well laid out as to how to expand and add capacity and continuously innovate on the product side and invest on the technology side. I think one major trend which is playing out and which will be visible in the next maybe 5 -7 years with greater amount of prominence is that client portfolios will have a decent amount of offshore allocation.

So, our offshore platform build -out, we are dialing up. And I'll talk about more when we are talking about the private business and the wealth business. And this can also be done through both organic and inorganic routes.

Asset Services and Capital Markets, our focus remains on growing our client base and expanding our footprint across different geographies, bringing newer clients into India, especially in the HFT category and on domestic side on PMS and AIF. And we've done significant amount of work on backward integration here.

We are going to add RTA services, which is fully for PMS and AIF. Pretty much most of the things are done, and we should be live in the next 3 months. And we will also add trustee solutions so that it becomes a one -stop shop for the domestic PMS and AIF managers and will help us to get significantly higher market share.

And lastly, our One Nuvama program, which we launched in 2023 -24 to accelerate synergies between segments and look at opportunities which can create more value, I think this will evolve. We'll continuously assess which segments are most synergistic and how we can organize the businesses to ensure that such synergistic opportunities continue to be leveraged by us.

Coming to the key highlights of our business segments for this quarter, starting with wealth management and before we go to wealth and private, there are two broad trends which we've been witnessing. I've been talking about this in the previous calls also. I think that it makes sense to just distill and talk about the two clear trends which we are seeing and which is going to shape how firms will grow in this business.

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One, the competitive intensity is growing. And at least that's a validation that we are in the right space. In addition to traditional brokers, we are also seeing several private equity -backed platforms that are aggressively building teams.

While this competition historically was restricted to ultra -high net worth, we are also seeing it now move to the HNI segment and the affluent segment. I think over the long term, firms that combine people with an exhaustive platform approach will be best positioned to sustain and win. And that will require investments and a lot of patience. I don't think these businesses can be built overnight.

Second, important trend which I'm witnessing now is product innovation and availability of size is becoming extremely important. And when I say size, it basically comes in two components.

One is your distribution capability, your reach, your placement capability because that has become a big attraction of getting new product manufacturers to come to you.

And second, in certain pockets of clients, your balance sheet availability because India is also moving towards leveraging their investment assets. And I think it has become now an integral component if you want to succeed in the wealth management business. I think these two are extremely important.

Otherwise, it will become difficult even to attract good quality people to come to your platform because as an RM , if I join a platform in which I cannot really service my client, I am depleting

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my value in the long run. So I think these two trends are extremely visible right now.

Coming to numbers, Nuvama Wealth, let's start with our strategic priorities, which is managed products and investment solutions. We continue to grow this reasonably well. During nine months, revenues from MPIS s grew by about 48% and closing assets increased by about 30% year-on-year. This now contributes to 60% of our overall wealth revenues and generated about net new money of INR6,500 crores. So, I think we are broadly on track to deliver 28% to 30% of NNM .

Coming to lending, I had mentioned about two quarters back that we will now start growing the book. As of end of Q3, our closing book was about INR4,300 crores compared to INR2,800 crores, which was at the beginning of the financial year. So, we were able to grow the book by more than 38 -39% and NII also grew by about 30% in Q3.

On the RM front, as I said that over the last 12 to 15 months, we have evolved our strategy, and given the complexity and the sophistication of clients, which we are now handling here, I think we are migrating the quality upwards. So, the number of RMs may not actually reflect the

investment which is being made in this segment.

The whole population quality, we are basically changing the orbit to 2 notches above just to meet our client needs. And we continue to invest in our partner business, which are external wealth managers. We feel very, very enthused and excited about that whole segment and the growth that brings about. And there is a white space there for non-mutual fund distribution, where I think we are playing a pioneering role.

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Nuvama Private, starting with ARR. This revenue stream now contributes about 60% and has grown by about 30% year-on-year for nine months FY '26. Average ARR assets are now about INR50,000 crores plus and delivered a blended retention of about 90 basis points. Product pipeline here remains robust. I think we can sustain the growth trajectory.

We've also strengthened the leadership across our advisory platform, which is branded as Infinity. It is basically a combination of discretionary, non-discretionary and RIA, all three.

We've increased our leadership strength there around coverage of key clients, fund management and the core advisory team.

I think these additions will further help us sharpen the value proposition and grow that part of the book. Quarterly net new money may seem a bit moderated here, but there are no structural concerns. I think we should not look at it quarter-to-quarter. Overall, full year basis, I think we are broadly on track to deliver 25% growth on the opening assets here.

On the talent side, we continue to attract high-quality talent despite significant competition here because as I said, the platform essentially offers a unique value proposition for RMs. I'm confident that if they leverage the full platform, their ability to generate revenues and service the clients significantly superior to majority of the other platforms that exist in the industry today.

Over the last 12 months, we've added about 10% of the capacity, taking the count to nearly about 150. We strengthened our teams in Hyderabad and Bangalore and also established new locations, Jaipur, Surat and Kanpur.

Coming to offshore, our build-out in Dubai and Singapore continues to move well. We've added incremental capacity in both the locations. We now have established partnerships with multiple banks and asset managers and can offer a full bouquet today, both for inbound and outbound customers. The Dubai office has already broken even, and we expect Singapore to follow in the next maybe 2 quarters or so. And about 5% of our overall private revenues now come from offshore.

Moving to asset management. Commercial real estate fund, the AUM has now reached about INR3,000 crores as of the end

of quarter 3. And on the deployment front, we are already at about 40%. And there are a few good deals in the pipeline. Once that is done, we should cross 50% comfortably.

These are all marquee transactions which have happened. You would have seen the coverage in some of the newspapers, Category A buildings in Category A locations, I think they will all end up whenever we exit in some REIT. And these can have a sustained continuous ownership.

So we are thinking of what structure to create to provide exit and still continue to earn on them.

And given the fact that we are already at INR3,000 crores and 40% is deployed, I think another one or one and a half quarter, we should be able to mop up another INR1,000 crores and wrap up the full fund at INR4,000 crores.

On public markets, net flows were subdued, primarily for 3 reasons. I think volatility has been significant in the public market space over the last 12 months. There were a few scheduled

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maturities in this segment. And I think competition from SIF is also creating an impact and which is why we fast forwarded our MF application the minute the SIF rules came.

And we are hopeful that by quarter 1, we should be able to launch our SIF subject to the approvals coming in. And we'll be able to migrate our existing strategies into this. And thereafter, I think we will start seeing growth coming back.

Even between Q2 and Q3, I think the growth in the gross flows have come back, but because of the scheduled maturity, we saw some amount of outflow, but it was significantly less than what we saw in Q2. So, from a trend perspective, it is improving. There are 2 new launches in this segment.

We are launching a dynamic asset product, which will be an evergreen product, can get money from clients across seasons. And we are also getting a REIT / InvIT product filed, which will

give clients exposure. We're trying to get a vehicle which can give them exposure to both listed and unlisted spaces and should be able to launch by the end of this quarter.

On private markets, I think right now, we are in consolidation phase. We are completing the deployment of the existing fund and also starting to exit some of the older funds. We've listed Sudeep Pharma, one of the largest positions in one of our earlier funds. And there are 2 -3 more listings, which are going to happen in the next 6 to 8 months. I think subsequent to that is when we see the volume pick up.

So overall, if I were to look at these three strategies and were to look at the next maybe year or so across the three segments because commercial real estate, we would have finished deployment and somewhere by the end of Q1, we would have launched our second fund.

So that should contribute to may be INR2,000 -INR3,000 crores and about INR1,500 crores should come from public markets and balance between private markets and credit, which we expect to launch again in the next 3 to 4 months. So FY '27, maybe another INR7,000 -INR8,000 crores of net new money is what we would target from this segment.

Coming to Asset Services. Revenues grew by about 15% year -on-year, nine months and 7% quarter -on-quarter, which basically shows the recovery of this business subsequent to the loss of large client , which happened in the first week of July, basically at the beginning of quarter 2. Third quarter, basically, we saw meaningful improvement in client assets and float balances. Our closing float balance in Q3 is now already above Q1 levels. And therefore, I mean, subject to regulatory situation remaining the way it is, I think Q4 earnings will be at par with Q1, and we will form a base for again coming back to growth numbers in the next 12 months in this business.

We've reasonably expanded our client coverage here. We are, as I said, going to newer geographies, opening up India to newer set of funds, whic

h have not earlier looked at India. And

on the domestic side, essentially backward integration of our RT A and trustee services will help us increase the market share here.

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Coming to core capital markets, institutional equities and investment bank, I think this is where we saw a bit of moderation in the numbers. In this also, institutional equities was essentially flat between the 2 quarters. And as compared to last year, there was a dip because last year, in this quarter, I think the F&O rules came in the middle of the quarter.

So we've had half quarter available at higher volumes. And on the I B side, fixed income continues to do well. It was mostly the ECM billing. So while we did the mandates, we had the issues, I think the billing essentially moved by one quarter. So therefore, you saw some amount of dip this year. As I said, fixed income in that part of the business now contributes about 50%, and that continues to do well.

I think this is it from my side right now. I will hand over to Bharat to cover the financial numbers, and then we can jump to Q&A from there. Thank you.

Bharat Kalsi: Good morning, everyone, and thank you, Ashish. Ashish has anyway provided the comprehensive overview on the business environment, our strategic initiatives and the broader market context, I'll not take much time, given we have 1 hour call.

I'll try and cover the group level financials more in detail , business level financial, Ashish has covered, at least touched on almost all key parameters around growth, MPIS, ARR and the strategy around each business .

If you look at the overall financials, our consolidated client assets are now at INR4.6 lakh crores, which is due to the net new money as well as the mark -to-market on the asset. It was INR4.35 lakh crores as at the end of the previous quarter.

Our revenue was at INR755 crores. This grew by 4% and on a nine-month basis, our revenue is around INR2,300 crores, which is a growth of around 8%, but I think looking at the total revenue may not be the best way to look at it. We should look at the individual business segment contribution.

Within this growth of 8% on a Y -o-Y basis or 4% for the quarter, wealth businesses have grown by 18%. Wealth businesses contribute almost 57% of the total revenue, which was almost 50% in the same period last year. Q3 FY '25, this was 50% and now we are at 57%. We are moving towards wealth becoming one of the largest revenue contributor in the total revenue line. So that is one part.

Secondly, if you look from quarter 2's perspective versus quarter 3, there are 2 elements which I would like to highlight, both on the revenue side as well as on the cost side. If you look at the revenue side, there is a drop of revenue from INR772 crores to INR755 crores. There are 2 -3 key components to it.

One Ashish anyway has covered, which was IB and within that ECM billing, which is just maybe

a quarter -on-quarter movement, that's one reason wherein the revenue has dropped. And secondly, if you look at the private business, the transaction revenue has dropped from INR100 crores to INR65 crores or so.

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Basically in quarter 2, we had a lot more syndication -related transactional revenue, the way it works is that when you do a transaction, the revenue gets booked in the same quarter. So it's not like there is a structural change. It's just that you have maybe more deals in quarter 2 and relatively lesser deals in quarter 3.

But having said that, our focus on this continues to be strong, like we'll have a lot more such deals coming in the coming quarters. This could be led by our commercial real estate fund, other third -party credit funds or whenever we launch our own credit fund, we will have similar transactions.

So, I think looking

at a quarter -on-quarter for transaction revenue in private may not be the best way. And these can obviously be a little lumpy in a quarter. So, our trend of next 3 -4 quarters is what I would suggest to look from transactional revenue consistency. Those are the 2 things on the revenue side.

Similarly, on the cost side, there are two things. One is the new labour code which got enacted on 21st of November, like everybody in the market, we have also revisited our past service liability, and that has led to a INR11 crore one time impact. For better performance measurement, we have shown the numbers without the new labour code impact in the data book as well as in the investor deck, but that's like a onetime impact of around INR11 crores.

And secondly, you will notice that there is a drop in the variable cost of businesses, which is mainly in the asset services and the capital market. So now given we are at the end of quarter 3, we have a lot more visibility as to how the year will end.

And hence, we have revisited our overall variable bonus for these businesses, and that is where you will see from an incremental provision perspective from a variable cost, there is a drop compared to quarter 2 but we are very comfortable with what we have done it, and we are very sure where we will end up at the year and this number seems to be pretty aligned with the bonus philosophy of our company.

So, to that extent, the variable cost has dropped. I think those are the two unusual from revenue as well as cost compared to quarter 2. Otherwise, all other key matrices are working very fine.

That is the reason you will see that the total cost has, from a quarter -on-quarter, it is down by 8% and year -on-year, it is up by 4%. On the opex side also, if you look at the number has moved from INR115 crores to INR107 crores. These are just a transaction which has happened in a particular quarter, nothing specific around here.

Our overall guidance in terms of maybe a 10% to 12% growth on the opex on a full year still remains intact. As I mentioned in my previous call, out of this 10 -12% growth on the opex, 50% of that, so anything around 5 -6%, we'll go towards the business expansion like opening up new branches, setting up verticals within businesses, and another 4% to 5% will be towards inflation link.

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So, your rentals goes up, your AMCs related cost goes up. That's broadly the breakup of 10% to 12% expected cost increase. Those things will continue as we are working on a quarter -on-quarter basis. Overall cost -to-income ratio is now at 53%.

And for the 9 months, it is at 55%. PAT anyway, we have discussed, Ashish also covered. So, the PAT is both without labour code is at INR262 crores, which is a 3% quarter -on-quarter growth. But with the labour code impact, it is broadly same as it was in quarter 2.

I think those are the key numbers. Ashish, anyway, has covered a lot more on the individual businesses, and I think we can move to Q&A now, given we are left with half an hour. Over to moderator.

Moderator: We take the first question from the line of Manas Agrawal from Sanford C. Bernstein.

Manas Agrawal: I wanted an update on the HFT business within the asset services vertical. A, how is the activity trending? And B, your yields have moved up as an offset to Jane Street issues. How sustainable is that bump up in yield, so that is one.

B, I wanted an update on the litigation that you've talked about in your annual reports in the past with Anugrah. And C, on the PAG situation, if you have anything to share? Those are my questions.

Ashish Kehair: So, activity perspective on HFT, I think post the order of SEBI, we saw about 30 -35 days when the market was adjusting to basically understand how the regulator is looking at it. And then I think regime change also happened somewhere around Septe

mber and the signals from the regulator were reasonably positive and their whole discussion around weekly options and all also subdued.

So, I think activity now is actually back at similar levels, or even more, and volume is also reflective of that and newer HFTs have started signing up. So maybe it was a 30 -40 day period of adjustment, and then it all came back.

Yields, Manas, as we've already mentioned earlier also is a function of the split of the collateral between deposits and G -Sec. It's a function of how the overall service is being priced. There's a broking relationship. There's a custody relationship. There's a clearing relationship.

We are able to operate as a single one -stop shop and can give a bundled pricing. Given the size of the clients and how they have looked at the overall pricing, right now, the proportion of deposits should be higher than G -Sec hence the yields have gone up.

If you ask me, we can forecast for a 12 -month period. And in my view, it should remain between 2.6 to 2.9 kind of range, should not migrate much unless we see significant interest rate movement on the either side. Minor movement will be absorbed.

On Anugrah litigation, I think one major step that has happened is that for the last 2 years, unfortunately, whenever the case was coming for hearing, no significant discussion could

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happen because there were maybe other issues which the Supreme Court was handling which was of higher importance. But this time, they have formally admitted the case.

Till now the admission itself was going up, down, up, down, formally admitted. And I think now the hearing will start. But I don't think any decision looks to be reached in near future. It may take a couple of years.

But our positioning, our understanding, our assessment of the situation, we are fairly confident that this will be favorable for the company because whatever we did was in accordance with the law then. On PAG, you had any specific question?

Manas Agrawal: No, just wanted to check any change in position. I think in the past, you have said that as management, there is something that you cannot change. But is there any change in the position?

Ashish Kehair: Not really. I mean, as I've always maintained that they are financial sponsor and there will be a change of ownership at some point in time. But at this point in time, there is nothing that has changed in the recent past.

Moderator: We take the next question from the line of Prayesh Jain from Motilal Oswal Financial Services Limited.

Prayesh Jain: Just few questions. Firstly, on Nuvama Wealth, if I look at the MPIS revenues sequentially, they have been flat. You had incremental money coming in from flows, they should have an equity mark -to-market positive, yet the revenues on MPIS appears to be flattish sequentially. So what would you ascribe that to?

Ashish Kehair: See, basically, composition of the MPIS also matters. Now if you break MPIS into 2 buckets, Prayesh, there is managed products and there is investment solution. So managed product is your classic AIF, MF, PMS, and investment solution is your fixed income, MLD, insurance and largely unlisted and syndication deals.

So if in the investment solutions bucket, there are certain categories which have different kinds of yields. So your overall flow may not directly correlate in terms of the revenue because that is like, just to give an example, I mean, if you do insurance, the earning is fairly different from what you get if you do fixed income versus MLD.

So I think that composition creates a bit of a quarterly variance. But as long as your net new money is on the upward trend. And if you look at the trend of the numbers in MPIS, I don't think there is any structural concern. There is 11 quarters of growth.

And if you look at year-on-year growth, it's about 48% on a nine

month basis and 22% on a Q -

on-Q basis. It's just INR3 crores down from previous quarter, which I don't think merits any concern from a trend perspective.

Prayesh Jain: Right? Generally, we've been used to seeing consistent growth, and that is a reason to just pointing that out. The other question was on your asset management piece, where you mentioned that there have been challenges to flows given the volatility in market on the listed equity side.

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But is there also a point where because the number of accredited investors are increasing and they are looking to get the smaller ticket size and be more varied products. Is that any cause of concern with respect to incremental flows from an industry perspective?

Ashish Kehair: From the numbers, at least what we are seeing, that is not something which we have witnessed as of now, not really. No.

Theoretically, what you're saying can have a bearing. But I think it is not visible. In fact, not at all. None of our discussions internally has brought this topic up. In fact, in Nuvama Wealth, we are trying to position this to the clients that if they take accredited status, they can actually go ahead and do a large number of credit funds at a lower ticket, which will give them a much higher diversification.

But then what we faced practically on the ground is that the fund managers have a number of investors cap of 1,000, I think, so they don't really want to encourage this significantly unless they have the ability of launching multiple schemes. So we'll have to see how that evolves, this whole accredited investor thing.

Prayesh Jain: Got it. And last question on the asset services front, where in terms of revenues, we still are from the peak of what we had in the, say, 1Q FY '26 or even for that matter, 4Q FY '25 when we had about INR198 crores of revenues, we still had about INR172 crores. You had kind of alluded to the fact that we will be back to a revenue potential by fourth quarter. Are we on course to do that or probably we're still running behind on that?

And just an extension to that, you mentioned about adding more services here from an RTA perspective, do you think that, that will kind of add to cost in the initial period and then probably help you get better revenue and profitability over the medium term? Yes, those would be my questions.

Ashish Kehair: So when you look at the revenue in asset services, one component you earn from float, right?

Now float-related earning has 2 components: the float balance itself and the yield. So from a float balance perspective, we will be back to full potential by end of Q1. But yields have compressed from Q4 and Q1 this year because of the rates going down.

So whatever residual impact and the difference in revenue, which you will see, will be because of the fall in yield and I think in Q1, maybe once the float goes even further up, we will be able to negate the impact of the falling yield.

On the services front, I think large part of the costs are already incurred. And these are not very high opex, capex. These are more licensed, like trustee services do not require a very high amount of expenditure and a marginal increase in market share we will be able to compensate. So I don't think there will be any sort of impact, which you will see in the numbers, which are worth discussing that we need to highlight, at least as of now, we don't see that.

Moderator: We take the next question from the line of Dipanjan Ghosh from Citigroup.

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Dipanjan Ghosh: A few questions from my side. First, on Nuvama Private and Nuvama Wealth, if you can give us some color on the growth, net new money in recurring assets versus the redemptions, so that across like third quarter or maybe nine months or that we can get some color on how the

gross

money into the ecosystem has been shaping up?

The second question is in terms of the cost -- variable cost reduction that we have seen, how comfortable are you on fourth quarter? I mean, Bharat gave some color on the fourth quarter, but I mean, do you have any more headroom, in case, let's say, the revenues were to kind of dip a bit in 4Q also?

And third question is on the IB IE business. If you can split up the margin profile of the business between DCM, ECM and your IE. And just one clarification, I think at the start of the call, you gave some color on the flow expectations in AMC in FY '27. Did I hear it correctly that you're expecting around INR7,000 -9,000 crores of flows in that?

Ashish Kehair: So let me go one by one. In your gross ARR assets for private, I think would be order of magnitude about INR4,000 -INR4,500 crores for the quarter. And net, we saw was about INR1,500 -INR1,800 crores, so balance would be the adjustment in terms of redemption, or scheduled maturities and all that.

We don't track ARR, non-ARR in Wealth, so that maybe we will check and when we talk next, we can give that number. On variable cost, essentially, in this quarter, the adjustment was largely around 2 businesses: one was in Nuvama Private because in Q2, we saw the revenues go up. So therefore, in line with that, the incentive and the bonus provisions went up and second was in the capital markets business. So in both, we have the flexibility to move up and down. And broadly, we try to track the variable provisions in line with the revenue so that we don't have a

shock in any quarter.

In fourth quarter, it's not that we will have something unreasonable or large coming, which is disproportionate to the revenue percentage. So it should be in line with what we have been seeing till now. And our overall cost income range also should be in line. It will not be materially different.

In terms of the margin profile, for ECM, DCM, we've not gone to that level because there are a lot of resources, which are also common. But broadly, if one were to guess. I don't have actual numbers. DCM would be maybe slightly better margin because people cost could be slightly lower than ECM side, maybe one is at 40%, one is at 60% and blended we operate at 50% and institutional equity will range from 50% to 60 -65% range, depending on the performance of revenues. When the revenues go significantly up, the cost income comes down and vice versa. On AMC, yes, you heard right. I can tell you broadly how we are looking at the breakup. Essentially, if you are able to launch our new commercial real estate fund and do maybe INR2,500 -INR3,000 crores there. And if credit is also launched, which we are planning maybe by Q1, latest by Q2 and one could do another INR2,000 -INR3,000 crores there.

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Once we migrate our flagship strategies of current AIF absolute return and long short into SIF, we expect flows to improve because SIF gives us significantly improved tax profile for the customers. And our absolute return and long short still are in the top quartile in terms of performance.

So I think that will start attracting flows. And it also opens up a large set of distributors. Maybe we will take time to onboard them because we are not a retail brand, but it opens up the INR10 lakh distribution IFA community as and when they qualify to distribute the same. So, I think combination of these three could essentially give us another INR2,000 -INR2,500 crores. So if we add all this up, order of magnitude anywhere between INR6,500 crores, INR7,000 crores to INR8,000 crores, INR9,000 crores without taking into private equity, I think that will be an added upside element. That's how the numbers add up.

Dipankar Ghosh: Sir, just one small follow-up on the gross profile, if you can give the full number for nine months? Thanks, a

nd all the best.

Ashish Kehair: About INR13,000 crores.

Moderator: We take the next question from the line of Mohit Mangal from Centrum Broking Limited.

Mohit Mangal: My first question is towards the net flows. So, I think if you look at this quarter, so Nuvama Private has seen a considerable uptake led by the transactional segment, while Wealth has seen a kind of a decline from around INR3,800 crores -INR3,250 -odd crores. Now going to financial year '27, how do you see net flows actually spanning out? That would be my first question.

Ashish Kehair: So net flows become important in two things. One for Private, we should look at the ARR net flows. ARR net flows this year for Private right now is about -- nine months basis about INR6,500 crores. And order of magnitude, it should end up at around anywhere between 23% to 25% of the opening.

And let's say, we are right now sitting at about INR52,000 crores of assets in ARR. If we end the year at, say, INR54,000 -INR55,000 crores and you take a range of, say, 20% -25% of that.

We are looking at INR10,000 -INR11,000 crores or maybe INR12,000 crores next year in Nuvama Private.

And if you come to sort of Nuvama Wealth, I think similar about 25% to 30% of the opening book, which we will have in the MPIS segment. So that's how essentially one should track the net flow numbers.

Mohit Mangal: Understood, that is helpful. My second question is on the cost to income. So I think you've guided for 10% to 12% increase in opex. So does that also cover the RM addition that we are doing.

Ashish Kehair: No, no. So, when we speak our lingo, opex means everything else other than people cost. People cost is different. So people cost I think if I look at a nine month consol, we would have grown

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by about 7% year-on-year. And by the end of the year, maybe it can be slightly higher, but order of magnitude is this only.

Opex is everything else other than people costs. So there, last year, we were about INR410 crores. I think this year, we should end up anywhere between INR440 crores to INR445 crores. So that's the 10% increase is what we talked about.

Mohit Mangal: Okay. Understood. This is very clear. And lastly, basically the RM addition, I think we are adding about 10% to our RM strength. So, I think this strategy will continue, right, over the next 2 to 3 years?

Ashish Kehair: Absolutely. Yes, yes.

Moderator: We take the next question from the line of Nidhesh from Investec.

Nidhesh: First question is on Private Wealth. So, there is an increase in yield in this quarter. What has led to that increase? And secondly, what is the run rate of transition revenue that we should build in this business?

Ashish Kehair: So, yield increase typically happens because of the composition of the products in the ARR basket, sometimes in the salience of Category II will increase slightly because there, you earn about 30 -odd percent in year 1. So that gives a bump up. But on a BAU basis, I think any range between 80 to 85 -90 bps is what we will continue to see there.

In transactional income, broadly, this year, we should see about 20% growth. So like last quarter, we saw about INR100-INR110 crores of revenue this quarter, we saw INR64- INR65 crores. I think anywhere between INR70-INR80 crores is a decent run rate till -- I mean, going forward is what we are meant to.

Nidhesh: Second question is on wealth management.

Ashish Kehair: Yes. Yes, go ahead.

Nidhesh: So on wealth management, can you give some color on MPIS income, how much of the revenue is upfronted, how much is, let's say, trail based, etcetera?

Ashish Kehair: The overall wealth management, around 60% comes from MPIS and about, say, 20% comes from NII and balances your broking and other. And if I look at full wealth management as a bucket, around 55% comes from ARR.

So if I subtract 20% o

f NII from there, around 30 -35% will come from our recurring revenues within the MPIS bucket. So, 60% divided by 2, that's about 30% to 35% of that 60% breakup.

So 20 -25% would be upfront and 30 -35% would be recurring.

Nidhesh: Understood. And last question is on Asset Management. In that segment, the yields are quite volatile among segments with private markets, public markets and real estate. So what is leading to this volatility in yields? And how should we model that?

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Ashish Kehair: Actually, it's a temporary thing. In real estate, right now, we have reached about INR3,000 crores. As I said, another INR1,000 crores, we will hit the end of the fund. And after that, the yield will stabilize because every time till the closure when a new investor comes, at that point in time in that quarter, you charge fees from the beginning.

So, in any quarter, if, let's say, we moved from INR3,000 -INR4,000 crores in 1 quarter, on that INR1,000 crores in that quarter from the beginning till the end of quarter 4, the full fees will be charged.

So, once we hit INR4,000 crores on commercial real estate, the fees will stabilize, which will be order of magnitude, 50 -55 basis points. On private equity, you can assume it to be around 50 -55 basis points. And on public markets, the fees have been fairly steady at around 60 -62 basis points.

Nidhesh: Sure. So, there will be an element of carry also, right, in these businesses ...

Ashish Kehair: This is right now zero carry. As of now, we don't take carry into consideration. We take carry as and when it comes. If we change that policy in the future, we will tell you.

Moderator: We take the next question from the line of Shrenik Mehta from IndoApls Wealth .

Shrenik Mehta : I just wanted to ask you a question about this institutional equity segment. We have been seeing significant declines over the last few quarters. What parameter would you use to say that there is potentially a bounce back, whether this is the number of active institutional clients? Or is it the overall cash volumes that will help us say that we will start getting back to year -on-year growth?

Ashish Kehair: I think two things. One is the cash volume and second is the derivative volume. These are the two components that essentially once they start moving up and if the market share remains intact, which typically, for us, remains intact, then you start seeing growth coming back.

Shrenik Mehta: Okay. And are you seeing any early signs of it?

Ashish Kehair: Yes. At least in this quarter, we have seen quarter -on-quarter, there is an improvement in the average daily turnover because on a year -on-year basis, Q4 will become full, I think, clean quarter where the F&O rules, if you remember, came middle of Q3 last year. So half of Q3 had higher numbers in F&O volumes, and then it sort of subdued. And Q4 onwards, you will get a base which is with the new F&O rule. So, this Q4 will be the first quarter with -- so I think you should see a year -on-year uptick start happening because the base effect will come into action.

Moderator: We take the next question from the line of Lalit Mohan Deo from Equirus Securities.

Lalit Mohan Deo: Just two questions. Firstly, on the lending book, we are writing that we are seeing some strong growth in the wealth business where we have scaled up to INR4,300 crores. So now how should we see this for the next year? And similarly, in the private also where we are at close to around INR2,400-INR2,500 crores. So how should we see the overall loan book?

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Ashish Kehair: Ideally, see, we'll have to grow it in line with the business. So anywhere between 20% to 30% is what we will target for next year.

Lalit Mohan Deo: Sure, sir. And sir, just like we also touched upon this advisor

y piece in the Nuvama Private,

which is Infinity. So currently what is like the overall current AUM over there? And like how should we see this in respect to the distribution business in the ultra HNI segment?

Ashish Kehair: I think right now, we are not separately disclosing. It's a part of the ARR AUM. We are also discussing internally on whether to call it out separately. So give us a couple of quarters, and maybe we can give you the numbers. But it's growing significantly within the ARR AUM.

Moderator: We take the next question from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Ashish, probably the question on asset services still remains to me because if I look at 1Q FY '25, your yield or retention was 1.4%. Now it is more than double of that, 2.88%. So just to understand, this model really works on retention or is it you calculated the growth number, how much you want to achieve from the clients?

And then accordingly, you rebalance the cash and G-Sec component so that incrementally revenue doesn't fall, whether building a model around the yield is actually, right? Or how do we understand this way to look at this business?

Ashish Kehair: So I think what you're saying is quite pertinent. Actually, last year, in Q1, we had the large client, right? Now the large client was disproportionately large as compared to others. So therefore, there was an adjustment. And actually, the answer to both your approaches is that yes, that is the challenge that if somebody becomes very large, then the correlation with yield will fall off because then you will target a growth and adjust the cash and noncash securities.

But if they are all within a particular range, then I think the yield works, which is the case right now. So I don't see this breaking suddenly in the near future and should be in the range of 2.6% to 2.9% in terms of the yield on the clearing balance.

Now why it was 1.4% and becomes 2.9% is how that clearing balance is split between cash and G-Sec, which what you said was absolutely right that if somebody becomes very big and they want to reduce the cash, then we will have to target a growth and therefore, adjust accordingly. But I don't think for the next 12 to 24 months, we have to model for that. We don't see any client going to that size.

Sanketh Godha: So incrementally 2.6% to 2.8% kind of a number is a realistic number to build in?

Ashish Kehair: Yes, yes, yes. That's right.

Sanketh Godha: Understood. And maybe for the first time, asset clearing AUM grew, so which means whatever migration need to happen from institutional to wealth or even the fall which happened from the large client. Now we assume this growth to come back kind of a thing in the assets under clearing?

Ashish Kehair: Correct. Correct. That's right. That's right.

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Sanketh Godha: Okay. Okay. And lastly, I just want to check on SEBI came out with the paper that on FIIs, netting is allowed.

Ashish Kehair: That's only for cash, not for derivatives. Anyway, there is a margin-based business, so it doesn't matter.

Sanketh Godha: But in this revenue, we don't make any significant from the cash ...

Ashish Kehair: No, no, no. cash-related float is insignificant.

Sanketh Godha: Okay. Understood. And lastly, Ashish, on the flow number. I know I ask this question typically that you gave a guidance of around INR20,000 crores for the year, closer to INR20,000 crores.

And now we are at INR14,000 odd crores.

So we need to get closer to INR5,800 crores to INR6,000 crores for the fourth quarter to achieve that number, and you are seeing a growth of 20% to 30% on that number for the next year. So just wanted to understand, given the 2 core pieces that are Private and Wealth saw a sequential decline Q-o-Q, you are confident on delivering INR20,000 crores kind of a number.

Is there any macro

factor because market sentiments have weakened meaningfully in last maybe 2 weeks, maybe 3, 4 weeks or 1, 1.5 months. Then your RM is interacting with the clients, how do you see whether the money will come, or they are waiting and watching something -- any color on those will be very useful to understand.

Ashish Kehair: So largely around the product calendar or the products which you have, which are non-correlated to equity markets is what gives us the confidence to be in line with that number because equity flows are equity flows. They will always keep moving at least in the higher net worth segment and ultrahigh net worth segment, they are not, as I would say, consistent as the SIP retail flows. But the nonequity component, which is your alternates, fixed income, MLDs and within alternates, different categories, there you see a reasonable degree of certainty. And there, if you have a product calendar, which is decent, then you have a reasonable amount of control. I will never say 100% predictability on where the flows will be, but reasonable amount of control on the flows.

Sanketh Godha: So, Ashish, then in the current year around INR19,000 crores, INR20,000 crores and next year around INR26,000 crores net flow number is achievable ...

Ashish Kehair: Yes. So, about INR19,000 crores, INR20,000 crores and next year between INR25,000 crores to INR26,000 crores is what we target, yes.

Moderator: Ladies and gentlemen, we take the last question from the line of Amar from Raedan Capital .

Amar: Yes. Can you just give me a summary for the FY '27 guidance overall and the new launches and products that we'll be introducing to FY '27?

Ashish Kehair: So, we don't normally give guidance on revenue and PAT numbers. But what we say is that we aspire to have a 20% plus growth. And this year, because of the adjustment of asset services, we

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will not end up at that. But I think once the base is formed, we should come back to that same level of growth, anywhere between 20% to 25% of the overall business. That's what we target. I don't think we give any guidance.

In terms of new products, at least on the asset management side, there's a Dynamic asset fund.

There's a REIT InvIT fund. There will be a Credit fund. There will be a new Commercial real estate fund. These four, we have visibility currently.

Amar: Okay. And what will be the percentage of revenues if you could help them with that for the new launches?

Ashish Kehair: So, these are all asset management products. So, they will run at a management fee structure of anywhere between 1.5% to 1.75% , which gets split between the asset management and the wealth management businesses in terms of distribution and management fee and then there will be some carry. But each product will have a different structure.

Moderator: Ladies and gentlemen, with that, we conclude the question -and-answer session. I now hand the conference over to the management for their closing comments.

Ashish Kehair: Thank you. Thank you all for coming back again. Hope to see you again in the next quarter. Thank you.

Bharat Kalsi: Thank you.

Moderator: Thank you. On behalf of Nuvama Wealth Management Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

Nuvama Wealth Management Limited

Corporate Identity Number: L67110MH1993PLC344634

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NWML/SEC/202 7/14

May 18, 2026

The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street,
Mumbai - 400 001.
BSE Scrip Code: 543988 The Manager,
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051.
NSE Symbol: NUVAMA

Subject: - Transcript of earnings conference call

Dear Sir(s) / Madam(s),

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our intimation dated May 4, 2026, regarding the earnings conference call to discuss the Company's performance for the quarter and financial year ended March 31, 2026, please find enclosed herewith transcript of the aforesaid earnings conference call held on Tuesday, May 12, 2026.

The same is also made available on the website of the Company www.nuvama.com.

We wish to confirm that no unpublished price sensitive information was shared/ discussed in the aforesaid earnings conference call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Nuvama Wealth Management Limited

Sneha Patwardhan
Company Secretary and Compliance Officer

Encl: as above

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"Nuvama Wealth Management Limited
Q4 and FY '26 Earnings Conference Call "
May 12, 2026
Disclaimer:

This document is subject to errors and may or may not contain words which have been included / omitted due to human error while transcribing the conference call. Any and all information should be verified with the company by the reader.

MANAGEMENT : MR. ASHISH KEHAIR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – NUVAMA WEALTH
MANAGEMENT LIMITED
MR. BHARAT KALSI – GROUP CHIEF FINANCIAL
OFFICER – NUVAMA WEALTH MANAGEMENT LIMITED
SGA, INVESTOR RELATIONS ADVISOR – NUVAMA
WEALTH MANAGEMENT LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Nuvama Wealth Management Limited Q4 and FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Kehair, MD and CEO for his opening remarks. Thank you, and over to you, sir.

Ashish Kehair: Thank you. Good afternoon, everyone. And thank you once again for joining this call. It's a pleasure to speak with you all again. As usual, I'm joined by Bharat, our Group CFO; SGA team, our Investor Relations Advisor.

We'll quickly cover the company performance for the quarter and the financial year and share some key updates and the progress around our priorities. And then following both mine and Bharat's remarks, we can jump into FAQ.

Just summarizing the results, I think it was really an interesting year for everyone. It started with the whole tariff drama and ended with the war, and I think many things happened in between. For us, it was a complete test of resilience this year. We navigated multiple moving parts, including something specific for us and overall macro uncertainty.

I think before we go into details, I'd like to take this opportunity to thank the entire Nuvama team and our clients for helping us navigate this time and emerge with a growth year even in these times.

Looking at our specific businesses, Wealth Management continues to grow. Overall Wealth Management in the cluster, I think both the segments are showing a very, very healthy momentum. Asset Management build-out is progressing steadily. I don't think that this business one should rush in because one bad performance here can have years of negative impact. And I think we are building out steadily. Asset services was an important monitorable for us this year, specifically after what happened at the end of Q1, and I'm pleased to state that business has recovered fully and performed ahead of our expectations.

Capital market remained broadly aligned and witnessed some moderation this year. Overall revenues for the year were closer to INR3,100 crores and operating profit after tax was about INR1,050 crores. More importantly, as I said, composition of profits changed. Profits from wealth grew by about 23%.

And despite challenges, profit from asset services was around 14% year-on-year. Bit on market outlook and some industry trends. I think we've always maintained and we continue to maintain that organized wealth management represents a multiyear structural opportunity. We still believe
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that the industry is in early stages. Some consolidation, of course, will happen because large number of players are coming in, like what happened with, let's say, private banking or NBFC over the last 3 decades.

But I think over time, a few scale players with fully diversified multiproduct platforms will scale as long-term leaders, and there'll be a long tail. And this is a representative of what happens in Wealth Management globally also.

A few themes, which are emerging across the industry, I think private equity interest in the industry is all-time high. There are early signs of consolidation within Asset management, specifically in mutual funds, we are seeing some transactions that are happening in the market where the smaller AMCs which have spent some time and is not fitting into the strategic priorities of the promoters are moving into stronger hands.

And there is a growing preference for full stack platform. So there will be a few niche singl

e

product or dual product platforms, which will remain. But I think their scale will remain a challenge. Multiproduct, which has wealth, asset management, banking, research, custody, all put in together, has a far more stronger client value proposition, resilience and, I think, a compelling opportunity for investors.

Industry models will evolve. I think over the next 5, 7 years, as the sector matures. Several global platforms, which we've seen in the past have transitioned from a stage of infancy to this mature multiproduct state. And I think India will move much faster than that.

Coming to our business highlights, starting with Nuvama Wealth, our focus area managed products and investment solutions or MPIS, as we call it. It continues to be core growth engine for Nuvama Wealth, almost full revenue growth for this year has been contributed by this product sub-segment.

The revenue stream, as I have alluded in the past, is a combination of managed products, which is AIF, PMS, MF, which are all annuity bearing and other investment products, which is fixed income, MLDs, insurance, etc., which are not annuity bearing.

Total MPIS revenue for the quarter now stands around INR150 crores which about 2, 3 years back was the full revenue of this business on a quarterly basis. This year, MPIS revenue has grown by about 38% on a full year basis. Assets have grown by 32%. Net flows have grown by 38%, representing about 30% over the opening assets. So I think it's a very, very robust and healthy growth we've been able to achieve.

Lending, if you recollect, over the past 2, 3 quarters, we've been talking about this that we will increase focus and it's now visible in the loan book. The loan book has grown by about 27% for the full year basis, and closing books stood at about INR4,900 crores, almost INR1,000 crore s higher than the average book.

And NII continues to contribute about 20 %-22% of the revenue. There is some upside still there in this. Net interest income for the year did not grow in line with the loan book, and that is very, Nuvama Wealth Management Limited

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very specific because once whichever quarter or whichever time your loan book suddenly increases, there is a ECL provisioning that comes in, which is basis RBI norms.

And in the next quarter onwards, that gets normalized and the NII picks up. And second, in Q4, there was a specific phenomenon, there was extreme volatility in the market because of the West Asia crisis, which basically leads to a behaviour in our ESOP book where people don't sell, they exercise, but they don't sell because they wait for the prices to come back.

And what happens to us is when they sell our processing fees recognition gets accelerated because otherwise, the processing fees is over the life of the loan, which theoretically is 1 year but behaviourally, these loans don't last more than 3 months.

So I think once the markets are now back, so in Q1, we should see some acceleration of processing fees. So there could be a quarter lag between the loan growth and NII growth. But eventually, if you look at 12 -month rolling, it will catch up. Coming to the RM franchise. I think the mandate here was what we are calling seniorization of the team because the quality of clients also is gradually improving.

Last 1 -1.5 years, we've spent on that. A significant part of the team has been now become senior as compared to what we were about 2 years back. On a net basis, we added about 80 relationship managers in this cohort. And when I talk about productivity later, you'll actually see the impact of this happening.

A lot of work is happening on technology and AI front here. Foundational work is done. We are now implementing, implemented solutions for relationship managers across their value chain, which is acquisition, portfolio advisory, rebalancing, tax loss harvesting, the whole value chain

or interaction value chain between RM and our client.

And we've seen the productivity improvement, which is flowing through because of usage of these tools. Earlier, we were restricting the tools only to training, which is now fully functional and rolled out.

Now we've moved into advisory also. So we've seen about a 25% per RM revenue jump in this segment. And I think a large portion also comes through the usage of AI, which, to my mind, will continue in the future.

On the solutions side, we've added something unique in this segment. We've launched a service called Virasat, this is nothing but a full-fledged estate and legacy planning tool for the clients in this segment. Earlier, this was thought to be a product which is needed more in the ultra -high net worth segment.

But I think even clients in the HNI segments, have now come to money, but they also have a reasonable amount of complexity because most of them will have children studying overseas, planning to settle overseas. So you need to now have a structure, which helps them transition

the assets in the most tax-efficient manner considering that now there is offshore exposure also. I think Virasat is launched and we are very, very excited about this product.
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Moving on to Nuvama Private. This segment also continues to witness a solid healthy growth momentum. Starting with again product, ARR. The revenue stream here consistently has grown by about 25-30% over the past few years. And I mean now steadily contributes about 60% of our revenues.

ARR assets about INR54,000 crores and yields are nearly between 0.85%-1%, this quarter being 1%. So I've always maintained that quarter-to-quarter 10-15 basis points can move. But on an average, we should end up somewhere around 90-95 basis points.

Our net flows continue to remain strong, about 22% of opening assets in line with our full year guidance. Even year-on-year, if I remove the one chunky flow that came last year, which was related to an M&A deal, we've grown the absolute value 20% Y-o-Y.

Alongside the growth in distribution assets, we've also seen expansion in our in-house advisory solutions. We now have a full-fledged nondiscretionary, discretionary PMS, we have advisory we have structuring. So I think that will all give an impetus to ARR growth in the future.

Coming to lending, here also lending has been in focus. But even now, it only contributes 10% to 12% of the revenues, there is scope to go up to 20-25% over the next few years. On the RM side here, just to give you a brief snapshot over the last 4 years, amidst this entire competition noise, multiple players coming in we've been able to add about 60% of our capacity.

We moved from 90 to about 150 now. We will continue to onboard talent selectively. And we have a stated compensation philosophy, and that is not only performance oriented. It rewards on merit progressively increases as people perform better, but it's extremely transparent and aligned with long-term value creation.

I think I wanted to leave a word of caution here for people that we've witnessed over the last 12-15 months, a large number of new players are making lofty promises to RMs of future valuations, which seem extremely stratospheric to us and no visible monetization signs.

I just want everybody to be thorough in their diligence before making any such plunge because of the last decade, we've seen only 2-3 platforms where people have actually realized value. Rest have either remained on paper or never realized. And in the process, unfortunately, many careers have been damaged.

In Nuvama Private also, I think we continue to invest a lot in our tech and AI. We've launched Agentic AI, which basically works alongside the RMs and doing again, portfolio analytics, performance tracking, product insights.

And again, here, we've seen

our productivity jump by about 10% to 15% on revenue per RM.

We've also launched an industry-first multicurrency module on portfolio reporting. Basically, we've maintained in the past that clients are increasingly allocating to offshore.

And if the Indian markets give 1 or 2 years of somewhat tepid performance, which has happened recently, that phenomena will only accelerate. And with that happening, you will need

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technology to support a multi-country, multicurrency portfolio for clients to review, rebalance and basically, over a period of time, have control over the portfolio.

Moving to Asset Management. As I said in the beginning that we continue to steadily build our capabilities around asset classes here. I'll start with commercial real estate. Commercial real estate has been extremely successful this year. We've closed, I think, right now, the full fund is closed at about INR4,000 crores.

But as of end of quarter 4, we were about INR3,800 crores. We finished acquisition of 3 marquee assets, about 3.8 million square feet, 40% to 50% of our funds are deployed. Once we start touching 70%, we will launch a new fund. We are working on the thesis of the new fund.

I think second half of this year is where we should look to launch. Again, the target should be anywhere between INR3,000-INR3,500 crores, part of which, of course, will come in this year. Pre-IPO private equity, which is our oldest strategy in some sense.

We started to exit our first fund crossover 3. And we've launched a new fund crossover 4, the fund raise should be alive for the next maybe 6 to 10 months, and we should target to raise INR1,000-INR1,500 crores there.

We strengthened our leadership team here. We've hired Aditya Arora, as the CIO. He has more than 2 decades of experience in private market investing across forms. I've been talking about

private credit as a strategy. Happy to state that we now have the CIO in place, Amit Kansal. He joined us from Aditya Birla that was hit last assignment, has 25 years of experience in credit across the risk spectrum from performing to special situations to distress.

We are right now building the team, and we expect to launch our first fund. I think by end of Q2, again, maybe target about INR1,000 crores, INR1,200 crores or INR1,500 crores in the first fund, some part of it will come in this year.

This credit, I think, is an important expansion of the platform because not only does it augment asset management and takes us towards more exhaustive bouquet, but it also helps a lot in giving syndication transactions for our wealth clients and wealth business.

Coming to public markets. Public market, I think the year was extremely volatile. It was in line with what the industry saw at least in the HNI, ultra HNI segment, incremental allocation to equities did not come. We got gross flows, but we also saw redemptions.

So on a net basis, we are nearly flat. Hopefully, now once the market bottoms, and there is recovery we should be able to see that. But the key element here is we are in the process of getting the MF license.

Our final inspection has happened, and hopefully, if we get the license in another 2 months, maybe plus a couple of months from there, we should launch our SIF in which over a period of time, we will migrate our long-short strategy, which now has a 5-year track record with the quartile 1 performance. In this business, we've also strengthened our distribution team.

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We have recently onboarded Nimesh Mehta as the Chief Business Officer. He comes with 27 years of distribution experience across firms like Motilal and ASK asset management and will play a key role in building and scaling our distribution capabilities.

Coming to asset services. I'm really happy to state that business

is back on its growth trajectory

following the loss of decline that happened in Q1. And we saw a drop of interest rates by 50 basis points.

So we've been able to overcome both of that Q4 revenues exceeded Q1 and full year revenues grew by about 12%. It's important to note, many at times, we've been asked this question, that is this business completely aligned to what happens to the markets or the flows of the market.

Now if you look at the current year, despite the headwinds, index not doing anything, volatility in the market, yield compression, loss of big clients, yet there is a near 15% profit growth, which basically signifies that this business characteristic is different from your core capital markets business.

Volatility is far lesser. The drivers are very different. So we should not end up equating the same in terms of what will drive this and those businesses needs to be kept separate. This is more market infrastructure like business.

Our focus here remains around increasing our market share and product value enhancements.

On the international side, we are aggressively working with what is called GC-LC tie up (Global Custodian - Local Custodian), and we are on the verge of signing one of them globally.

On the domestic segment, I have highlighted before that we are building out the RTA and trusteeship services. These offerings are expected to go live by middle of Q3, and this will help us further increase our market share in the domestic clients. We are currently at 22% of our chosen segments.

Lastly, coming to capital markets. I think secondary market activity moderated through most of FY '26, equity cash ADT declining by about 6% and futures ADT declining 14%. Options although remained strong at 8% Y-o-Y growth. Q4 witnessed a rebound of activity, but that, I think, was mostly led because of the volatility of West Asia crises. Coming to the primary market activity, I think the year was still okay.

Record IPO mobilization across more than 100 main board IPOs despite market conditions.

Although in H2, I think the story changed a bit. Retail participation went down. The quality of IPOs changed. There were certain large IPOs where the fee pool was smaller.

So overall, I think we were able to maintain our market share or slightly increase our market share up from 18% to 19% in terms of value, and we were 15% in terms of deals. But I think the market saw a reduction overall in the QIP volumes, which had an impact on this business.

Coming to fixed income within capital markets, we had a healthy growth of about 35% year-on-year. We maintained number 1 ranking in public issues and in private placements, we are

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between 3 or 4, in one quarter, we could end up 3 and the other quarter, we could end up at a fourth position. Most of the others who are above us are large banks in the balance sheet. I think that sums up from my side.

I would now like to hand over the call to Bharat to take you through the financial numbers in detail, and then we can cover the questions which you have. Thank you. Over to you, Bharat.

Bharat Kalsi: Thank you, Ashish. Good afternoon, everyone, and a warm welcome to all the participants on the call. Ashish anyway has covered the broader business environment as well as our own strategic initiatives and the market context. I will now jump on directly to the main numbers for the firm.

I'm pleased to share our quarter 4 and FY '26 results where we have seen a steady growth across all our key businesses. Ashish did allude to the fact that our IB and IE was subdued in this quarter. But otherwise, all key businesses, whether it was wealth, private or asset services saw a decent and stable growth year-on-year and quarter-on-quarter as well.

If you look at the headline number, we have crossed the operating profit margin number of INR1,000 crores in this

year, this is a big achievement for us. And similarly, if you look at on the dividend side, we have again declared a dividend of INR14 for H2 FY '26 that takes it to roughly 50% of our profit being paid as dividend which is consistent with our dividend distribution policy.

Having said that, if you look at on the overall client asset basis, our total firm level client assets were at 4.5 lakh crores, helped by the flows across the businesses, including asset services, wealth and private, but there was a mark-to-market impact on the headline numbers. That's where the impact on the client assets is reflected.

In terms of the revenue, the quarter 4 revenue was around INR 825 crores, which is a 7% Y-o-Y growth. But if we remove IE and IB businesses for the quarter, our revenue grew by 13% in quarter 4. And if you look at on a full year basis, excluding IE and IB, our revenue grew by 17%, with wealth and private showing a 20% YoY growth.

And now wealth and private put together contributes 55% of the firm revenue, which was almost 49% last year. So the share of wealth and private has gone up. Even if I go further down, if you add wealth, asset management and asset services, now they contribute roughly 80% of the revenue for the firm, which was 74%.

I'm highlighting these numbers because this gives the predictability of the earnings in the coming quarters and years because these businesses are more recurring in nature compared to maybe IE and IB, which can have a cyclical impact on a year-on-year basis or on a quarter-on-quarter basis.

If you look at the total cost for the firm for the quarter, the total cost, when I say total cost, it's employee plus opex, has gone up by 9%. And on a full year basis, it has gone up by 10% only.

The reason for calling this out is, it reflects the variability in our cost, that in a year when the

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revenue growth is lower, our cost can be controlled or can be reflective of the overall performance. Maybe as a reference to the fact that if you look at our FY '25, our revenue went up by 41% and our cost was up by 24%.

And in this year, as the revenue has slowed down, so our cost has been controlled to that extent.

Multiple reasons for the revenue slowdown were discussed during Ashish opening remarks.

And if you look at Q4 cost versus Q3, you will see a growth in the number, but that's typically a seasonality impact, which happens in Q4. I would say you compare Q4 FY '26 with Q4 FY '25, you will see that the cost has only gone up by 8% to 10%. Opex is up by 7% and employee cost is up by 10-11%. It's the seasonality which plays in Q4 if compared with Q3.

Within costs, our opex is around 27% of the cost. That on quarter-on-quarter, we will see a growth of 27%. But if you compare it with previous year, quarter 4, the growth is only 7%. This is just about the seasonality of the cost. Similar trend, you will see on the employee cost side.

So to that extent, we are comfortable with what is happening on the cost side. Just a word of upfront disclaimer that maybe in FY '27, we will have some incremental costs coming in our asset management business.

As Ashish also alluded to the fact that we are launching the new strategies and obviously for our mutual fund license as we are moving towards the SIF business, there will be an incremental cost, which will come, but that's more like an investment, not really a so-called cost in isolation to be seen.

On an overall basis, happy to share that the wealth management segment, when I say wealth management segment, wealth and private put together, the cost-to-income ratio has come down by 80 basis points compared to previous year.

And even if I look at asset services and IE and IB, the cost-to-income ratios has improved by

100 basis points, just because wealth and private composition has gone up in the overall firm

contribution, that is why you will see that the cost to income at a firm level has moved from 55% to 56%, but this is just a composition issue. Otherwise, the operating leverage in both the business is being reflected in the cost income ratio being lower than previous year. Operating PAT, again, if you look at quarter 4, it was INR269 crores, which is a 5% Y-o-Y growth. Wealth segment grew by 23% and asset services grew by 12-13% in quarter 4, even on a full year basis, is a similar trend where wealth and private has gone up by 23-24% and asset services is up by 13-14% in that range. Our ROE has been healthy at 28% for FY '26. Ashish covered a lot of details in terms of the individual businesses, but if I have to take headline numbers on the Nuvama Wealth, the clients' assets are at around 1.1 lakh crores, which is a 14% Y-o-Y growth despite the market-to-market impact coming in the last quarter. Our MPIS assets now stood at around INR39,000 crores, and we have registered a net new money of around INR8,900 crores during the year, which is a 30% growth on the opening MPIS Nuvama Wealth Management Limited
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assets, which is where we've been steadily communicating that the wealth should have anything upward of 25% to 30% on the opening MPIS as net new money. The revenue was at INR960 crores, which is a growth of 18% and the retention remains stable at 90 basis points or so. Again, if you look at the data book, you will find that the cost-to-income ratio for wealth business has improved by 135 basis points compared to previous year. Now it is running at, whatever, 65.7% but the operating leverage has started playing in. This is reflected in the cost to income and the operating PBT went up by 22% for wealth. In terms of the private, again, the numbers across the key parameters, whether it is the overall client assets or whether it is the ARR, which has gone up by 22%. The net new money, which is again up by 24% and the revenue has also gone up by 24%. ARR revenue as of now touched 60% of the total revenue for private, which is where we feel comfortable at 60-65% of the revenue coming from ARR side. So I think we are on the right trajectory. Overall, retention again remained in our guided range of 85 to 90 basis points. We deliberated on the RM expansion, how we have actually added the people over the 4 years and in this year, particularly, the PBT for this business also was up by 24%. Asset Management, we discussed, and Ashish alluded to the leadership hiring, which we have done for our private equity and private credit business as well as hiring on the business side. So, I think that piece is taking the right shape. Otherwise, if you look at our management fees, income, it's up by 31% on a Y-o-Y basis. So I think this is where we are heading. In terms of asset services, we did around INR209 crores in Q4, and we did around INR193 crores in Q1. This business has done better than what we expected for quarter 4, despite the interest rate going down. Our earnings are basically fixed deposit earnings on the margin money given by the clients. Despite this, the business has come up well. On the IE and IB side, the revenue, if you look at compared to quarter 3 it is broadly there, INR138 crores versus INR135 crores. And we did discuss about how the market in the quarter 4 has played in more specifically on the ECM side. One more thing which I want to highlight, is the fixed income, which is part of the IB business, which has grown 34% on a Y-o-Y basis, and now it contributes almost 50% of the IB top line. And this business is more structural in nature can see a compounding growth of 20-25%. It has seen it in the past and it can continue to see a growth of 20-25% compounding in the years to come. ECM, obviously, you guys understand this is more linked to the market activity. That is where the volatility or

a quarter-on-quarter seasonality can play. But otherwise, this business has been doing decent for us.

Overall, PBT for asset services and capital market was around INR830 crores. And I think if principally, we look at our various businesses, it seems that businesses are on the right track, Nuvama Wealth Management Limited
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and our focus businesses are performing relatively much better than what we initially planned for. And I think that's where we are.

I hand over to the moderator in terms of the Q&A now.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Manas Agrawal from Bernstein.

Manas Agrawal: I have a couple of questions. I'll start with the relatively easier ones. ECM, there are a couple of large IPOs that are coming. How should we think about our market share on revenue for the year? Are we present -- active in those deals or not?

And second, from a regulation perspective, 1st of April, Mutual funds have cut commissions. So what is the impact for the business or the consol from that perspective? On the asset services business, I wanted to just understand. On yield trajectory because I understand yields were elevated and now rates have come down. So you've seen some amount of contraction going ahead? How do we think about that?

The last question is on wealth. You talked about a 25% increase in revenue per RM. Is that all AI productivity? Is that including MTM flows, et c., how to think about number of clients per RM in a steady state? Those are the questions?

Ashish Kehair: So let's start with asset services first. I think broadly, when we do the numbers on yield, unless and until we have a client, which becomes extremely large and the ratio of collateral shifts, I think the yield should remain at this level. I don't think the yield will compress because we've seen a decline in the overall interest rates happen and that flow-through has largely happened. Maybe in the next 12 to 15 months Manas, we will see a reverse of this happening. If the inflation stickiness is there because of fuel prices or the war situation being there. And if the Central Bank is forced to increase the rates, then I think we will see further upward trend in yields that will play out as and when our deposits get repriced.

On ECM side, I think our overall pipeline right now. We have about 40 to 45 live mandates across, largely across ECM and some in advisory. So the pipeline remains healthy. I think Q4 was when things got pushed a bit and which we should see the recovery happen in the coming quarters. And even in advisory, we have certain large deals which are there.

Hopefully, we will have a good year in investment banking this year. Fixed income anyway, continues to move at a very, very rapid pace there. On the wealth side, 25% increase in productivity is a combination of actually 2 things. One is the seasoning of the vintage of the RM. If you see last year, less than 1 year cohort was around 40 -45%.

This year, it's fallen to about 33%. So which means that the RMs of higher vintage have increased in terms of cohort. So that contributes some increase in productivity. And second, of course, the contribution comes from the various initiatives you've taken improving the learnability and improving efficiency of people, which is where AI plays a role. Net new money itself doesn't

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lead to increase. It's an outcome. It's not the cause. The causes are actually these, net new money and productivity increase is basically the outcome of that.

Manas Agrawal: Understood. Any indication on the mutual fund commission cut impact?

Ashish Kehair: I don't think we will go through that. I mean it's not a topic which got discussed very frankly, internally. So I'm not sure how important it is for us

because anyways in IE revenues for us, mutual fund is less than 20%. And the pass-through that happened because whatever initially was proposed and what finally came through and the net margins which we get, I think, is similar to what came through. So there is hardly any impact on us.

Moderator: Thank you. Our next question comes from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: So 3 questions. First, if I were to think of FY '27. And obviously, there's a lot of geopolitical uncertainty that still persists. Now on that backdrop, if you were to think of the transactional revenues ex of broking majorly in Nuvama Private and maybe to a certain extent in Nuvama Wealth also. Just wanted to get some sense of the deal pipeline that you envisage or in terms of market activity, what is the sense that you're getting in terms of the transaction revenues?

Because FY '26 was a relatively good year for the company on that front.

My second question is on the Nuvama Wealth business. Now if I look at the 4Q yields, normally, it tends to be a little bit affected on the managed products and Investment Solutions because of the insurance revenues, but if I look at 4Q to 4Q, I mean the yields have held up fairly well.

Despite the backdrop that one was expecting maybe some moderation post the ITC changes. So just wanted to get some sense of your insurance commissions. I mean, how has that really held up or was it, or was there some upfronting of CAT I, CAT II, AIF led commissions out there?

And the third question is on the overall wealth piece. Basically, if you were to look at the new incoming customers that you're getting, maybe more from the perspective of Nuvama Private and to a certain extent, maybe the high-quality customers in Nuvama Wealth.

Would this be more from smaller cities, low ticket size, generational wealth or first generation customers or it will be like poaching from erstwhile bank service customers? I mean if you can give some color on the customer quality or demographics out there. And I have 2 data keeping questions, which maybe I can ask at the end?

Ashish Kehair: So Dipanjan transactional revenue overall in FY '26 for private, the jump was about 14%. So it was significantly lower than actually the ARR revenue. ARR revenue was 32%. I think if you look at both the businesses and if you look at the decomposition of the transactional revenue for us. Like you said, broking is a large component. And then there is fixed income, which is again a flow business. Which actually improves in times when geopolitics goes through this zone. Third, so I think between these two, if we add in Nuvama Wealth, at least, this would constitute about 90 -95% and 5% would be some transactions or deals, and that also, I mean, unlisted for Nuvama Wealth Management Limited
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us is reasonably small and hopefully with NSE listing for everybody, it becomes small because we've considerably reduced the exposure to unlisted over the last 2-3 years. It's not a large sum for us.

So whatever deals happen, they will happen more in high yield credit transactions where we are co-investing with some fund or in commercial real estate, if any. So those are really not impacted by the geopolitics.

For us, actually, except broking, which is more linked to market volumes, rest everything is reasonably insulated and actually works better when the equity markets don't do well. So both for private and wealth, we don't see that as an impact playing through. I think it could only benefit. From a yield perspective, I think right now, the insurance yield impacts have been negligible for us. It has not led to that impact.

In fact, the overall volume of insurance growth was also not like historically, we would grow by 50%, 50%. I think it's stabilized more to 25-30%. But the yield impact is not there. Yes, a bit of category two may be higher this

year because, again, reason being that if equity markets don't do well, then more money flow will happen in yield-based products, which actually sit in category 2.

So there is some amount of first year commission, which is about 30% of the life commission.

So about 10% extra is what you make, which can insulate the yield a bit. New customers actually remain the same. I don't think there is any change in demographic -- migration from banks is a continued phenomenon and that will continue to happen.

In Nuvama Wealth, beyond Tier 1, Tier 2, actually is 35-40% of our business. In private still, I would say the top 8-10 cities constitute about 80-85%, 15% would be below that because the density of this thing is still lower. I mean there are people there.

But if you compare it to, let's say, Mumbai, Delhi, Bangalore, Hyderabad, Chennai, Bangalore, the density of wealth is far, far, far higher. Maybe another 2-3 years' time that 15-20% could reach to a 30% level.

Dipanjan Ghosh: Got it. And just 2 data keeping questions. One is for FY '26 and 4Q '26, if you can break up the IB, IE between IB and IE. And the second question is, what would be your distributed mutual funds within the overall cohort of distributed MF, PMS, AIF. I mean whether you put the overall wealth together or private and wealth segregated out there?

Ashish Kehair: About INR8,000 crores to INR9,000 crores.

Dipanjan Ghosh: Sorry, sir, this would be your overall distributed MF, right?

Ashish Kehair: Distributed MF. Yes, a border line INR9,000 to INR10,000, correct.

Dipanjan Ghosh: And if I can give the data on IB, IE.

Ashish Kehair: IB and IE broadly, right now, the split would be 30-70. 30 being IB and 70 being IE.

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Moderator: Thank you. Our next question is from the line of Lalit Mohan Deo from Equirus Securities.

Lalit Mohan Deo: Sir, I have 2 questions. So firstly, if we look at the cost to income ratio for both the wealth segments for FY '26, it's remained around in the range of around 66% to 67%. So how should we look at this number for the next 2 years, incrementally given that we are seeing improvement in the RM productivity as well?

And secondly, on the asset services business, if you just do a back of the envelope calculation, it suggests that our cash collateral within the asset under custody, asset under clearing has increased to more than 40% over the last 2-3 quarters. Just wanted to understand what would have driven those things?

Will that be one of the reasons why we are seeing some pickup in the yields also? And just one data keeping question, sir. Like within the MPIS revenue in the Nuvama Wealth segment for full year '26. What would be the split between recurring and the transactional revenues?

Ashish Kehair: So cost to income, just quickly covering that, Nuvama Wealth, we've seen a 130-150 basis points

compression this year. And that always will remain, I mean, a toggle between productivity improvement and how much we want to reinvest back in adding capacity because if we get growth I mean we could have spent that entire 150 basis points in adding more RMs, which we chose not to.

But I'm saying productivity improvement led growth is 150 basis points in 1 year. In private on the other hand, whatever productivity improvement happened, we reinvested in adding capacity. So this will keep moving. But broadly, like we keep saying over a 3 - 4-year period, you can see a 100 basis point reduction every year.

Obviously, we can choose to change if we want to add capacity at more aggressive pace because there is growth to be had. When many such players are coming into the market and operating at a loss-making business, I think we don't want to let the field get captured by others. So we will continue to grow.

And we will continue to toggle between how much of the productivity gains, which

we will

reinvest back into adding capacity because that gives us future growth. I think the second question was on the yield of asset services.

Yes, the cash component would have gone up. That is the reason why the yield has gone up, and that is because when we launch that large client, their cash component used to be lower given the size of their collateral.

That was replaced with large number of smaller clients. So their ratios would be different. As I keep saying, as the client collateral size goes up, your ratio could change and cash would come down. But broadly, you will either be at 70 -30 or 75 -25 at a portfolio level. The main trend or the impact on yield going forward could be how the interest rates move if the inflation remains sticky.

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If you think that there is a 50% upside in, let's say, RBI will hike rates over the next 12 months.

Then a flow-through of that will happen in deposit pricing, and we will see the yields go up if that happens. In MPIS, about 60% to 70% would be maybe 60% annuity and 40% transaction.

Moderator: Thank you. Our next question is from the line of Abhijeet Sakhare from Kotak Securities.

Abhijeet Sakhare: Okay. So this was an industry question, taking the lead from your opening remarks. For incumbents, when we think about the ultra-HNI business, it's obviously a compensation problem, but at the same time, like you say, new entrants do not have a large platform as us. But from a client's point of view, how are they looking at all of these new entrants? Are they starting to kind of giveaway part of the wallet share and that's why the industry is kind of getting more fragmented?

Ashish Kehair: So part of it, I think, will happen. That fragmentation, if you look at wealth management, is a global phenomenon. I mean even if you look at players like maybe UBS and all which are world leaders, they have a 2% market share in the global wealth management AUM. I think India will be more skewed in that sense.

There will be maybe 3, 4 large players but there will always be a long tail. And what happens if you have a large platform or a multiproduct platform that you will be able to retain or you will be able to get a significant proportion of the client portfolio because they also don't want to go through the hassle of having multiple advisers unless there is some genuine value add and genuine value-add in client size could be an access to a transaction or access to a product, which, let's say, you cannot provide, but somebody else is providing.

Typically, the way industry structure will evolve that large clients will have, let's say, 1 or 2 core wealth managers, where bulk of their portfolio sits. So most of the annuity income and most of the transaction -- large part of the transactional income will sit there.

And then there will be smaller players who will have access to some deals, transactions where there will be a long tail. Obviously, in these smaller platforms, also there will be certain exceptional RMs who will move, they will be able to move some relationships. There is no question about it.

But I think it will be a struggle because every large client wants a lending line, for example, Abhijeet. Now let's say, if you already have a lending line with an institution where your products which are not so easily marginable, AIF, illiquid products, it's difficult for a smaller platform to extend. There are single borrower limits, there are group borrower limits. Then to be able to set up a vehicle offshore to move money.

So I mean there are significant number of investments in the platform that will be required to be done, capital investment that will be required to be done for some players to start becoming meaningful in this process. INR10,000 crores, INR20,000 crores, INR30,000 crores AUM, few RMs, a few initial client successes, one-off unlisted

All this will continue to happen and create a lot of noise but on a systematic basis to attract flows, attract people, the kind of platform and infrastructure that is needed to invest and maintain. I find it very difficult to see that all these new incumbents will be able to do it easily.

Abhijeet Sakhare: Got it. That's very helpful. The second question was -- if you could clarify on the point that you made on the GC LC tie-up. How does it play out? And what are the benefits?

Ashish Kehair: So basically, when FPIs are investing globally, there are certain categories of investors, which are like large long-only funds, who then work with large global custodians, which are multi-country presence. So somebody like a State Street or somebody like a Citi will have a multi-country custodian presence, so they will be able to offer their relationships.

But somebody like us who is a single country, single currency, custodian does not have appeal for such clients. So how do we counter that? We can counter that by having a strategic tie-up with a global custodian which does not have presence in India. So it adds for them a new service or a new client segment which they can go after.

And for us, we get access to clients, which we would otherwise don't have. So this is something which exists globally, and we are aggressively pursuing. So we have 1 or 2 tie-ups, which are in the works. Once we are able to close, that'll basically open up a new set of clients, which we were not able to access earlier.

Abhijeet Sakhare: Got it. And just one last data question. In the Ultra HNI business, around 4,500 families that we have, if you could give some further color on what is the distribution in terms of, let's say, more than INR5 crores or INR10 crores relationships?

Ashish Kehair: I think more than INR10 crores, which is -- if you see the vintage and intersection AUM, more than INR10 crores would basically be, I think, the third of the clients which contribute more than 70-75% of the AUM. And this phenomenon is consistent across the top 2-3 leading players in the market.

As per our study of data, families which have spent more than 3 to 4 years, start graduating towards higher AUM per family and then that becomes a larger proportion and rest would be WIP. So I think about one-third to 40% would fall more than INR10 crores.

Moderator: Thank you. Our next question is from the line of Mohit Mangal from Centrum.

Mohit Mangal: My first question is to the asset management business. Now if I look at '26, we had about INR1,800 crores of net inflows, obviously distorted by public markets now in '27 you have...

Ashish Kehair: INR1,000 crores, net inflows.

Mohit Mangal: INR1,800 crores, right?

Ashish Kehair: No, INR1,000 crores of net inflows.

Mohit Mangal: Okay. Understood. Now if I look in terms of '27 where your SIF and private credit is expected to be launched -- so I just wanted to know basically how do you see '27? What are the reasonable estimates that we can expect from the segment?

Ashish Kehair: Let's go strategy by strategy. Private equity, we've launched our fourth fund. We are currently sitting at about INR250-INR275 crores. We target to do maybe anywhere between INR1,000 crores to INR1,500 crores. Let's take the conservative side if we end up at INR1,000 crores, 1,200 crores.

So that adds up about INR1,000 crores there. Private credit, again, as I said, the launch will be somewhere around H2 and the first fund could target may be INR1,500 crores. Part of it, which will come this year. I can't certainly say how much, but maybe half of it comes this year.

Commercial real estate, our next fund also gets launched this year. That would be INR3,000 crores to INR4,000 crores

. Again, maybe 30-40% starts coming in this year. And on the SIF and public market side, maybe once we launch and we start seeing the flows happen. Next quarter, we could discuss the numbers. And by that time, maybe the volatility levels of the market also should settle down.

Mohit Mangal: Understood. This is very helpful. My second question is towards the Wealth division. I mean, if I look at the external wealth managers. I think we have added about 1,000 over the last 12 to 15 months.

Now we have about 8,000 external wealth managers. And our own RMs are pretty stable at about 1,100. So do you see this kind of business model evolving more towards EWM rather than your own RMs, although I understand the economics kind of remain the same but just wanted to understand the business model here?

Ashish Kehair: No, not really. We will grow both and even on RM s. So what has happened in the own RMs right now is that , though the number may look steady. But as I said in my initial remarks that we're doing the process of seniorization. So your individual RM that is going out and the one that is coming in, the one that is coming in we are getting more senior variety, higher fixed pay variety.

So even if the productivity level in terms of x times salary. So the way industry looks at productivity is very simple. If I give somebody a salary of INR100, what multiple of that comes in as a revenue. So let's say, if you were having an RM of INR100 and that person was generating 3x, INR300 of revenue. Now we have an RM of INR200, and he is also generating 3x, which is INR600 of revenue.

The contribution to the company increases substantially because your other cost per RM do not increase at the same pace. You understood. So that phenomena also adds to productivity and operating leverage.

Mohit Mangal: Understood. Just lastly on attrition, I mean, have we had any kind of a regret attrition during the year? And any loss of AUM because of that?

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Ashish Kehair: You don't typically lose lots of AUM because the number of hooks are large. Regret attrition in private maybe a range of 1%, 2%. And in wealth, maybe with maybe 3% to 4%.

Moderator: Thank you. Our next question is from the line of Saurabh Dhole with Fyers Assets .

Saurabh Dhole: I just have 2 questions. First is on your private assets front, what exactly is causing the yields to kind of be so strong? I understand there is a mix component here where transactional assets versus ARR is improving. But is there any other color that you can provide for the yields? That is question number one.

The second one is when you look at your ARR composition or ARR share improving to what extent do you think this is happening because some of the transactional assets are moving to ARR?

Ashish Kehair: Actually, for us, the second element has still not started playing out. This is a huge opportunity, which we discuss internally, and we are yet to crack it where we basically have this mechanism of moving transactional to ARR, which will happen in somewhere around next 12 -15 months because now we have the nondiscretionary PMS, the discretionary PMS, all the enabling vehicles are in place.

We need to orient the team and start going out and demonstrating the benefits to the client so that migration will happen. Right now, that's not happening. It's purely business fresh flows that are coming into ARR. Actually, when we look at the yields, the product -wise yields, there is no change. Its basically composition led.

So as I said, between 80 basis points to 1% it will range depending on the composition change on a quarter -to-quarter basis. We've looked at it multiple times. There is nothing more to read into that.

Saurabh Dhole: So given the fact that ARR is growing much faster than transactional, does it mean that there is more headroom to yields from here

?

Ashish Kehair: Actually, our yield which we publish here is only ARR yields. That's not a composite yield.

Moderator: Thank you. Our next question is from the line of Sanidhya Agarwal from Unicorn Assets .

Sanidhya Agarwal: So first question is on the asset services business. So given the RBI bank guarantee norms would kick in. Do we see any impact on the yields from the services business perspective? And like do we see any changes on the ROCE basis of Nuvama capital employed?

Second , so we are seeing on the capital market or asset services combined business. So we are seeing upside in the FPI derivatives turnover on BSE and the HFT contribution in terms of participation on the BSE particularly?

So how do we see as a trend for our business going forward, given the incremental client addition that we are also seeing in our book and also on the exchange side, we are seeing a good

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momentum there? And lastly, just if you could highlight anything -- any updates on the PAG side? That would be all?

Ashish Kehair: So the bank guarantee thing, we've done the incremental borrowing and all. Basically, for us, we did the math that has an impact net of deposit costs of maybe some INR10 crores, INR15 crores a year. So not much should get covered in. In terms of increase in volume, that, of course, will have a positive rub off on the asset services business because if the volumes increase, I'm

assuming that the profit pool for players will increase and they will deploy more capital.

Deployment of more capital basically means more collateral and therefore, more earnings come to us.

On the PAG side, as we have maintained that they've spent about now 5 years with the asset, they have seen reasonable returns at -- and they are a private equity fund. So they will exit at some point in time. Right now, there is no process that is on when ever something happens, I mean, you will also come to know right now it is just as is....

Sanidhya Agarwal: Okay. And impact on ROCE basis we are seeing from the...

Ashish Kehair: Not really. For with INR15 crores, INR20 crores of...

Sanidhya Agarwal: Yes, that would be negligible.

Ashish Kehair: Yes.

Moderator: Ladies and gentlemen, we have no further questions at this time. I would now like to hand the conference over to the management for closing comments. Over to you.

Ashish Kehair: Thank you. Thank you all for coming again. I think we'll see you again after the end of Q2, hopefully, by then the geopolitical situation would have resolved, and we'll have something to cheer about. Thank you.

Bharat Kalsi: Thank you so much.

Moderator: Thank you. On behalf of Nuvama Wealth Management Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.